



ARBA MINCH UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
MANAGEMENT DEPARTMENT

Course Materials for Theme 1 in Management Program

***THEME 1: FUNDAMENTALS OF MANAGEMENT AND
MARKETING***

This module contains three courses:

- 1. Introduction to Management**
- 2. Principles of Marketing**
- 3. International Marketing**

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ARBA MINCH UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF MANAGEMENT

Introduction to Management Module for Exit Exam

CHAPTER ONE

The Nature and Scope of Management

Because of human limitation, people started cooperation and working in-group. To coordinate and lead groups of people to achieve their pre-stated goals, functions of management i.e., planning, organizing, staffing, leading/ directing, and controlling are important and essential. The monumental accomplishments and scripts of the ancient societies proved their importance. However, the discipline needs to be studied in a modern way.

When people started working in group, although it was not formalized, they planned their work, they organized their activities, assigned people to those positions, led their people/workers and checked whether they achieved their interest or planned action or not; and these activities were prevalent and apparent. This is to say that, management, had existed in the past, exists today, and will exist tomorrow.

1 Learning Objectives:

After studying this unit, you will be able to

- Define management and
- Understand the nature of management
- Understand whether management is science or art
- Understand the management levels, skills and roles
- Understand the functions of management
- Explain the universality of management

As far as the definition of management is concerned, it is rich in definition. Hence, there is no one universally accepted definition of management. This is because,

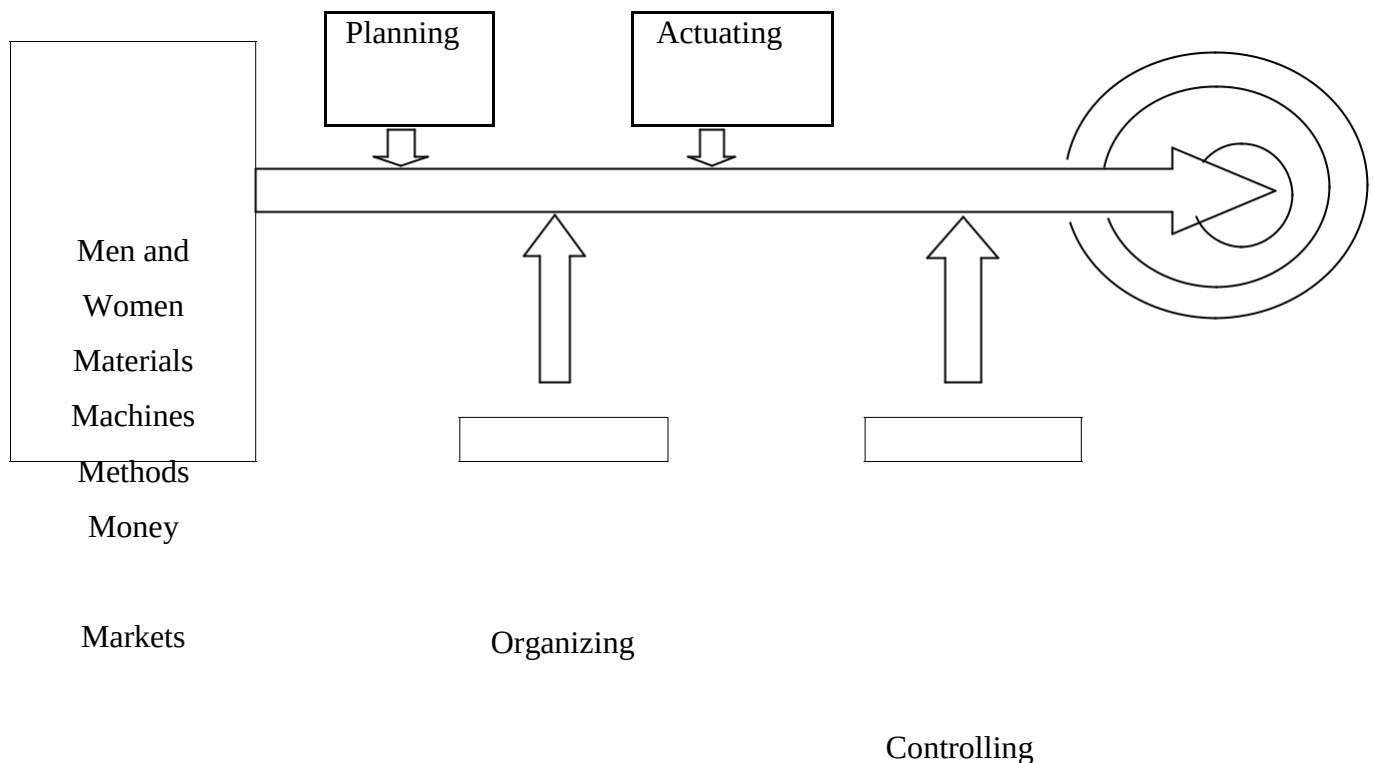
- (i) Management as a discipline is recent in origin: management as a field of study is too young, to develop.
- (ii) Management is so broad that it is difficult to encompass all of its aspects in a single definition.
- (iii) There are different approaches to management, definitions change as the environment changes. The environment of an organization change because of changes in political, economic, social, ethical, etc environment changes.

Management has been given various but mutually supportive definitions by different authors and scholars. Among others the following are several of them are:

- 1) According to F.W. Taylor, "Management is the art of knowing what you want to do... in the best and cheapest way."

- 2) According to H. Koontz and his co-author, "Management is the process of designing and maintaining an environment in which individuals are working together in-group accomplish efficiently selected aims."
- 3) According to Terry and Franklin, "Management is a distinct process consisting of activities of planning, organizing, actuating, and controlling, performed to determine and accomplish stated objectives with the use of human beings and other resources."

Graphically



- 4) According to Henry Fayol; "to manage is to forecast and plan, to organize, to command, to coordinate, and to control."
- 5) According to Mary Parker Follett; "the art getting things done through the efforts of other people."
- 6) According to Kinard, "Management is the process of maximizing the potential of an organization's people and co-ordinating their efforts to attain predetermined goals."
- 7) Management is defined as the process of planning, organizing, leading and controlling the efforts of organization members and of using all other organizational resources to achieve stated organizational goals.

From the various definitions of management, we can derive the following important points.

- a) Management refers to the managerial functions of planning, organizing, staffing, leading and controlling.

- b) Management co-ordinates both human and non human resources (land, labour, capital) for the accomplishment of objectives.
- c) Management is applied to all types of organization
 - Profit or not for profit
 - Large, medium or small organization
 - Manufacturing or service giving, etc.
- d) Management deals with creating a comfortable internal environment, with a great consideration of the external environment.

For the sake of convenience, we can define management as a distinct process consisting of managerial functions of planning, organizing, staffing, directing/leading, and controlling so as to design and maintain a conducive environment in order to achieve common group goals and organizational objectives efficiently and effectively.

From this definition, we have the following points that characterize management:

- a) Management is a continuous process-when ever there is a group endeavor/effort, the need for management arises.
- b) Management is viewed in terms of the managerial function a manager does.
- c) Management deals with the coordination of both human and non-human resources/physical resources.
- d) Management is applied wherever there is an organization with an objective to be achieved.
- e) Since an organization exists in an open system, management creates a favorable environment in order to achieve organizational goals.
- f) The target of managerial process is to achieve organizational objective-reason for their existence.

The Nature of Management

1. **Universal Application:-** Management is applied in any organization (large, small in size, or service or manufacturing or for-profit or not-for-profit) and its functions are practiced in any level of management.
2. **Goal Oriented:-** Any organization is established to achieve objectives, and management is important for any organization to achieve its pre-stated objectives efficiently and effectively.
3. **Guidance:-** The main task of management is guidance in the utilization of material and human resources in the best possible manner. Without the involvement of management, resources might be misutilized and wasted. Through the optimum utilization of resources, it to ensure that the objectives are attained.

4. **Divorced/Separated from proprietorship:-** Management does not signify proprietorship/ownership. Managers work for the attainment of organizational goals and objectives.
5. **Management is a human activity:-** Management functions are discharged by individuals not by machines such as computers. However, it can be aided by such instruments as computers.
6. **Management signifies Authority:-** Since the significance of management is to direct, to guide and to control, it has to have authority. Authority is the power to compel others to work and behave in particular manner.
7. **Leadership:-** The manager has to lead a team of workers. He/she must be capable of inspiring, motivating and winning their confidence.
8. **Management is Multidisciplinary:-** It has grown as a body of discipline taking the help of so many social sciences like sociology, psychology, economics, etc.

Is Management Science or Art?

Science:- It is an organized/systematized body of knowledge constituting concepts, theories and principles concerning a particular field of study. Especially, it is knowledge obtained from observation, test and experimentation of facts; and it is universally true; and applied in any country, organization, etc. Besides, it exploits mathematical models.

When we say it is a systematized body of knowledge, it is in the sense that relationship between variables and their limitation have been ascertained and underlying principles have been discovered. These facts are again verified through continuous observation. Finally, certain relationships and principles are developed which are fundamental truths that help to reflect or explain reality.

The principles developed after a detailed observation acts as a universally applicable foundation. As science, management is a systematized body of knowledge representing a core of principles or fundamental truths that tend to be true in most managerial situations. This systematized body of knowledge of management helps the practicing manager to make decisions rationally and objectively rather than rule of thumb, hunch, or institution, what they did in the past.

- As an emerging science, management has certain basic principles, which are universally applicable in any organization regardless of its size, nature and objective. Effective managers use the scientific approach in making decisions.
- However, management is not considered as an exact science as chemistry, physics etc. It is an Inexact Science. This is because, it deals with people/human behavior in which change

is the fashion rather than the exception. It is to say that human behavior is even changing and unpredictable.

To conclude, management is categorized as science for the following reasons:

- ☐ Its principles are systematized body of knowledge
- ☐ Its principles are universally applicable
- ☐ They are based on scientific inquiry, observation, test and experiment
- ☐ They explain the cause and effect relationships among/between various variables.
- ☐ Their validity can be verifiable and can serve as a reliable basis for predicting future events.

Art:

Art is a skill or know-how, which can be modified to accomplish a desired concrete result. It is doing things in light of the prevailing realities of a situation.

It is concerned with the application of know-how and skill to the specific time, place and condition tactfully, creatively and wisely.

- Art is a personal creative power plus skill in performance
- Art is based on subjective judgement, feelings, intuition, etc.
- Art helps to create new ideas and effective methods to use from the underlying knowledge and skill. Management as an art.
- Is a know-how or doing things in the realities of the situation.
- Art in management has a great role in creating new idea, innovation, initiating and implementing the skills or know-how in relation with the resources and goals of the organization.
- Calls for subjective judgement, intuition where time pressures force rapid-fire decisions, often based on incomplete and unverifiable data.

To conclude, management as a creative art

1. It required a skill or a practical know-how of the principles and techniques of management in order to perform a specific job efficiently and effectively.
2. It depends on the personal skill and effective use of one's knowledge and proficiency to ensure maximum result at minimum cost.
3. It follows result oriented course of action – or depends on specific objective to be achieved.
4. Management calls for creative ability – to introduce new ideas, new products, new techniques to yield higher returns to an organization (higher surplus)
5. Continuous practice of management theories and principles results in better performance.

N.B. The science and art of management practice are not mutually exclusive but are complementary. If science teaches one to know, art teaches one to do. So managers have to know and do things to perform their activities efficiently and effectively to be successful.

Management as a Profession

A profession is a vocation requiring,

1. body of specialized knowledge and Technical proficiency
2. formal training / standardized education and training
3. social Responsibility
4. code of conduct/professional Ethics

1) Body of specialized knowledge and Technical proficiency

If an organization needs to have rational and scientific decision making ability, managers have to be specialized on a systematic body of management. And also management requires technical proficiency in special fields such as production, marketing, finance, human resource management, etc. To ensure all these, management requires intellectual preparation or graduate study.

2) Formal/standardized Education and Training:

A certain field of study to be a profession, it requires formal training and education. This holds true for management. There are universities, colleges, and educational institutions specialized that provide formal teaching of management concepts, theories and principles.

3) Social Responsibility:

Any organization has an objective whether to make surplus, or provide efficient services to the society, and the like. And also a manager of an organization is responsible to lead the organization and its members. Besides, managers have to take into account the obligation to serve the society (mission) and strict adherence to the prescribed moral, social, and legal conduct; because their existence depends on the service they give to the society in general.

4) Code of Conduct

Any discipline to be a profession, it is subjected to the fulfillment of strict standards, rules and regulations providing the norm of honesty, integrity, and professional morality to be adhered by the members.

Management Levels, Skills and Roles:

Type of Managers

Managers can be classified into two ways,

1. by their level in the organization – so called first line, middle and top managers and
2. by the range of organizational activities for which they are responsible
– so called Functional and general managers.

- (1) **First line Managers-** managers who are responsible for the work of operating employees only and do not supervise other managers; they are the first or lowest levels of managers in the organizational hierarchy. These people are managers at the first line where most concrete organizational tasks are performed.

It includes office managers, superintendents, foreman, chief clerks, supervisors, etc. First level management is often called "supervisors". They are mainly concerned with:

- i) Planning of day to day work.
- ii) Assignment of jobs
- iii) Keeping a watch on workers performance.
- iv) Sending reports and statements to superiors
- v) Maintaining close and personal contacts with workers and evaluation of their work.

- (2) **Middle level Managers:** these are managers who direct the activities of lower level managers and some times extends to supervision of operating employees. Their principal responsibilities are to direct the activities that implement their organization's policies and to balance the demands of their superiors with the capacities of their subordinates. The titles include Department heads, deputy department heads, branch managers, work managers, etc.

- (3) **Top Managers:-** composed of a comparatively small group of executives and they are responsible for the overall management of an organization.

- They establish operating policies and guides the organization's interactions with environment. Typical titles include CEO, president, senior vice president, etc.
- Responsibility of planning and executing broad policy decisions.

Functional and General Managers

The other major classification of managers depends on the scope of the activities they manage.

1. **Functional Managers:-** these are managers who are responsible for only one organizational activity, such as production, marketing, sales, or finance. The people and activities headed by a functional manager are engaged in a common set of activities.
2. **General Managers:-** these managers, on the other hand, oversee a complex unit, such as a company, a subsidiary, or an independent operating division. He or she is responsible for all

the activities of that unit, such as its production, marketing, sales, and finance. Managers who are responsible for managing the entire operations of a more complex unit or division which may have two or more functional units.

Skills of Management

A skill is a person's or an individual's ability to do or perform a certain thing expertly or intellectually. Similarly, managerial skills are skills of a manager to perform his duties and responsibilities expertly. These skills help managers to perform their activity in efficient and effective way/manner for the achievement of the objective of the organization.

These managerial skills can be classified as:

- (i) Technical skills
- (ii) Human skills
- (iii) Conceptual skills

1. **Technical skills:** These skills are the abilities of a manager that are necessary to carry out a specific task. It involves the ability to use specialized knowledge and expertise with work related tools, procedures, and techniques. Technical knowledge is of great importance at lower levels where the organization's goods and services are produced. Examples include:

- Writing computer programs
- Completing accounting statements
- Analyzing marketing statistics
- Drafting a design for a certain building etc...

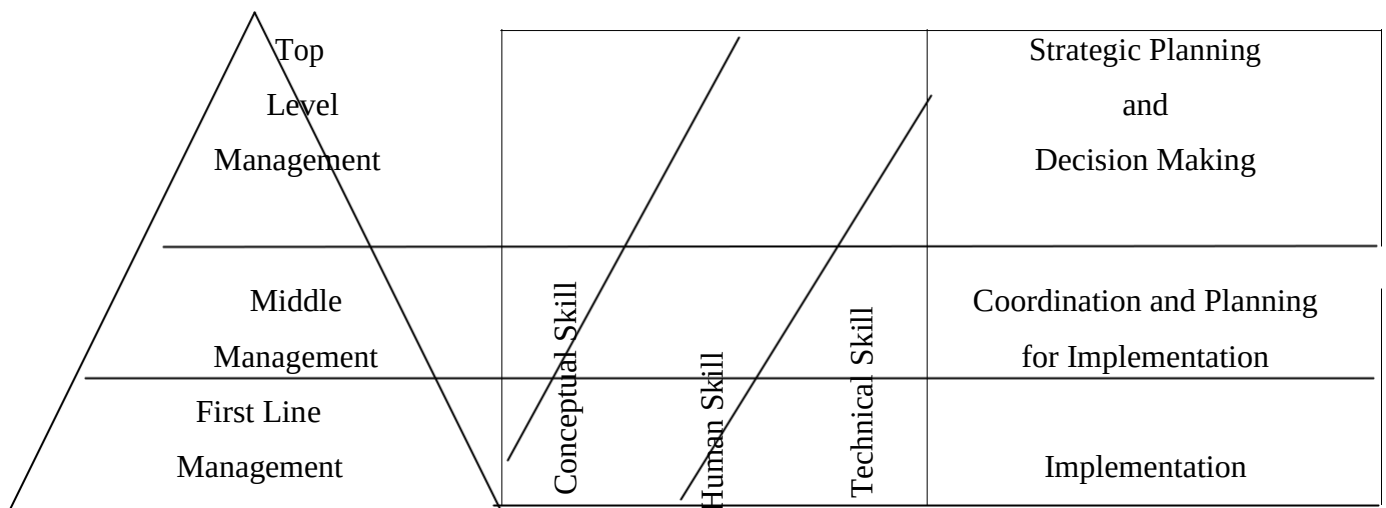
Technical skills are usually obtained through training programs that an organization may offer its managers, or employees, or may be obtained by way of a college degree.

2. **Human Skill:** the ability to work with, motivate, direct individuals or groups in the organization whether they are subordinates, peers, or superiors and the ability to resolve conflict. Because, all tasks in an organization are done with people, these skills are equally important to all levels of management. This skill includes:-

- effective communication (writing and speaking);
- creation of positive attitude toward others and the work setting;
- development of co-operation among group members; and
- motivation of subordinates.

3. **Conceptual skill:-** the ability of a manager "to see" the big picture of the organization /to view the organization from a broad perspective. It is the ability of a manager to see the

organizational system in its totality, how its different parts are interrelated and how they affect each other. A manager needs conceptual skills to recognize the interrelationships of various situational factors, and; therefore, make decisions that will be in the best interests of the organization. They are most important in strategic (long range) planning; therefore, it is top level managers/executives who require more conceptual skill than middle level managers and supervisors.



/supervisors.

Fig. 1.1 Managerial levels, required skills, and primary responsibilities.

Managerial Roles:

Managerial functions are general administrative duties that need to be carried out in all productive organizations. Managerial roles are specific categories of behavior/managerial behavior. Managerial functions involve "desired out comes". These outcomes are achieved through the performance of managerial roles (actual behavior). In other words, Roles are the means and functions are the ends of the manager's job.

Henry Mintzberg identified ten different but interrelated organized sets of behavior, or roles. These ten roles can be separated into three categories /general groupings.

1. **Interpersonal roles:** three managerial roles are enacted when the manager engages in interpersonal relationship. They are:

- .. **Figure head role:-** this role is played by managers who are required to perform duties of ceremonial and symbolic in nature such as signing documents, receiving visitors, etc.
 - e.g. When the president of a college hands out diplomas at commencement.
 - .. **Leader role:-** managers play this role through hiring, training, motivating and disciplining employees to get the job done properly.
 - .. **Liaison role:-** managers play this role by contacting people outside the group, ^ by serving as a link in a horizontal (as well as vertical) chain of communication.
 - e.g. the sales manager who gains information from the personnel manager with in the same company. Internal liaison.
 - The sales manager who has contact with other sales executive through a making trade association. – External liaison.
2. **Informational roles:-** All managers, to some degree, will receive and collect information from organizations and institutions out side his or her own. Managers play:
- .. **Monitor/Nerve Center Role:-** as a monitor /nerve center, the manager tries to keep informed about what is happening in the organization or group. Managers serve as a focal point for non-routine in formation; they receive all types of information from news reports, trade publications, magazines, clients, etc.
 - .. **Disseminator role:-** the information a manager gathers as a monitor must be gleaned and transmitted to appropriate members of the organization. As a disseminator, a manager sends out side information into the organization and internal information from one subordinate to another. /Transmitting selected information to subordinates.
 - .. **Spokes person role:-** it is the role of a manager in transmitting selected information to outsiders. It is played by a manager whenever he/she represents the organization or its position to other groups, including the their, government agencies, customer, and trade organizations.
3. **Decisional Roles:-** Both interpersonal and informational roles are really includes to the decisional role. It involves decision-making. The manager plays this role as:
- .. **Entrepreneur:** managers as an entrepreneur initiate and oversee new projects that will improve their organization's performance. (Designing and initiating changes with in the organization.
 - .. **Disturbance handler:** - taking corrective actions in none routine situations/the manager deals with situations our which he or she has little control. These may involve conflict between people or groups or unexpected events out side the company may affect he firm's operations.

- .. **Resource allocates:-** managers play this role when they are in a position to decide exactly who should get what resources. (These resources include time, money, people-people, physical resources)
- .. **Negotiator:-** participating in negotiating sessions with other parties (e.g. vendors and unions) to make sure the organizations interests are adequately represented. Managers perform this role, in which they discuss and bargain with other units to gain advantages for their own unit.

Functions of Management

Regardless of the type, size and objective of the firm, all managers have certain basic functions. These are planning, organizing, staffing, leading/directing/, and controlling. The nature and scope of these functions differ from manager to manager and from firm to firm.

Planning

It is a decision making process which involves selection of missions and objectives and choose the best course of action to achieve them from among alternatives. It is an intellectual task, which bridges the gap between the present and future conditions of the organization. (From where we are to where we want to be in a desired future).

Planning is a decision making process that determines what to be done, how it is to be done, why it is done, when it is to be done, and by whom it is to be done.

The first step in planning is determination of the objective of an organization. And then objectives are established for the sub units of the organization- its departments, divisions, etc. Once the objectives are determined, programs are established for achieving them in a systematic manner.

Top level managers set plans for the entire company; while lower level managers prepare plans for their immediate areas of responsibility. Planning doesn't occur in a vacuum. It is done in light of budgetary constraints, personnel requirements, competition, and other factors. Planning, as a managerial function, is the process of integrating the future activities of an organization, and requires the ability to foresee, visualize, and look ahead purpose fully.

Organizing:

It is a managerial activity that involves establishing an intentional structure of roles for people to fill in an organization. In other words, it is the process of creating an environment for human performance depending on the objectives set. In short, organizing is the process of determining the role by which an individual plays and the individual roles are related and integrated to achieve the common organizational goal. Organizing, thus involves:

- identification of activities to achieve the predetermined objective;

- grouping these activities into working units;
- assignment of responsibility to each unit with corresponding authority; and
- the creation of intentional organizational relationship so as to enhance coordination.

Staffing:

It is the process of filling and keeping filled the positions in the organization structure. This is done by identifying work force requirements, inventorying the people available, recruiting, selecting, placing, promoting, compensating, training and developing both candidates and current job holders to accomplish their tasks effectively and efficiently.

Leading:

It is influencing, motivating and directing people so that they will contribute to organization and group goals; it has to do predominantly with the interpersonal aspect of managing. To be effective leaders managers need to understand individual and group behavior, techniques of motivation, and effective styles of leadership. Managers must develop relationships that ensure adequate communication with their subordinates. Leading also includes managing personal conflict, helping employees, deal with changing conditions, and in some cases disciplining employees. Leadership requires good interpersonal skills. Leading /directing has the following three elements:

- (i) Motivation
- (ii) Leadership styles
- (iii) Communication

Controlling

It is the measuring and correcting of activities of subordinates, to ensure that events conform to plans. It also involves taking corrective measures (actions) if negative deviations exist.

The controlling function involves the following steps:

Establishing standards of performance:

- Measuring actual performance and comparing it against the plan the goal /the established standard; Taking corrective measures if there are deviations. (Taking corrective actions when standards are not met or in anticipation that they may not be met.)

Actual results may differ from desired results in any area, but the three that require the most attention are product quality, worker performance, and cost control.

Universality of Management

Management is universal in the sense that

- Basic applications of management in any organizations are the same whether it is small or complex, business or non-business. The managerial functions exist in every organization regardless of the size and the type of the organization. This is because any organization has an objective to be achieved and goal achievement requires planning, organizing, staffing leading and controlling. (The army general, the bishop of the church, the financial manager use the same management principles to achieve objectives.)
- The concept of universality of management is also applicable to all levels of management within an organization; it is not confined to a particular level. Although the scope of authority held, responsibility assigned and the types of problems dealt vary from one level to another, as managers all obtain results by establishing an environment for effective group endeavor.
- Managers can be transferred from one organization to another and the higher the management level the less will be the operating non-managerial job components and the more "pure" will be the managerial jobs and the easier the transferability of managers.

The Environment of Management

According to Stephan, "the term environment refers to institutions or forces that are outside the organization and that affect the organization's performance." Another writer put it, "just take the universe, subtract from it the sub set that represents the organization, and the remainder is environment." But an environment is really not that simple.

In management, the term environment refers influences/forces that reside inside or out side the organization and affects the operations of the organization negatively or positively. /which provide both problems and opportunities to the firm./

Therefore, the management environment can be divided in to two:

I. The Internal Environment:

It includes all the activities that are performed with in the organization. Since they are with in the organization, internal factors are under the control of the management. These factors include the activities of different divisions and departments, the organizations physical, financial and human resources along with the value systems of managers who control those systems. However we are more concerned with the external environment on which the existence of the organization depends.

II. The External Environment:

Organizations are neither self sufficient nor self contained. They exchange resources with the environment and depend on it for their survival. Organizations take resource inputs (raw materials, money, labour, energy, etc) from the external environment, transform them into products and services, and then send them back as output to the external environment.

The external forces include

(a) Political and Legal Forces:

The political environment

Government affects virtually every organization and every aspect of life. In respect to business it either promotes or constrains. The general activities of organizations depend on the political directions of the government. Sometimes government promotes business by subsidizing selected industries, by reducing tax payments, by supporting research and development, by increasing the availability of capital etc. It is also the biggest customer, purchasing goods and services.

The legal environment.

The political and legal environments of management are intertwined with the social environment. Laws are ordinarily passed as the result of social pressures and problems. This force is a complex of laws and regulations. Every manager is included by a web of laws, regulations, and court decisions that are designed to protect different social groups in the society. Many of them are designed to regulate the behavior of managers and their subordinates in business and non-business areas. Thus, managers are expected to know the legal restrictions and requirements applicable to their actions in their decision making process.

(b) The Economic Forces:

The economic forces include the availability /resource inputs (capital, labour, money, energy), trends in GNP, disposable personal income, consumer's purchasing power, industrial investment, price levels, governments policy towards tax and fiscal policies, the nature of competition, price level of goods and services, demands of goods and services by the customers, and other similar variables that influence and are influenced by the organization.

(c) The Social Forces:

The social environment includes national traditions, values, customs, consumer psychology, attitudes, desires, expectations, degree of intelligence and education, and beliefs, of people in

a given group or society. These forces present both opportunities and threats to the business sector.

The variety of values makes it difficult for managers to design an environment conducive to performance and satisfaction. The reason is the attitudes, values and beliefs are different for numerous social groups such as workers and employers, rich and poor people, literate and illiterate people and among various professions it is really very difficult for a manager to be responsive to these forces, thus managers have no choice but to take them into consideration in their decision making.

The Technological Forces

Technological variables are breakthroughs that result in improved products, services, production methods, techniques, procedures. Its influence is reflected on way of doing things, on how we design, produce, distribute and sell goods as well as services.

Greater productivity, higher living standards, more leisure time and a greater variety of products are a few of the advantages of technology. But it also has some disadvantages such as air pollution, unemployment, shortage of energy, etc. Here managers should weigh the advantages and disadvantages of technology and their impacts on the society. Besides, any organization should cope with the technological changes.

The Ethical Forces:

- Ethics is the discipline dealing with what is good and bad and with moral duty and obligation.
- Consists of sets of generally accepted and practiced standards of personal conduct. The standards may or may not be confined by law, but for any group to which they are meant to apply, they sometimes have virtually the force of law. The Ethical standards may differ from one society to another.
- Ethics is beyond legal responsibilities, thus it fills the gap between legal requirements and the actual decisions that managers must take. Beyond the strict term of legal obligation, management of an organization should see what is bad and good, and what is right and wrong. Actually, our conceptions of bad or good depends on the custom, religion, belief, intuition and tradition of the society.

Therefore, managers have the responsibility to consider and adhere to the ethical codes of the society by integrating the ethical concepts in their decision making.

Chapter Two

The Development of Management Thought

Chapter Objective:

- To give general understanding to students about the contribution of early influences, classical and behavioral theorists to the modern management theories.
- To provide them the limitations of each management theory.
- To summarize the significance of modern theories and how they are useful in solving management problems.

2.1 Early Influences

This stage of management covers the time between the beginning of man's co-operative effort to the start of his attempt to approach the study of management scientifically about 1880. Management functions have existed for thousands of years since people began to work in group/organized endeavor was recognized important for the achievement of organizational goals. Though the principles of management, as we know them today, are nowhere to be found in the ancient literature, there are enough indications to show that the importance of management and organization was well recognized even those days.

The earliest Egyptian and Chinese literature, for instance, contain references to the need for efficient and effective administration of public affairs.

Ancient Greek literature points to the existence of administrative apparatus like councils, courts and boards of military personnel to manage the affairs of the state.

Socrates, a famous philosopher, was among the first to look upon management as something different from mere technical knowledge and skills.

Generally, had there not been considerable skill in the various management functions, those monumental accomplishments such as the pyramid of Egypt, the Great wall of China & Babylon, the monument in Axum & the temple in Lalibela, and the castle of Gondar would not have been possible. During that period the contribution given by religious and military groups to management thought were significant & undeniable. For example:

- The bible /Exodus 18 = 13-26/- This is the advice which was given by Jethro, the father-in-law of Moses, to Moses. It includes the following.
 - (i) "Ordinances & Laws" should be taught to the people. In modern terms, organizations need to have a statement of policies, rules, & procedures.

(ii) "Leaders be selected & assigned to be the rulers thousand's, hundred's, fifty's, and rulers of ten's. In modern terms it is the base for delegation of authority (Span of management)

(iii) "These rulers should administer all routine matters, & should bring only the important questions." In modern terms it is related to the exception principle.

- Roman Catholic Church was one of the most effective formal organizations in the history of western civilization. The church had a set of well-defined objectives and effective and efficient organizational set up to achieve them. It introduces *hierarchy of authority and staff concept*

- Military organizations also contributed in their own simplistic way to the development of managerial practices though there was little use of theory in it. Even so, their techniques of authority-relationships between individuals and groups, direction, motivation, and communication underwent considerable improvement over the years.

Until about the middle of the 18th century, the people of Western Europe used basically the same methods and implements of production that had been used for centuries. Management practice in business, government, and the church remained quite stable through the centuries. It was carried through trial and error basis. Then within a few decades a series of inventions were discovered and the whole picture of industrial activity was enormously attained. That new period, commonly referred to as the industrial revolution, was the landmark in human history. It brought massive technological changes. It *revolutionized the economic system, initiated mass production and the factory system of production brought the need of huge collection of capital.*

Those changes of production methods reduced the crafts, which were the main factors in production into wage earner (employees) in the factory. Introduction of mass production, large-scale industry, the use of expensive machines, extended markets, etc made things very complex. In addition, maintaining harmonious relationship between the employer & the employees was a problem. These factors brought the need of more thoughtful, resourceful and dynamic management. Management on traditional lines became useless. Rule of thumb could no longer exist. It had to be replaced by logical and rational principles, scientific approach and psychological handling.

Despite the long history of management, it walked as a tortoise. Because of

i) *low esteem to business in society*

ii) *indifferent approaches of economists, political scientists psychologists, sociologists, etc towards business organizations.*

iii) *treatment of management as an art not as a science and*

iv) the attitudes that successful managers are born but not made.

These factors made management not develop and studied systematically and scientifically. In the twentieth century, the situation had changed rapidly, some of the factors that contributed to the need of a systematic management are:

1. The development of capitalism and the emergence of industries, mass production, the concentration of workmen and organization of trade unions, the growing competition for markets, technological innovations, the increase in capital investment, increasing obsolescence of instruments of production etc. forced organizations to be efficient or to find out ways for efficiency.
2. The complexities of organizations, society became more complex. These complexities of society were generated by:
 - *The increasing size of organizations.*
 - *High degree of division of labour & specialization*
 - *Increase in government regulations & controls.*
 - *Organized trade-union activities &*
 - *Pressure of various conflicting interest groups in society.*

A few of the contributor of early influences are:

1. Robert Owen (1771-1858):

He was a successful textile mill manager in Scotland from 1800-1828. During that time he carried out most of his experiments in the area of management. He recognized that human resources were as valuable as financial & material resources to the production of goods. He believed that factory workers would be more productive if they were motivated through rewards rather than punishments.

He experienced with several motivating techniques. Some of them were:

He improved working conditions with in the factory, i.e., providing meals, bath facilities, Housing & marketing facilities.

Reducing the workday to 10 ½ hrs. with no night work for children.

Refused to hire children under the age of 10.

Because of his emphasis on the workers, he is regarded as the father of modern personnel management.

2. Charles Babbage /1792/1871/

He a British professor of mathematics, Charles Babbage become convinced that the application of scientific principles to work processes would both increase productivity and lower expenses. He was an early advocator of division of labor, believing that each factory

operation should be analyzed so that the various skills involved in the operation could be isolated. He had also a strong understanding of the importance of human resources as related to efficiency. He advocated profit-sharing plans & bonus systems as ways to achieve better relations between management & labor.

Despite the suggestions given by the early theorists, owners & managers did not begin to raise the concern of the problem of material & human efficiency. They raised the issue when markets were becoming saturated, demands for greater profits and when competition was becoming keen. This emphasis on cutting costs and increasing efficiency led to the emergency of the classical school of management theory.

2.2 Classical Management Theory

Assumptions

People are most responsive to economic incentives, i.e, they will rationally consider opportunities made available to them & do whatever is necessary to achieve the greatest economic gain.

Classical management consists primarily of three streams of thought.

- (i) Scientific management of Frederic W.Taylor-concerned with productivity and the management of work & workers.
- (ii) Classical administrative management-concerned with administration-with discussing universally applicable principles of management and the nature and management of the total organization (the organization as a whole). It is identified with the Frenchman Henery Fayol.
- (iii) Bureaucratic theory – concerned with the bureaucratic organization and is identified with a German author, Max Weber. He believed in one best organizational structure – a highly formal and goal-oriented structure in which human emotions, personal bias, and charismatic leadership are subordinated to rational thinking and impersonal decision making.

Scientific Management Theory

Scientific management theory addresses issues concerning the management of work. It is a systematic & analytical study of work, which originated in the United States around 1900. Its objective was to find the most efficient method for performing any task and to train workers in that method.

The most important contributors of scientific management theory are Frederic W.Taylor, Henery Gantt, Frank & Lillian Gilbreth, and Harrington Emerson. Among these F.W. Taylor is considered/regarded as the father of scientific management.

Frederic Winslow Taylor /1856-1915/

He was an American Engineer and worked in the Midvale steel co. as an apprentice pattern maker, a common laborer, a foreman, a master mechanic and then a chief engineer of the steel co. That gave him ample opportunity to know at first hand the problems & attitudes of workers and to see the great opportunities for improving the quality of management.

His major concern was to increase efficiency in production, not only to cover costs raise profits but also to make possible increase in pay for workers through their higher productivity, through one best of doing a job. Taylor wanted to find the most effective way to use people and resources in the workplace. He believed that there was one best way of performing every process and task in industry. He thought that, to find the best way, workers' performance of a task should be examined scientifically, objectively, and in great detail, using an empirical and experimental approach. Only then could a more productive way of doing the job be found.

After finding the one best way of doing a job, managers should then teach it to the workers. He thought that an incentive system rewarding fast workers and penalizing slow workers would encourage them to adopt the new system. He believed that scientific methods would eventually replace intuition and rule-of thumb, which had been used in organizations up until then.

Scientific management he testified, "required complete mental revolution", he believed that the mental revolution must occur in the workers minds and in the minds of management as well. This is because he believed that

- The first problem of labor-management was the issue of division of surplus created by the industry. Here the mental revolution was important to avoid the quarrelling about how surplus should be divided and unite to increase the size of surplus.
- The second aspect was to make the scientific method the sole basis for designing work methods and production standards (how much each worker should produce). This is because management was ignorant in setting 'fair days work' and 'fair days pay'.

Taylor also believed in that people were basically lazy by nature, although training could improve performance. He especially disliked "systematic soldiering", deliberate slow downs, and loafing promoted by what were latter called informal work groups. Thus, he strongly believed in breaking up such groups and emphasizing rewards for individual performance.

His engineering back ground provided a model for establishing principles of management that would guide scientific analysis of work so as to improve task efficiency.

Taylor's principles can be summarized as follows.

1. Develop a science for each element of an individuals work./replacing rules of thumb with science. /scientifically select than train, teach and develop the worker.
2. Achieving co-operation of human beings rather than chaotic individualism.
3. Working for maximum out put rather than restricted
4. Developing all workers to the fullest extent possible for their own and their company's higher prosperity.

Frank Gilbreth (1868-1924)

Gilbreth was primarily concerned with the method of doing work. He was concerned with the method requiring the fewest and smallest motions as well as with the work area and the positioning of the tools and workers themselves.

Gilbreth and his wife Lillian developed recording techniques called "Therblings" and process-flow-charting. Therblings are the basic elements of on-the-job motions and provide a standard basis for recording movements. They included such items as search, find, graph, assemble and inspect. Flow-process-charts (process flow-charts) were devised to enable whole operation or process to be scientifically analyzed as opposed to a single task or operation.

Henry Gantt (1861-1919)

He was a contemporary of Frederick Taylor. Gantt is best known for his graphic system of planning and control system that is still used today. His charts know as "Gantt Chart" enables managers to visualize the completion stage of various projects, such as procurement, of materials, manufacturing and shipping. By these means managers coordinate related activities, avoid delays, and otherwise make sure that dead lines are met. An example of a simplified Gantt chart is given in ***Figures 2.1***

Along the horizontal axis of the Gantt chart (in figure 2.1) work scheduled and work completed are measured. Along the vertical axis are the jobs to be done. In the example given in figure 1.2, there are five jobs scheduled. The first order number 94 calls for the production of 4500 units. The job was begin on January 2 and is scheduled for completion on March 2. The second job, order number 160, was begun on January 23 and is scheduled to be finished on March 16. The V at the top of the chart after the week of February 27 indicates the current date, namely march 2. Progress on each order is designated by the dark line bar that extends throughout the bar line. A visual examination of the chart reveals the following:

1. Order 94: finished on time
2. Order 160: currently one week late
3. Order 223: currently two weeks ahead of schedule
4. Order 309: currently on time
5. Order 411: scheduled to begin March 19

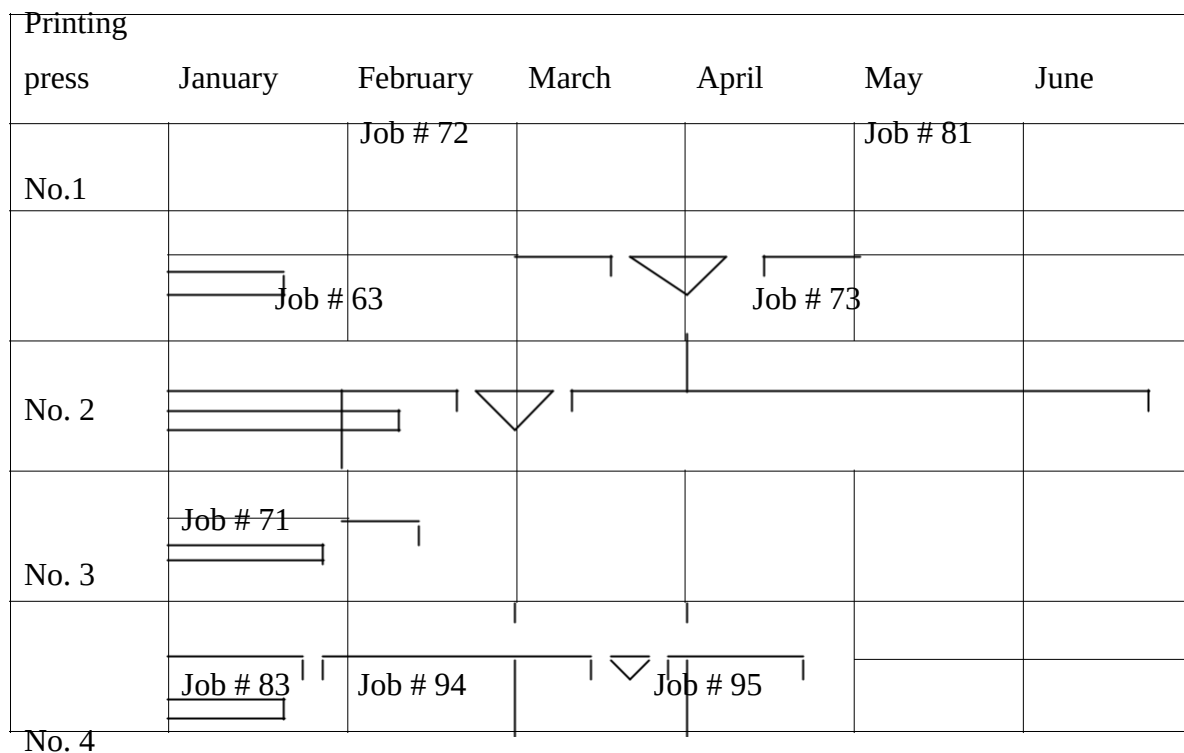
Assessing Scientific Management

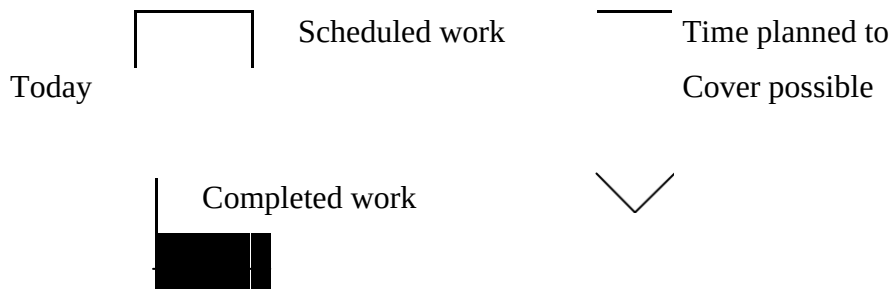
Scientific management was successful in increasing productivity and consequently increasing the wealth that improved the living standard of the workers. The proponents of scientific management believed that workers are motivated primarily by a desire to earn money to satisfy their economic and physical needs. However, they failed that workers have social needs and that working conditions and job satisfaction are often equally important. Highly repetitive jobs often produce boredom and alienate employees from their job.

FIGURE 1.1.

Simplified Gantt Chart for a Print Shop

Print Shop January-June, 19__





Classical Administrative and Organization Theory

Scientific management theory was aiming at improving the efficiency and productivity of workers; consequently, it provided little guidance for managers above the supervisory level. But, realizing the importance of efficiency operations at all levels, theorists began to focus on organizations as a whole. The theory focuses on the total organization and attempts to develop rules and principles that will direct managers to more efficient activities. The single most contributor of this theory is Henery Fayol.

Henery Fayol (1841-1925)

The single greatest contributor to this theory is Henery Fayol, Now regarded as "the father of modern operational management." He was a French mining engineer who spent many of his latter years as an executive for a French coal and Iron combine where he worked for 30 years.

He identified /classified business activities in to six. These are

1. **Technical activities:-** These include activities of production and manufacturing.
2. **Commercial activities:-** These include activities of buying, selling or exchange
3. **Financial activities:-** These activities include searching for & optimum use of capital
4. **Security activities:-** These include protection of property and persons.
5. **Accounting activities:-** These include recording and taking stock of costs, profits & liabilities, keeping balance sheets, and compiling statistics; and
6. **Managerial activities:-** These include planning, organizing, commanding, co-ordinating and controlling.

Fayol felt that the first five activities were well known and performed by business people, but little was known about the managerial activities and it had been the most neglected aspect of business operations. Thus, he concentrated on /devoted much of his time on the analysis of the managerial activities.

Principles and Elements of Management:-

Fayol's monograph can be divided in to three categories

1. Elements of management-he listed planning, organizing, commanding, coordinating and controlling as elements of management.
2. Managerial qualities and training – he identified the following qualities managers should possess to be effective on his job.
 - Physical – state of health – good manager should be in good state of health
 - Mental – ability to understand, appreciate, learn , judge and decide.
 - Moral – Loyal, true to his words,
 - General- solid educational background & Technical education
 - Experience – helps a person to discharge his function efficiently & confidently.

3. General Principles of management:-

- Based on his own experience in the field he developed fourteen principles of management which are useful not only in business organizations, but also in military, religious, governmental and financial institutions. But these principles are not commandments; they are used by modifying, or adjusting to fix the prevailing realities.

These principles are

1. **Division of labor** - The more people specialize, the more efficiently they can perform their work.
2. **Authority & responsibility** - Managers must give orders so that they can get things done, this authority rests on the job the manager holds. Responsibility, on the other hand, is the sense of obligation that goes with authority. Authority should be delegated only to subordinates who are willing to assume commensurate responsibility.
3. **Discipline** - members of an organization need to respect the rules and agreements that govern the organization.
4. **Unity of Command** - Each employee should receive instructions or orders from one superior; he believed that it was fundamental to effective management of an organization violating this principle undermines authority & jeopardizes discipline and stability.
5. **Unity of Direction** -Those operations within the organization that have the same objective should be directed by one manager using one plan. Tasks of similar nature that are directed toward the same goal should be grouped under one manager. It emphasizes that there should be "one head and one plan."

6. **Subordination of individual interest to the general interest** - the interests of any employee or group of employees should not take precedence over the interests of the organization as a whole.

7. **Remuneration** - compensation for work done should be fair and afford satisfaction to both employees and employers.

8. **Centralization** - This refers to the involvement of subordinates in decision making. Decreasing the role of subordinates or concentration of authority at the top can be referred as centralization. When it is dispersed through out levels/increasing the involvement of subordinates in decision making is DECENTRALIZATION. Fayol believed that managers should retain final responsibility but also need to give their subordinates enough authority to do their jobs properly. The question of centralization and decentralization is the question of proportion. It is important to find optimal degree of proportion.

9. **Scalar Chain/The hierarchy)** - The line of authority runs in order of rank from top management to the lowest level of the enterprise.

Communications should flow through this chain or line of authority. However, if following the chain creates delays, cross communications can be allowed if agreed to by all parties and superiors are kept informed.

10. **Order** - People and materials should be the right place at the right time. People particularly should be in the jobs or positions most suited for them.

11. **Equity** - Managers should be kind and fair to their subordinates.

12. **Stability of Tenure of personnel** - high employee turnover results in inefficiency. Management should provide orderly personnel planning and ensure replacements are available to fill vacancies.

13. **Initiative** - Subordinates should be given the freedom to conceive and carry out their plans, even though some mistakes may result.

14. **Esprit do corps** - Promoting team spirit will build harmony and unit with in the organization.

Fayol's principles were not meant to be exhaustive. Rather they attempt to provide managers with necessary building blocks to serve as guidelines for managerial activities. In some the principles emphasize efficiency, order, stability and fairness. Managers apply these principles today. The problem with Fayol's principles of management was knowing when to apply them and how to adopt them to new situations.

Theory of Bureaucracy - This theory is concerned with the bureaucratic organization and is identified with a German author Max Weber. (1864-1920). He believed in one best organizational structure, which is highly formal, and goal oriented structure, human emotions and personal bias are subordinated by rational thinking and impersonal decision making. He described an ideal type of organization that he called bureaucracy. It was a system characterized by division of labor, a clearly defined hierarchy, detailed rules & regulations and impersonal relationships.

Features of Weber's ideal bureaucracy:

1. **Division of labour:** - Jobs are broken down into simple, routine and well-defined tasks.
2. **Authority Hierarchy:** - Offices or positions are organized in a hierarchy so that power and authority increases as one moves up through the levels of positions in the organization.
/This is similar to scalar chain/
3. **Formal selection /technical competence:** - All organizational members are to be selected on the basis of technical qualifications demonstrated by training, education, or formal examination as opposed to friendship, family ties, or other forms of favoritism.
4. **Formal Rules & Regulations:** - To ensure uniformity and to regulate the action of employees there is a heavy dependence on formal organizational rules. Rules and regulations governing decision making and interpersonal behaviors are critical to bureaucratic organizations. He believed that continuity in rules & regulations was necessary to maintain order and enhance organizational achievement of goals. Where owners, managers and workers may come and go, the rules and regulations provided organizational stability. Moreover, rules and regulation serve to restrict decision makers who may feel compelled to act in their own interests of the organization.
5. **Impersonality:** - Rules & controls are applied uniformly avoiding involvement with personalities and personal preference of employees.
6. **Career Orientation /Separation from ownership/:** - managers are professional officials rather than owners of the units they manage, They work for fixed salaries and pursue their career within the organization. /This was because he believed that owners were the causes for inefficiency/. He believed that societies are rational in performing their activities. Organizations, to be efficient, they shall have to be arranged in rational way/structured in bureaucratic way.

Contribution

1. **To efficiency & Productivity:** - Their idea to increase efficiency and productivity is applied in many organizations today.

2. Provision of guide lines and general principles of management that tend to be important to all types of organizations

Limitation

1. **Reliance on experience:-** many of the writers of classical theorists wrote based on their experience as managers or consultants to a few firms.
2. **Untested assumptions:-** the assumptions of classical theorists were not tested scientifically.
3. **Failure to consider informal organizations:-** by stressing on formal relationship in the organizations, classical approaches tend to ignore informal organization.
4. **Human Machinery:-** The classical approaches to management theorists considered /reduced the human side of the organization to machines to make the organization run efficiently.

2.3 Behavioral Management Theory

This management theory is commonly referred to as the NEOCLASSICAL management theory, consists of both the human relation and behavioral science movements. It is built on the basis of classical management theories. It modified, unproved and extended the classical theory. Classical theory concentrated on job content and management of physical resources. But, classical theory gave greater emphasis to the man behind the machine and stressed on the importance of individual as well as group relationships in the plant or the workplace.

Behavioral management theory:

- Emphasizes the interaction of people in the organization in order to understand the practice of management.
- Points out the role of psychology and sociology understanding the individual as well as group behavior in the organization
- Advocated the human values in an organization.

Major contributors are

- *George Elton Mayo*
- *Duglas McGregor*
- *Abraham Maslow*
- *Cheris Argyris*

George Elton Mayo (1880-1949) (Australian Psychologist)

- One of the prominent contributor /writer of behavioral management theory is G.E. Mayo. He was known of conducting an experiment at the Hawthorn plant at the Western Electric Co. in U.S.A. The experiment was divided in to four:

1. *Illumination experiment*
2. *The relay assembly test room*
3. *The massive interview program*
4. *Bank wiring observation room.*

The illumination experiment was designed to prove the effect/impact of physical surroundings such as noise, light, tonicity on productivity. The result of the experiment was that there was little relationship/or physical surroundings did not have an impact on productivity.

But of all the various experiments in this period, it was the relay assembly experiments (1927-32) that captured the attention of people concerned with human relations in industry. The relay assembly test room helped them to conclude that the most likely cause was that changes in the social conditions and in the method of supervision brought about the improved attitude and increased output. To investigate these factors, they conducted a MASSIVE INTERVIEW PROGRAM. Based on the responses. They realized that the individuals work. Performance, position and status in the organization were determined not only by the person himself but by the group members as well. His peers had an effect on his performance. In order to study this more systematically, the research entered its fourth and final phase, that is, the bank wiring observation room. By this they realized the existence of INFORMAL WORK GROUPS.

To summarize, changing illumination for the test group and other conditions such as modifying rest periods, shortening work days, etc did not seem to explain changes in productivity. They found in general, that the improvement in productivity was due to such social factors as moral, satisfactory interrelationships between members of a workgroup and effective management a kind of managing that would understand human behavior, specially group behavior, and serve it through such interpersonal skills as motivating, condoling, leading and communication. This phenomenon's arising basically from people's being "noticed," has been known as the Hawthorne Effect.

From the Hawthorne study, May and his colleagues realized that an important contribution to the study and practice of management had evolved from the experiment. These contributions are:

1. The Hawthorne study established that workers, were not so much driven by pay and working conditions as by psychological wants and desires which could be satisfied by belonging to a workgroup.
2. The chance by workers to make decisions concerning the task, whether as individuals or in a group, was a stimulus to treat the task as more important.

3. Recognition by superiors made workers feel that they made a unique and important contribution to the operation of the organization.

Douglas McGregor- (1906-1964)

He felt that organizations were designed on faulty assumptions about human behavior. Those assumptions were

1. Most workers disliked work, that workers preferred to be directed by supervisors rather than assume responsibility for their tasks, and that workers were more interested in monetary gains than in performing their jobs well. Because of these assumptions, he felt that managers were prone to design organizations that were centralized in decision making, contained in numerous rules and regulations and required close supervision of subordinates. Thus, for fear of technical and financial inefficiency, he felt that organizations over-emphasized control mechanism.(Theory X)

2. 'Theory' assumptions stated that workers can enjoy their work under favorable conditions and can provide valued input to the decision making process of the organization. Rather than developing needless mechanisms of control in the organization, he felt that managers should emphasize coordination of activities by providing assistance to workers when problems are identified.

Chris Argyris: - The argued that an overemphasis on control by managers encouraged workers to become passive, dependent, subordinate and to shirk responsibility. As a result, workers become frustrated and dissatisfied with the workplace and will either quite their jobs or engage in behaviors that hamper the achievement of organizational goals.

Abraham Maslow (1908-1970)

He is most noted for suggesting a theory that humans were motivated by needs that exist in a hierarchy. The most basic needs were physiological and when satisfied, human ould then be motivated to satisfy needs for safety, love, esteem, and self actualization.

Contribution:

Advanced our understanding of management by emphasizing the importance of the individual with in the organization – an elemen t ignored by writers in the classical school. That are *social needs of individuals, group processes, and subordinate – superior relations were all identifie d* as integral components to the practice of management

Limitation

- They did not completely resolve issues concerning the nature of the individual
 - The psychological and social dimensions of the individual only partially explain organizational outcomes and constitute only a part of the larger and more complex managerial picture.

Elements of Neo-classical Theory

- **The Individual** - Classical theorists neglected individual differences, which the behavioral theorists emphasize individual differences and advise managers to consider such differences.
- **The Work-Group** - an individual in a group develops social works. e.g. Desire to belong, desire to be accepted by and stand well in his work group. Workers are not isolated, unrelated individuals, rather they are social beings and should be treated as such, by management. The existence of informal organization is natural it can't be denied. Managers are required to use them for constructive purposes. The theorists described the vital effects of group psychology and behavior on motivation and productivity. Each work group has its own leader, unwritten constitution and its own production standard imposed by social sanctions on the group members.
- Classical theorists ignored the existence and importance of informal organizations.

Participative Management - They advocated workers participation in management.

Allowing workers to participate in decision making as a way of increasing productivity was considered vital by neoclassical theorists. Behavioral scientists were interested in such areas

- *Organization as social system*
- *Employee Motivation*
- *Democratic Leadership*
- *Two-way communication*
- *Employee Development*
- *Group psychology and Attitudes*
- *Human Importance in Machine system.*

Modern Management Theories

This stage of management is the rein of the refinement, extension and synthesis of the classical and behavioral theories to management. A few of the streams of this approach are:

- 1) *Quantitative approach*
- 2) *Systems*

3) Contingency

Quantitative Approach

This theory of management can also be called management science or mathematical operations research approach. It tries to offer systematic analysis and solutions to many complex problems faced by management. New mathematical models and statistical tools are applied in the field of management, particularly in decision making on complex problems. Some of the quantitative models suggested are:

- Linear Programming – Technique managers use for resource allocation choices.
- Critical path method – Technique used by manager for work scheduling.
- Economic –Order-Quantity Model – Technique used to determine the optimum inventory levels a firm should maintain.
- Queuing (waiting) live theory)
- Probability Theory
- Etc.

Quantitative approach helps to solve many managerial problems: such as

- *Production /work scheduling*
- *Inventory control*
- *Replacement of capital equipment*
- *Resource avocation choices*
- *etc.*

The above problems are often solved with the help of operation techniques and computers. As management is multidisciplinary field, different field of study such as mathematics, statistics, economics, etc. have contributed to the development and application of the quantitative approach to management.

In general, management science represents the use of scientific methods to facilitate managerial planning and decision making. However, quantitative approaches to management are limited to their usefulness. They can't take final decision. They can merely suggest best alternatives based on mathematical data. A mgr. has to decide whether or not to follow the solutions suggested by these tools. Quantitative analysis can be valuable supplement rather than a substitute for management.

The Systems Approach:-

During recent years, many management scholars and writers have emphasized the systems approach to the study and analysis of management.

A **SYSTEM** is essentially a set or assemblage of things interconnected, interdependent, (so as to form a complex unit with a purpose:) things that form a complex unity. It consists of two or more parts, subsets, elements, and interacting together in order to form a whole. A system has its boundaries, which it keeps its identity. These things may be physical such as parts of an automobile, they may be biological such as like components of human body; they may be theoretical, as is a set of concepts principles, theory, and techniques in an area such as managing. All systems perhaps except the universe, interact with, and influenced their environments although we define boundaries for them so that we can see them more clearly and analyze them. Key concepts in systems approach:

(i) **Synergy:-** tells us that the whole is more than the sum of its parts.

- a system can be open or closed.

(ii) **Open system:-** a system interacting with the environment

Closed system:- a system that does not interact with the environment.

(iv) Any system, probably with the exception of the universe, is the subset of another larger system.

Contribution of systems approach to the development of mgt. thought:-

- ☐ It calls attention to the dynamic and interrelated nature of organizations and the mgt. of task.
- ☐ It provides a framework within which we can plan actions and anticipate both immediate and far-reaching consequences; at the same time, it allows us to understand unanticipated consequences as they may develop.
- ☐ With a systems perspective, general managers can more easily maintain a balance between the needs of the various parts of the enterprise and the needs and goals of the firm as a whole.

The systems approach to management attempts to view the organization as a unified, purposeful system composed of interrelated parts. Rather than dealing separately with the various segments of an organization the systems approach gives managers a way of looking at an organization as a whole and as a part of the larger, external environment. In so doing systems theory tells us that the activity of any segment of an organization in varying degrees affects the activity of every other segments.

The Contingency Approach

The system approach forces managers to recognize that organizations are systems made up of interdependent parts and that a change in one part affects other parts. It seeks to identify the characteristics of jobs, people and organizations allowing managers to see the interdependence between the various segments of an organization. The basic idea of the contingency approach is that there is no one best way of managing (planning, organizing, staffing, leading and controlling). Rather, managers must find different ways to fit different situations; a method highly effective in one situation may not work in other situations. The contingency approach seeks to match different situations with different management methods.

CHAPTER THREE

PLANNING

3.1 Nature & purpose of planning

Every human activity is undertaken with their to achieve something following planning. Since man is gifted with the power of reasoning, he rarely does anything without weighing the consequences of his action.

- The head of a family plans his expenditure
- The housewife plans here daily chores,
- The students plan their studies
- Teachers plan their teaching work, etc

In the field of business, the need for planning is all the greater. This is because of ever-growing competition, frequent fluctuations in demand, discovery of new products.

The new ways in which these can be used, and a worldwide scarcity of resources.

Planning is an activity, which is performed before any action is taken. The action we take is based on the plan. Thus, it is anticipatory decision making a process and improve performance.

Planning allows integrated, consistent and purposeful action

Planning is the primary function of management. The chief function of management is to attain the objectives of the enterprise. For this, it is to plan not only in the beginning but throughout the operations. Planning involves deciding a best course of action from among a number of alternatives which would help the enterprise to achieve its objectives most expeditiously & economically.

3.1.1 What is planning?

Planning has as many definitions ad management, be which many authors gave to it. However, these definitions are mutually supportive or complementary to each other. Several of the definitions are:

- Determining specified objectives & how to accomplish them.
- The process by which managers set objectives, assess the future, & develop courses of action to accomplish these objectives.
- The process of preparing for change coping with uncertainty by formulation future courses of action.
- Planning is deciding in advance what to do, how to do it, when to do it, and who is to do it.

Thus, it is clear from the various definitions given above that planning involves two things.

- i) Determining the aims and objectives

- ii. Selecting on the bases of past experience, present facts and circumstances and future possibilities, the best course of action to realize the planning objective.

Planning involves selecting missions and objectives and the actions to achieve the; it requires decision making, i.e., choosing future course of action from among alter natives. Planning is determining in advance what is to be accomplished and how it is to be accomplished

Because planning paves the way for all down stream management functions, by serving as a bridge between the present & the future, it is regarded as the primary function of management.

3.1.2 Nature/Characteristics of Planning

(i) The Primacy of planning

The primacy of planning means that the function of planning precedes all other managerial functions. Since the other management functions are performed to facilitate the achievement of goals that are set in facilitate the achievement of goals that are set in planning process, planning logically precedes all other managerial functions.

Although in practice all the managerial functions inter-match as a single system of action, planning is unique in that it establishes the objective necessary for all group effort. And, of course, all the other managerial functions must be planned if hey are to be effective. That is, the managerial functions are inseparable, especially, planning and controlling are often referred as the Siamese twins. This is because, controlling, by definition, is the comparison of actual performance with the planned. It is the planned performance, which is controlled.

ii) Pervasiveness of planning

Planning is pervasive/universal in the sense that:

- (a) It is the function of all managers regardless of the level they belong, the time spent on planning the significance, the characteristic, etc.
- (b) Planning exists in all organizations regardless of their type and size.

iii) Contribution to purpose & objective

This implies that the purpose of any plan and all its supportive & derivative plans is to facilitate the accomplishment and the achievement of the purposes and the objectives of the organization. Managerial planning seeks to achieve a consistent, coordinated structure of operations focused on desired ends. Without planning, actions much become merely random activity, producing nothing but chaos.

iv) Planning is directed towards efficiency

The efficiency of a plan is measured by its contribution to purpose & objectives, offset by the costs and other unsought factors required to formulate & operate it. Plans are efficient if they achieve their purpose at a reasonable costs, when cost is measured not only in terms of time, money, or production but also in the degree of individual & group satisfaction.

v) It concerns future activity

Since planning is deciding currently about the future, it involves forecasting and decision making. The essence of planning is looking ahead & is concerned with deciding in the present what is to be done in the future.

vi) It has dynamic aspects (it is flexible & continuous)

A manager plans on the basis of some assumptions, which may not come true in the future. Therefore, he had to go on revising, modifying and adjusting plans in the light of the prevailing realities/circumstances. Thus, planning is not only the primary function of management, but it is also a continuous function of management. Planning is flexible as it is based on future conditions which are always dynamic.

In sum, every business plan must have the following characteristics: objectivity, futurity, flexibility, stability, comprehensiveness, clarity & simplicity.

3.1.3 Importance/purpose of planning

i) To offset uncertainty:-

Future is always full of uncertainties and changes which make planning a necessity because planning foresees the future and makes provisions for it thereby giving an added strength to the organization for continuous growth and steady prosperity.

ii) To focus attention on objectives:-

Because, all planning efforts are directed towards achieving enterprise objectives, the very act of planning focuses attention on these objectives. Well considered overall plans unify interdepartmental activities.

iii) To gain economical operation:

Planning minimizes costs because of its emphasis on efficient operation and consistency. It substitutes joint directed effort for uncoordinated piecemeal activity, even flow of work for uneven flow, and deliberate decisions for snap judgements.

iv) To facilitate control

Planning and controlling are inseparable, and commonly referred to as the Siamese twins. This is because, unplanned action cannot be controlled, for control involves keeping activities on course by correcting deviations from plans. Any attempt to control without a plan would be meaningless, since there is no way for people whether they are going where they want to go (the task of control), unless they first know where they want to go (the task of planning), plans thus furnish the standards of control.

Generally, a coordinated sense of action, managerial perspective, improved decision making, increased efficiency, improve control & performance are also benefits of planning.

The Planning Process

The following are the steps that serve as a general model, which can be applied, with some modification, to the planning processes of any organization. (Whether it be large or small, profit making or not-for-profit.

1. Identifying and defining the real problem

An awareness of opportunities in the external environment as well as with in the organization is the real starting point for planning. We should take a preliminary look at possible future opportunities and see them clearly and completely, know where we stand in the light of our strengths and weakness, understand what problems we wish to solve and why, and know what we expect to gain. Our setting of realistic objectives depends on this awareness planning requires realistic diagnosis of the opportunity situation.

2. Establish clear-cut objectives

The next step in the planning process is to set objectives to the entire organization and to each work unit, not only for long-term but also for the short range.

Objectives specify the expected results and indicate the end point of what is to be done, where the primary emphasis is to be placed, and what is to be accomplished by the net work of strategies, policies, procedures, rules, budgets, and programs.

3. Establishing the planning Premise

Premises are assumptions providing a background against which estimated events affecting the plan will take place. They are assumptions about the environment in which the plan is to be carried out knowledge of the organizations goods and existing condition provides a framework for defining which aspects of the environment will have the greatest influence on the organizations ability to achieve its objectives. The purpose of environmental analysis is to identify ways to respond to changes in economic, technological, social /cultural & political/ and

legal environments having indirect influence to the organizations plans, and for changes direct influences which have extended on the organizations market, industry, suppliers, competitors, or key resources and skills. Here, great consideration should be made to the assumptions regarding the future. Therefore, the assumption and the constraints under which plans are to operate should be clearly brought about/established.

4. Identify Alternative Courses of Action

The fourth step in planning process is to find alternative course of action. We may have a number of alternatives and finding alternatives is not common problem, but reducing the number of alternatives so that selecting the most promising may be analyzed which requires the assessment of their probable consequences. Thus, the planner must usually make preliminary examination to discover the most fruitful possibilities.

5. Evaluating Alternative Courses

After identifying the alternatives, the next logical step is to evaluate each and every alternative by weighing them against in the light of the premises and goals. One course may appear to be profitable but require a large each out lay with a slow pay back; another may look less profitable but involves less risk; still another may better suit the company's long range objectives but it is difficult to adapt it, etc. Therefore, make an adjustment for the forecast plan if any; see if the cost, speed, and quality requirements are satisfied and if mechanization expedite the work for the achievement of desired objectives in terms of each possible course of action.

6. Selecting a course of action /best Alternative

After evaluating each alternative based in the goals and premises, the next step is to decide or select the best course of action that will help efficiently achieve the organization objectives. When we decide, we have to make sure that the plan possesses flexibility to adjust to varying conditions, acceptance of the plan by operating personnel as well as the existing capacity of the firm and need for new equipment, space personnel, training and supervision.

7. Formulating Derivative Plans

An arrangement of detailed sequence and timing should be made for the proposed plan. At the point when a decision is made, planning is seldom complete and certain arrangements should be made that support the basic plan of action chosen, that is, identification of the derivative plans that support the major plan of action.

8. Numberizing Plans by Budgeting

After decisions are made and plans are set, the final step is to give them meaning that is to numberize plans by converting them to budgets, this helps to establish verifiable targets of achievement, to facilitate control and hear. The planner should be able to arrange for sufficient reports and records over a reasonable period to be collected to inform proper management members and measure results as well as what remedial action could be proposed if results indicates weakness when plans are in action.

Skills Required In Planning

Skills required in planning are

(i) *Forecasting*

(ii) *Decision Making*

(i) **Forecasting:** is the attempt to predict outcomes and future trends that can serve as basis for planning, by inferences from known facts. By relating the past and the present information or data, management should be able to anticipate the future environment.

In developing premises, the kind of markets, volume of sales, prices, products, technical developments, costs, tax rates, policies, policies related to dividends, the social and political environment, long-term trends, etc of the future should be predicted with the help of forecasting.

Effective planning is made with the help of forecasting because planning it self is a future oriented course of action. *Accordingly, we have to assess the dynamism of both the internal and external environment. When managers assess the alternatives, they try to forecast how events both with in and outside the organization will affect each alternative and what the outcome of each will be.

Forecasting Methods

We can use both qualitative & quantitative forecasting methods to predict future situations.

Qualitative Forecasting:- it is a judgement-based forecasting technique used when hard data are scarce or difficult to use. It is appropriate when hard data are scarce or difficult to use. It thus involves the use of subjective judgements and rating schemes to transform qualitative information into quantitative estimates.

Example includes the jury of executive opinion, market research and the survey of expert opinion.

Quantitative Forecasting:- It Is a technique used when enough hard data exist to specify relationships between variables. It is used when there is sufficient "hard" or statistical data to specify relationships between key variables. Extrapolation forecasting, such as time-series analysis, uses past or current trends to project future events. Sales records of the past several years, for

example, could be used to extend the sales pattern into the coming year. It disregards political considerations, action of competitors, technological changes. It merely depends on the past and current trends.

Quantitative forecasting can be used if information exists about the past, if information exists about the present, if information exists about the future, if this information can be specified numerically and if it can be assumed that the pattern of the past will continue. To the contrary, inputs to qualitative forecasts are mainly the results of intuitive thinking, judgement, and accumulated knowledge. However, it is believed that quantitative techniques are generally more accurate than qualitative ones. To conclude, our forecasting should be accurate, up to date, applicable and less costly as much as possible

(ii) Decision Making: is defined as the process of selecting or choosing based on some criteria, the best course of action from a number alternatives. Because managers are continually confronted with opportunities and problems, they must constantly analyze the effect of different decisions on their organizations and select the alternative that will move the firm toward its stated objectives.

Types of Decisions: Several authors believe that there are two types of decisions: programmed & non-programmed decisions.

Programmed decisions: are the kinds that managers face time and again. These decisions are "programmable" because of a specific procedure can be worked out to resolve them based on experience in similar situations.

- Once a standard procedure has been established, it can be used to treat all like situations.
- They usually involve an organization's every day operational and administrative activities
- They are primarily found at the middle and lower levels of management.
- Data used in making a programmed decision usually are complete and well defined.
- Participants know the details and agree on how to resolve the problem. Non-

programmed Decisions: are used to solve nonrecurring problems.

- No well-established procedure exists for handling them, primarily because managers do not have experience to draw upon.
- In contrast to programmed decisions, available data are usually incomplete.
- Non programmable decisions are commonly found at the middle and top levels of management and often is related to an organization's policy-making activities such as whether to add a product to the existing product line, to reorganize the company, or to acquire another firm, are examples

The steps in decision making process include the following:

1. Ascertain the need for a decision/Identify the problem:

The decision making process begins by determining a problem exists; that is, there is an unsatisfactory condition.

2. Establish decision criteria:

Once the need for a decision has been determined, there comes a need to establish decision criteria which requires identifying those characteristics that are important in making the decision.

3. Allocate weights to criteria

the identified criteria should be weighted based on their importance and arranged in priority. This is because some are obviously more important than others and we need to weight each criterion to reflect its importance in the decision.

4. Develop Alternatives

This involves developing a list of the alternative that may be viable in dealing with the stated problem.

5. Evaluate Alternatives

Once the alternatives are enumerated. The decision maker must critically evaluate each one and identify the strong and weak points when compared against the criteria and the weights established. In evaluating each alternative, we not only consider things that can be measured in numerical terms such as time and various types of fixed & operating costs, but also consider intangible or qualitative factors such as the quality of labor relations, the risk of technological change or the international political climate.

6. Select the Best Alternative

After we evaluate the alternatives, the next logical step is to select the best alternative that suits to solve our decision problem. In selecting the best alternative, factors such as risk, economy of efforts, timing and limiting factors should be considered adequately.

7. Putting Decision Into Action

After selecting the best alternative, we implement or put it into action. This requires communication of decisions to subordinates, getting acceptance of the decisions, and getting support and cooperation for converting the decision in to effective action. The decision should be effective at proper time and in proper way to make the action effective to achieve desired objectives.

8. Following up Decisions

Having implemented the decision, the manager should compare the results of that course of action with the desired out come, if necessary, take corrective action. Since decisions are made based on forecasts about the future, the best decision that we select may not suit

absolutely to achieve our objectives. Therefore, managers should adjust, modify or take any other correctives if necessary.

Decision making situations

1. Decisions under certainty:- decisions made in which the external conditions are identified and very predictable /when ever there is complete data & information/
2. Decisions under risk:- those decisions in which probabilities can be assigned to the expected outcomes of each alternative
3. Decisions under uncertainty:- it is a case where neither there is complete data nor probabilities can be assigned to the surrounding conditions. Some conditions that are uncontrollable by management include competition, government regulations, technological advances, the overall economy, and the social and cultural tendencies of society.

Types of Plans

Planning can be classified in different ways in different basis:-

1. Duration /Time dimension/

Some plans are in effect for short periods, where as others stretch decades into the future. An important component of any plan is the planning horizon: i.e., the length of time the plan specifies for activities to be implemented / the time that elapses between the formulation and the execution of a planned activity. Hence, there are three planning horizons that can be identified for classifying plans.

- i) Short range plans:- a plan for a year or less one year
e.g. Annual plan of sales, revenue, production material requirement, operating expenses budget.
- ii) Intermediate range plans:- plan between a year and five years. P ≤ 5 years
e.g. Development of new products, modernization of facilities.
- iii) Long range plans:- Plan for five or more years.
e.g. Long term leases on production or ware house facilities

2. Scope dimension

Planning can be classified in to two based on the scope or breadth of activities they represent.

a. Strategic Plans: These plans are comprehensive in scope & reflect long-term needs & direction of the organization. Strategic plans/top management plans include the development of over all company objectives. They are primarily concerned with solving long-term problems associated with external, environmental influences. They establish the mission of the organization. Strategic planning is a process that involves the assessment of market conditions,

customer needs, competitive strengths and weakness; sociopolitical, legal and economic conditions; technological developments and the availability of resources that lead to the specific opportunities or threats facing the organization

- Strategic plans include:-

- 1) Mission/purpose
- 2) Objectives
- 3) Strategies

1. Mission:- Every kind of organized operation has or at least should have, if it is to be meaningful purposes or missions.

- In every social system, enterprises have a basic function or task which is assigned to them by society – This is the mission of the organization
e.g. The purpose of a business generally is the production & distribution of goods and services.

2. Objectives/Goals:- The ends toward which activity is□ □

Objectives are a desired future results

- They represent not only the end of planning but the end toward which organizing, staffing, leading and controlling are aimed.
- While enterprise objectives are the basic plan of the firm, a department may also have its own objectives.

ORGANIZATIONAL OBJECTIVES

The setting of organizational objectives begins with the definition of mission. A mission is the organization's reason for existence. It describes the organization's values, aspirations and reason for being. A well-defined mission is the basis for development of all subsequent objectives and plans. A mission statement - mission in writing - is used to guide managers, work units, and individual employees throughout the organization: For instance, "to become the nation's most profitable producer of children's shoes."

Once the organization's mission is articulated managers can begin developing specific mission related objectives at every managerial level to reflect the responsibilities applicable to each.

What is an Objective?

An objective is an end result upon which the existence of an organization depends. It is the desired outcome organizations hope to attain eventually. An objective provides a standard for the measurement of success. An objective helps determine technologies required and set the basis for specialization of effort, authority pattern, communication and decision networks and other structural relationships.

Managers are directly concerned with organizational objectives. Top managers generally establish broad organizational objectives that help, relate the organization to its environment. Managers, then, translate these broad objectives into operational objectives and provide means of control to measure the extent of accomplishment. They must continually deal with goal conflicts and find a means of satisfying the interests of many internal and external individuals and groups.

Classification of Objectives

Objectives may be classified as strategic, tactical and operational or long-term, intermediate and short-term. These classification is made based on the levels of decision making authority and time the objectives cover.

Hierarchy of Objectives

Strategic Objectives

Strategic objectives are broad statements describing where the organization wants to be in the future. They pertain to the organization as a whole rather than a specific department or division. They focus on such issues as profitability, market positioning and managerial performance and attitude and public responsibility.

Example: -to achieve a 10% net profit
 - to improve market share 15-20% over next three years.

The top-level management has the responsibility and authority to make strategic objectives.

Tactical Objectives

Tactical objectives are set by the middle management level. These objectives define the outcomes that major departments and divisions must achieve in order for the organization to reach overall objectives. For example, a company may have a tactical objective of "communicating in writing with clients and customers via, newsletter once a month." This tactical objective is one part of achieving the strategic objective and of communicating effectively with clients and employees.

Operational Objectives

Operational objectives are specified and measurable results expected from departments, first-level managers, work groups and individuals within an organization. *Examples:-* Setting daily, weekly and monthly sales targets for each product category, Process 200 sales applications each week, Reduce overtime by 10% next month.

Time Frame Objectives

Time frame objectives imply that an organization's activities are guided by different objectives depending on the duration of the action being planned. ***Long-term Objectives*** These objectives extend up to 5 years. They must be accomplished to ensure the long-term survival of the organization. ***Intermediate Objectives*** These objectives cover a time period between the short-term objectives and long-term objectives- probably 1-3 years. ***Short-term Objectives*** These objectives can be accomplished in less than a year.

Characteristics of Sound Objectives

Specific and Measurable

Not all objectives can be expressed in numeric terms, but they should be quantified when possible. Specific outcomes are easier to focus on than general ones, and performance can be more easily measurable when the task is defined

Example:

- increasing profit by 5%
- decreasing scrap by 1%
- increasing average teacher effectiveness ratings from 3.5 to 3.7.

Challenging but Realistic

Objectives should be challenging but not unreasonably difficult, i, e, objectives should be challenging but attainable, given the resources and skills available. The best objectives require people to stretch their abilities. On the other hand, when objectives are unrealistic, they set employees up for failure and lead to decreasing employee morale causing demotivation. However, if objectives are too easy, employees may not feel motivated.

Cover Key Result Areas

Objectives cannot be set for every aspect of employee behavior or organizational performance; if they were, their sheer number would render them meaningless. Instead, managers should identify a few key result areas. Key result areas are those activities that contribute most to company performance. *Example:* focus on key results-sales, profits, production, or quality-that affect overall performance.

Defined Time Period:

Objectives should specify the time period over which they will be achieved. A time period is a deadline specifying the date on which objective attainment will be measured. The period should be realistic and productive. Short-term objectives should complement long-term objectives. For

example a strategic sales objectives could be established on a three-year time horizon with a 100, 000 target in year one, 150,000 in year two and 200,000 in year three.

Linked to Reward

The ultimate impact of objectives depends on the extent to which salary increases, promotions and awards are on objective achievement. People who attain goals should be rewarded. Rewards given meaning and significance to objectives and help commit employees to achieve objectives. However, attainment of objectives may fail due to variables outside of the control of the employees. Still reward may be appropriate if the employee partially achieved objectives under difficult circumstances.

Conflicts Among Objectives

The process of setting objectives must incorporate and integrate the interest of the forces in the internal and external environment. The form and weight to be given to any particular interest group illustrates precisely the nature of management's dilemma. Some of the most common objective setting trade-offs faced by managers in business organizations are:

1. Short - term profits versus long - term growth.
2. Profit margin versus competitive position.
3. Direct sales effort versus development effort.
4. Greater penetration of present markets versus developing new markets.
5. Achieving long-term growth through related businesses versus achieving it through unrelated businesses.
6. Profit objectives versus nonprofit objectives (that is, social responsibilities).
7. Growth versus stability.
8. Low-risk environment versus high-risk environment.

Management must consider the expectations of the diverse groups on when the company's ultimate success depends. For example, present and potential customers hold ultimate power over the company. If they are not happy with the price and quality of company's product, they withdraw their support (stop buying), and the company fails because of lack of funds. Suppliers can disrupt the flow of materials to express disagreement with the company's activities. Government agencies have the power to enforce the company's compliance with regulations. The existence of these interest and their power to affect the objectives of the company must be recognized by managers.

Studies of objectives that business managers set for their organizations confirm the difficulty of balancing the concern of interest groups. These studies also suggest that the more

companies consistently emphasize profit – seeking activities that maximize the stockholders' wealth. This is not to say that successful companies seek only profit-oriented objectives but rather that such objectives are dominant.

The satisfaction of human participants within companies another concern of managers – in setting company objectives. Creating greater human satisfaction is a means for obtaining better organizational effectiveness. On the other hand, many practices that are developed to increase organizational effectiveness may create human dissatisfaction. For instance, a high degree of task specialization may lead to technical efficiency but may also create employee boredom and apathy.

Thus, organizational and human participant goals may be both compatible and incompatible. Without minimum degree of compatibility organizations could not exist. But total agreement is impossible and conflicts do exist. For these reason, managers should develop objectives that can minimize the conflict between its organizational goals and human participant (employee) goals.

The existence of multiple objectives differentiated by functions is also another source of conflict. Organizations have multiple objectives resulted from the interaction and negotiation among different organizational units. For example, in a company, the sales department's goal may be increase sales, the production department's objective may be more efficient production, and the research department's goal may be the development of new products, the Finance department's goal may be reducing financial outflows. Maximizing the performance of one functional department may lead to sacrificing the goals of another department. This in turn affects the rationality of goal structure of the company. Therefore, managers have to implement these objectives according the priority of their importance. Besides, managers at different level of positions should subject their objectives to the overall objectives of the organization. This is to say that each objective of each functional unit is subjected to the overall objectives of the organization.

Priority of Objectives

The phrase priority of objectives implies that at a given time, accomplishing one objective is more important than accomplishing others. For example, to a firm having difficulty in meeting payrolls and due date on accountants, the objective of maintaining cash balance may be more important than achieving minimum profitability. Priority of objectives also reflects the relative importance of certain objectives regardless of time. For example, survival of the organization is a necessary condition for the relation of all other objectives.

Managers always face alternative objectives that must be evaluated and ranked and they must establish priorities if they want to allocate resources in a rational way. Managers of non-

business organizations are particularly concerned with the ranking of seemingly interdependent objectives. For example, a university president must determine the relative importance of teaching, research and service. Because determining objective and priorities is a judgmental decision, it is difficult process.

Measurement of Objectives

Objectives must be understandable and acceptable to those who will help to achieve them. In fact, many people believe that specific, measurable objectives, increase the performance of both employees and organizations and that difficult objectives, if accepted by employees, result in better performance than do easier objectives. In practice, effective managerial performance requires establishing objectives in every area that contributes to overall organizational performance. Management expert Peter Drucker has stated that objectives should be established in at least eight areas of organizational performance: (1) market standing, (2) innovations, (3) productivity, (4) physical and financial resources, (5) profitability, (6) manager performance and responsibility, (7) worker performance and attitude, and (8) social responsibility. This classification in no way implies relative importance, nor is it the only classification system available.

Drucker has observed that "the real difficulty lies indeed not in determining what objectives we need, but in deciding how to set them.." This involves determining what should be measured in each area and how it should be measured. Immediately, one can recognize the difficulty of measuring performance in certain areas. For example, how can a manager measure employee attitudes and social responsibility? The more abstract the objective, the more difficult it is to measure performance.

Nevertheless, effective planning requires measurement of objectives. a variety of measurements exist to quantify objectives in the eight areas that Drucker suggests.

Profitability Objectives

Profitability objectives include the ratios of (1) profits to sales, (2) profits to total assets, and (3) profits to capital (net worth). The tendency in recent years has been to emphasize the ratio of profits to sales as an important measure of profitability. Both quantities in this ratio are taken from the income statement, which management generally regards as a better test of performance than the balance sheet.

However, other managers believe that the true test of profitability must combine the income statement and the balance sheet. These managers would use either the profit-to-total-asset ratio or the profit-to-net-worth ratio. Which of these two measures is preferred depends on

whether the source of capital is an important consideration. The profit-to-total-asset ratio measures management's use of all resources, regardless of origin (that is creditors or owners). The profit-to-net-worth ratio measures how management used the owner's contribution. The measures are not mutually exclusive. All three ratios are profitability objectives because each measures and therefore evaluates different yet important aspects of profitability. The purposes of profit are to measure efficiency, recover one cost element of being in business (return on invested capital), and provide funds for future expansion and innovation. The minimum profitability is that which ensures the continuous stream of capital into the organization, given the inherent risk of the industry in which the organization operates.

Marketing Objectives

Marketing objectives measure performance relating to products, markets, distribution, and customer service objectives. They focus on the prospects for long-run profitability. Thus, well-managed organizations measure performance in such areas as market share, sales volume, number of outlets carrying the product, and number of new products developed.

Productivity Objectives

Productivity is measured with ratios of output to input. Other factors being equal, the higher the ratio, the more efficient is the use of inputs.

Drucker has long proposed that the ratios of value added to sales and to profit are the superior measures of productivity. He believes that a business's objective should be to increase these ratios and that departments in the firm should be evaluated on the basis of these increases. The argument for value added is that it measures the increase in value of the purchased materials due to the combined efforts of the firm, since value added is equal to the difference between the purchase price and the market value of materials and supplies. In this way, the efficiency of the firm's efforts is measured directly. This measure of productivity also could be used for comparisons among the individual departments in the firm.

Table 3.1		Selected Measures of Objectives		
Management must	Objective		Possible Measures	
decide Which	profitability	1.	Ratio of profit to sales.	
measures to use to			2. Ratio of profit to total assets.	
indicate whether		3.	Ratio of profit to capital.	
objectives are				

being achieved.	Marketing	1.	Market share.
		2.	Sales volume.
			3. Rate of new product development.
			4. Number of outlets.
	Productivity	1.	Ratio of output to labor costs.
		2.	Ratio of output to capital costs.
		3.	Ratio of value added to sales.
		4.	Ratio of value added to profit.
	Physical and	1.	Current ratio.
	Financial	2.	Working capital turnover.
		3.	Ratio of debt to equity.
		4.	Accounts receivable turnover.
		5.	Inventory turnover.

Physical and Financial Objectives

Physical and financial objectives reflect the firm's capacity to acquire resources sufficient to achieve its objectives. Measurement of physical and financial objectives is comparatively easy since numerous accounting measures can be used. Liquidity measures such as the current ratio, working capital turnover, acid-test ratio, debt-to-equity ratio, and accounts receivable and inventory turnover can be used in establishing objectives and evaluating performance in financial planning.

Other Objectives

Objectives for profitability, market standing, productivity, and physical and financial resources are amenable to measurement. Objectives for innovation, employee attitudes, manager behavior, and social responsibility are, however, not so easily identifiable or measurable in concrete terms. This is important because, without measurement, any subsequent evaluation is inconclusive. For example, a vaguely stated objective such as "to become more socially responsible" is virtually impossible to evaluate, whether or not it is accomplished.

7. Management by Objectives(MBO)

Management by objectives was first popularized by management expert Peter Drucker. MBO addresses the need to involve managers at all levels in the goals setting process. MBO may be defined as a process whereby the superior and the subordinate managers jointly establish objectives, define areas of responsibility in terms of expected results, and use these measures as guides for operating the unit and assessing the contribution of each member of the organization. The essence of MBO is the practice of goal setting at every level of management. MBO programs are designed to improve employees' motivation through their participation in setting their objectives and knowing in advance precisely how they will be evaluated. MBO usually results in employees more committed to the achievement of the objectives than they may be if they were not involved in setting them.

While employees are working toward the accomplishment of their objectives, managers (supervisors) should hold periodic review sessions. A supervisor may authorize modifications to the objectives or their timetables as circumstance dictate. At the end of agreed time period, the manager and subordinate hold a final review session to evaluate the results and repeat the process. The subordinate is evaluated on the basis of whether the objectives were accomplished, how effectively and efficiently they were achieved and what was learned in the process. Rewards are usually linked to each of these elements.

Steps in MBO Process

Since MBO is a method whereby managers and employees define goals for every department, project, and person and use them to monitor subsequent performance, it involves the following steps:

1. Setting goals
 - A goal that should be concrete, realistic that provide a specific target and time frame and assign responsibility.
 - Goals that can be quantitative – described in numerical terms or qualitative expressed with the use of statements.
2. Developing action plans
 - An action plan defines the course of action and resources needed to achieve the stated goals. An action plan is a detailed plan made for both departments and individuals.
3. Reviewing progress
 - A periodic progress review is important to insure that action plans are working. This review can occur informally between managers and subordinates, where the organization may wish to conduct three, six or nine month's review during a year.

This periodic review allows managers and employees to see whether they are on target or whether corrective action is necessary.

4. Appraising overall performance

- Careful evaluation should be made to see whether annual goals have been achieved for both departments and individuals. Success or failure to achieve goals can become part of the performance appraisal system and the designation of salary increases and other rewards. The specific application of MBO must fit the needs of each company.

The benefit of MBO is the linking of objective setting with individual motivation. Since the employee participates in own goals setting there is commitment to them. Improved morale may also result regular face-to-face communications between subordinates and superiors. Furthermore, appraisal is more objective since subordinates are evaluated on the extent to which their goals have been met. It forces think for results.

Problems with MBO

MBO may fail due to one or more of the following problems.

1. Lack of adequate resources: It has to be made sure that a person who is held responsible for results has access to the resources needed to achieve them.
2. Since every manager at every level runs his/her own objectives, there may not be support and involvement by top management.
3. Lack of optimal coordination - because every one strive for the attainment of his/her own unit goals.
4. Over emphasis on appraisal.
5. Over emphasis of paper work.
6. Failure to teach the philosophy of MBO.
7. Failure to give guidelines to goal setters.
8. Difficulty of setting verifiable goals.
9. Emphasis on short-term objectives strategic goals may be displaced by operational goals.
10. Constant change prevents MBO from taking hold.

3. Strategies:- derived from Greek word 'strategos', meaning 'general'

Def. (i) General programs of action and deployment of resources to attain comprehensive objectives

(ii) The program of objectives of an organization and their changes, resources used to attain these objectives, and policies governing the acquisition, use, and disposition of these resources and

- (iii) The determination of the basic long-term objectives of an enterprise and the adoption of courses of action and allocation of resources necessary to achieve these goals

Generally, it is concerned with the direction in which human and material resources which human and material resources will be applied in order to increase the chance of achieving selected objectives.

- It is the choice of the means by which the enterprise's forces may be employed most effectively in order to accomplish its intended goal.
- Strategy indicates the pattern of the organizations response to its environment overtime; i.e., strategy links the human and material resources of an organization on one hand, with the challenges & risks posed by the outside world on the other.

Operational /Tactical plans:-

These are plans used to implement strategic plans

These plans are more limited in scope & address those activities & resources required to implement strategic plans. these tactical plans deal more with the allocation of resources & scheduling of actual work activities than with the selection of strategies. Based on their use dimension these plans can be classified in to

(i) Single use plans

(ii) Standing plans

Standing Plans- are used to guide activities that occur over a period of time.

These are plans that are designed to be used again and again.

Standing plans exist in the form of

a) Policies

b) Procedures/ Standard operating procedures

c) Rules & Regulations

a) Policies:- these are standing plans in that they are general statements or understandings which guide or channel thinking in decision making.

- Policies define an area with in which a decision is to be made and ensure that the decision will be consistent with, and contribute to, an objective.
- They allow some discretion / freedom
- Policies help decide issues before they become problems. E.g. hiring policy- "All employees of the organizations must have a college degree/diploma, Purchasing policy

Procedures:- are standing plans that establish a required method of handling future activities.

- They are guides to action rather than thinking

- are plans that describe a series of action to be taken in a given situation.
- Their essence is chronological sequence for a required action.
- Companies have hundreds of procedures for example, telling how to perform a job.

e.g. – Many companies have a policy of at least partially reimbursing their employees for educational expenses. When this occurs the employee will have to follow a set procedure in order to be reimbursed.

- He/she may have to fill a form
- attach a copy of his/her grades
- take both documents to personnel for processing
- Wait for the check in the mail.

Rules and Regulations:- are plans that describe exactly how one particular situation is to be handled.

- are statements of actions that must be taken or not taken
- rules are must restricting device
- There is no room for flexibility

e.g. No smoking at an employee's desk or

All employees must be at their desks at 8:00 A.M. in the morning.

Where policies and procedures provide guidelines for decision making, rules & regulations are statements that designate specific required action. Rules and regulations are the most explicit and specific forms of & standing plan procedures are different from rules & regulations in that they designate specific steps one is to perform in a situation. Policies provide a room for discretion for our decision but rules do not allow any discretion in their application.

Single Use Plans

Single use plans are plans that are used once, and then discarded. This type of plans is designed to meet the needs of a unique or single situation; such as for special project or task. These plans are formulated to achieve a specific goal & usually within a shorter period of time. Non-repetitive unique situations call for the formulation of single use plans. They are also called one-time plans. Under these plans, we have 1- Program (project)

2- Budget

A. Program:- Programs are a complex of goals, policies, procedures, rules, task assignments, steps to be taken, resources to be employed and other elements necessary to carry out a given course of action; they are ordinarily supported by budgets.

- A program is a comprehensive plan that includes future use of different resources in an integrated pattern and establishes a sequence of required actions, time schedules for each in order to achieve stated objectives.
- It covers a relatively large set of activities such as
 - (i) The major steps required to reach an objective
 - (ii) The organization unit or member responsible for each step; and
 - (iii) The order and timing of each step.

Budgets:- are statements of expected results or resources set aside for specific activities expressed in numerical or quantitative terms.

- They are primary devices to control an organization activities and are thus important components of programs and projects.
 - It is referred to as a "Numberized" plan /program
 - It is a single use plan that specifies allocation of financial resources required to support specific activities within a given time period.
 - Budgets are important devices for controlling activities by setting limits on the amount of expenditures.
 - A budget may be expressed either in financial terms or in terms of labor hrs, units of products, machine hours, in any other numerically measurable term.
- (1) **Variable plans:-** Which state figures in terms of ranges to allow for the uncertainty of the environment. For instance, the time estimated to complete a phase of a project might be stated as "three months plus or minus one week." Its advantage is that one can easily estimate the effect on the organization of different levels of operations.
 - (2) **Alternative plans:-** plans which are similar to variable plans in recognizing environmental uncertainties, but in this case the planner sets up two or more entirely separate plans. The plan that is finally chosen is the one that most closely accounts for the circumstances that arise.
 - (3) **Supplementary Plans:** A third type of flexibility can be obtained through supplementary plans. Although the basic plan may set a firm ceiling all expenditures in a given area, the plan allows for the manager (the responsible unit) to request further resources should they later be needed. supplementary plans reduce the constraining effect of the original plan by providing a prearranged appeal channel.

⇒ Plans can also be classified on the basis of regions or geographic feasibility. For instance, an organization, which operates on diverse regions, may formulate different plans for each region or territory of operation that would help the overall achievement of organizational objectives.

CHAPTER FOUR

ORGANIZING

Meaning and Definition:

The management process starts from planning; i.e., in planning, objectives that are going to be achieved are identified / established and courses of action have been determined. Then, the manager continues his activities by giving practical shape to the activities/works to be performed identifying the roles where by workers are supposed to play, and making known to the group what their duties and responsibilities are therefore, to design and maintain such systems of roles is the managerial function of organizing.

To begin with the definition of organizing, there is no universally accepted definition of organizing. Different authors gave various but supplementary definitions. Among others the following are a few:

- It is the establishing of effective behavioral relations among persons so that they may work together efficiently and gain personal satisfaction in doing selected tasks under given environmental conditions for the purpose of achieving some goals and objectives.
- It is one of the functions of management, the one concerned with choosing what tasks are to be done, who is to do them, how the tasks are to be grouped, who is to report to whom and where decisions are to be made.
- It is the grouping of activities necessary to attain objectives, the assignment of each grouping to a manager with authority to supervise it, and the provision of co-ordination vertically and horizontally in the enterprise structure.
- It defines the part, which each member of an enterprise is expected to perform and the relation between such members to the end that their consorted endeavor shall be most effective to the purpose of the enterprise.
- Organizing is the part of managing that involves establishing an intentional structure of roles for people to fill in an organization.

Hence, it is a function of identifying, classifying, grouping, and assigning various activities and prescribing authority relationships to create an organism or structure capable of accomplishing predetermined objectives. Organizing involves,

- i) The identification and classification of required activities necessary to attain objectives.
- ii) The grouping of activities necessary to attain objectives.
- iii) The assignment of each grouping to a manager with authority necessary to supervise it.
- iv) The provision for co-ordination horizontally and vertically in the organizational structure.

Nature /characteristics/ basic concepts in organizing

Division of Labor/specialization/

In small organizations, just having three or four employees, each of them do a certain job at different time; for example a tea room having an owner manager and two waiters can make tea, wait on customers, treat them, collect money and perform all other duties required in a business. but as the firm grows, people must be assigned specific tasks in which they specialize. This process is called division of labor or specialization. It involves breaking down of a task in to its most basic elements, training workers in performing specific duties, and sequencing activities so that one person's effort build on another's.

Advantage:

- It enables a person performing a task to become highly proficient at it in relatively short time and these results in increasing efficiency in productivity.
- It saves time that is always lost in changing from one job to another.
- There is less waste of materials in the learning process when division of labor is used.

Disadvantage:

- The boredom (boring) and fatigue caused by monotonous, repetitive tasks.
- The specialist lacks job enrichment

Coordination:

- It is the establishment of proper and adequate relationships between an employee and his work, one employee to another or to the group, and one department or sub-department and another. Managers, to promote co-ordination, in addition to other methods, use MBO program. This helps managers and subordinates to approach and decide in common about the objectives to be achieved and the actions to be taken. Failure to establish such relationships may result in different persons (or departments) pursuing different paths, thus making difficult for the enterprise to achieve its goals.

Accomplishment of Objectives:-

The organization structure, the result of organizing, is bound together by the pursuit of specific and well-defined objectives. This is not typical for organizing function, all managerial functions should bound together for the achievement of predetermined objectives.

Authority & Responsibility Relationships:

Authority is the right to command subordinates action. It is defined as the legitimate power a manager possesses to act and make decisions in caring out responsibilities. Responsibility is the obligation of the manager to carry out assigned duties.

Thus, the organization structure; the result of organizing, should consist of various positions arranged in a hierarchy with a clear definition of authority and responsibility.

Formal Organization: The organizing function results in an intentional formal organization structure of roles in a legally and formally organized enterprise.

Communication:

It is the transfer of information among people to achieve organizational goals. Successful communication is good for business and for us too. Every organizing function should be able to create an organization, which has its own channels and methods of communication.

Since management is concerned with working with people and unless there is common understanding between people, goals cannot be achieved; effective communication is vital for management. Channels of communication could be formal, informal, upward, downward or horizontal.

The process of Organizing

Organizing function can follow the following steps.

- (1) Determine tasks /activities necessary to attain objectives
- (2) Create jobs and define their duties and responsibilities.
- (3) Group jobs in to practical units/departments based on similarities, importance, who will do the work, etc.
- (4) Create authority/reporting relationships
- (5) Delegate authority

Important Elements of Organizing Process

- i) Departmentation
- ii) Delegation
- iii) Decentralization

i) Departmentation:

Departmentation is a part of the organizing process. In the context of management, it means dividing and grouping the activities and employees of an enterprise into various departments. All organizations divide their overall operations in to sub activities and combine these sub activities in to working groups. This grouping process of specialized activities in a logical manner is called Departmentation. It implies the division of the total work of an enterprise into individual functions and sub functions. Then, either on the basis of similarity of work, or efficiency, these various functions or sub-function are grouped together into work units. The work units so formed may be called departments, divisions, units, or any other name.

It results:

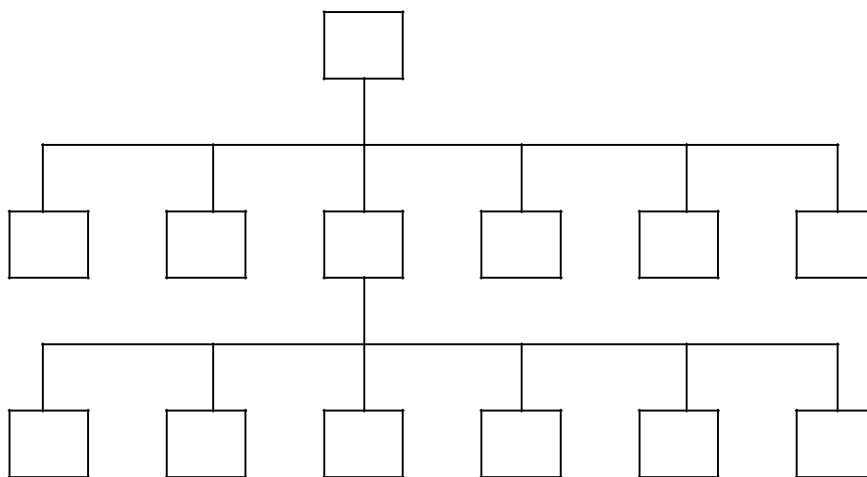
- In division of work

- In organizational units to be manageable size and
- Utilization of managerial ability based on specialization to secure maximum results.

The basic need of departmentation arises from the limitation on the number of subordinates that can be directly managed by a superior. If there is no departmentation, it would seriously put limitations on the size of the organization.

Span of Management /span of control/- refers to the number of subordinates that a single manager can directly, immediately and effectively supervise. It is related to the levels. We can have wide span, which is associated with few organizational level; and a narrow span which results in many levels.

Organizations with wide span



Advantage:



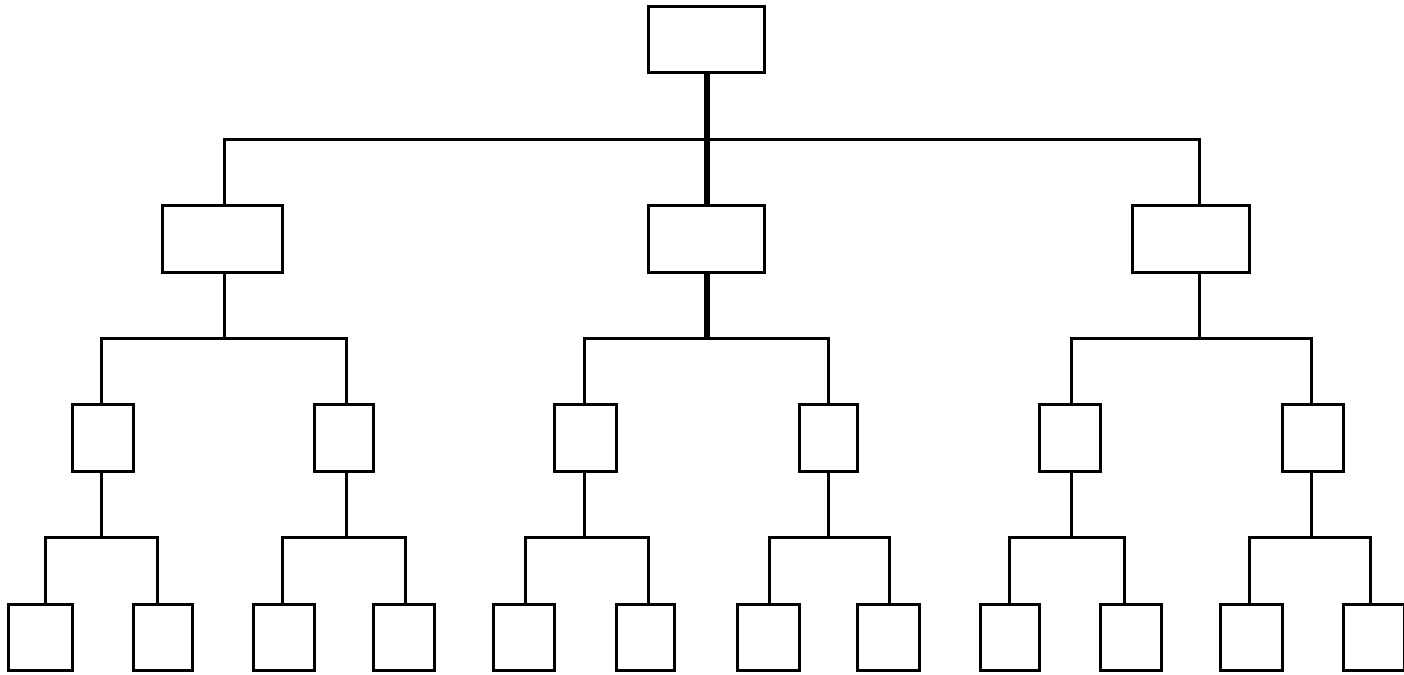
- ☐ Supervisors are forced to delegate
- ☐ Clear policies must be made
- ☐ Subordinates must be carefully selected

Disadvantage:



- ☐ Tendency of overloaded superiors to become decision bottlenecks.
- ☐ Dangers of superior's loses of control
- ☐ Requires exceptional quality of managers.

Organizations with narrow span



Advantages:

- Close supervision
- Close control
- Fast communication between subordinates and superiors

Disadvantage:

- Superiors tend to get too much involved in subordinate's work
- Many levels of management
- High costs due to many levels
- Excessive distance between lowest level and top level.

- Departmentation makes organizations to expand to an indefinite degree.
- It also helps increasing efficiency of organization in the following ways:
 - Specialization
 - Fixation of responsibility
 - Feeling of autonomy
 - Development of management
 - Facility in appraisal

The Bases of Departmentation

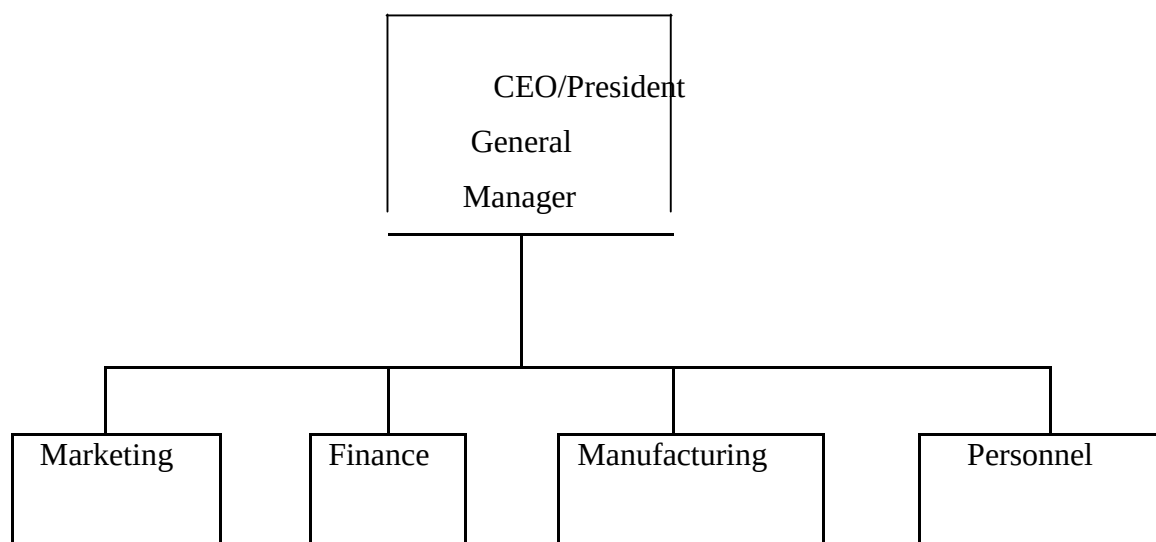
The most common bases of departmentation used by organizations are:

- Functional Departmentation
- Product Departmentation
- Geographic / Territorial Departmentation
- Customer Departmentation
- Process Departmentation
- Matrix /project/ and task force

Functional Departmentation:

Functions refer to the various responsibility areas of an organizational component. It is the process of grouping the organization's activities in to units in logical manner on the basis of essential functions that must be performed to attain organizational objectives/goals.

These functions include marketing, finance, operations, manufacturing personnel, engineering etc.



Advantages: - It is logical, scientific and time-tested method because it groups like or similar activities together which facilitates specialization. (efficiency is fostered through specialization.)

- It makes supervision easier, since each manager is an expert in only a narrow range of skills.

- Tight control of all functional units is assured, because the top managers are responsible for the end results.
- It simplifies training.

Disadvantage:

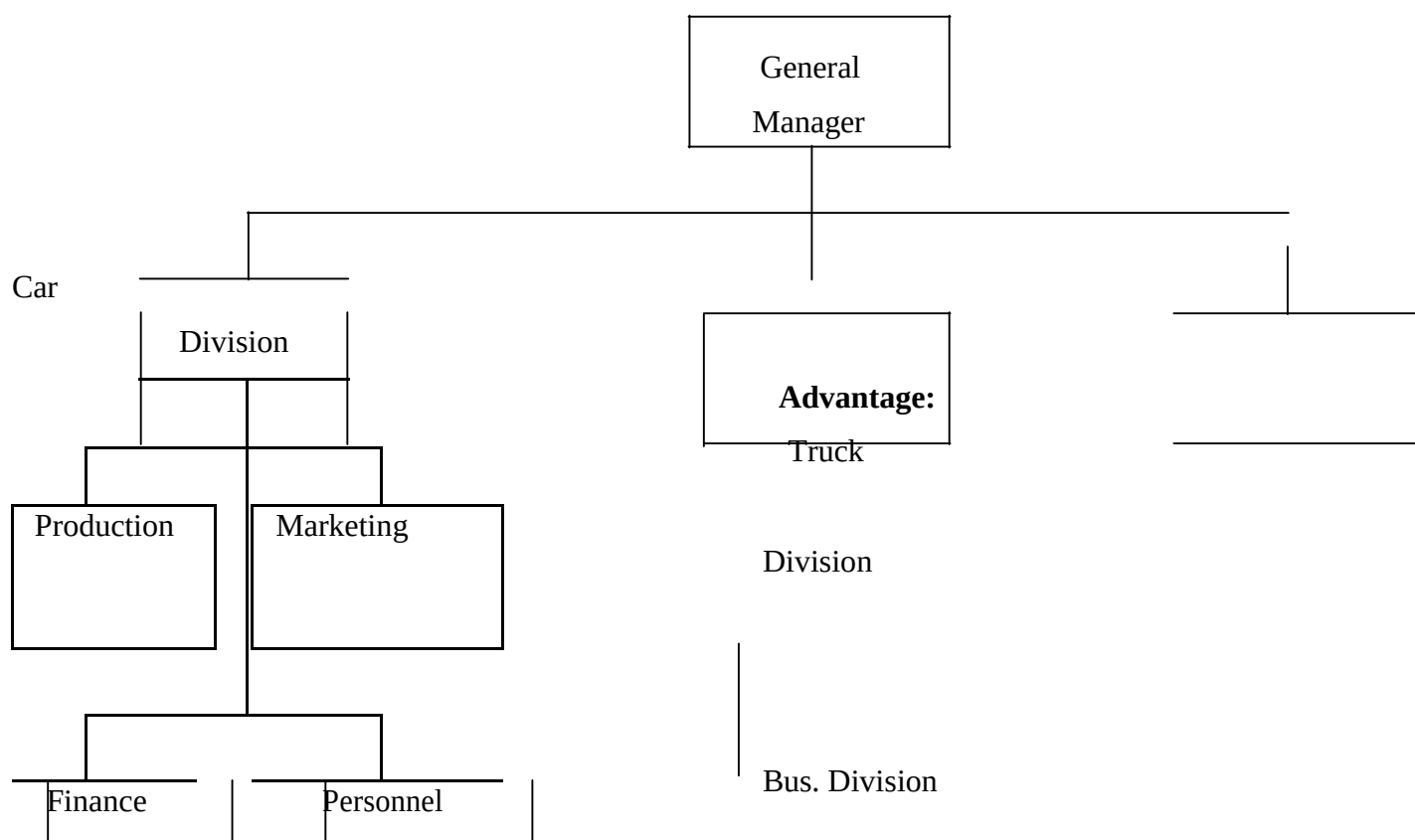
- People in a functional department may lose sight of the overall operations of the business; it in turn invites employees to de-emphasize the overall company objective.
- Workers may develop highly specialized skills, but not general managerial abilities. Consequently, functional Departmentation is not an ideal training ground for top level managers.
- Although there is strong relationship between with in a function, co-ordination between functions is reduced.
- Sometimes conflict develops among departments as each unit competes for resources.
- The geographic area served; or the type of product or product line produced may require a different type of Departmentation.
- Responsibility for profit is at the top.

Despite its disadvantages, it is widely used by various managers.

2. Product Departmentation

It is the grouping of activities on the basis of product or product line. It is adopted by (commonly used by) manufacturers who produce and sell a number of product lines made up of several different items; such as drug, food, clothing, machines, automobiles. etc.

e.g. Product Departmentation of an automobile management enterprise.



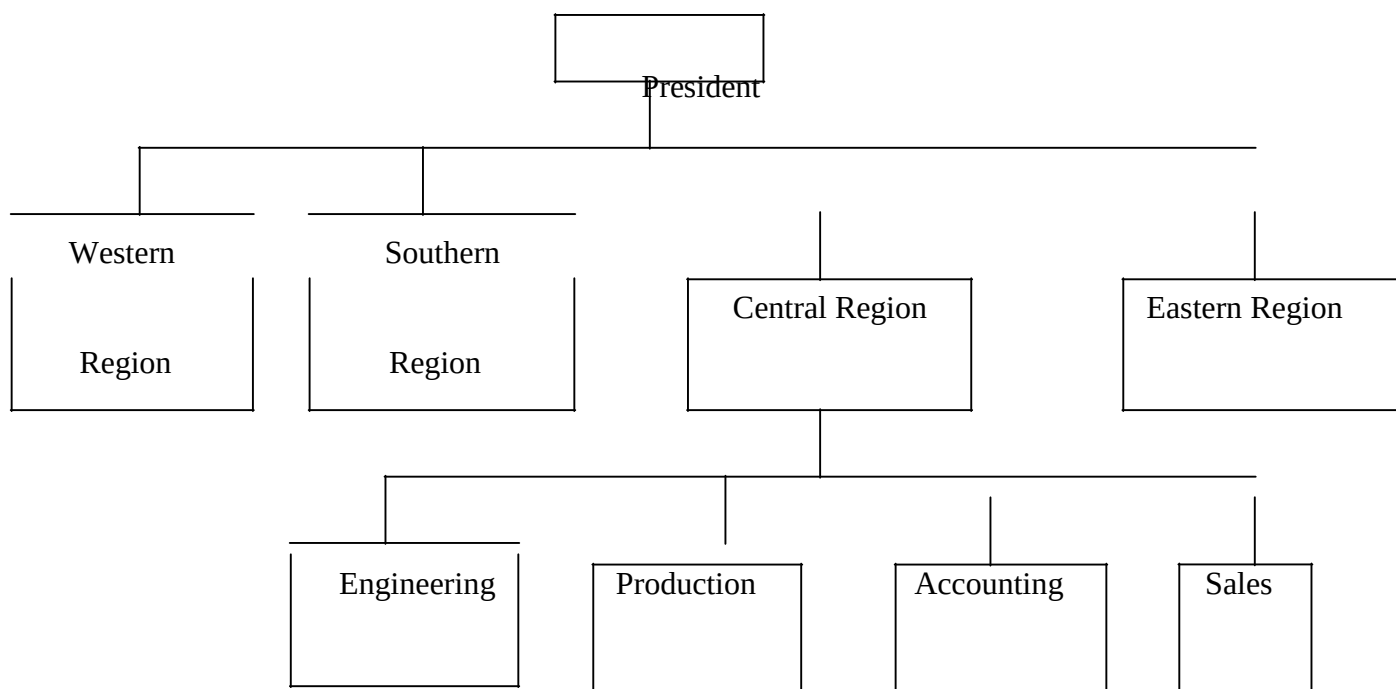
- It enables the enterprise to focus attention effort on product lines, making it easier for to management to see the efficiency and effectiveness of production determining which product is profitable or not.
- It improves co-ordination between functions relating to a particular product.
- Furnishes measurable training ground for general managers.
- Facilitates use of specialized capital, facilities, skills and knowledge.

Disadvantages:

- Requires more persons with general manager abilities.
- There is an ever-present danger of duplication of activities.
- It presents increased problem of top management control.

3. Departmentation by Geographical Area/Territory

It is often referred to as area or territorial Departmentation, and it groups business activities on the basis of geographic region or territory, enabling a firm to adapt to local customs and laws and to survey customer more quickly. It is especially attractive to large-scale firms or other enterprises whose activities are physically or geographically dispersed.



Advantages:

- Results in great saving in time and money. The enterprise can benefit from lower freight, lower rents and lower labor costs. Thus, it takes advantages of economics of local operations (places emphasis on local markets and operations)
- Places responsibility at lower level (There will be quick decision.)
- Places measurable training ground for general managers.
- Better face to face communication with local interests.

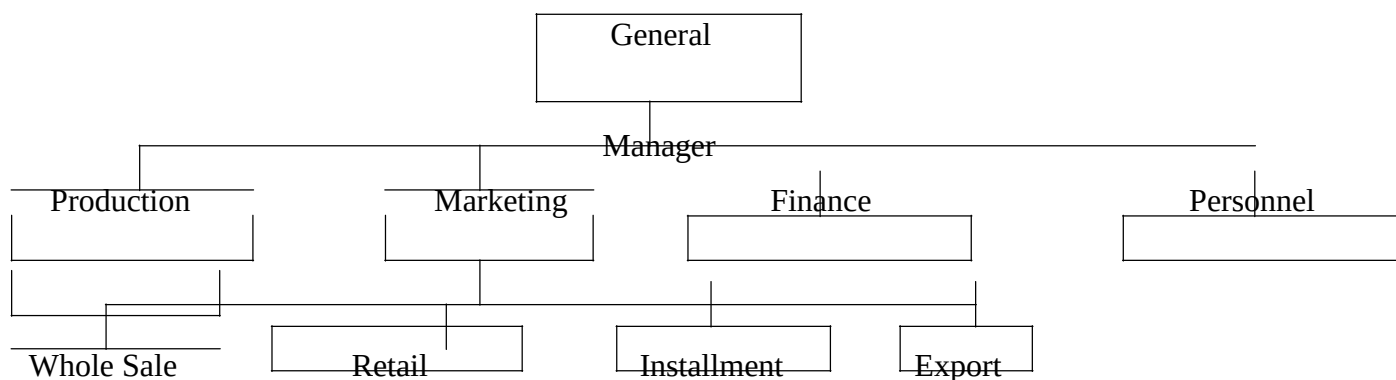
Disadvantages:

- Requires more persons with general manager abilities /it is costly to implement./
- Duplication of effort
- Increase problem of top management control (This is because of having flat span of management.)

Sometimes, the decision to set up geographic departments is based on economic considerations; such as, transportation costs for raw materials, for distribution, etc.

4. Customer Departmentation:

It is the grouping of enterprise activities based on customers' interests. Companies that must provide special services to different groups set up departments by types of customers, using customer departmentation. For example, a manufacturer may have both an industrial products division for its industrial customers and consumer products division for other consumers. An airlines company may make departments its selling departments for travelling agencies, government passengers, tourists and other customers. Normally, setting up departments by customers is not a primary form of departmentation. It is used instead within some other framework.



Advantages:

- Encourages concentration on customer needs
- Giving customers feeling that they have an understanding supplier
- Develops expertise in customer area.

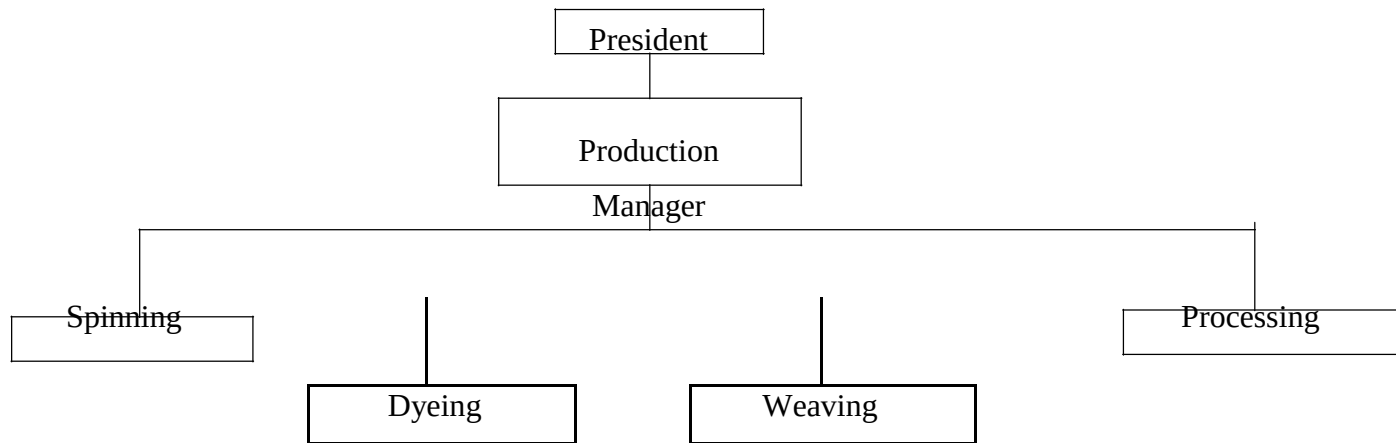
Disadvantage:

- May be difficult to coordinate operations between competing customer demands.
- Requires managers and staff expert in customer's problems
 - It may result in under utilization of resources in some departments.
- Customer groups may not always be clearly defined.
 - There may be duplication of activities.

5. Process or Equipment Departmentation

It is the grouping of enterprise activities according to the products' manufacturing process. This method of departmentation is logical and used when the machines or equipment used require special skill for operating and are of large capacity which eliminate organizational diving or have technical facilities which strongly suggest a concentrated location. For example, a textile factory. may be classified in to Spinning, Walling, processing, etc.

- Economic and
- Technological considerations are the foremost reasons for adopting process departmentation.
- It is mostly found in production departments.



Advantage:

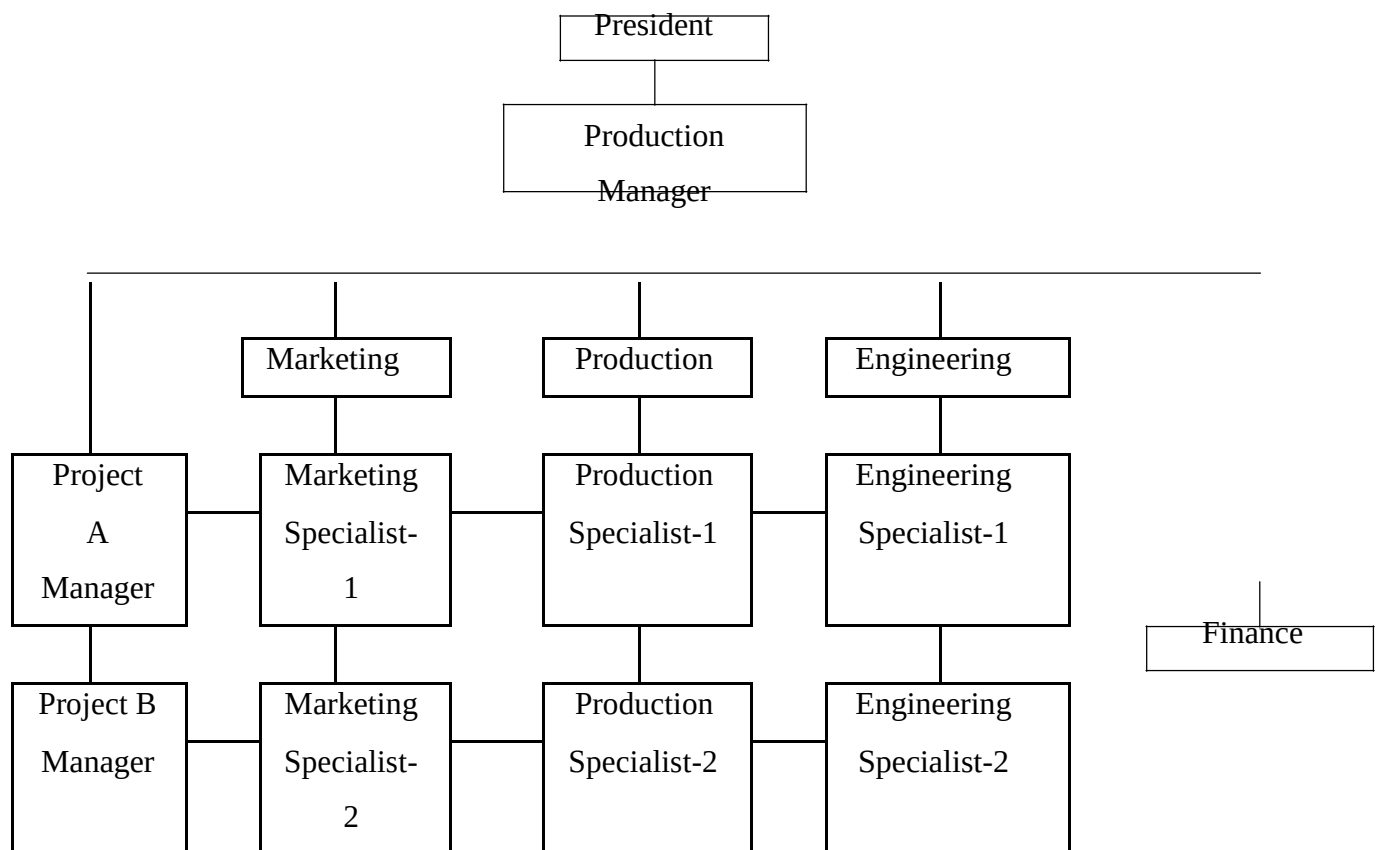
- Achieves economic advantage
- Uses specialized knowledge
- Simplifies training
- Uses specialized technology

Disadvantage:

- Coordination of departments is difficult
- Responsibility for profit is at the top
- It is unsuitable for developing general managers

6. Matrix Departmentation

- It is an organizational arrangement that developed because of the need for quick completion of highly technical projects that required significant contributions by two or more functional groups.
- It begins with functional structure and then another structure organized by product or by client /customer or by project is overlaid upon the original structure.
- The result is that employees are assigned to a basic functional department and, at the same time, they are assigned to work on a particular product/project or for a particular customer/client.
- The essence of matrix organization normally is the combining of functional and product departmentation in the same organization structure.



Advantage

- ☐ Since there are a number of managers, there are more channels of information
- ☐ It is oriented toward end results. (The project objectives are clear.)
- ☐ Professional identification is maintained.
- ☐ Resources are used efficiently because workers are assigned to different projects as needed and groups or projects can share equipment.

Disadvantage

- ☐ Conflict in organization authority exists (it lends it self to power struggle).
- ☐ Possibility of disunity of command exists
- ☐ It also /results in higher over head costs because more managerial positions are created.
- ☐ Requires manager effective in human relations.

Delegation:

Because of human limitation, a single person can't do all tasks necessary for accomplishing a group purpose. By the same taken, as enterprises grow, it is difficult for one person to exercise all the authority for making decisions. To solve these problems managers share their authority and responsibility to their subordinates which is delegation.

Managers get things done through other people. Since top managers cannot personally oversee all the activities of an organization, they delegate authority to their subordinate managers. It is this delegation of authority that gives subordinate managers the means with which to act.

Definition: It is the act of assigning formal authority and responsibility for completion of specific activities to a subordinate.

- ☐ Delegation is the assignment to another person of authority and responsibility to carry out specific activities.
- ☐ Delegation is the process of allocating tasks to subordinates giving them adequate authority to carry out those assignments and making obligated to complete the tasks satisfactorily.
- ☐ To delegate means to entrust authority to a deputy so as to enable him to accomplish the tasks assigned to him.

The Importance of Delegation:

- ☐ It frees a manager from some time-consuming duties that can be adequately handled by subordinates and lets the manager devote more time to problems requiring his/her full attention.
- ☐ Decisions made by lower level managers are more timely than those that go through scalar layers of management.
- ☐ Subordinate managers can reach their full potential of and only if they are given the chance to make decisions and to assume responsibility for them.

Delegation process involves;**1. The allocation of duties:-**

Duties are the tasks and activities that a supervisor desires to have someone else do. Before authority can be delegated, the duties over which the authority rests must be allocated to a subordinate.

2. The delegation of authority:-

The essence of the delegation process is empowering another person to act for the manager. This is a passing of formal rights to act on behalf of another.

3. The assignment of responsibility:-

When authority is delegated, we must assign responsibility. That is, when one is given "rights", one must also be assigned a corresponding "obligation" to perform. To allocate authority without responsibility creates opportunities for abuse, and of course, no one should be held responsible for what he/she has no authority.

4. The creation of accountability:-

To complete the delegation process, the manager must create accountability; that is, subordinates must be held answerable to properly carry out their duties. They must accept credit or blame for their action. So while responsibility represents a subordinate's obligation to carry out what is assigned, accountability is the obligation to his or her superior to carry out the assignment in a satisfactory manner. Subordinates are responsible for the completion of tasks assigned to them and are accountable to their superiors for the satisfactory performance of that work.

Obstacles to Effective Delegation:

It takes two parties for delegation to be effective, a manager willing to delegate and a subordinate willing to accept operating responsibility. Either party can be an obstacle to effective delegation.

Management Obstacle

There are, nevertheless, several reasons why managers hesitate to delegate authority to subordinates.

- Some managers feel the need to be in total control of every aspect of the organization
- Others lack confidence in their subordinates
- Fear the consequences of having subordinates make decisions

Subordinate Obstacles

In some cases / instances, subordinates are reluctant to assume an equal amount of responsibility because of either of the following reasons.

- Subordinates usually feel that making decisions is the boss's job.
- Subordinates fear criticisms for making bad decisions
- Subordinate managers do not have enough factual information on which to base a decision.
- Subordinates are already overworked
- Subordinates lack self-confidence.

- There is a lack of incentive or reward for assuming a greater workload.

Decentralization

Decentralization is the opposite of centralization. In a centralized set up, decision making authority is concentrated in a few hands at the top. Contrary to this, in a decentralized organization, there is dispersal of decision making authority.

Definition

It is the tendency to disperse decision-making authority in an organized structure. It is a fundamental aspect of delegation, i.e., to the extent authority is not delegated, it is centralized.

Reasons for Decentralizing:

- (i) One major reason for decentralizing is to tap the knowledge and expertise of managers, it provides the basis for greater innovation. It does so because it allows for the utilization of specialized knowledge. Additionally, it provides greater flexibility for the organization to respond to new ideas and test them.
- (ii) To enable the organization to respond to a social environment faster.
- (iii) To help participate non-managerial employees in decision making process, consequently, it can increase such employees' performance and commitment to decisions and promote better overall relations between non-managerial employees and managers.

Advantages:

- Relieves top management of some burden of decision making and forces upper level managers to let go.
- Encourages decision making and assumption of authority & responsibility.
- Gives managers more freedom and independence in decision making.
- Makes comparison of performance of different organizational units possible.
- Promotes development of general managers.
- Aids in adaptation to fast changing environment.

Limitations of Decentralization:

- It increases the chances that a lower-level manager will take undesirable action.
- It decreases control and monitoring of subordinates' activities and also may hinder co-ordination between diverse units.
- Makes it more difficult to have a uniform policy.
- Can be limited by the availability of qualified managers.

- Involves considerable expenses for training managers.

Organizational Relationships

Formal and Informal organizations & their relationships

The design (framework) of an organization can be divided into two categories:

The formal and informal organization.

Formal Organization:

- It is an organization, which is established with intentional structure of roles in a formally organized enterprise. It is one, which is drafted by top management. It is the organization structure, which defines everything clearly, and explicitly. It is consciously, deliberately, and rationally designed by management to achieve predetermined objectives.

Thus, formal organization has the following important points:

- It is consciously brought in to existence for the achievement of predetermined objectives.
- Authority and responsibility are clearly defined.
- The line of communication is also formalized (It is shown in organization charts)
- The relationship of the superior and the subordinate is fixed. (it is deliberately impersonal it is bureaucratic in nature and operated by the rules & regulations; personal issues are not entertained.)
- It exists in a written form.

Informal Organization:

- It is a network of personal and social relations not established or required by the formal organization but arising spontaneously as people associate with one another.
- It is undocumented and officially unrecognized relationship between members of an organization that inevitably emerges out of the personal & group needs of employees. It is an organization, which consists of small social groups and friendly associations within the formal organization. It is genuine that whenever formal organizations are formed, informal social groups are created within its framework. such groups are created on the basis of similarity of status, interests, beliefs, attitudes, back grounds, etc.

Such small groups are results of the need of people for social interaction, & for friendly associations. They affect the formal organization positively or negatively, however, management neither create nor abolish them. Therefore, managers should learn how to live with it, how to influence it, and how to direct its energy and initiative towards constructive channels.

Managers, to deal with informal organizations the following general suggestions are helpful:

- Managers accept and understand the informal organizations
- Consider possible effects on informal organizations when they take any action.

- Integrate, as far as possible, the interests of informal groups with those of the formal organization.

Line and Staff Relationships

The concept of line and staff is related to authority and positions/functions.

Line and staff authority

This is the relationship between different types of authority exercised by managers of an organization. These three forms of authority are called line staff and functional authority.

Line authority: the authority of those managers directly responsible, throughout the organization chain of command, for achieving organizational goals. It enables a manager to tell subordinates what to do. This authority is represented by the chain of command, which links superiors and subordinates from top to bottom in an organization. Both line and staff managers have line authority over their subordinates.

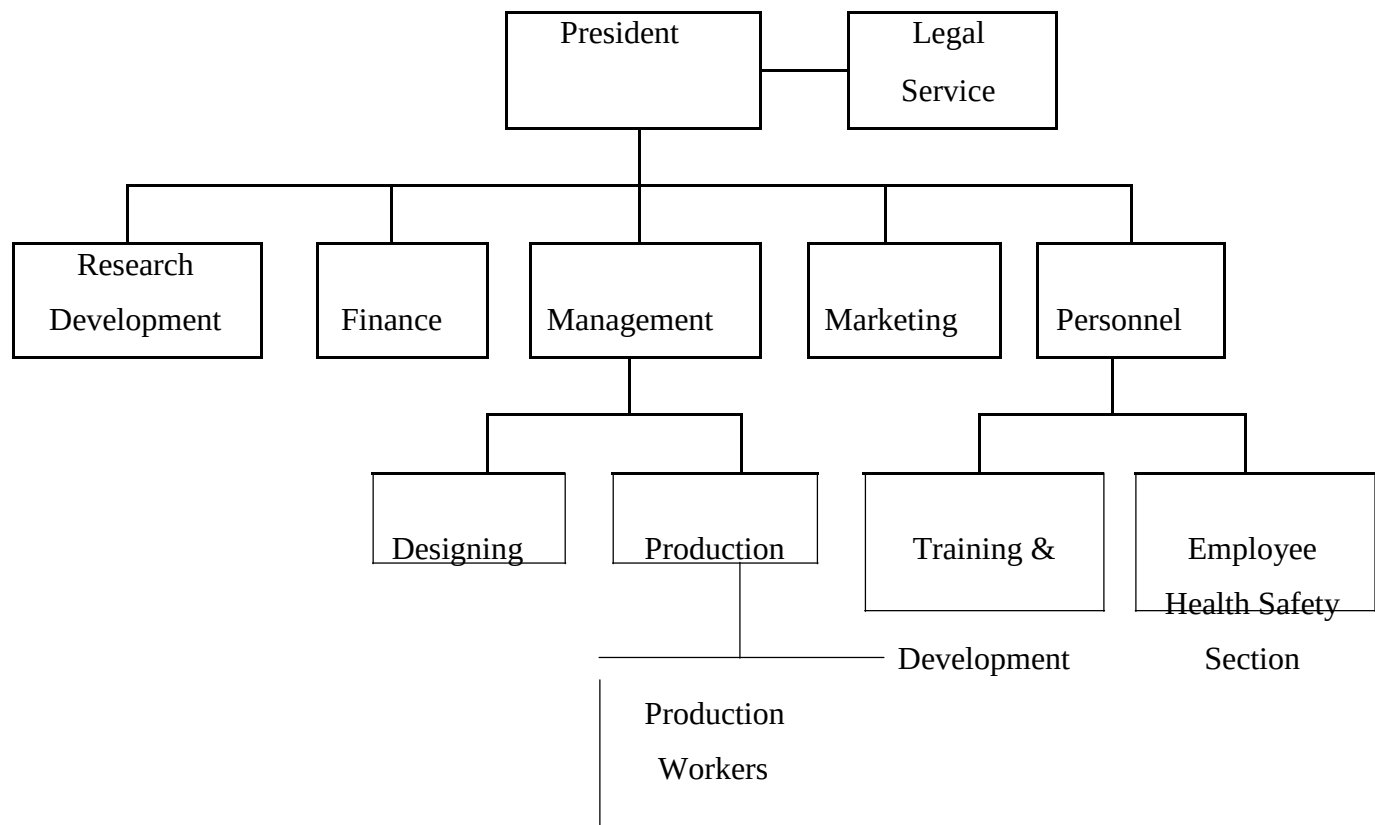
Staff authority: The authority of those groups of individuals who provide line managers with advice and services. People in staff positions assist and advise line managers. They relieve some of the line managers' burdens by giving them the information they need to make operational decisions. People in these positions have the authority to offer advice and make recommendations; they have staff authority.

Functional Authority: The authority of staff department members to control the activities of workers of other departments that are related to specific staff responsibilities. This authority is exercised over people or activities in other departments. Usually limited in scope and duration; it is exercised one level below the person who has it.

Line and staff positions/functions:

To classify a position as line or staff, it is related to the degree to which the function in question contributes to the direct achievement of organizational objectives. The line functions contribute directly to accomplishing the firm's objectives, while staff functions facilitate the accomplishment of the major organizational objectives.

- The line functions of an organization are those functions that contribute directly to the creation and distribution of the goods or services of the organization.
- People with line positions are responsible for physically producing the product or service and for selling it.
- Staffs provide advice and assist line people. That is the only reason these positions exist.
- All staff positions are advisory, staff people may make recommendations, but line managers retain formal authority and decide what to do with a staff person's advice.



Organizational Structure & Charts:

Organizational Structure:- can be defined as the arrangement and interrelationship of the component parts and positions of a company. It is the established pattern of relationships among different components or parts of the organization. There are different forms of organizational structure: - line / military, functional organization line & staff.

Organizational Charts:- are diagrams of the organizational structure, showing the functions, departments, or positions of the organization and how they are related.

Organizational Manual:- is the description of the organizational chart, and is designed to promote, understanding of the basic organizational structure by means of descriptions of the various jobs that may be listed only by title on the charts.

CHAPTER FIVE

Staffing

Definition:

The managerial function of staffing is defined as filling and keeping filled positions in the organizational structure through identifying work-force requirement, inventorying the people available recruiting, selecting, placing, promoting, appraising, compensating the training and/or developing both candidates and current job holders to accomplish their tasks effectively and efficiently.

Staffing processes:

The staffing process represents the following eight activities or steps:

1. Human resource planning /Man power planning/;
2. Recruitment;
3. Selection;
4. Orientation and Induction;
5. Training and Development;
6. Performance Appraisal;
7. Transfer; and [Promotion, demotion, lateral transfer)
8. Separation

1) Human Resource Planning /Man power planning/:

It is the process of determining the need of the right man at the right time to the right job. It is the process of determining the need of the provision of adequate human resources to the job in the organization. It is designed to ensure that the personnel need of the organization will be constantly and appropriately met. It is accomplished through analysis of

- (i) Internal factors such as current and expected skill needs, vacancies, and departmental expansions and reductions; and
- (ii) External environmental factors such as the labor market, the government regulation, the labor union; etc

As a result of this analysis, plans are developed for executing the other steps in the staffing process. This helps an organization to determine the need of employees for short term or for long term.

There are four basic steps in human resource planning:

- a. Planning for future needs. How many people with what abilities will the organization need to remain in operation for the foreseeable future?
- b. Planning for future balance. How many people presently employed can be expected to stay with the organization? The difference between this number and the number the organization will need leads to the next step.
- c. Planning for recruiting and selecting or for lay off. How can the organization attain the number of people it will need?
- d. Planning for development. How should the training and movement of individuals within the organization be managed so that the organization will be assured of a continuing supply of experienced and capable personnel?

The organizational internal environment (such as its strategic plan) as well as its external environmental will broadly define for managers the limits within which their human resource plan must operate. Once these broad limits have been established, managers can begin to compare their future personnel needs against the existing personnel situation in order to determine what recruitment, training and development procedures they will need to follow. The fact that the internal and external environments of an organization change means that managers must monitor these environments to keep their human resource plan up to date.

The central elements in human resource planning are forecasting and the human resource audit. Forecasting attempts to assess the future personnel needs of the organization. The human resource audit assesses the organization's current human resources. These two elements give managers the information they need to plan the other steps in the staffing process, such as recruiting and training.

2) Recruitment:

It is the process of reaching out and attempting to attract potential candidates who are capable of and interested in filling available positions of an organization. It is concerned with developing a pool of job candidates, in line with the human resource plan. It is an intermediary activity between manpower planning on the one hand, and selection of employees on the other hand.

An important part of the recruiting process is developing a written statement of the content and the location (on the organization chart) of each job. This statement is called the job description or position description. This statement lists the title, duties and responsibilities for that position. Once this position /job description has been established/determined and accompanying hiring or job specification, which defines the background, experience, and personal characteristics an individual must have in order to perform effectively in the position, is developed.

• Sources of Recruitment:

Sources of supply are the places, agencies, and institutions to which recruiters go to seek potential candidates that will fill the vacant positions or the job needed. These sources of supply are generally categorized in to two.

- (i) **Internal Recruitment** / recruitment from within: this involves recruitment within the organization; it could be through promotion lateral transfer, demotion or any therefrom.

Advantage:

- It is usually less expensive to recruit or promote from within than to hire from outside the organization.
- It may foster loyalty and inspire greater effort among organization members.
- Individuals will already be acclimated to the organization and may therefore need less initial training and orientation.

Disadvantage:

- It limits the pool of talent available to the organization.
- (ii) **External /outside/ recruitment:** It involves recruitment outside the organization. The major alternative sources are:
- a. Direct application
 - b. Employee referrals /word of mouth/
 - c. Advertising
 - d. Educational institutions
 - e. Private/public employment agency
 - f. Other sources such as professional associations

3) Selection:

- It can be defined as the process of determining from among applicants WHICH ONE FILLS BEST for the job description and specification which is offered to the job within the organization. It involves evaluating and choosing among job candidates. The role of recruiting is to locate job candidates; the role of selection is to evaluate each candidate and pick the best one for the position available. Application forms, resumes, interviews, employment & skill tests, and reference checks are the most commonly used aids in the selection process.
- Selection is the mutual process whereby the organization decides whether or not to make a job offer and the candidate decides on the acceptability of the offer.

4) Orientation and socialization /induction/

It is designed to provide a new employee with the information he/she needs in order to function comfortably and effectively in the organization. Typically, socialization will convey three types of information. (i) General information about the daily work routine;

- (ii) a review of the organization's history, purpose, operations, and products or services, and how the employee's job contributes to the organization's needs, and
- (iii) a detailed presentation, perhaps in a brochure, of organization's policies, work rules, and employee benefits.

5) Training and Development:

Organizing human resources is a dynamic activity. Job demands change, which requires altering and updating an employee's skills. Therefore, managers are involved in deciding when their subordinates may be in need of training. Thus, training is a process designed to maintain or improve current job performance; development is a process designed to develop skills necessary for future work activities.

Reasons for Training:

- to orient new employees:** while schools and training institutions provide general education in many skills new employees require additional training to acquaint them with specific situation of the organization and the job.
- To improve performance:** training will help to improve performance by increasing productivity, improving quality, reducing turnover, reducing labor cost, etc.
- To maintain current performance:** sometimes individuals holding a position or doing a job may get obsolete so training these employees will help to maintain current performance.

Training Methods:

There are two different types of training techniques.

(i) On-the-job training

(ii) Off-the-job training

- (i) **On-the-job training:** involves learning methods and techniques by actually doing a job (performing the work) and increasing the levels of skills of the employee. The employee usually learns under the supervision of the immediate boss or co-worker who has greater knowledge and skills about the job. It is widely used, because it is economic and convenient; and no special facilities, equipment and training places are required and the employee produces and contributes to the organizational objective and at the same time he learns job rotation and job instruction methods are few of the techniques used in on the job training. It is convenient for small number of trainees. Some of its disadvantages are:
- it creates disinterest of employees, employees have dual responsibility, & it is not convenient for large number of employees.

- (ii) **Off-the-job training:** This technique involves participation of employees in a series of events removed from the actual performance of the organization and the work situation.

Advantages:

- It creates interest of employees: because employees are removed from their routine activities and are moved to new environment.
- It is convenient for large number of employees. (trainees)

Disadvantages:

- It is expensive- there are costs for trainers, facilities, and also the employee does not contribute during the training.
- There is a problem of transfer of knowledge from the training situation to the actual situation of the job.

Vestibule training, classroom instruction / lectures, films and simulation exercises are the more popular techniques of off-the-job training.

6) Performance Appraisal:

It is the process used to determine whether an employee is performing according to what is designed or intended. It helps to formally evaluate the adequacy of recruitment and selection and suggests whether or not the employee will need to be replaced, or trained.

The many purposes of performance appraisal can be summarized in the following key points:

- Performance appraisal should lead directly to increased productivity.
- It helps in salary administration
- It plays a vital role in determining an employee for promotion.

- Appraisals are used as a vehicle for bringing about employee development because the results of the performance evaluation can serve as a basis for coaching and counseling.
- Performance appraisal results are used extensively in human resource research.

7) Transfer:

It is a shift of a person from one job, organization level, or location to another. The transfer may be a promotion, demotion, or a shift to another same level position /lateral transfer./

Promotion: refers to a shift for advancement of an employee to a higher job with more employment and prestige, higher status, and higher responsibility. The possibility of advancement often serves as a major incentive for superior performance, and promotions are the most significant way to recognize such superior performance. Therefore, it is externally important that promotions be fair i.e., based on merit and free from favoritism.

Demotion: refers to a shift of an employee to a lower position in the hierarchy due to inefficiency, and incompetence to fulfill assigned tasks.

Lateral transfer: refers to the movement of an employee from one job or position to another without involving any significant change in the employment and status

Separation:

This refers to those factors that bring the termination or ceasing of the relationship between the organization and the employee. Separation may result from such factors as resignation, layoff, discharges, and retirement.

CHAPTER SIX DIRECTING/LEADING

Definition

Leading according to Kooth and Weihrich, is the process of influencing people so that they will contribute to organization and group goals. It is influencing people so that they will work willingly and enthusiastically to ward the achievement of organizational goals ultimate objectives. When we say influencing, it does not mean that coercing/forcing, imposing, suctioning or pushing people behind. It means rather-motivating people so that they contribute their maximum effort for the achievement of organizational goal.

Leading/Directing is that part of management function which actuates the organization members to work efficiently and effectively for the attainment of organizational objectives. Planning, organizing, and staffing are merely preparations for doing the work, and the work actually starts when managers start performing the directing function. Directing is the interpersonal aspect of management, which deals directly with influencing, guiding, supervising, and motivating the subordinates for the accomplishment of the per determined objectives.

Directing is a challenging function of management, because it deals with the human element of the organization, which represents a complex of forces about whom not much is known. A person's beliefs, hopes, ambitions, behavior, satisfaction, and interaction with other persons are all involved in the directing process.

Elements of Directing Leading

There are three elements of directing that helps managers to influence people to contribute willingly for the achievement of organizational goal. These are:

- (a) Motivation
- (b) Leadership
- (c) Communication

A) MOTIVATION

- Motivation refers to the forces to a person that arouse enthusiasm and persistence to pursue a certain course of action. It means stimulating people to action through incentives or inducements

The study of motivation helps managers understand what prompts people to initiate action, what influences their choice of action, and why they persist in that action over time.

- People have basic needs such as for food, achievements or monetary gain that translate into an internal tension that motivates specific behaviors with which to fulfill the need. To the extent that the behavior is successful, the person is rewarded in the sense that the need is satisfied. The reward also informs the person that the behavior was appropriate and can be used again in the future.

Rewards are of two types

- a. Intrinsic reward - the satisfaction a person receives in the process of performing a particular action. The completion of a complex task may bestow a pleasant feeling of accomplishment, or solving a problem that benefits others may fulfill a personal mission.
- b. Extrinsic rewards - given by another person, typically the manager, and include promotion and pay increases.

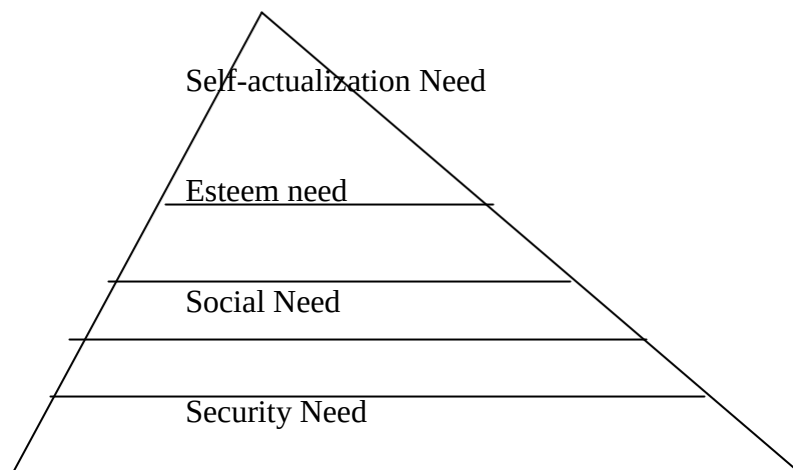
THEORIES OF MOTIVATION

The following are some of the basic theories of motivation:

Hierarchy of Needs Theory (Abraham Maslow)

It proposes that humans are motivated by multiple needs and that these needs exist in hierarchy order:

1. Physiological needs - the need for food, water air & sex
2. Safety needs - the need for security & safety
3. Belongingness/Social needs - the need for friendship, interaction and love
4. Esteem needs - the need for respect & recognition
5. Self-actualization needs - the ability to reach one's potentials.



This theory is based on

1. Only an unsatisfied need can influence behavior; a satisfied need is not a motivator.
2. A person's needs are arranged in a priority order of importance. The hierarchy goes from the most basic needs to the best complex.
3. A person will at least minimally satisfy each level of need before feeling the need at the next level.

4. If need satisfaction is not maintained at any level, the unsatisfied need will become a priority once again. For example, for a person who is presently feeling social needs, safety will become a priority once again if he or she is fired.

The two-Factor Theory (Herzberg 1975)

The findings of the two factor theory suggested that the work characteristics associated with dissatisfaction are quite different from those pertaining to satisfaction which prompted the notion that two factors influence work motivation. These factors are hygiene factors and motivation factors.

Hygiene factors (salary, job security, working conditions, status; Company policies; quality of technical supervision and quality of interpersonal, relationships among peers, supervisors, and subordinates) are the primary elements involved in job dissatisfaction. When present in sufficient quality, they have no effect; when absent, they can lead to job dissatisfaction. Motivation factors (achievement, recognition, responsibility, advancement, the work itself, and possibility of growth) are the primary elements involved in job satisfaction. When present, they can stimulate personal and psychological growth.

Theory X and Theory Y (Douglas McGregor 1960)

Theory X is a philosophy of management with negative perception of subordinates potential for work and attitudes toward work. It assumes that subordinates dislike work, are poorly motivated, and require close supervision. A manager with these beliefs tends to control the group, use negative motivation, and refuse to delegate decision-making.

Theory Y is a philosophy of management with a positive perception of subordinates' potential for and attitudes toward work. It assumes that subordinates can be self-directing, will seek responsibility and find work as natural as play or rest. The outcome of this belief is a manager who encourages people to seek responsibility, involves people in decision making and work with people to achieve their goals.

The important point about theory X and theory Y is that a management philosophy influences the type of work climate the manager endeavors to create and ultimately, how the manager treats people.

B) LEADERSHIP

Leadership is the process of influencing individuals and groups to set and achieve goals. It is an act of influencing and motivating people to perform certain tasks to achieve organizational objectives. Thus, an effective leader is expected to have adequate knowledge of human behavior, including the ability to persuade and motivate people and communicate with them properly.

Definition

- a) "The art or process of influencing people so that they will strive willingly and enthusiastically towards the achievement of group goals."
- b) "Leadership is the ability to secure desirable actions from A group of followers voluntarily without the use of coercion."
- c) "The process of directing & inspiring workers to perform the task related activities of the group."

People should be encouraged to develop not only willingness to work, but also willingness to work with zeal and confidence.

In short leadership involves,

- .. Influencing and interacting with people to attain goals.
- .. Related to a particular situation at a given point of time and a specific set of circumstances.
- .. By accepting the willingness, followers will make the leadership process possible.

THEORIES OF LEADERSHIP

1. The trait theory of leadership:-

Traits are inborn and inherent personal qualities of individuals. This theory believes leaders possess certain specific inborn traits, which are inherited rather than acquired. It has a root from "**the great man theory**" dating back to the ancient Greeks & Romans time, holds that leaders are born not made.

The trait theory studies focused on the personal traits of leaders and attempted to identify a set of individual characteristics that distinguished leaders from followers' also successful leaders from unsuccessful ones. In general the trait theory hasn't been a fruitful approach to explain leadership.

2. The behavioral theory of leadership:-

The behavioral theory of leadership focused on what leaders do rather than their traits. Studies showed that one set of traits/leadership style might not be equally appropriate in all situations. This theory suggested that there were two distinct types of leadership which are known as task-oriented /production centered/ and employee oriented /people centered/.

3. The situational /contingency/ theory of leadership:

According to this theory, leadership is strongly affected by a situation from which a leader emerges and in which he/she works. It's a function of the leader, the followers and the situation.

It attempts to discover that the one unique set of leadership traits were largely unsuccessful. Modern management theorists are more prone to the belief that leadership is more complex; that is it can't be represented by one set of traits or by single set of behavior, thus effective leadership behavior depends on the environment or the situation.

LEADERSHIP STYLES

Managers in an organization shall relatively be consistent in the way they try to influence others behavior. The manager who dominates subordinates in one situation is not likely to use a high degree of consideration and participation in another. This behavioral pattern of leaders is known as leadership style.

It can be defined as the various patterns of behavior favored by leaders during the process of directing and influencing workers, which is determined by leaders personality, experience and value system, nature of followers and environment.

There are three important leadership styles

- a) *Autocratic*
- b) *Democratic /participate/*
- c) *Laissez-faire /free rein/*

Autocratic style - "I" approach,

Is a leadership approach in which a manager does not share decision making authority with subordinates. Autocratic managers may ask for subordinates' ideas & feedback about the decision, but the impute does not usually change the decision unless it indicates that something vital has been overlooked.

Under certain conditions, the autocratic style is appropriate. eg. During crisis & when subordinates are trainees and when there is act of insubordination.

It is also effective when managers face issues that they are best equipped to solve, create solutions, whose implementation does not depend on others & desire to communicate through orders & instructions

This leadership style is closely associated with the classical approach to management and it is characterized by the following behavioral patterns of leaders.

- “ The leader doesn't seek any opinions from subordinates, holds conflicts and with less creativity.
- “ Exercises rigid control and close supervision, relies on punishments.
- “ Subordinates typically react by doing only what's expected and by suppressing their frustration.
- “ The autocratic leader is task-oriented, gives little value on showing consideration to subordinates.
- “ Depends on one way communication downward only.

Participate (democratic) style - "We" approach

It is a leadership approach in which a manager shares decision making authority with subordinates. It involves others and lets them bring their unique viewpoints, talents & experiences to bear on an issue.

Before subordinates are made to participate in the decision making process:

- a. mutual trust & respect must exist between them & managers
- b. subordinates must be willing & trained to be competent to solve problems
- c. managers should give time & be patient to make subordinates participate.

However, limits on subordinates' participation must be clearly spelled out before hand there should be no misunderstanding about who holds authority to do what.

This leadership style is characterized by the following behavioral patterns of the leader.

- “ Allows the group members to participate in decision making process, proposed actions and encourages participation at all levels.
- “ The leader will develop two way communications and promote team sphere.

The democratic leader explains to the group members like reasons for personal decisions when necessary and objectively communicates criticism and praise to subordinates.

Free-rein style - "They" approach

It empowers individuals or groups to function on their own, without direct involvement from the managers to whom they report. The style relies heavily on delegation of authority, and works best when the parties have expert power, when participants have and know how to use the tools & techniques needed for their tasks.

Free-rein leadership works particularly well with managers & experienced professionals in engineering, design, research & sales. Such people generally resist other kinds of supervision. In most organizations managers must be able to use the decision making style that circumstances dictate. Because people & circumstance constantly change & because subordinates must be prepared to the change. The effective manager switches from one leadership style to another as appropriate.

The following are the behavioral patterns of laissez-faire leader.

- “ Laissez-faire leaders make a few attempts to increase productivity, to develop their attempts or to meet subordinates psychological needs.
- “ Use their power very little, if at all, giving subordinates a high degree of independence in their operation.
- “ These leaders maintain hands off policy where each subordinate work is clearly defined.
- “ Such leaders depend on subordinates to set their own goals and the means of achieving them, and they see their role as one of aiding the operations of followers by furnishing them information and acting primarily as a contact with the groups external environment.

The laissez-faire leader has little or no self-confidence in his/her leadership ability, sets and goals for the group and minimizes communication and group interaction.

COMMUNICATION

Communication is the tool in which we exercise to influence others, bring about changes in the attitudes and views of our associates, motivate them, establish and maintain relations with them. Without communication there would be no interaction between persons.

Definition:

- "Communication is the transfer of information from one person /sender/ to another person /receiver/ to achieve goals."
- "It's a process consisting of a sender transmitting a message through media to a receiver who respond"

Importance of Effective Communication

Effective communication is important to managers for three primary reasons.

- “ Communication provides a common thread for the management processes of planning, organizing, leading, and controlling.
- “ Effective communications skills can enable managers to draw on the vast array of talents available in the multicultural world of organizations.

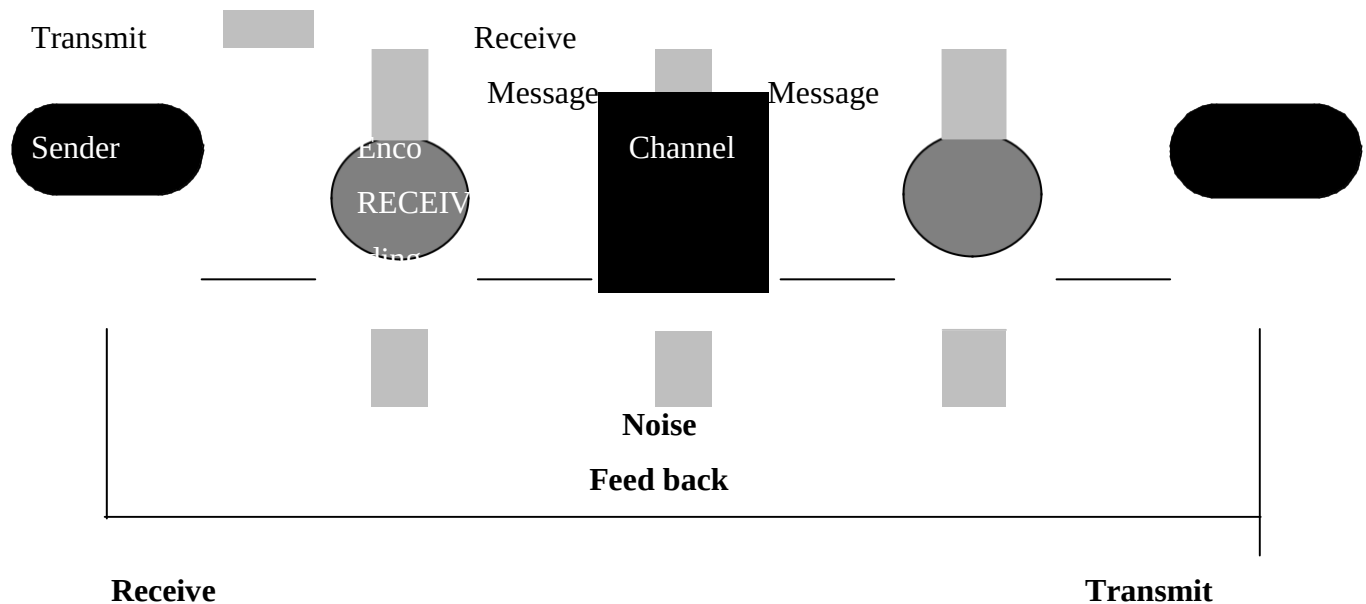
- Managers spend a great deal of time by communicating face-to face, electronic or telephone communication with employees, supervisors, suppliers or customers.

The Communication Process

Communication takes place in the relationship between a sender and a receiver.

It can flow in one direction and ends there.

A model of the communication process:



a) **Sender:**

The sender/source of message initiates the communication. In an organization the sender will be a person with information, needs or desires and a purpose for communicating them to one or more other people.

b) **Receiver:**

The person whose senses perceive the sender's message. There may be a large number of receivers, as when a memo is addressed to all members of an organization or there may be just one, as when one discusses something privately with a colleague.

c) **Encoding:**

It takes place when the sender translates the information to be transmitted into a series of symbols.

d) **Decoding:**

The process by which, the receiver interprets the message and translates it into meaningful information. It's a two-step process.

e) **Channel:**

The formal medium of communication between a sender and a receiver.

f) **Noise:**

Any factor that disturbs confuses or interferes with communication. Noise can arise along what is called the communications channel or method of transmission.

g) Message:

The encoded information sent by the sender to the receiver.

h) Feed back:

It's the response of the receiver to the sender, also passes through the same process.

Communication can be

i) Formal Communication

- | | | |
|-----------------------------------|---|-------------------------------|
| a) Downward communication | ⇒ | Messages from higher |
| authority levels to lower levels. | | |
| b) Upward communication | ⇒ | Messages from subordinates to |
| supervisors and to higher levels. | | |
| c) Horizontal communication | ⇒ | That flows between persons of |
| equal status in the organization. | | |
| d) Vertical communication | ⇒ | May be downward or up word |
| communication. | | |

ii) Informal Communication

- * Grapevine.
- * Gossip, etc.

CHAPTER SEVEN

CONTROLLING

In the series of managerial functions, planning is the first function and controlling is the last. Success in business is very often proportionate to the astuteness of its planning and the skill with which it is controlled. Plans can be effectively achieved in most organizations only with good controls, and planning is always pre-requisite for controlling. Planning seeks to set goals and programs and control seek to secure performance in accordance with plans.

Definition

- a) According to Koontze and O'donnell,, "The managerial function of control is the measurement and correction of the performance of activities of subordinates in order to make sure that enterprise objectives and the plans devised to attain them are being accomplished. It's thus the function of every manager, from the chief executive to the Forman."
- b) "Controlling is the process by which management sees if what did happen was what was supposed to happen. If not, necessary adjustments are made." Moore.

An analysis of the foregoing statements regarding control brings out the controlling function of management.

i) Planning is the foundation of control:

Planning sets the course, control observes deviations from the course, and takes corrective action.

ii) Action's the essence of control:

Control terminates in taking corrective action where there is a deviation in performance from the desired goals.

iii) Delegation is the key to control:

Control is exercised by taking action, and action can be taken within the authority delegated. Accountability must be within the authority given to the manager.

iv) Information is the guide to control:

Control exercised by a manager on the basis of the information and reports from those actively doing the job. Such reports and information may be described as "feed-back" from subordinates. Feedback enables the manager to determine how far the operations.

THE CONTROL PROCESS

In controlling process there are three steps,

1. *Setting standards*
2. *Measurement of performance*
3. *Taking corrective action*

1) Setting Standards:

Standards may be tangible or intangible. Greater emphasis should be laid on tangible standards. The standards in tangible terms may be in terms of output, costs, profit, time persons available for training etc. intangible terms standards may be for the results to be expected from a training program, employee morale, advertising campaign, etc.

Organizations create standards to help measure and monitor both productivity and quality efforts. People and processes are governed by qualitative and quantitative standards. An organization uses these standards to teach, train, and evaluate organizational performance.

2) Measurement of Performance and comparing it against standards

An organization measures actual performance of people and processes to ascertain if they are functioning according to plans and expectations. After it has been measured it will be compared against the established standards.

2) Taking Corrective Actions

As soon as the deviations are reported, it is the duty of the manager concerned to take steps to correct the past action or at least to bring similar action closer to the standards in future. When significant deviations from established standards occur, the organization must determine the cause by identifying the nature and scope of the problem

TYPES OF CONTROLLING

Controlling can be feedforward, concurrent or feedback controls.

1. Feedforward controls are preventive in nature. They are created to screen out possible causes of problems. Procedures and training can be preventive as well as remedial.
2. Concurrent controls monitor on going operations as they occur in real time, allowing for instant reactions and the spotting of trends.

3. Feedback controls are after action controls. Inspecting output after an operation has been performed and soliciting customer feedback are examples of after-action control.

All the three types of controls are important to managers and their organizations. When designed and used properly, they can prevent, identify, and correct deviations from established standards.



ARBA MINCH UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF MANAGEMENT

Introduction to Management Questions

1. What is the definition of strategy?
 - A. A long-term plan of action to achieve a goal or set of goals
 - B. Sustained competitive advantage over rivals in order to maximize profits
 - C. A flexible guide for directing and coordinating an organization's activities
 - D. Execution of plans that increase shareholder value
2. What is meant by the term "corporate governance"?
 - A. The different processes, customs, policies, laws, and institutions that affect how a company or other organization is directed and managed
 - B. The process and practices by which a board of directors exercises its legal duties and responsibilities on behalf of shareholders
 - C. The systems through which stakeholders influence and control business operations
 - D. A practice used to help companies meet their goals more efficiently and effectively
3. Which type of organizational structure has functions grouped together based on common activities or skills?
 - A. Product-based
 - B. Geographic-based
 - C. Hybrid
 - D. Functional-based
4. When evaluating job candidates, what should HR managers assess first when making hiring decisions?
 - A. Education level
 - B. Work experience
 - C. Interview performance
 - D. Background checks
5. What is the definition of Management?
 - A. The process of utilizing organizational resources to reach predetermined objectives
 - B. The act of scheduling and coordinating the activities of others to achieve specific goals
 - C. The practice of making informed decisions involving the efficient use of resources
 - D. The art of motivating people to accomplish a desired outcome

6. What is the main purpose of management?
 - A. Maximize profits
 - B. Monitor performance
 - C. Ensure efficiency
 - D. Increase productivity
7. What management theory states that workers have only economic concerns?
 - A. Theory X
 - B. Theory Y
 - C. Scientific Management
 - D. Human Relations Theory
8. Which type of management structure does each employee report directly to one manager?
 - A. Hierarchical Structure
 - B. Team Structure
 - C. Holacratic Structure
 - D. Flat Organization Structure
9. What is the most important skill for a successful manager?
 - A. Communication Skills
 - B. Problem Solving Skills
 - C. Listening Skills
 - D. Team Building Skills
10. The most important function of management is:
 - A. Human Resources
 - B. Planning
 - C. Budgeting
 - D. Sales and Marketing
11. Which of the following defines management?
 - A. Making decisions while leading a group towards its goals
 - B. Following a set plan in order to successfully reach objectives
 - C. Delegating responsibility to others and overseeing their performance
 - D. Setting an example by being organized and staying on top of tasks

12. What is the main difference between strategic and operational planning?
- A. Strategic planning focuses on short-term plans, whereas operational planning focuses on long-term goals
 - B. Strategic planning sets goals for individual departments, whereas operational planning sets overall company objectives
 - C. Strategic planning relies on a well-defined process, whereas operational planning does not have a defined process
 - D. Strategic planning is used to create policies, whereas operational planning involves setting budgets and timelines
13. What types of tasks should be delegated to employees in order to improve productivity?
- A. Regular daily tasks that are routine and low complexity
 - B. Decisions on how best to use resources such as time and money
 - C. Assigning tasks to different departments as needed
 - D. Setting standards for performance evaluation for teams or individuals
14. What is the best way to make a decision?
- A. Weighing possible options
 - B. Taking advice from others
 - C. Going with your gut feeling
 - D. Making a random choice
15. Which of the following is not a core function of management?
- A. Negotiation
 - B. Decision-Making
 - C. Supervision
 - D. Planning
 - E. Teaching
 - F. Advertising
16. What competencies does a successful manager need to possess?
- A. Decision-making
 - B. Planning

- C. Critical thinking
 - D. All of the above
-
- 17. When delegating responsibilities, why is it important to assign tasks that are:
 - A. Complex enough to challenge and engage an employee
 - B. Basic in nature requiring minimal training and guidance
 - C. Any task that can be quickly completed with minimal effort
 - D. None of the above
 - 18. What factor should not be considered when selecting someone for managerial position:
 - A. Ability to handle authority and responsibility
 - B. Previous experience in managing teams or projects
 - C. Personality type or characteristics
 - D. Educational background
 - 19. When making decisions, what is the most important thing for a manager to consider?
 - A. The opinion of relevant stakeholders and team members
 - B. The cost or budget implications of the decision
 - C. Potential impact on company image, reputation or brand
 - D. The potential personal downside if things go wrong
 - E. None of the above
 - 20. What are the different types of management activities?
 - A. Planning
 - B. Organizing
 - C. Leading
 - D. Decision-Making
 - E. All of the above
 - 21. What is the role of a manager?
 - A. To coordinate and direct resources to achieve objectives
 - B. To motivate staff
 - C. To facilitate communication between departments

- D. All of the above
22. What strategy can be used when addressing a complex problem?
- A. Brainstorming
 - B. Six Sigma
 - C. SWOT Analysis
 - D. All of the Above
23. Which of the following is a sign of a successful manager?
- A. Effective goal setting
 - B. Ability to motivate staff
 - C. Setting expectations for team members
 - D. All of the above
24. What are six primary functions of management?
- A. Communication, Leadership, Planning, Organization, Coordination and Control
 - B. Analysis, Strategizing, Organization, Monitoring, Supervision and Budgeting
 - C. Influencing, Directing, Coaching, Facilitation, Intervening and Consulting
 - D. Delegation, Motivation, Controlling, Evaluation and Termination
25. Which of the following should be a priority when leading a team?
- A. Establishing clear expectations
 - B. Being friendly to everyone on the team
 - C. Focusing on individual goals only
 - D. Being demanding with other people's time
26. How does an effective manager communicate with his/her team?
- A. Clearly and regularly
 - B. Quickly and succinctly
 - C. Narrowly and intensely
 - D. D Randomly and sporadically
27. What should be included in an effective performance review process?
- A. Positive feedback and constructive criticism

- B. Instructions for improvement areas that need to be addressed
 - C. Employee input on their own performance
 - D. All of the above
28. What is the function of a manager?
- A. Make decisions
 - B. Supervise employees
 - C. Lead teams
 - D. All of the above
29. What is an example of planning in management?
- A. Developing an organizational budget
 - B. Creating a staffing plan
 - C. Implementing recruitment strategies
 - D. All of the above
30. Organizing means:
- A. Gathering and analyzing data
 - B. Assigning tasks to team members
 - C. Arranging resources in efficient ways
 - D. All of the above
31. Controlling involves:
- A. Defining goals and objectives
 - B. Monitoring performance
 - C. Taking corrective action when needed
 - D. All of the above
32. For effective decision-making, managers need:
- A. Appropriate skills and techniques
 - B. Good judgment
 - C. Access to up-to-date information
 - D. All of the above

PRINCIPLES OF MARKETING
COURSE CODE: MGMT 2121
CREDIT HOUR: 5ECTS



BY:

Asfaw Gidey (MA)
Wudie (MA)

Introduction to the Module

Dear learner, we welcome you to the course principles of marketing. One important reason for learning about marketing is that marketing affects almost every aspects of your daily life. All the goods and services you buy, the stores where you shop, and the radio and TV programs paid for by advertising are there because of marketing. Even your job resume is part of a marketing campaign to sell yourself to some employer! Some courses are interesting when you take them but never relevant again once they are over. Not so with marketing – you will be a consumer dealing with marketing for the rest of your life.

Another reason for studying marketing is that you –as a consumer –pay for the cost of marketing activities. In advanced economies, marketing cost about 50 cents of each consumer dollar. For some goods and services, the percentage is much higher.

Still another reason for studying marketing is that there are many exciting and rewarding career opportunities in marketing. Marketing is often the route to the top.

Marketing is "the total of activities involved in the transfer of goods from the producer or seller to the consumer or buyer, including advertising, shipping, storing, and selling."

An alternate definition paraphrased from memory of an introductory business text is:

Marketing is all activities conducted to prepare for sales. **Sales** are all activities required to close the deal. Shipping and customer satisfaction would be included in sales to avoid the customer from reversing or unclosing the deal.

Thus Marketing can be categorized as a branch of business as well as a social science. We buy goods (thus becoming the buyer/consumer) from a vendor (or producer/seller), creating a transaction. In the past, marketing involved traveling salesmen, while in modern times, marketing is more likely to involve television, the internet, and other forms of media bombardment.

As we progress in this age of technology it is vital for us to understand marketing and its place in the world. Understanding and applying the principles will be beneficial to the businessperson and the layperson.

Generally, the module is organized into two broad parts and five chapters. The first part will introduce you with the basics of marketing and the marketing environment. In the second part you will learn consumer buying behavior, segmentation and finally the marketing mix elements.

CHAPTER ONE

1. An overview of marketing and marketing management

1.1 Defining Marketing

What is marketing? Traditionally many people understand the term marketing as selling. Nevertheless, selling is one of the important tips of marketing functions. Understanding marketing in a modern sense goes to delivering superior customer value in a profitable manner. Different definition of marketing might arise from various perspectives. However, all have one common marketing key concept, “**meeting customer need**”. According to American Marketing Association, marketing is a set of processes for creating, communicating and delivering value to customers and for managing customer relationships in way that benefit for the organization and its stakeholder. Marketing is social and managerial process. The social and managerial definitions of marketing also address the customer need as a center of marketing.

Social definition states marketing as a societal process by which individuals or groups obtain what they need and want through creating, offering and freely exchanging products and services of value with other. As a managerial definition, Peter Drucker, a leading management theorist, defines marketing as knowing and understanding the customer so well that the product or service fits them and sells itself.

Therefore, at its very core are the customer and his or her satisfaction. The marketing concepts and philosophies states that the organization should strive to satisfy its customers' wants and needs while meeting the organization's goals. In simple terms, “the customer is king.”

What is marketing management?

Marketing management is “the art and science of choosing target markets and building profitable relationships through creating, delivering and communicating superior customer value. Marketing management is the conscious effort to achieve desired exchange outcomes with target markets. The marketer’s basic skill lies in influencing the level, timing, and composition of demand for a product, service, organization, place, person, idea, or some form of information.

It can also be defined as the analysis, planning, implementation and control of programs designed to create, build and maintain beneficial exchanges with target buyers for the purpose of achieving organizational objectives. Thus, marketing management involves managing demand, which in turn involves managing customer relationships.

Marketing management is the process of planning and executing the conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational goals. “The American Marketing Association”

1.3 The Core Marketing Concepts

The understanding of marketing requires understanding and knowing the basic ideas for the foundation of marketing. The following are some of the essential/central marketing concepts.

❖ **Need, Want and Demand**

Something which very basic in marketing philosophy is how to understand the difference between needs, wants and demands.

Need: *A state of felt deprivation.*

They include basic: Physical needs - food, clothing, warmth and safety;

Social needs - belongings and affection;

Individual needs- self-expression and knowledge

Want: *The form taken by a human need as shaped by culture and individual personality.* Wants are shaped by culture and individual personality. If want is not fulfilled it is possible to survive but not demand.

Demand: *Human wants that are backed by buying power.*

Human want to choose products that provide the most value and satisfaction for their money.

When backed by buying power, wants become demands.

Wants are often distinguished from needs. A need is something that is necessary for survival (such as food and shelter), whereas a want is simply something that a person would like to have. Wants are shaped by the culture of the society. It is why people in America thinking eat Hamburger and people in Ethiopia eat Enjera. Demand occurs when wants backed with the purchasing power of the people in the market. Consumer demand is a want for a specific product supported by an ability and willingness to pay for it.

For instance, when we hungry we need something to eat to make our self stay alive, it is food.

But, we Ethiopians think about Enjera or bread and people in America think about Hamburger.

When you think about to eat Enjera you start calculating how much you have to spend for that

Menu in one of the restaurant. NEED is need for something to eat and thinking of Enjera or

Hamburger is WANTS. When wants has to negotiate with the resources you have or the ability regarding financial issues, its call DEMAND. Marketer jobs is to manipulate this three concept

to make them deliver competitive product to satisfy the needs of target market and profitable to

the company. They are core marketing concept because marketer exists to serve the target market needs, wants and demands in a profitable way.

❖ Marketing Offerings and Brand

People satisfy their needs and wants with marketing offerings. An offering is anything of value that can satisfy a need or want. It can be the combination of 10 basic entities that marketers offer to the market like goods, services, experiences, events, persons, places, properties, organizations, information, and ideas.

❖ Value and Satisfaction

In terms of marketing, the product or offering will be successful if it delivers value and satisfaction to the target buyer. The buyer chooses between different offerings on the basis of which is perceived to deliver the most value. We define value as a ratio between what the customer gets and what he gives. The customer gets benefits and assumes costs, as shown in this equation:

$$\text{Value} = \frac{\text{Benefits}}{\text{Costs}} = \frac{\text{Functional benefits} + \text{Emotional benefits}}{\text{Monetary costs} + \text{Time costs} + \text{Energy costs} + \text{Psychic costs}}$$

Based on this equation, the marketer can increase the value of the customer offering by doing one of the following

- (1) Raising benefits,
- (2) Reducing costs,
- (3) Raising benefits and reducing costs,
- (4) Raising benefits by more than the raise in costs, or
- (5) Lowering benefits by less than the reduction in costs.

Customer satisfaction depends on product's perceived performance in delivering value relative to a buyer's expectations. If the product's performance falls short of the customer's expectations, the buyer is dissatisfied. If performance matches expectations, the buyer is satisfied. If performance exceeds expectations, the buyer is delighted. Outstanding marketing companies go

out of their way to keep their customers satisfied. Satisfied customers make repeat purchases, and they tell others about their good experiences with the product. The key is to match customer expectations with company performance. Smart companies aim to delight customers by promising only what they can deliver, then delivering more than they promise.

❖ **Exchange, Transactions and Relationships**

Marketing occurs when people decide to satisfy needs and wants through exchange. Exchange is the act of obtaining a desired object from someone by offering something in return. Exchange is only one of many ways people can obtain a desired object. It is the core concept of marketing. For an exchange to take place, several conditions must be satisfied. For exchange potential to exist, five conditions must be satisfied:

1. There should be at least two parties.
2. Each party has something that might be of value to the other party.
3. Each party is capable of communication and delivery.
4. Each party is free to accept or reject the exchange offer.
5. Each party believes it is appropriate or desirable to deal with the other party.

Whether exchange actually takes place depends upon whether the two parties can agree on terms that will leave them both better off (or at least not worse off) than before. Exchange is a value creating process because it normally leaves both parties better off.

Note that exchange is a process rather than an event. Two parties are engaged in exchange if they are negotiating; trying to arrive at mutually agreeable terms. When an agreement is reached, we say that a transaction takes place. A **transaction** involves at least two things of value, agreed upon conditions, a time of agreement, and a place of agreement. Usually a legal system exists to support and enforce compliance among transactions. However, transactions do not require money as one of the traded values. A barter transaction, for example, involves trading goods or services for other goods or services.

Note also that a transaction differs from a transfer. In a **transfer**, **A** gives a gift, a subsidy, or a charitable contribution to **B** but receives nothing tangible in return. Transfer behavior can also be understood through the concept of exchange.

Transaction marketing is part of a larger idea of **relationship marketing**. Beyond creating short-term transactions, marketers need to build long term relationships with valued customers,

distributors, dealers, and suppliers. Ultimately, a company wants to build a unique company asset called a marketing network (the company and all its supporting stakeholders). The goal of relationship marketing is to deliver long-term value to the customer and thereby secure customer satisfaction and retention of patronage.

❖ **Markets**

The concept of exchange leads to the concept of a market. A market is the set of actual and potential buyers of a product. These buyers share a particular need or want that can be satisfied through exchange. Thus, the size of a market depends on the number of people who exhibit the need, have resources to engage in exchange, and are willing to offer these resources in exchange for what they want.

What is marketed?

Marketing people are involved in marketing 10 types of entities: goods, services, experiences, events, persons, places, properties, organizations, information, and ideas.

- **Goods:** Physical goods constitute the bulk of most countries' production and marketing effort. The United States produces and markets billions of physical goods, from eggs to steel to hair dryers. In developing nations, goods particularly food, commodities, clothing, and housing are the mainstay of the economy.
- **Services:** As economies advance, a growing proportion of their activities are focused on the production of services. The U.S. economy today consists of a 70–30 services-to-goods mix. Services include airlines, hotels, and maintenance and repair people, as well as professionals such as accountants, lawyers, engineers, and doctors. Many market offerings consist of a variable mix of goods and services.
- **Experiences:** By orchestrating several services and goods, one can create, stage, and market experiences. Walt Disney World's Magic Kingdom is a good example of an experience.
- **Events:** Marketers promote time-based events, such as the Olympics, trade shows, sports events, and artistic performances.
- **Persons:** Celebrity marketing has become a major business. Artists, musicians, CEOs, physicians, high-profile lawyers and financiers, and other professionals draw help from celebrity marketers.

- **Places:** Cities, states, regions, and nations compete to attract tourists, factories, company headquarters, and new residents. Place marketers include economic development specialists, real estate agents, commercial banks, local business associations, and advertising and public relations agencies.
- **Properties:** Properties are intangible rights of ownership of either real property (real estate) or financial property (stocks and bonds). Properties are bought and sold, and this occasions a marketing effort by real estate agents (for real estate) and investment companies and banks (for securities).
- **Organizations:** Organizations actively work to build a strong, favorable image in the mind of their publics. Philips, the Dutch electronics company, advertises with the tag line, “Let’s Make Things Better.” The Body Shop and Ben & Jerry’s also gain attention by promoting social causes. Universities, museums, and performing arts organizations boost their public images to compete more successfully for audiences and funds.
- **Information:** The production, packaging, and distribution of information is one of society’s major industries. Among the marketers of information are schools and universities; publishers of encyclopedias, nonfiction books, and specialized magazines; makers of CDs; and Internet Web sites.
- **Ideas:** Every market offering has a basic idea at its core. In essence, products and services are platforms for delivering some idea or benefit to satisfy a core need.

1.4 Marketing Management Philosophies

We describe marketing management as carrying out tasks to achieve desired exchanges with target markets. What philosophy should guide these marketing efforts? What weight should be given to the interests of the organization, customers and society? Very often these interests are in conflict. Invariably, the organization's marketing management philosophy influences the way it approaches its buyers.

There are five alternative concepts under which organizations conduct their marketing activities: the production, product, and selling, marketing and societal marketing concepts.

1. The Production Concept

The production concept holds that consumers will favor products that are available and highly affordable, and that management should therefore focus on improving production and distribution efficiency. This concept is one of the oldest philosophies that guide sellers.

The production concept is a useful philosophy in two types of situation. The first occurs when the demand for a product exceeds the supply. Here, management should look for ways to increase production. The second situation occurs when the product's cost is too high and improved productivity is needed to bring it down.

However, companies operating under a production philosophy run a big risk of focusing too narrowly on their own operations.

2. The Product Concept

Another important concept guiding sellers, the product concept, holds that consumers will favor products that offer the most quality, performance and innovative features, and that an organization should thus devote energy to making continuous product improvements.

A product orientation leads to obsession with technology because managers believe that technical superiority is the key to business success. The product concept also can lead to 'marketing myopia'.

3. The Selling Concept

Many organizations follow the selling concept, which holds that consumers will not buy enough of the organization's products unless it undertakes a large-scale selling and promotion effort. The concept is typically practiced with unsought goods - those that buyers do not normally think of buying, such as encyclopedias and funeral plots. These industries must be good at tracking down prospects and convincing them of product benefits.

Most firms practice the selling concept when they have overcapacity. Their aim is to sell what they make rather than make what the market wants. Thus marketing based on hard selling carries high risks. It focuses on short-term results - creating sales transactions - rather than on building long-term, profitable relationships with customers. It assumes that customers who are coaxed

into buying the product will like it. Or, if they don't like it, they may forget their disappointment and buy it again later. These are usually poor assumptions to make about buyers. Most studies show that dissatisfied customers do not buy again. Worse yet, while the average satisfied customer tells three others about good experiences, the average dissatisfied customer tells ten others his or her bad experiences.

4. The Marketing Concept

The marketing concept holds that achieving organizational goals depends on determining the needs and wants of target markets and delivering the desired satisfactions more effectively and efficiently than competitors do.

The selling concept and the marketing concept are frequently confused. The selling concept takes an *inside-out* perspective. It starts with the factory, focuses on the company's existing products and calls for heavy selling and promotion to obtain profitable sales. It focuses on customer conquest - getting short-term sales with little concern about who buys or why. In contrast, the marketing concept takes an *outside-in* perspective. It starts with a well-defined market, focuses on customer needs, co-ordinates all the marketing activities affecting customers and makes profits by creating long-term customer relationships based on customer value and satisfaction. Under marketing concept, companies produce what consumers want, thereby satisfying consumers and making profits.

In marketing led organizations, real customer focus has to work from the top down and the bottom up and it has to be totally accepted by the whole workforce. This organization wide belief ensures that customer retention becomes a priority and all staff are committed to building lasting relationships with the customer. To achieve successful implementation of the marketing concept, the organization therefore focuses on how best to tap and channel the knowledge and understanding, the motivation, the inspiration and the imagination of all staff to deliver products and services that meet exactly what the customer requires from the organization.

Many companies claim to practice the marketing concept, but do not. They have the forms of marketing - such as a marketing director, product managers, marketing plans and marketing research - but this does not mean that they are market-focused and customer-driven companies.

The question is whether they are finely tuned to changing customer needs and competitor strategies.

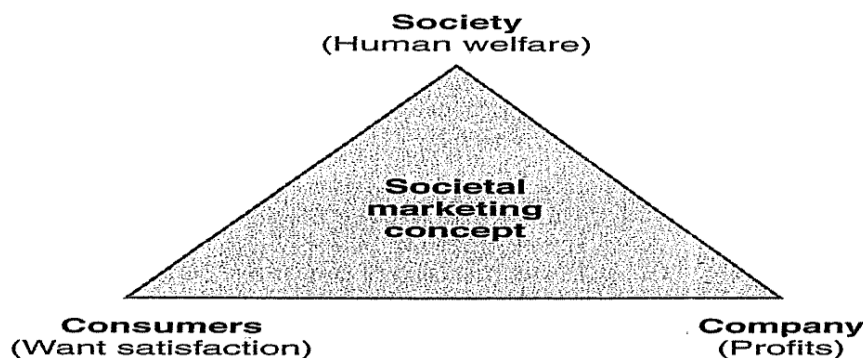
However, the marketing concept does not mean that a company should try to give all consumers everything they want. Marketers must balance creating more value for customers against making profits for the company.

5. The Societal Marketing Concept

The societal marketing concept holds that the organization should determine the needs, wants and interests of target markets. It should then deliver the desired satisfactions more effectively and efficiently than competitors in a way that maintains or improves the consumer's and the society's well-being. The societal marketing concept is the newest of the five marketing management philosophies.

The societal marketing concept questions whether the pure marketing concept is adequate in an age of environmental problems, resource shortages, worldwide economic problems and neglected social services. It asks if the firm that senses, serves and satisfies individual wants is always doing what's best for consumers and society in the long run. According to the societal marketing concept, the pure marketing concept overlooks possible conflicts between short-run consumer wants and long-run consumer welfare.

Originally, most companies based their marketing decisions largely on short-run company profit. Eventually, they began to recognize the long-run importance of satisfying consumer wants, and the marketing concept emerged. Now many companies are beginning to think of society's interests when making their marketing decisions.



Chapter Two

Marketing Environments

Introduction

Companies succeed as long as they have matched their products or services to today's marketing environment. A company's **marketing environment** consists of the actors and forces outside marketing that affect marketing management's ability to develop and maintain successful transactions with its target customers. The marketing environment offers both opportunities and threats. Successful companies know the vital importance of using their marketing research and intelligence systems constantly to watch and adapt to the changing environment. Too many other companies, unfortunately, fail to think of change as opportunity. They ignore or resist critical changes until it is almost they see their businesses incur losses, their strategies, structures, systems and culture grow increasingly out of date.

A company's marketers take the major responsibility of identifying significant changes in the environment. More than any other group in the company, marketers must be the trend trackers and opportunity seekers. Although every manager in an organization needs to observe the outside environment, marketers have two special aptitudes. They have disciplined methods marketing intelligence and marketing research for collecting information about the marketing environment. They also normally spend more time in the customer and competitor environment. By conducting systematic environmental scanning, marketers are able to revise and adapt marketing strategies to meet new challenges and opportunities in the marketplace.

The marketing environment consists of a microenvironment and a macro environment. The microenvironment consists of the forces close to the company that affect its ability to serve its customers - the company, suppliers, marketing channel firms, customer markets, competitors and

publics. The macro-environment consists of the larger societal forces that affect the whole microenvironment - demographic, economic, natural, technological, political and cultural forces. We look first at the company's microenvironment.

1.1. Internal and External Marketing environmental Elements

The marketing external and internal environments are categorized in two broad groups; these are:

1. Micro-Marketing Environment
2. Macro-Marketing Environment

1. Microenvironment

Marketing management's job is to create attractive offers for target markets. However, marketing managers cannot simply focus on the target market's needs. Their success will also be affected by actors in the company's microenvironment. These actors include other company departments, suppliers, marketing intermediaries, customers, competitors and various publics.

The microenvironment consists of five components. The **first** is the organization's internal environment—its several departments and management levels—as it affects marketing management's decision making. The **second** component includes the marketing channel firms that cooperate to create value: the suppliers and marketing intermediaries (middlemen, physical distribution firms, marketing-service agencies, financial intermediaries). The **third** component consists of the five types of markets in which the organization can sell: the consumer, producer, reseller, government, and international markets. The **fourth** component consists of the competitors facing the organization. The **fifth** component consists of all the publics that have an actual or potential interest in or impact on the organization's ability to achieve its objectives: financial, media, government, citizen action, and local, general, and internal publics.

The Company

In designing marketing plans, marketing management should take other company groups, such as top management, finance, research and development (R & D), purchasing, manufacturing and accounting into consideration. All these interrelated groups from the internal environment (see Figure 1). Top management sets the company's mission, objectives, broad strategies and policies.

Marketing managers must make decisions consistent with the plans made by top management, and marketing plans must be approved by top management before they can be implemented.

Marketing managers must also work closely with other company departments. Finance is concerned with finding and using funds to carry out the marketing plan. The R & D department focuses on the problems of designing safe and attractive products. Purchasing worries about getting supplies and materials, whereas manufacturing is responsible for producing the desired quality and quantity of products. Accounting has to measure revenues and costs to help marketing know how well it is achieving its objectives. Therefore, all of these departments have an impact on the marketing department's plans and actions. Under the marketing concept, all of these functions must 'think customer' and they should work together to provide superior customer value and satisfaction.

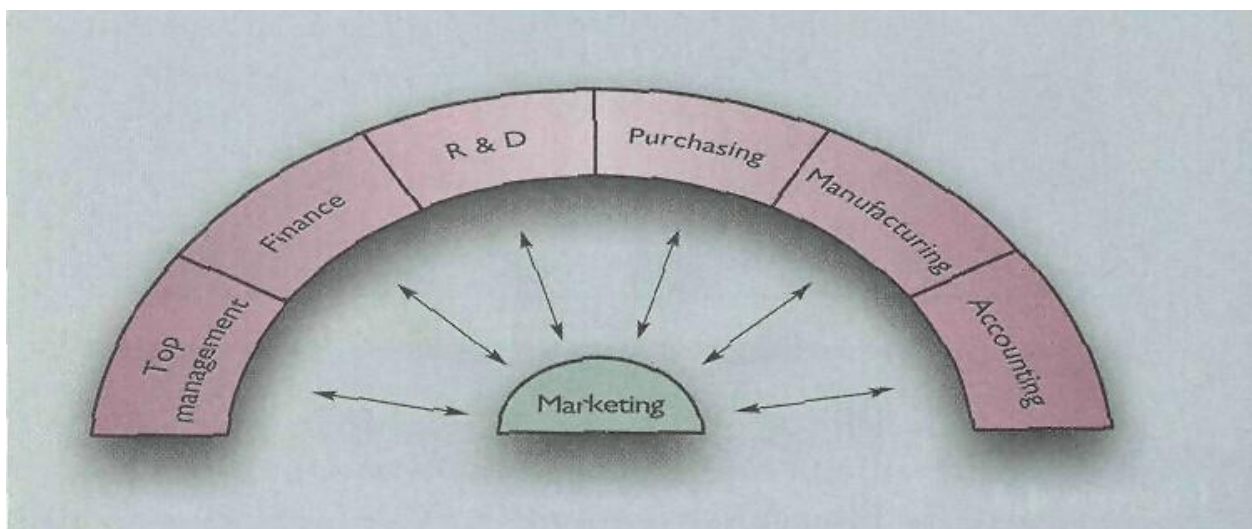


Figure 1: The Company's internal environment

Suppliers

Suppliers are an important link in the company's overall customer value delivery system. They provide the resources needed by the company to produce its goods and services. Supplier developments can seriously affect marketing. Marketing managers must watch supply availability - supply shortages or delays, labor strikes and other events can cost sales in the short run and damage customer satisfaction in the long run. Marketing managers must also monitor the price trends of their key inputs. Rising supply costs may force price increases that can harm the company's sales volume.

Marketing Intermediaries

Marketing intermediaries are firms that help the company to promote, sell and distribute its goods to final buyers. They include *resellers*, *physical distribution firms*, *marketing services agencies* and *financial intermediaries*.

- **Resellers** are distribution channel firms that help the company find customers or make sales to them). These include wholesalers and retailers which buy and resell merchandise. Selecting and working with resellers is not easy. No longer do manufacturers have many small, independent resellers from which to choose. They now face large and growing reseller organizations. These organizations frequently have enough power to dictate terms or even shut the manufacturer out of large markets.
- **Physical distribution firms** help the company to stock and move goods from their points of origin to their destinations. Working with warehouse and transportation firms, a company must determine the best ways to store and ship goods, balancing such factors as cost, delivery, speed and safety.
- **Marketing services agencies** are the marketing research firms, advertising agencies, media firms and marketing consultancies that help the company target and promote its products to the right markets. When the company decides to use one of these agencies, it must choose carefully because the firms vary in creativity, quality, service and price. The company has to review the performance of these firms regularly and consider replacing those that no longer perform well.
- **Financial intermediaries** include banks, credit companies, insurance companies and other businesses that help finance transactions or insure against the risks associated with the buying and selling of goods. Most firms and customers depend on financial intermediaries to finance their transactions. The company's marketing performance can be seriously affected by rising credit costs and limited credit. Whether or not businesses

enjoy the support of a favorable financial system, individual businesses must be aware of financial organizations' impact on marketing effectiveness. For this reason, the company has to develop strong relationships with the most important financial institutions.

Like suppliers, marketing intermediaries form an important component of the company's overall value delivery system. In its quest to create satisfying customer relationships, the company must do more than just optimize its own performance. It must partner effectively with suppliers and marketing intermediaries to optimize the performance of the entire system.

Customers

The company must study its customer markets closely. There are six types of customer market. *Consumer markets* consist of individuals and households that buy goods and services for personal consumption. *Business markets* buy goods and services for further processing or for use in their production process, whereas *reseller markets* buy goods and services to resell at a profit. *Institutional markets* are made up of schools, hospitals, nursing homes, prisons and other institutions that provide goods and services to people in their care. *Government markets* are made up of government agencies that buy goods and services in order to produce public services or transfer the goods and services to others who need them. Finally, *international markets* consist of buyers in other countries, including consumers, producers, resellers and governments. Each market type has special characteristics

Competitors

The marketing concept states that, to be successful, a company must provide greater customer value and satisfaction than its competitors do. Thus, marketers must do more than simply adapt to the needs of target consumers. They must also gain strategic advantage by positioning their offerings strongly against competitors' offerings in the minds of consumers.

No single competitive marketing strategy is best for all companies. Each firm should consider its own size and industry position compared to those of its competitors. Large firms with dominant positions in an industry can use certain strategies that smaller firms cannot afford. But being large is not enough. There are winning strategies for large firms, but there are also losing ones. And small firms can develop strategies that give them better rates of return than large firms enjoy.

Publics

The company's marketing environment also includes various publics. A public is any group that has an actual or potential interest in or impact on an organization's ability to achieve its objectives. There are seven types of public groups and they are discussed below.

1. *Financial publics.* Financial publics influence the company's ability to obtain funds. Banks, investment houses and stockholders are the principal financial publics.
2. *Media publics.* Media publics are those that carry news, features and editorial opinion. They include newspapers, magazines and radio and television stations,
3. *Government publics.* Management must take government developments into account. Marketers must often consult the company's lawyers on issues of product safety, truth-in-advertising and other matters.
4. *Citizen action publics.* A company's marketing decisions may be questioned by consumer organizations, environmental groups, minority groups and other pressure groups. Its public relations department can help it stay in touch with consumer and citizen groups.
5. *Local publics.* Every company has local publics, such as neighborhood residents and community organizations. Large companies usually appoint a community-relations officer to deal with the community, attend meetings, answer questions and contribute to worthwhile causes.
6. *General public.* A company needs to be concerned about the general public's attitude towards its products and activities. The public's image of the company affects its buying. Thus, many large corporations invest huge sums of money to promote and build a healthy corporate image.
7. *Internal publics.* A company's internal publics include its workers, managers, volunteers and the board of directors. Large companies use newsletters and other means to inform and motivate their internal publics. When employees feel good about their company, this positive attitude spills over to their external publics.

A company can prepare marketing plans for these publics as well as for its customer markets. Suppose the company wants specific response from a particular public, such as goodwill,

favorable word of mouth, or donations of time or money. The company would have to design an offer to this public that is attractive enough to produce the desired response. Organizations today are under the watchful eyes of their various publics. The company must explain its actions to a wider audience when things go wrong. Those that overlook the power of serious interest groups often learn painful lessons.

2. Macro Environment

The company and all the other actors operate in a larger macro environment of forces that shape opportunities and pose threats to the company. Though there are many factors now we will discuss the six most influential forces in the company's microenvironment. The remaining sections of this chapter examine these forces and show how they affect marketing plans.

A. Demographic Environment

Demography is the study of human populations in terms of size, density, location, age, gender, race, occupation and other statistics. The demographic environment is of considerable interest to marketers because it involves people, and people make up markets. Here, we discuss the most important demographic characteristics and trends in the largest world markets.

➤ *Population Size and Growth Trendy*

In any geographic market, population size and growth trends can be used to gauge its broad potential for a wide range of goods and services. Population growth trends are important because they can offer marketers an indication of demand for certain goods and services. Differences in population growth patterns between country markets may also suggest different international marketing opportunities for firms.

➤ *Changing Age Structure of a Population*

The most noticeable demographic shift in Europe, the United States and affluent Asian countries is the changing age structure of the population. In all three groups, the national populations are getting older, and the trend is forecast to continue over the next 50 years. The ageing population structure reflects two influences. First, there is a long-term slowdown in birth rate, so there are fewer young people to pull the population's average age down. Secondly, as longevity increases there are more elderly people to pull the average age of the population up. Demographic shifts

have important implications for marketing managers. Marketers thus track demographic trends and moves carefully.

➤ ***The Changing Family***

People are marrying later and having fewer children. The specific figures may vary among countries, but the general trend is towards fewer married couples with children. In fact, couples with no children under 18 now make up a high proportion of all families. Also, the number of working mothers is increasing. Marketers of goods ranging from cars, insurance and travel to financial services are increasingly directing their advertising to working women. As a result of the shift in the traditional roles and values of husbands and wives, with male partners assuming more domestic functions such as shopping and child care, more food and household appliance marketers are targeting this group of individuals. Finally, the number of non-family households is increasing. Many young adults leave home and move into apartments. Other adults choose to remain single. Still others are divorced or widowed people living alone.

Other important new trends with respect to demographic environment are increasing number of educated people and the increasing diversity of market place as a result of economic and political integrations. Marketers are expected to track changes in this environment so as to exploit opportunities which might be found in respective environments.

B. Economic Environment

Markets require buying power as well as people. The economic environment consists of factors that affect consumer purchasing power and spending patterns. Marketers should be aware of the following predominant economic trends

▪ ***Income Distribution and Changes in Purchasing Power***

Global upheavals in technology and communications over the 1990s brought about a shift in the balance of economic power from the West (mainly North American, Canadian and western European nations) towards the rapidly expanding economies of the Asian Pacific Rim. Many of the Asian 'tiger' economies, notably South Korea, Thailand, Malaysia, Indonesia and Singapore,

were enjoying annual growth rates in excess of 7 per cent, compared to the 2-3 per cent found in Western Europe and the USA.

Business analysts believe that, where authorities are committed to appropriate reforms, recovery will be possible. Meanwhile, authorities must adopt measures to arrest further decline and to prevent the turmoil from spreading even wider.

Although there has been a narrowing of the wealth and living standards gap between the developed western and rising Asian countries in recent decades, the uncertain economic climate in the Asian economies has important implications for international marketers. They must determine how changing incomes affect purchasing power and how they translate into marketing threats and opportunities for the firm.

Where consumer purchasing power is reduced as in countries experiencing economic collapse or in an economic recession, *value-for-money* becomes a key purchasing criterion. Marketers must pursue *value-based marketing* to capture and retain price-conscious customers during lean economic times, unlike boom periods when consumers become literally addicted to personal consumption. "Rather than offering high quality at a high price, or lesser quality at very low prices, marketers have to look for ways to offer the more financially cautious buyers greater value - just the right combination of product quality and good service at a fair price.

Consumers with the greatest purchasing power are likely to belong to the higher socioeconomic groups, whose rising incomes mean that their spending patterns are less susceptible to economic downturns than lower-income groups. So, marketers must determine a population's income *distribution*. The *upper* economic strata of a society become primary targets for expensive luxury goods, the *middle* income groups are more careful about spending, but can usually afford some luxuries sometimes, while the *lower* strata will afford only basic food, clothing and shelter needs. In some countries, an *underclass* exists – people permanently living on state welfare and/or below the poverty line - which has little purchasing power, often struggling to make even the most basic purchases.

▪ ***Changing Consumer Spending Patterns***

Consumer expenditure on different products varies. Generally, the total expenditures made by households tend to vary for essential categories of goods and services, with food, housing and

transportation often using up most household income. Marketers also want to identify how spending patterns of consumers at different income levels vary. Some of these differences were noted over a century ago by Ernst Engel, who studied how people shifted their spending as their income rose. He found that as family income rises, the percentage spent on food declines, the percentage spent on housing remains constant (except for such utilities as gas, electricity and public services, which decrease), and both the percentage spent on other categories and that devoted to savings increase. Engel's laws have generally been supported by later studies.

Changes in major economic variables such as income, cost of living, interest rates, and savings and borrowing patterns have a large impact on the marketplace. Companies watch these variables by using economic forecasting. Businesses do not have to be wiped out by an economic downturn or caught short in a boom. With adequate warning, they can take advantage of changes in the economic environment.

C. Natural Environment

The natural environment involves the natural resources that are needed as inputs by marketers or that are affected by marketing activities. Environmental concerns have grown steadily during the past two decades. Protection of the natural environment will remain a crucial worldwide issue facing business and the public. In many cities around the world, air and water pollution have reached dangerous levels. Concern continues to mount about the depletion of the earth's ozone layer and the resulting 'greenhouse effect', a dangerous warming of the earth. And many of us fear that we will soon be buried in our own rubbish. Marketers should be aware of four trends in the natural environment,

➤ *Shortages of Raw Materials*

Air and water may seem to be infinite resources, but some groups see long-run dangers. They warn of the potential dangers that propellants used in aerosol cans pose to the ozone layer. Water shortage is already a big problem in some parts of the world. Renewable resources, such as forests and food, also have to be used wisely. Companies in the forestry business are required to reforest timberlands in order to protect the soil and to ensure enough wood supplies to meet

future demand. Food supply can be a critical problem because more and more of our limited farmable land is being developed for urban areas.

Non-renewable resources, such as oil, coal and various minerals, pose a serious problem. Firms making products that require these increasingly scarce resources face large cost increases, even if the materials do remain available. They may not find it easy to pass these costs on to the consumer. However, firms engaged in research and development and in exploration earn help by developing new sources and materials.

➤ ***Increased Cost of Energy***

One non-renewable resource - oil - has created the most serious problem for future economic growth. The large industrial economies of the world depend heavily on oil. And until economical energy substitutes can be developed, oil will continue to dominate the world political and economic picture. Big increases in the price of oil during the 1970s, and dramatic events like the 1991 Gulf War that affect oil availability, have spurred the search for alternative forms of energy.

➤ ***Increased Pollution***

Industry has been largely blamed for damaging the quality of the natural environment. The 'green' movement draws attention to industry's 'dirty work': the disposal of chemical and nuclear wastes, the dangerous mercury levels in the ocean, the quantity of chemical pollutants in the soil and food supply, and the littering of the environment with non-biodegradable bottles, plastics and other packaging materials.

Many companies, especially those at the 'grubbier' ends of manufacturing, often complain about the cost of fulfilling their obligations to 'clean up' regulations or to produce new greener technologies. On the other hand, more alert managers have adapted quickly to rising public environmental concerns, which have created marketing opportunities for firms. Many firms are responding to public environmental concerns with more ecologically sensitive goods, recyclable or biodegradable packaging, improved pollution controls and more energy-efficient operations. Niche green markets, where environmentally sensitive consumers are prepared to pay a premium price for green benefits, have emerged in sectors ranging from cosmetics, toiletries and detergents to passenger cars. However, most consumers worldwide are more likely to make

trade-offs between green advantages and product quality and performance benefits in their purchasing decision. So, although environmental pressures upon businesses in the decade ahead are expected to escalate, firms must seek to balance both the ecological and performance benefit expectations of the mass of consumers.

➤ ***Government Intervention in Natural Resource Management***

In most countries, industry has been pressured rather than persuaded to 'go green'. Environmental legislation has toughened up in recent years and businesses can expect this to continue in the foreseeable future. Recession in leading world economies over the early 1990s, however, forced governments to look at the potential of voluntary agreements with industry. The idea is to help industry meet environmental standards cost-effectively.

For businesses and industries, environmental issues and government intervention are unlikely to vanish. Clever marketers should remain alert and proactive in the search for new green solutions to meet the world's environmental and natural resource dilemmas. Instead of opposing regulation, marketers should help develop solutions to the material and energy problems facing the world.

D. Technological Environment

The **technological environment** is perhaps the most dramatic force now shaping our destiny. Technology has released such wonders as penicillin, organ transplants and notebook computers. It has also released such horrors as the nuclear bomb, nerve gas and the machine gun, and such mixed blessings as cars, televisions and credit cards. Our attitude towards technology depends on whether we are more impressed with its wonders or its blunders.

Every new technology replaces an older technology. Transistors decimated the vacuum-tube industry, xerography killed the carbon-paper business, cars and roads hurt the railways, and compact discs hurt vinyl records. When old industries fought or ignored new technologies, their businesses declined. New technologies create new markets and opportunities. The marketer should watch the following trends in technology.

✓ ***Fast Pace of Technological Change***

Many of today's common products were not available a hundred years ago: televisions, home freezers, automatic dishwashers, electronic computers, contraceptives, earth satellites, personal computers, compact disc players, videocassette recorders, facsimile machines, mobile phones. The list is unending! Companies that fail to anticipate and keep up with technological change soon find their products outdated. But keeping pace with technological change is becoming more challenging for firms today. *Technology life cycles* are getting shorter. Take the typewriter. The first generation modern mechanical typewriter dominated the market for 25 years. Subsequent generations had shorter lives - 15 years for electromechanical models, 7 years for electronic versions and 5 years for first-generation microprocessor based ones. Other examples of fast technological change are found. The average life of some computer software products, for example, is now well under one year.

Firms must track technological trends and determine whether or not these changes will affect their products' continued ability to fulfill customers' needs. Technologies arising in unrelated industries can also affect the firm's fortunes. The mechanical watch industry was overtaken by manufacturers of electronic components seeking new applications and growth opportunities for their quartz technology. Businesses must assiduously monitor their technological environment to avoid missing new product and market opportunities.

✓ ***High R&D Budgets***

Technology and innovations require heavy investments in research and development. It is not uncommon for pharmaceuticals companies, for example, to spend £150-200 million to develop a new drug. High R&D spending is also a feature of many industries including cars, communications, computers, aerospace, engineering, entertainment and consumer electronics. Some companies spend billions on R & D each year. A recent study showed that the international top 200 companies devoted an average 4.85 percent of 1993 sales to R & D.

In recent years, there has been a marked increase in collaborative technological research efforts between western governments and industries.

✓ ***Concentration on Minor Improvements***

As a result of the high cost of developing and introducing new technologies, many companies are thinking “making minor product improvements” instead of gambling on substantial innovations.

The high costs and risks of commercialization failure make firms take this cautious approach to their R & D investment. Most companies are content to put their money into copying competitors' products, making minor feature and style improvements, or offering simple extensions of current brands. Thus much research is in danger of being defensive rather than offensive.

✓ ***Increased Regulation***

As products become more complex, people need to know that they are safe. Thus, government agencies investigate and ban potentially unsafe products. In the EU and America, complex regulations exist for testing new drugs. The US Federal Food and Drug Administration, for example, is notorious for its strict enforcement of drug testing and safety rules. Statutory and industry regulatory bodies exist to set safety standards for consumer products and penalize companies that fail to meet them. Such regulations have resulted in much higher research costs and in longer times between new-product ideas and their introductions. Marketers should be aware of these regulations when seeking and developing new products.

Marketers need to understand the changing technological environment and the ways that new technologies can serve customer and human needs. They need to work closely with R &D people to encourage more market-oriented research. They must also be alert to the possible negative aspects of any innovation that might harm users or arouse opposition.

E. Political Environment

Marketing decisions are strongly affected by developments in the political environment. The political environment consists of laws, government agencies and pressure groups that influence and limit various organizations and individuals in a given society.

Legislation and Regulating of Business

Even the most liberal advocates of free-market economies agree that the system works best with at least some regulation. Well-conceived regulation can encourage competition and ensure fair markets for goods and services. Thus governments develop *public policy* to guide commerce - sets of laws and regulations that limit business for the good of society as a whole. Almost every

marketing activity is subject to a wide range of laws and regulations. Understanding the public policy implications of a particular marketing activity is not a simple matter. First, there are many laws created at different levels: for example, in the EU, business operators are subject to European Commission, individual member state and specific local regulations; in the USA, laws are created at the federal, state and local levels, and these regulations often overlap. Second, the regulations are constantly changing - what was allowed last year may now be prohibited. In the single European market, deregulation and ongoing moves towards harmonization are expected to take time, creating a state of flux, which challenges and confuses both domestic and international marketers. They must therefore work hard to keep up with these changes in the regulations and their interpretations.

In many developed economies, legislation affecting business has increased steadily over the years. This legislation has been enacted for a number of reasons. The first is to *protect companies* from each other. Although business executives may praise competition, they sometimes try to neutralize it when it threatens them. So laws are passed to define and prevent unfair competition. Anti-trust agencies and monopolies and mergers commissions exist to enforce these laws.

The second purpose of government regulation is to *protect* consumers from unfair business practices. Some firms, if left alone would make shoddy products, tell lies in their advertising and deceive consumers through their packaging and pricing. Unfair business practices have been defined and are enforced by various agencies.

The third purpose of government regulation is to *protect the interests of society* against unrestrained business behavior. Profitable business activity does not always create a better quality of life. Regulation arises to ensure that firms take responsibility for the social costs of their production or products.

New laws and their enforcement are likely to continue or increase. Business executives must watch these developments when planning their products and marketing programmes. Marketers need to know about the main laws protecting competition, consumers and society. International marketers should additionally be aware of regional, country and local laws that affect their international marketing activity.

In addition to legislations regulating businesses marketer are required to have knowledge regarding growth of public interest groups and the increased emphasis on ethics and socially responsible actions so as design appropriate strategies which can address every dimensions of the political environment.

F. Cultural Environment

The cultural environment is made up of institutions and other forces that affect society's basic values, perceptions, preferences and behaviors. People grow up in a particular society that shapes their basic beliefs and values. They absorb a world-view that defines their relationships with others. The following cultural characteristics can affect marketing decision making. Marketers must be aware of these cultural influences and how they vary across societies within the markets served by the firm.

❖ Persistence of Cultural Values

People in a given society hold many beliefs and values. Their core beliefs and values have a high degree of persistence. For example, most of us believe in working, getting married, giving to charity and being honest. These beliefs shape more specific attitudes and behaviors found in everyday life. Core beliefs and values are passed on from parents to children and are reinforced by schools, religious groups, business and government.

Secondary beliefs and values are more open to change. Believing in marriage is a core belief; believing that people should get married early in life is a secondary belief. Marketers have some chance of changing secondary values, but little chance of changing core values. For example, family-planning marketers could argue more effectively that people should get married later than that they should not get married at all.

❖ Shifts in Secondary Cultural Values

Although core values are fairly persistent, cultural swings do take place. Consider the impact of popular music groups, movie personalities and other celebrities on young people's hair styling, clothing and sexual norms. Marketers want to predict cultural shifts in order to spot new opportunities or threats. Such information helps marketers cater to trends with appropriate products and communication appeals.

The principal cultural values of a society are expressed in people's views of themselves and others, as well as in their views of organizations, society, nature and the universe; therefore, marketers should assess the cultural values of the society in which they want to make business.

2.4. Responding to the Marketing Environment

Someone once observed, '***there are three kinds of companies: those who make things happen, those who watch things happen, and those who wonder what's happened.***' Many companies view the marketing environment as an uncontrollable element to which they must react and adapt. They passively accept the marketing environment and do not try to change it. They analyze the environmental forces and design strategies that will help the company avoid the threats and take advantage of the opportunities the environment provides.

Other companies take a proactive stance toward the marketing environment. Rather than simply watching and reacting, these firms take aggressive actions to affect the publics and forces in their marketing environment. Such companies hire lobbyists to influence legislation affecting their industries and stage media events to gain favourable press coverage. They run advertorials (advertisings expressing editorial points of view) to shape public opinion. They press lawsuits and file complaints with regulators to keep competitors in line, and they form contractual agreements to better control their distribution channels.

Marketing management cannot always control environmental forces. In many cases, it must settle for simply watching and reacting to the environment. For example, a company would have little success trying to influence geographic population shifts, the economic environment, or major cultural values. But whenever possible, smart marketing managers will take a proactive rather than reactive approach to the marketing environment.

Chapter Three

Buying Behavior

3. Introduction

All of us are consumers. We consume things of daily use; we also consume and buy these products according to our needs, preferences and buying power. These can be consumable goods, durable goods, specialty goods or, industrial goods. What we buy, how we buy, where and when we buy, in how much quantity we buy depends on our perception, self concept, social and cultural background and our age and family cycle, our attitudes, beliefs values, motivation, personality, social class and many other factors that are both internal and external to us. While buying, we also consider whether to buy or not to buy and, from which source or seller to buy. In some societies there is a lot of affluence/wealth and, these societies can afford to buy in greater quantities and at shorter intervals. In poor societies, the consumer can barely meet their barest need. The marketers, therefore, tries to understand the needs of different consumers and having understood different behaviors which require an in-depth study of their internal and external environment, they formulate their plans for marketing.

3.1. Buying Behavior

Buying behavior is the totality of decisions (what, who, when, how, how much and why) about consumptions (acquiring, evaluating, using and disposing) of offerings (goods, services, person, places, events, experiences, properties, organizations, information, and idea by decision making unit (users, influencers, Initiators, deciders, buyers and gatekeepers) over a period of time. Basically there are two types of buyers; consumer and business buyers. The understanding of buying behavior helps the marketer to know and manage the characteristics of these two types of buyers.

3.2. Consumer Buying Behavior

Consumer Buying Behavior refers to the buying behavior of the ultimate consumer. It can be defined as the decision-making process and physical activity involved in acquiring, evaluating, using and disposing of goods and services. The knowledge of consumer buying behavior starts from understanding the stimulus-response model of buyer's behaviors. The marketers want to understand how the stimuli are changed into responses inside the consumer's black box. It is called black box because a process of buying starts in the minds of the consumer. Things inside the consumer's mind are hidden from the marketers thus it is difficult for the marketers to know

why the buyers buy products or services. The following model suggests the environmental factors that enter into the consumer's black box, the characteristics of buyers that affect his/her buying behavior, and the consumer buying decision process.

Stimulus-Response Model of Buyer Behaviour

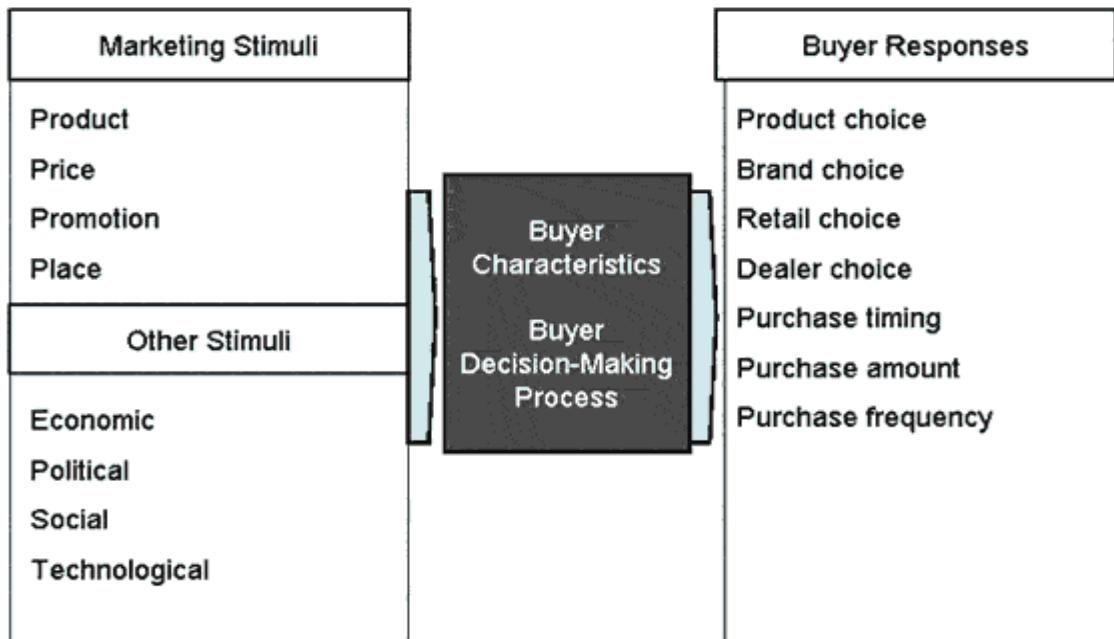


Fig. 2: Stimulus-response model of buying behavior

A marketer wants to understand how different factors that enter into buyer's black box might get meaning and take a certain pattern of responses. This helps the marketers to predict the response of buyers to the marketing efforts/messages (product, pricing, place and promotion). These marketing messages can be affected by buyer's characteristics and other environmental factors in the buyer's black box.

Factors Affecting Consumer Behaviour

Consumer purchases are influenced strongly by cultural, social, personal, and psychological characteristics. For the most part, marketers cannot control such factors, but they must take them into account.

i. Cultural Factors

Cultural factors exert a broad and deep influence on consumer behaviour. The marketer needs to understand the role played by the buyer's culture, subculture, and social class.

Culture: *Culture is the most basic cause of a person's wants and behaviour.* Human behaviour is largely learned. Growing up in a society, a child learns basic values, perceptions, wants, and behaviours from the family and other important institutions. A child in the United States normally learns or is exposed to the following values: achievement and success, activity and involvement, efficiency and practicality, progress, material comfort, individualism, freedom, humanitarianism, youthfulness, and fitness and health. Every group or society has a culture, and cultural influences on buying behaviour may vary greatly from country to country. Failure to adjust to these differences can result in ineffective marketing or embarrassing mistakes.

Marketers are always trying to spot cultural shifts in order to discover new products that might be wanted. For example, the cultural shift toward greater concern about health and fitness has created a huge industry for health and fitness services, exercise equipment and clothing, more-natural foods, and a variety of diets. The shift toward informality has resulted in more demand for casual clothing and simpler home furnishings.

Subculture: Each culture contains smaller subcultures, or groups of people with shared value systems based on common life experiences and situations. Subcultures include nationalities, religions, racial groups, and geographic regions. Many subcultures make up important market segments, and marketers often design products and marketing programs tailored to their needs.

Examples of four such important subculture groups include Hispanic, African American, Asian, and mature consumers.

Social class: Almost every society has some form of social class structure. Social classes are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviours.

Social class is not determined by a single factor, such as income, but is measured as a combination of occupation, income, education, wealth, and other variables. In some social systems, members of different classes are reared for certain roles and cannot change their social positions.

ii. Social Factors

A consumer's behaviour also is influenced by social factors, such as the consumer's small groups, family, and social roles and status.

Groups: A person's behaviour is influenced by many small groups. Groups that have a direct influence and to which a person belongs are called membership groups. In contrast, reference groups serve as direct (face-to-face) or indirect points of comparison or reference in forming a person's attitudes or behaviour. People often are influenced by reference groups to which they do not belong. For example, an inspirational group is one to which the individual wishes to belong, as when a teenage basketball player hopes to play someday for the Los Angeles Lakers. Marketers try to identify the reference groups of their target markets. Reference groups expose a person to new behaviours and lifestyles, influence the person's attitudes and self-concept, and create pressures to conform that may affect the person's product and brand choices.

Family: Family members can strongly influence buyer behaviour. The family is the most important consumer buying organization in society, and it has been researched extensively. Marketers are interested in the roles and influence of the husband, wife, and children on the purchase of different products and services.

Roles and Status: A person belongs to many groups-families, clubs, organizations. The person's position in each group can be defined in terms of both role and status. A role consists of the activities people are expected to perform according to the persons around them. Each role carries a status reflecting the general esteem given to it by society.

People usually choose products appropriate to their roles and status. Consider the various roles a working mother plays. In her company, she plays the role of a brand manager, in her family, she plays the role of wife and mother; at her favourite sporting events, and she plays the role of avid fan. As a brand manager she will buy the kind of clothing that reflects her role and status in her company.

iii. Personal Factors

A buyer's decisions also are influenced by personal characteristics such as the buyer's age and life-cycle stage, occupation, economic situation, lifestyle, and personality and self-concept.

Age and Life-Cycle Stage: People change the goods and services they buy over their lifetimes. Tastes in food, clothes, furniture, and recreation are often age related. Buying is also shaped by the stage of the family life cycle-the stages through which families might pass as they mature over time. Marketers often define their target markets in terms of life-cycle stage and develop appropriate products and marketing plans for each stage.

Occupation: A person's occupation affects the goods and services bought. Blue-collar workers tend to buy more rugged work clothes, whereas executives buy more business suits. Marketers try to identify the occupational groups that have an above-average interest in their products and services. A company can even specialize in making products needed by a given occupational group.

Economic Situation: A person's economic situation will affect product choice. Marketers of income-sensitive goods watch trends in personal income, savings, and interest rates. If economic indicators point to a recession, marketers can take steps to redesign, reposition, and re-price their products closely. Some marketers target consumers who have lots of money and resources, charging prices to match.

Lifestyle: People coming from the same subculture, social class, and occupation may have quite different lifestyles. Lifestyle is a person's pattern of living as expressed in his or her psychographics. It involves measuring consumers' major AIO dimensions-activities (work, hobbies, shopping, sports, social events), interests (food, fashion, family, recreation), and opinions (about themselves, social issues, business, products), Lifestyle captures something more than the person's social class or personality. It profiles a person's whole pattern of acting and interacting in the world.

Personality and Self-Concept: Each person's distinct personality influences his or her buying behaviour. Personality refers to the unique psychological characteristics that lead to relatively consistent and lasting responses to one's own environment. Personality is usually described in terms of traits such as self-confidence, dominance, sociability, autonomy, defensiveness, adaptability, and aggressiveness. Personality can be useful in analyzing consumer behaviour for certain product or brand choices. For example, coffee marketers have discovered that heavy coffee drinkers tend to be high on sociability. Thus, to attract customers, Starbucks and other coffeehouses create environments in which people can relax and socialize over a cup of steaming coffee.

iv. Psychological Factors

A person's buying choices are further influenced by four major psychological factors: motivation, perception, learning, and beliefs and attitudes.

Motivation: A person has many needs at any given time. Some are biological, arising from states of tension such as hunger, thirst, or discomfort. Others are psychological, arising from the need for recognition, esteem, or belonging. A need becomes a motive when it is aroused to a sufficient level of intensity. A motive (or drive) is a need that is sufficiently pressing to direct the person to seek satisfaction.

Perception: A motivated person is ready to act. How the person acts is influenced by his/her own perception of the situation. All of us learn by the flow of information through our five senses: sight, hearing, smell, touch, and taste. However, each of us receives, organizes, and interprets this sensory information in an individual way. Perception is the process by which people select, organize, and interpret information to form a meaningful picture of the world.

People can form different perceptions of the same stimulus because of three perceptual processes: selective attention, selective distortion, and selective retention. People are exposed to a great amount of stimuli every day. For example, one analyst estimates that people are exposed to about 5,000 ads every day. It is impossible for a person to pay attention to all these stimuli. Selective attention-the tendency for people to screen out most of the information to which they are exposed-means that marketers have to work especially hard to attract the consumer's attention.

Even noticed stimuli do not always come across in the intended way. Each person fits incoming information into an existing mind-set. Selective distortion describes the tendency of people to

interpret information in a way that will support what they already believe. For example, if you distrust a company, you might perceive even honest ads from the company as questionable. Selective distortion means that marketers must try to understand the mind-sets of consumers and how these will affect interpretations of advertising and sales information.

People also will forget much that they learn. They tend to retain information that supports their attitudes and beliefs. Because of selective retention, consumers are likely to remember good points made about a brand they favour and to forget good points made about competing brands. Because of selective exposure, distortion, and retention, marketers have to work hard to get their messages through. This fact explains why marketers use so much drama and repetition in sending messages to their market.

Learning: When people act, they learn. Learning describes changes in an individual's behaviour arising from experience. Learning theorists say that most human behaviour is learned. Learning occurs through the interplay of drives, stimuli, cues, responses, and reinforcement.

A drive is a strong internal stimulus that calls for action. A drive becomes a motive when it is directed toward a particular stimulus object. For example, a person's drive for self-actualization might motivate him or her to look into buying a digital camera. The consumer's response to the idea of buying a camera is conditioned by the surrounding cues.

Cues are minor stimuli that determine when, where, and how the person responds. For example, the person might spot several camera brands in a shop window, hearing of a special sale price, or discuss cameras with a friend. These are all cues that might influence a consumer's response to his or her interest in buying the product.

Beliefs and Attitudes: Through doing and learning, people acquire beliefs and attitudes. These, in turn, influence their buying behaviour. A belief is a descriptive thought that a person has about something. Beliefs may be based on real knowledge, opinion, or faith, and may or may not carry an emotional charge. Marketers are interested in the beliefs that people formulate about specific products and services, because these beliefs make up product and brand images that affect buying behaviour. If some of the beliefs are wrong and prevent purchase, the marketer will want to launch a campaign to correct them.

People have attitudes regarding religion, politics, clothes, music, food, and almost everything else. Attitude describes a person's relatively consistent evaluations, feelings, and tendencies

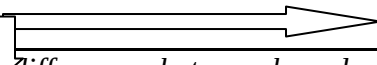
toward an object or idea. Attitudes put people into a frame of mind of liking or disliking things, of moving toward or away from them.

Attitudes are difficult to change. A person's attitudes fit into a pattern, and to change one attitude may require difficult adjustments in many others. Thus, a company should usually try to fit its products into existing attitudes rather than attempt to change attitudes.

3.3.2. Types of Consumer Buying Decision Behaviour

Buying behaviour differs greatly for a tube of toothpaste, a tennis racket, financial services, and a new car. More complex decisions usually involve more buying participants and more buyer deliberation. Wants are unlimited and the resources to satisfy these wants are limited. So the consumers think rationally before buying any product. Buying toothpaste is totally different from buying a luxury car. The more expensive the good is the more information is required by the consumer. There are four types of consumer buying behavior on the basis of buyer involvement while purchasing any product.

Table 1: Types of consumer buying behavior

	<i>High involvement</i>	<i>Low involvement</i>
<i>Significant differences between brands</i>	Complex buying behavior	Variety seeking behavior
<i>Few differences between brands</i>	Dissonance buying behavior	Habitual buying behavior

High involvement: - the term means when the consumer is highly involved while buying a product. Generally this situation happens in case of expensive or luxuries goods. Like while buying a diamond necklace a consumer is highly involved.

Low involvement: -this term means when the consumer is not highly involved while buying a product. It happens in case of low price goods. Like while buying toothpaste a consumer is not highly involved.

Significant differences between brands: -it means when there are significant differences between brands.

Few differences between brands: -it means when there are very little differences between brands.

i. Complex Buying Behaviour

Consumers undertake complex buying behaviour when they are highly involved in a purchase and perceive significant differences among brands. Consumers may be highly involved when the product is expensive, risky, purchased infrequently, and highly self-expressive. Typically, the consumer has much to learn about the product category. For example, a personal computer buyer may not know what attributes to consider. This buyer will pass through a learning process, first developing beliefs about the product, then attitudes, and then making a thoughtful purchase choice. Marketers of high-involvement products must understand the information-gathering and evaluation behaviour of high-involvement consumers. They need to help buyers learn about product-class attributes and their relative importance. They need to differentiate their brand's features, perhaps by describing the brand's benefits using print media with long copy. They must motivate store salespeople and the buyer's acquaintances to influence the final brand choice.

ii. Dissonance-Reducing Buying Behaviour

Dissonance-reducing buying behaviour occurs when consumers are highly involved with an expensive, infrequent, or risky purchase, but see little difference among brands. For example, consumers buying carpeting may face a high-involvement decision because carpeting is expensive and self-expressive. Yet buyers may consider most carpet brands in a given price range to be the same. In this case, because perceived brand differences are not large, buyers may shop around to learn what is available, but buy relatively quickly. They may respond primarily to a good price or to purchase convenience.

After the purchase, consumers might experience post purchase dissonance (after-sale discomfort) when they notice certain disadvantages of the purchased carpet brand or hear favourable things about brands not purchased. To counter such dissonance, the marketer's after-sale communications should provide evidence and support to help consumers feel good about their brand choices.

iii. Habitual Buying behaviour

Habitual buying behaviour occurs under conditions of low consumer involvement and little significant brand difference. For example, take salt. Consumers have little involvement in this product category-they simply go to the store and reach for a brand. If they keep reaching for the same brand, it is out of habit rather than strong brand loyalty. Consumers appear to have low involvement with most low-cost, frequently purchased products.

In such cases, consumer behaviour does not pass through the usual belief-attitude-behaviour sequence. Consumers do not search extensively for information about the brands, evaluate brand characteristics, and make weighty decisions about which brands to buy. Instead, they passively receive information as they watch television or read magazines. Ad repetition creates brand familiarity rather than brand conviction. Consumers do not form strong attitudes toward a brand; they select the brand because it is familiar. Because they are not highly involved with the product, consumers may not evaluate the choice even after purchase. Thus, the buying process involves brand beliefs formed by passive learning, followed by purchase behaviour, which may or may not be followed by evaluation.

Because buyers are not highly committed to any brands, marketers of low-involvement products with few brand differences often use price and sales promotions to stimulate product trial. In advertising for a low-involvement product, ad copy should stress only a few key points. Visual symbols and imagery are important because they can be remembered easily and associated with the brand. Ad campaigns should include high repetition of short-duration messages. Television is usually more effective than print media because it is a low-involvement medium suitable for passive learning. Advertising planning should be based on classical conditioning theory, in which buyers learn to identify a certain product by a symbol repeatedly attached to it.

iv. Variety-Seeking Buying Behaviour

Consumers undertake variety-seeking buying behaviour in situations characterized by low consumer involvement but significant perceived brand differences. In such cases, consumers often do a lot of brand switching. For example, when buying cookies, a consumer may hold some beliefs, choose a cookie brand without much evaluation, then evaluate that brand during consumption. But the next time, the consumer might pick another brand out of boredom or simply to try something different. Brand switching occurs for the sake of variety rather than because of dissatisfaction.

In such product categories, the marketing strategy may differ for the market leader and minor brands. The market leader will try to encourage habitual buying behaviour by dominating shelf space, keeping shelves fully stocked, and running frequent reminder advertising. Challenger firms will encourage variety seeking by offering lower prices, special deals, coupons, free samples, and advertising that presents reasons for trying something new.

3.2.1. Consumer Buying Decision Process

The purchase decision process is the stages a buyer passes through in making choices about which products and services to buy. When consumers show an interest in buying a certain product, many of them will follow a decision making process which follows the next steps: problem recognition (unsatisfied need), information search, evaluation of expected outcome, purchase, post-purchase behavior. This process is a guideline for studying the way consumers make decisions, but it is important to remember that they can abandon the whole idea at any stage, and they do not necessarily continue with this decision making process up to a purchase.



Figure 2: consumer buying decision process

1. Need Recognition

The buying process starts with need recognition-the buyer recognizes a problem or need.

The need can be triggered by internal stimuli when one of the person's normal needs-hunger, thirst, sex-rises to a level high enough to become a drive. A need can also be triggered by external stimuli. For example, an advertisement or a discussion with a friend might get you thinking about buying a new car. At this stage, the marketer should research consumers to find out what kinds of needs or problems arise, what brought them about, and how they led the consumer to this particular product.

2. Information Search

An interested consumer may or may not search for more information. If the consumer's drive is strong and a satisfying product is near at hand, the consumer is likely to buy it then. If not the consumer may store the need in memory or undertake an information search related to the need. For example, once you've decided you need a new car, at the least, you will probably pay more attention to car ads, cars owned by friends, and car conversations. Or you may actively look for reading material, phone friends, and gather information in other ways. The amount of searching you do will depend on the strength of your drive, the amount of information you start with, the

ease of obtaining more information, the value you place on additional information and the satisfaction you get from searching.

Consumers can obtain information from any of several sources. These include **personal sources** (family, friends, neighbours, acquaintances), **commercial sources** (advertising, sales people, dealers, packaging, displays), **public sources** (mass media, consumer-rating organizations), and **experiential sources** (handling, examining, using the product). The relative influence of these information sources varies with the product and the buyer. Generally, the consumer receives the most information about a product from commercial sources-those controlled by the marketer. The most effective sources, however, tend to be personal. Commercial sources normally inform the buyer, but personal sources legitimize or evaluate products for the buyer.

As more information is obtained, the consumer's awareness and knowledge of the available brands and features increase. In your car information search, you may learn about the several brands available. The information might also help you to drop certain brands from consideration. A company must design its marketing mix to make prospects aware of and knowledgeable about its brand. It should carefully identify consumers' sources of information and the importance of each source.

3. Evaluation of Alternatives

We have seen how the consumer uses information to arrive at a set of final brand choices. How does the consumer choose among the alternative brands? The marketer needs to know about alternative evaluation-that is, how the consumer processes information to arrive at brand choices. Unfortunately, consumers do not use a simple and single evaluation process in all buying situations. Instead, several evaluation processes are at work.

The consumer arrives at attitudes toward different brands through some evaluation procedure. How consumers go about evaluating purchase alternatives depends on the individual consumer and the specific buying situation. In some cases, consumers use careful calculations and logical thinking. At other times, the same consumers do little or no evaluating; instead they buy on impulse and rely on intuition. Sometimes consumers make buying decisions on their own; sometimes they turn to friends, consumer guides, or salespeople for buying advice.

Suppose you've narrowed your car choices to three brands. And suppose that you are primarily interested in four attributes-styling, operating economy, warranty, and price. By this time, you've probably formed beliefs about how each brand rates on each attribute. Clearly, if one car rated

best on all the attributes, we could predict that you would choose it. However, the brands will no doubt vary in appeal. You might base your buying decision on only one attribute, and your choice would be easy to predict. If you wanted styling above everything else, you would buy the car that you think has the best styling. But most buyers consider several attributes, each with different importance. If we knew the importance weights that you assigned to each of the four attributes, we could predict your car choice more reliably.

Marketers should study buyers to find out how they actually evaluate brand alternatives. If they know what evaluative processes go on, marketers can take steps to influence the buyer's decision.

4. Purchase Decision

In the evaluation stage, the consumer ranks brands and forms purchase intentions. Generally, the consumer's purchase decision will be to buy the most preferred brand, but two factors can come between the purchase intention and the purchase decision. The first factor is the attitudes of others. If someone important to you thinks that you should buy the lowest-priced car, then the chances of your buying a more expensive car are reduced.

The second factor is unexpected situational factors. The consumer may form a purchase intention based on factors such as expected income, expected price, and expected product benefits. However, unexpected events may change the purchase intention. For example, the economy might take a turn for the worse, a close competitor might drop its price, or a friend might report being disappointed in your preferred car. Thus preferences and even purchase intentions do not always result in actual purchase choice.

5. Post purchase Behaviour

The marketer's job does not end when the product is bought. After purchasing the product, the consumer will be satisfied or dissatisfied and will engage in post purchase behaviour of interest to the marketer. What determines whether the buyer is satisfied or dissatisfied with a purchase? The answer lies in the relationship between the consumer's expectations and the product's perceived performance. If the product falls short of expectations, the consumer is disappointed; if it meets expectations, the consumer is satisfied; if it exceeds expectations, the consumer is delighted.

The larger the gap between expectations and performances, the greater will be the consumer's dissatisfaction. This suggests that sellers should promise only what their brands can deliver so that buyers are satisfied. Some sellers might even understate product performance levels to boost later consumer satisfaction.

Almost all major purchases result in cognitive dissonance, or discomfort caused by post purchase conflict. After the purchase, consumers are satisfied with the benefits of the chosen brand and are glad to avoid the drawbacks of the brands not bought. However, every purchase involves compromise. Consumers feel uneasy about acquiring the drawbacks of the chosen brand and about losing the benefits of the brands not purchased. Thus, consumers feel at least some post purchase dissonance for every purchase.

Why is it so important to satisfy the customer? Customer satisfaction is a key to building profitable relationships with consumers-to keeping and growing consumers and reaping their customer lifetime value. Satisfied customers buy a product again, talk favourably to others about the product, pay less attention to competing brands and advertising, and buy other products from the company. Many marketers go beyond merely meeting the expectations of customers-they aim to delight the customer.

A dissatisfied consumer responds differently. Bad word of mouth often travels farther and faster than good word of mouth. It can quickly damage consumer attitudes about a company and its products. But companies cannot simply rely on dissatisfied customers to volunteer their complaints when they are dissatisfied. Most unhappy customers never tell the company about their problem. Therefore, a company should measure customer satisfaction regularly. It should set up systems that encourage customers to complain. In this way, the company can learn how well it is doing and how it can improve.

3.3. Business Buying Behavior

Business buying behavior comprised decision-making process of organizations that, in some form, are involved in the manufacture, distribution or support of products or services sold or otherwise provided to other organizations. Business buyers are sometimes described as business-to-business or industrial buyers.

3.3.1. Characteristics of Business Market

Business markets differ from consumer markets in:

- Market structure and demand
- Nature of the buying unit
- Types of decisions and the decision-making process

1. Market structure and demand

- Business markets contain **fewer but larger buyers**; for example business markets for Intel's chips are fewer in number, but the buyers purchase considerably more than buyers in consumer markets.
- Business customers are more **geographically concentrated**; example business customers for Intel's chips are more geographically concentrated (Dell in Texas, HP/Compaq in California and Massachusetts, and clone manufacturers in Taiwan and China).
- Business buyer demand is **derived** from final consumer demand
Example: Demand (business buyer demand) for Intel's chips is derived demand. This derived demand is driven by consumer demand for products which contain Intel's chips.
- Demand in many business markets is **more inelastic**, not affected as much in the short run by price changes; Example: Demand for Intel's chips is more inelastic than elastic. Changes in price for Intel's chips will not significantly impact, the short run, the quantity purchased by business customers.
- Demand in many business markets **fluctuates more, and more quickly**; Example, Demand for Intel's chips fluctuate more, and more quickly, than in consumer markets.
 - small percentage raise in end user demand for products that contain Intel's chip may cause a significantly large percentage change in demand for Intel's chips.

2. Nature of buying unit

Business purchases involves more buyers; the more complex the purchase, the more likely that several people will participate in the decision-making process. Business buying involves more professional purchasing effort;

- Trained purchasing agents
- Many companies upgrading their purchasing functions to “supply management” or “supplier development” functions

3. Types of decisions and decision process

- Business purchase involves more complex buying decisions; purchases often involve;
 - Large sums of money
 - Complex technical and economic considerations
 - Interactions among many people at many levels of the buyer's organization.
- Buyers and sellers work more closely together and build long-term relationships; mutual dependency and co-creation. Many customer-companies practicing supplier development. They systematically developing networks of supplier-partners to ensure an appropriate and dependable supply of products and materials that they will use in making their own products or to resell to others.
- Business purchase process also tends to be more formalized. It calls for detailed product specifications, written purchase orders, careful supplier searches, and formal approval.

3.3.2. A Model of Business Buyer Behavior:

In this model, marketing and other stimuli affect the buying organization and produce certain buyer responses. As with consumer buying, the marketing stimuli for business buying consist of the four Ps: product, price, place, and promotion. Other stimuli include major forces in the environment: economic, technological, political, cultural, and competitive.

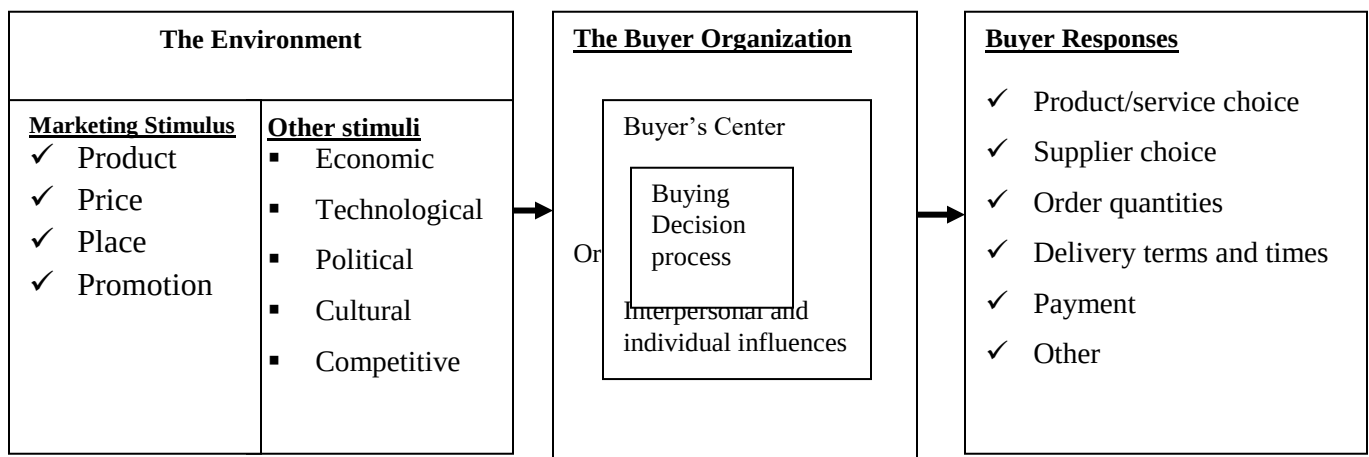


Fig. 3: A model of business buyer behavior

This model suggests four questions about business buyer behavior; what buying decisions do business buyers make? Who participates in the buying process? What are the influences on buyers? And how do business buyers make their buying decisions?

3.3.3. Types of buying situation:

A business buyer faces many buying decisions depends on the buying situations such as complexity of the problem being solved, newness of the buying requirements, number of people involved and time required. There are three major types of buying situations. At one extreme is the **straight re-buy**, which is a fairly routine decision. At the other extreme is **the new task**, which may call for thorough research. In the middle is the **modified re-buy**, which requires some research.

In a **straight re-buy** the buyer reorders something without any modifications. It is usually handled on a routine basis by the purchasing department. Based on past buying satisfaction, the buyer simply chooses from the various suppliers on its list. "In" suppliers try to maintain product and service quality.

In a modified re-buy, the buyer wants to modify product specifications, prices, terms, or suppliers. The modified re-buy usually involves more decision participants than the straight re-buy. The in suppliers may become nervous and feel pressured to put their best foot forward to protect an account. Out suppliers may see the modified re-buy situation as an opportunity to make a better offer and gain new business.

A company buying a product or service for the first time faces a **new-task situation**.

3.3.4. Participants in the business buying process:

In the case of straight re-buy and modified re-buy purchasing agents are more influential while other department personnel are more influential in new buy situation. The decision-making unit of a buying organization is called its buying center The **buying center** includes all members of the organization who play any of five roles in the purchase decision process. five members are:

1. **Users:** are members of the organization who will use the product or service. In many cases, users initiate the buying proposal and help define product specifications.
2. **Influencers:** often help define specifications and also provide information for evaluating alternatives. Technical personnel are particularly important influencers.
3. **Buyers:** have formal authority to select the supplier and arrange terms of purchase. Buyers may help shape product specifications, but their major role is in selecting vendors and negotiating. In more complex purchases, buyers might include high-level officers participating in the negotiations.
4. **Deciders:** have formal or informal power to select or approve the final suppliers. In routine buying, the buyers are often the deciders, or at least the approvers.
5. **Gatekeepers:** control the flow of information to others. For example, purchasing agents often have authority to prevent salespersons from seeing users or deciders. Other gatekeepers include technical personnel and even personal secretaries.

For marketers confronting a buying Center it is important to first identify who plays what role. Once identified the marketer must address the needs of each member, which may differ significantly. For instance, the Decider, who may be the company president, wants to make sure the purchase will not negatively affect the company's bottom line while the Buyer wants to be assured the product will be delivered on time. Thus, the way each Buying Center member is approached and marketed to requires careful planning in order to address the unique needs of each member.

3.3.5. Major Influences on Business Buyers

Business buyers are subject to many influences when they make their buying decisions. The major influences on business buyers;

- Personal factors
- Environmental factors
- Organizational factors
- Interpersonal factors

Environmental Factors

Business buyers are heavily influenced by the factors in the current and expected economic environment like; demand for product, economic outlook, costs of money, resource availability, technology, culture, politics, and competition.

Organizational factors

Every business buyers seek to obtain the highest benefit package (economic, technical, service and social) in relation to a market offering's costs. Each organizational has its own objectives, policies, procedures, structure and systems.

Interpersonal factors

The buying organization might have its own buying center that consists of different individuals of various status, personality, motives, and roles. These individuals have the relationships among people within the buying center which influences the buying decision through their authority, status, empathy and persuasiveness.

Individual factors

Personal influence is the effect that one person has on another's attitude or purchase probability. Although personal influence is an important factor, its significance is greater in some situations and for some individuals than for others. Individuals in the buying unit have different effects on each other due to their difference in terms of age, education, job position, personality and risk attitudes.

The marketers must follow up the influence of these factors to design better marketing program that cope with the changes of those factors.

3.3.6. Business Buying Decision process

The exact nature of the process will depend on the buying situation. In certain situation some stages will be omitted; for example, in a routine re-buy situation the purchasing officer is

unlikely to pass through stages 3, 4 and 5 (search for suppliers and analysis and evaluation of their proposals). These stages will be bypassed, as the buyer, recognizing a need – perhaps shortage of stationery – routinely reorders from the existing supplier.

In general, the more complex the decision and the more expensive the item, the more likely it is that each stage will be passed through and that the process will take more time.

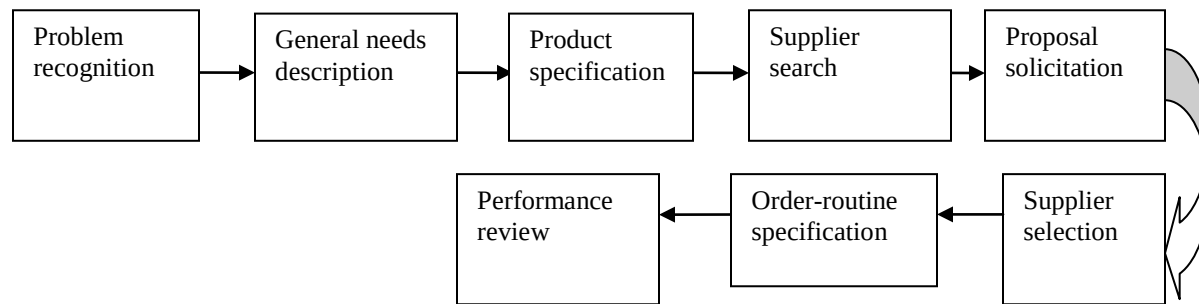


Fig. 3; business buying decision process

Buyers who face a new-task buying situation usually go through all stages of the buying process. Buyers making modified or straight re-buy may skip some of the stages. The steps for new-task buying situation are discussed below.

1. Problem recognition

The buying process begins when someone in the organization recognizes a problem or need that can be met by acquiring a specific product or service. **Problem recognition** can result from internal or external stimuli. Internally, the company may decide to launch a new product that requires new production equipment and materials. Or a machine breaks down and need new part. Perhaps, a purchasing manager is unhappy with a current supplier's product quality, service, or prices. Externally, the buyer may get some new ideas at a trade show, see advertising or receive a call from a salesperson who offers a better product or a lower price. In fact, in their advertising, business marketers often alert customers to potential problems and then show how their products provide solutions.

2. General need description

Having recognized a need, the buyer next prepares a general need description that describes the characteristics and quantity of the needed item. For standard items, this process presents few problems. For complex items, however, the buyer may have to work with others –engineers,

users, consultants –to define the item. The team may want to rank the importance of reliability, durability, price, and other attributes desired in the item.

3. Product specification

The buying organization next develops the item's technical product specification, often with the help of a value analysis engineering team. Value analysis is an approach to reduction in which component are studied carefully to determine if they can be redesigned, standardized, or made by less costly methods of production. The team decides on the best product characteristics and specifies them accordingly.

4. Supplier search

The buyer now conducts a supplier search to find the best vendors. The buyer can compile a small list of qualified suppliers by reviewing trade directories, doing a computer search, or phoning other companies for recommendations. Today, more companies are turning to the Internet to find suppliers.

5. Proposal solicitation

In the proposal solicitation stage of the business buying process, the buyer invites qualified suppliers to submit proposals.

6. Supplier selection

The members of the buying center now review the proposals and select a supplier or suppliers. During supplier selection, the buying center often will draw up a list of the desired supplier attributes and their relative importance. The factors like quality of products and services, on-time delivery, ethical corporate behavior, competitive price, geographic location, and after sale service can be considered during supplier selection.

7. Order-routine specification

The buyer now prepares an order-routine specification. It includes the final order with the chosen supplier or suppliers and lists items such as technical specifications, quantity needed, expected time of delivery, return policies, and warranties. In the case of maintenance, repair, and operating items, buyers may use **blanket contract** rather than periodic purchase orders. Blanket contracting can be used in the situations such as using single-source buying to buy more items from that

source, to create long term relationships with a single seller, and to reduce the cost of re-negotiating a purchase term.

8. Performance review

In this stage, buyer reviews supplier performance. The buyer may contact users and ask them to rate their satisfaction. The performance review may lead the buyer to continue, modify, or drop the arrangement. The seller's job is to monitor the same factors used by the buyer to make sure that the seller is giving the expected satisfaction.

We have described the stages that are typically would occur in a new-task buying situation. The eight-stage model provides a simple view of the business buying-decision process. The actual process is usually much more complex. In the modified re-buy or straight re-buy situation, some of these stages would be compressed or bypassed. Each organization buys in its own way, and each buying situation has unique requirements.

CHAPTER FOUR

Designing Customer-Driven Marketing Strategy

4. Introduction

Companies today recognize that they cannot appeal to all buyers in the marketplace or at least not to all buyers in the same way. Buyers are too numerous, too widely scattered, and too varied in their needs and buying practices. Moreover, the companies themselves vary widely in their abilities to serve different segments of the market. A company must identify the parts of the market that it can serve best and most profitably. It must design customer-driven marketing strategies that build the right relationships with the right customers.

Thus, most companies are more selective about the customers with whom they wish to connect. Most have moved away from mass marketing and toward market segmentation and targeting identifying market segments, selecting one or more of them, and developing products and

marketing programs tailored to each. Instead of scattering their marketing efforts firms are focusing on the buyers who have greater interest in the values they create best.

Designing customer-driven marketing strategy deals with creating value for the target customers, which includes four tasks; market segmentation, market targeting, differentiation and positioning. In the first two steps, the company selects the customers that it will serve. **Market segmentation** involves dividing a market into smaller groups of buyers with distinct needs, characteristics, or behaviors who might require separate products or marketing mixes. Market targeting (or targeting) consists of evaluating each market segment's attractiveness and select one or more market segments to enter. In the final two steps, the company decides on a value proposition—on how it will create value for target customers. Differentiation involves actually differentiating the firm's market offering to create superior customer value. Positioning consists of arranging for a market offering to occupy a clear, distinctive, and desirable place relative to competing products in the minds of target consumers. In this chapter, these steps will be discussed in detail.

The objective of the chapter is to deeply discuss the steps in designing customer-driven marketing strategies.

1. selecting customers to serve
 - Market segmentation
 - Targeting
2. deciding on value proposition
 - Differentiation and
 - Positioning

4.1. Market segmentation

Market segmentation is dividing a market into smaller groups with distinct needs, characteristics, or behaviors who might require separate products or marketing mixes. It may be defined as a process of splitting or dividing potential customers into certain groups or segments sharing similar levels of needs. The definition explains that the process is simply a division of markets into target groups. It is creating sub-sets of a market based on similar characteristics of consumers with similar demands and providing them with a product to satisfy their need in a much better way than it could have been otherwise. The company passes through two steps in

segmenting the market; identifies different ways to segment the market and develops profiles of the resulting market segments. Markets consist of buyers, and buyers differ in one or more ways. They may differ in their wants, resources, locations, buying attitudes, and buying practices. Through market segmentation, companies divide large, heterogeneous markets into smaller segments that can be reached more efficiently and effectively with products and services that match their unique needs. In this section, segmenting consumer market and business market will be discussed.

4.1.1. Segmenting Consumer Markets

There is no single way to segment a market. A marketer has to try different segmentation variables, alone and in combination, to find the best way to view the market structure. The major variables that might be used in segmenting consumer markets are geographic, demographic, psychographic, and behavioral variables.

a) Geographic Segmentation

Geographic segmentation calls for dividing the market into different geographical units such as nations, regions, states, counties, cities, or neighborhoods. A company may decide to operate in one or a few geographical areas, or to operate in all areas but pay attention to geographical differences in needs and wants. It is common to localize products, advertising, promotions, and sales efforts to fit the needs of geographical areas (regions, cities, and even neighborhoods).

b) Demographic Segmentation

Demographic segmentation divides the market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, and nationality. Demographic factors are the most popular bases for segmenting customer groups. One reason is that consumer needs, wants, and usage rates often vary closely with demographic variables. Another is that demographic variables are easier to measure than most other types of variables. Even when market segments are first defined using other bases, such as benefits sought or behavior, their demographic characteristics must be known in order to assess the size of the target market and to reach it efficiently. Demographic variables are easier to measure than most other types of variables.

I. Age and Life-Cycle Stage

Age and life cycle segmentation consists of offering different products or using different marketing approaches for different age and life-cycle groups. Marketers must guard against

stereotypes when using this form of segmentation. While certain age and life cycle groups do behave similarly, age is often a poor predictor of a person's life cycle, health, work or family status, needs, and buying power. Consumer needs and wants change with age. Some companies use age and life cycle segmentation, offering different products or using different marketing approaches for different age and life-cycle groups.

II. Gender segmentation

Calls for dividing a market into different groups based on sex. This segmentation form has long been used for clothing, cosmetics, toiletries, and magazines. New opportunities in this area are emerging such as automobiles, deodorants, and financial services. There is an increased emphasis on marketing and advertising to women. Specialized Web sites are becoming very popular with this group.

III. Income segmentation

It consists of dividing a market into different income groups. Marketers for automobiles, boats, clothing, cosmetics, financial services, and travel have long used this form of segmentation. Using this form, marketers must remember that they do not always have to target the affluent. Other income groups are also viable and profitable market segments.

c) Psychographics segmentation

It calls for dividing a market into different groups based on social class, lifestyle, or personality characteristics. People in the same demographic class can exhibit very different psychographics characteristics. As previously seen in, lifestyle also affects people's interest in various goods, and the goods they buy express those lifestyles. Personality variables can also be used to segment markets. Marketers will give their products personalities that correspond to consumer personalities.

d) Behavioral segmentation

It involves dividing a market into groups based on consumer knowledge, attitudes, uses, or responses to a product. Many marketers believe that behavior variables are the best starting point for building market segments. It include the following bases of segmentations

Purchase occasions: this segmentation consists of dividing the market into groups according to occasions when buyers get the idea to buy, actually make their purchase, or use the purchased item.

Benefit: involves dividing the market into groups according to the different benefits the consumers seek from the product. Companies can use benefit segmentation to clarify the benefit segment to which they are appealing, its characteristics, and the major competing brands. They can also search for new benefits and establish brands that deliver them.

User status: can also be used to divide the market. Segments of nonusers, ex-users, potential users, first-time users, and regular users of a product are potential ways to segment.

Usage rates: Is another way that marketers segment markets. These categories based consumers' usage rates and we might have light, medium, and heavy user groups.

Loyalty status can also be used to segment markets. Consumers can be loyal to brands, stores, and companies. We may have;

- **Completely loyal (hard core loyal)** – Consumers who buy one brand all the time.
- **Somewhat loyal (split loyal)** - are loyal to two or three brands of a given product, or favor one brand while sometimes buying others.
- **Shifting loyal** – consumers who shift from favoring one brand to another.
- **Switchers (not loyal at all)** – They either want something different each time they buy or always buy a brand on sale.

Readiness stage; marketers can also group the consumer, based on their readiness stage, into customers those are unaware, aware, informed, interested, desirous, and intending to buy.

E/ Using Multiple Segmentation Bases

Marketers rarely limit their segmentation analysis to only one or a few variables. Rather, they are increasingly using multiple segmentation bases in an effort to identify smaller, better-defined target groups. Thus, a bank may not only identify a group of wealthy retired adults but also, within that group, distinguish several segments based on their current income, assets, savings and risk preferences, housing, and lifestyles.

4.1.2. Segmenting Business Markets

Consumer and business marketers use many of the same variables to segment their markets. Business buyers can be segmented geographically, demographically (industry, company size), or

by benefits sought, user status, usage rate, and loyalty status. Yet, business marketers also use some additional variables, such as customer operating characteristics, purchasing approaches, situational factors, and personal characteristics. By going after segments instead of the whole market, companies can deliver just the right value proposition to each segment served and capture more value in return.

4.1.3. Importance of Segmentation

There are several important reasons why businesses should attempt to segment their markets carefully.

1. **Customer needs;** Market segmentation enables a producer to understand the needs of consumers, their behavior and expectations as information is collected segment-wise in an accurate manner. Such information is purposefully usable. Decisions regarding Four Ps based on such information are always effective and beneficial to consumers and the producers. It is much easier and more successful to create and promote specific and customized products and services.
2. **Profit Potential;** Due to market segmentation, product development is compatible with consumer needs as there is effective crystallization of the specific needs of the buyers in the target market. Market segmentation facilitates the matching of products with consumer needs. This gives satisfaction to consumers and higher sales and profit to the marketing firm.
3. **Growth;** Segmenting the markets creates further opportunities for business growth. Specific groups require specific products. Market segmentation helps to identify promising market opportunities
4. **Retaining Customer;** it is a great way to retain customers. Firms can establish a life-long relationship with their consumers via formulating an effective market segmenting strategy. Due to segmentation, a firm can avoid the markets which are unprofitable and irrelevant for its marketing purpose and concentrate on certain promising segments only. Thus due to market segmentation, marketing efforts are given one clear direction for achieving marketing objectives.
5. **Right Target Market;** The Company's resources are utilized for producing the right product for the right customer. Market segmentation facilitates the identification of those

sub-markets which can be served best with limited resources by the firm. A firm can concentrate efforts on most productive/ profitable segments of the total market due to segmentation techniques. Thus market segmentation facilitates the selection of the most suitable market.

6. **Market Share;** segmenting business and consumer markets is important to maintain existing market share and expand it. A successful company needs to gain competitive advantage by looking closely at the specific needs of customers and devising strategies to provide maximum benefit and value. Market segmentation offers special benefits to small firms. The resources available with them are limited as they are comparatively new in the market. Such firms can select only suitable market segment and concentrate all efforts within that segment only for better marketing performance. Such firms can compete even with large firms by offering personal services to customers within the segment selected.

4.1.4. steps of Market Segmentation

Segmenting markets is a research-based exercise with several stages. These apply irrespective of whether the method used is simple demographics or complex and multivariate. Segmenting a market may pass through the following important steps;

- I. **Survey stages:** the researcher conducts explanatory interviews and focus group discussions to gain insight.
- II. **Analysis stage:** the researcher applies factor analysis to the data or removes extreme variables, and then applies cluster analysis to create a specified number of segments.
- III. **Profiling stage:** each cluster is profiled in terms of its distinguishing character and give a name based on a dominant factor.

4.1.5. Requirements for Effective Segmentation

Clearly, there are many ways to segment a market, but not all segmentations are effective. To be useful, market segments must be;

- **Measurable:** The size, purchasing power, and profiles of the segments can be measured. Certain segmentation variables are difficult to measure.
- **Accessible:** The market segments can be effectively reached and served.

- **Substantial:** The market segments are large or profitable enough to serve. A segment should be the largest possible homogenous group worth pursuing with a tailored marketing program.
- **Differentiable:** The segments are conceptually distinguishable and respond differently to different marketing mix elements and programs.
- **Actionable:** Effective programs can be designed for attracting and serving the segments.

4.2. Market Targeting

In targeting the market, the firm now must evaluate the various segments and decide how many and which segments it can serve best. The following steps might be important for the marketers to target the markets.

i. Evaluating Market Segments

In evaluating different market segments, a firm must look at three factors: segment size and growth, segment structural attractiveness, and company objectives and resources.

Size and growth; the company must first collect and analyze data on current segment sales, growth rates, and expected profitability for various segments. It will be interested in segments that have the right size and growth characteristics.

Segment structural attractiveness; the company also needs to examine major structural factors that affect long-run segment attractiveness. A segment is less attractive if it;

- Ready contains many strong and aggressive competitors
- Includes the relative powerful buyers
- Contains powerful suppliers who can control prices or reduce the quality or quantity of ordered goods and services.

Company objectives and resources; the company must consider its own objectives and resources. Some attractive segments can be dismissed quickly because they do not mesh with the company's long-run objectives. Or the company may lack the skills and resources needed to succeed in an attractive segment.

The company should enter only segments in which it can offer superior value and gain advantages over competitors.

ii. Selecting Target Market Segments

After evaluating different segments, the company must now decide **which and how many segments** it will target. A target market consists of a set of buyers who share common needs or characteristics that the company decides to serve. Because buyers have unique needs and wants, a seller could potentially view each buyer as a separate target market. Ideally, then, a seller might design a separate marketing program for each buyer. More generally, market targeting can be carried out at several different levels as follows;

a. Undifferentiated (mass) marketing

A firm might decide to ignore market segment differences and target the whole market with one offer. This mass-marketing strategy focuses on what is common in the needs of consumers rather than on what is different. The company designs a product and a marketing program that will appeal to the largest number of buyers.

b. Differentiated (segmented) marketing

A firm decides to target several market segments and designs separate offers for each. By offering product and marketing variations to segments, companies hope for higher sales and a stronger position within each market segment. Developing a stronger position within several segments creates more total sales than undifferentiated marketing across all segments. But differentiated marketing also increases the costs of doing business. Developing separate marketing plans for the separate segments requires extra marketing research, forecasting, sales analysis, promotion planning, and channel management and trying to reach different market segments with different advertising increases promotion costs. Thus, the company must weigh increased sales against increased costs when deciding on a differentiated marketing strategy.

c. Concentrated (niche) marketing

Concentrated marketing (or niche marketing), is especially appealing **when company resources are limited**. Instead of going after a small share of a large market, the firm goes after a large share of one or a few smaller segments or niches. Through concentrated marketing, the firm achieves a strong market position because of its greater knowledge of consumer needs in the niches it serves and the special reputation it acquires. It can market more effectively by fine-tuning its products, prices, and programs to the needs of carefully defined segments. It can also market more efficiently, targeting its products or services, channels, and communications programs toward only consumers that it can serve best and most profitably. Whereas segments

are fairly large and normally attract several competitors, niches are smaller and may attract only one or a few competitors. Niching offers smaller companies an opportunity to compete by focusing their limited resources on serving niches that may be unimportant to or overlooked by larger competitors.

d. Micromarketing (local or individual marketing)

Micromarketing is the practice of tailoring products and marketing programs to suit the tastes of specific individuals and locations. Rather than seeing a customer in every individual, micro marketers see the individual in every customer. Micromarketing includes local marketing and individual marketing.

- a. Local Marketing; Local marketing involves tailoring brands and promotions to the needs and wants of local customer groups—cities, neighborhoods, and even specific stores.
- b. Individual Marketing; in the extreme, micromarketing becomes individual marketing—tailoring products and marketing programs to the needs and preferences of individual customers. Individual marketing has also been labeled one-to-one marketing, mass customization, and markets-of-one marketing.

iii. Choosing a Targeting Strategy

Companies need to consider many factors when choosing a market targeting strategy. The best strategy depends on;

- company resources
- The degree of product variability
- The product's life-cycle stage- When a firm introduces a new product, it may be practical to launch only one version and undifferentiated marketing or concentrated marketing may make the most sense. In the mature stage of the product life cycle, however, differentiated marketing begins to make more sense.
- market variability
- competitors' marketing strategies

4.3. Differentiation and Positioning

The company must decide on a value proposition—on how it will create differentiated value for targeted segments and what positions it wants to occupy in those segments. **A product's position is the way the product is defined by consumers on important attributes—the place the product**

occupies in consumers' minds relative to competing products. "Products are created in the factory, but brands are created in the mind.

Consumers are overloaded with information about products and services. They cannot reevaluate products every time they make a buying decision. To simplify the buying process, consumers organize products, services, and companies into categories and "position" them in their minds. A product's position is the complex set of perceptions, impressions, and feelings that consumers have for the product compared with competing products. Consumers position products with or without the help of marketers. But marketers do not want to leave their products' positions to chance. They must plan positions that will give their products the greatest advantage in selected target markets, and they must design marketing mixes to create these planned positions.

Steps in differentiation and positioning:

- **Preparing perceptual positioning maps**, which show consumer perceptions of their brands versus competing products on important buying dimensions
- **Choosing a Differentiation and Positioning Strategy**
- **Identifying Possible Value Differences and Competitive Advantages**; to find points of differentiation, marketers must think through the customer's entire experience with the company's product or service. An alert company can find ways to differentiate itself at every customer contact point. In what specific ways can a company differentiate itself or its market offer? It can differentiate along the lines of product, services, channels, people, or image.
- **Choosing the Right Competitive Advantages**; a company must decide how many differences to promote and which ones.
- **Selecting an Overall Positioning Strategy**; the full positioning of a brand is called the **brand's value proposition**—the full mix of benefits upon which the brand is differentiated and positioned. It is the answer to the customer's question "Why should I buy your brand." The five winning value propositions upon which companies can position their products are more for more, more for the same, the same for less, less for much less, and more for less.

Positioning can achieve by

- A. physical differentiation
- B. value positioning

A. Physical Product differentiation

Product can be differentiated by its

Design parameters, features and style, performance innovation, consistency, durability, reliability or repair-ability.

B. Services Differentiation

The firm can also differentiate the services that accompany the product through;

Speedy, reliable or careful delivery, installation, repair services, customer training service and free or paid consulting services.

C. Personnel differentiation

Companies can gain a strong competitive advantage through hiring and training better people than their competitors do.

Company personnel must be competent –

- They must possess the required skills and knowledge
- They need to be courteous, friendly and respectful

D. Image differentiation

- Buyers may perceive a difference based on company or brand images.
- A company or brand image should **convey a singular and distinctive message** that communicates the product's main benefits and positioning.
- **Symbols** can provide strong company or brand recognition and image differentiation.
- Signs and logos

Value positioning

Value positioning is a range of positioning alternatives based on the value an offering delivers and its price.

There are five winning Value positioning that enables the company to conquer/capture customers mind than competing products.

- **More for more:** involves providing the most upscale product or service and charging a higher price to cover the higher costs.
- **More for the same:** Companies can attack a competitor's more for same positioning by introducing a brand offering comparable quality but at a lower price.
- **More for less:** the winning value proposition would be to offer 'more for less'.
- **the same for less:** Offering 'the same for less' can be a powerful value proposition – everyone likes a good deal
- **Less for much less:** products that offer less and therefore cost much less

Chapter five

Managing marketing mix Elements

5. Introduction

In the previous chapter, customer driven marketing strategy has been discussed. Here, the discussion will be about “Marketing Mix” which is one of the most fundamental concepts in marketing management. For attracting consumers and for sales promotion, every manufacturer has to concentrate on four basic elements/components. These are: product, pricing, distributive channels (place) and sales promotion techniques. A fair combination of these marketing elements is called Marketing Mix. It is the blending of four inputs (4 Ps) which form the core of marketing system. This marketing mix is marketing manager's tool for achieving marketing objectives/targets. He/she has to use the four elements of marketing mix in a rational manner to achieve his/her marketing objectives in terms of volume of sales and consumer support. After completion of this chapter, the learner will be able;

- To describe the product planning and its concepts
- To know the general approaches of pricing
- To discuss about the product distribution and different promotional tools

5.1. Product planning

Dear learners, what do you think about product? How do you define the term product? Traditionally, product is used interchangeably with goods. Many times people called as good or services. However, product is anything that can be offered to a market for attention, acquisition, use, or consumption that might satisfy a want or need. Products include more than just tangible objects rather it includes services, events, persons, places, organizations, ideas, or mixture of these. Marketing mix planning begins with building an offering that brings value to target customers. A company's market offering often includes both tangible and intangible things. At one extreme, the market offer may consist of pure tangible goods such as soap, toothpaste. At the other extreme are pure services like doctor's exam, financial services. Pure' Services are distinguished from 'physical' products on the basis of intangibility, inseparability, variability and perish ability. Services are a form of product that consist of activities, benefits, or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything.

Product is a complex concept that must be carefully defined. As the first of the four marketing mix variables, it is often where strategic planning begins. Product strategy calls for making coordinated decisions on individual products, product lines, and the product mix.

5.1.1. Levels of Product and Services

Product planners need to think about products and services on three levels. Each level adds more customer value.

1. Core product: is the core, problem solving benefits that consumers are really buying when they obtain a product or service. It answers the question “what is the buyer really buying?”
2. Actual product: The actual product may have as many as five characteristics that combine to deliver core product benefits. They are: quality level, features, design, brand name and packaging.
3. Augmented product: includes any additional consumer services and benefits built around the core and actual products.

Therefore, a product is more than a simple set of tangible features. Consumers tend to see products as complex bundles of benefits that satisfy their needs. When developing products, marketers must first identify the core consumer needs that the product will satisfy. They must then design the actual product and finally find ways to augment it in order to create the bundle of benefits that will best satisfy consumers.

5.1.2. **Product Classification**

There are three basic types of product classifications based on their durability and tangibility. **Durable products** are used over an extended period of time. **Nondurable products** are more quickly consumed, usually in a single use or a few usage occasions. **'Pure' Services** are activities or benefits offered for sale which are intangible, inseparable from the consumer, perishable in that they are experiential and do not result in ownership of anything.

Products also fall into two broad classes based on the types of consumers that use them: consumer goods and industrial goods.

A. Consumer Products

Consumer products are those bought by final consumers for personal consumption. Marketers usually classify these goods further based on how consumers go about buying them. Consumer products include convenience products, shopping products, specialty products, and unsought products. These products differ in the ways consumers buy them and therefore in how they are marketed

- **Convenience products** are consumer products and services that the customer usually buys frequently, immediately, and with a minimum of comparison and buying effort. Examples include soap, candy, newspapers, and fast food. Convenience products are usually low priced, and marketers place them in many locations to make them readily available when customers need them.

- **Shopping products** are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style. When buying shopping products and services, consumers spend much time and effort in gathering information and making comparisons. Examples include furniture, clothing, used cars, major appliances, and hotel and motel services. Marketers usually distribute their products through fewer outlets but provide deeper sales support to help customers in their comparison efforts.
- **Specialty products** are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort. Examples include specific brands and types of cars, high-priced photographic equipment, designer clothes, and the services of medical or legal specialists. A Lamborghini automobile, for example, is a specialty product because buyers are usually willing to travel great distances to buy one. Buyers normally do not compare specialty products. They invest only the time needed to dealers carrying the wanted products.
- **Unsought products** are consumer products that the consumer either does not know about or knows about but does not normally think of buying. Most major new innovations are unsought until the consumer becomes aware of them through advertising. Classic examples of known but unsought products and services are life insurance and blood donations to the Red Cross. By their very nature, unsought products require a lot of advertising, personal selling, and other marketing efforts.

B. Industrial Products

Industrial products are those purchased for further processing or for use in conducting a business. Thus, the distinction between a consumer product and an industrial product is based on the purpose for which the product is bought. If a consumer buys a lawn mower for use around home, the lawn mower is a consumer product. If the same consumer buys the same lawn mower for use in a landscaping business, the lawn mower is an industrial product. The three groups of industrial products and services include materials and parts, capital items, and supplies and services.

- i. Materials and parts** include raw materials and manufactured materials and parts. **Raw materials** consist of farm products (wheat, cotton, livestock, fruits, vegetables) and natural products (fish, lumber, crude petroleum, iron ore). **Manufactured materials and parts** consist of component materials (iron, yarn, cement, wires) and component parts (small motors, tires, castings). Most manufactured materials and parts are sold directly to industrial users. Price and service are the major marketing factors; branding and advertising tend to be less important. The demand for industrial products is derived from the demand for consumer products. This is known as "derived demand."
- ii. Capital items** are industrial products that aid in the buyer's production or operations, including installations and accessory equipment. **Installations** consist of major purchases such as buildings (factories, offices) and fixed equipment (generators, drill presses, large computer systems, and elevators). **Accessory equipment** includes portable factory equipment and tools (hand tools, lift trucks) and office equipment (fax machines, desks). They have a shorter life than installations and simply aid in the production process.
- iii. Supplies and services.** **Supplies** include operating supplies (lubricants, coal, paper, pencils) and repair and maintenance items (paint, nails, brooms). Supplies are the convenience products of the industrial field because they are usually purchased with minimum of effort or comparison. **Business services** include maintenance and repair services (window cleaning, computer repair) and business advisory services (legal, management consulting, and advertising). Such services are usually supplied under contract.

5.1.3. Product Decisions

Marketers make product and service decisions at three level: individual product decisions, product line decisions, and product mix decisions.

1. Individual Product Decisions

We will focus on the important decisions in the development and marketing of individual products and services. Marketers make individual product decisions for each product including: product attributes decisions, brand, packaging, labeling, and product-support services decisions.

A. Product Attributes

Product attributes deliver benefits through tangible aspects of the product including features and design as well as through intangible features such as quality and experiential aspects. Developing a product or service involves defining the benefits that it will offer. These benefits are communicated to and delivered by product attributes such as quality, features, style and design.

- i. **Product Quality:** Quality is one of the marketer's major positioning tools. Product quality has two dimensions—level and consistency. In developing a product, the marketer must first choose a quality level that will support the product's position in the target market. Here, product quality means performance quality—the ability of a product to perform its functions beyond quality level, high quality also can mean high levels of quality consistency. Here, product quality means conformance quality—freedom from defects and consistency in delivering a targeted level of performance. All companies should strive for high levels of conformance quality.
- ii. **Product Features:** A product can be offered with varying features. The company can create higher-level models by adding more features. Features are a competitive tool for differentiating the company's product from competitors' products. Being the first producer to introduce a needed and valued new feature is one of the most effective ways to compete. A company can identify new features and decide to add to its product by periodically survey buyers who have used the product.
- iii. **Product Style and Design:** Another way to add customer value is through distinctive product style and design. Some companies have reputations for outstanding style and design. Design is a larger concept than style. **Style** simply describes the appearance of a product. Styles can be eye catching or yawn producing. A sensational style may grab attention and produce pleasing aesthetics, but it does not necessarily make the product perform better. Unlike style, design is more than skin deep—it goes to the very heart of a product. Good design contributes to a product's usefulness as well as to its looks. Good style and design can attract attention, improve product performance, cut production costs, and give the product a strong competitive advantage in the target market.

B. Branding

A brand is a way to identify and differentiate goods and services through use of a name or distinctive design element, resulting in long-term value known as brand equity. Perhaps the most distinctive skill of professional marketers is their ability to create, maintain, protect, and enhance brands of their products and services. Consumers view a brand as an important part of a product, and branding can add value to a product. Branding has become so strong that today hardly anything goes unbranded. Branding helps buyers in many ways. Brand names help consumers identify products that might benefit them. Brands also tell the buyer something about product quality. Buyers who always buy the same brand know that they will get the same features, benefits, and quality each time they buy. Branding also gives the seller several advantages. The brand name becomes the basis on which a whole story can be built about a product's special qualities. The seller's brand name and trademark provide legal protection for unique product features that otherwise might be copied by competitors. Branding also helps the seller to segment markets.

i. Brand: A brand is a name, sign, symbol, or design, or a combination of these that identifies the maker or seller of a product or service.

ii. Brand equity: Brand equity is the value of a brand, based on the extent to which it has high brand loyalty, name awareness, perceived quality, strong brand associations, and other assets such as patents, trademarks, and channel relationships. Powerful brand names command strong consumer preference and are powerful assets. Perhaps the most distinctive skill of professional marketers is their ability to create, maintain, protect, and enhance brands. Measuring the actual equity of a brand name is difficult. However, the advantages of having it include: high consumer awareness and loyalty, easier to launch brand extensions because of high brand credibility, a good defense against fierce price competition and it is believed to be the company's most enduring asset. Customer equity tends to aid marketing planning in assuring loyal customer lifetime value.

iii. Selecting the Brands Name; The brand name should be carefully chosen since a good name can add greatly to a product's success. Desirable qualities of a good brand name include:

1. It should suggest something about the product's benefits and qualities.
2. It should be easy to pronounce, recognize, and remember.
3. It should be distinctive.
4. It should translate easily into foreign languages.

5. It should be capable of registration and legal protection. Once chosen, the brand name must be protected.

iv. Sponsorship options for Branding: A manufacturer has four sponsorship options:

1. **Manufacturer's brand** (or national brand) is a brand created and owned by the producer of a product or service.
2. **Private brand** (or intermediary, distributor, or store brand) is a brand created and owned by a reseller of a product or service.
3. **Licensed brand:** a company sells its output under another brand name.
4. **Co-branding** occurs when two companies go together and manufacture one product. Combined brands create broader customer appeal and greater brand equity. It may allow a company to expand its existing brand into a category it might otherwise have difficulty entering alone. But at the same time there are certain disadvantages of combine branding like:
 - Complex legal contracts and licenses are involved.
 - Coordination efforts are often difficult.
 - Trust is essential between partners. It is often hard to come by.

At one time manufacturer's brands were the most popular and profitable. Today, however, an increasing number of private brands are doing well. Though hard to establish and maintain, private brands can yield higher profit margins. "The battle of the brands" (the competition between manufacturer's and private brands) causes resellers to have advantages, and they charge manufacturer's slotting fees (payments demanded by retailers from producers before they will accept new products and find "slots" for them on the shelves). As store brands are improving in quality, they are posing a stronger threat to the manufacturer's brands. This is especially true in supermarkets.

v. Branding Strategy: A company has four choices when it comes to brand strategy. It can:

1. Introduce line extensions. Existing brand names are extended to new forms, sizes, and flavors of an existing product category. A company might introduce line extensions as a low-cost, low-risk way of introducing new products in order to:
 - a. Meet consumer desires for variety.
 - b. Meet excess manufacturing capacity.

- c. Simply command more shelf space.

Risks of line extensions include:

- a. An overextended brand might lose its specific meaning.
 - b. Can cause consumer frustration or confusion
2. Introduce brand extensions; Existing brand names are extended to new or modified product categories. Advantages include: helps a company enter new product categories more easily, aids in new product recognition and saves on high advertising cost.
 3. Introduce multiband; new brand names are introduced in the same product category. The advantages include: gaining more shelf space, offering several brands to capture “brand switchers,” developing healthy competition within the organization. Its drawbacks are; each brand may only obtain a small market share and be unprofitable.
 4. Introduce new brands. New brand names in new categories are introduced. This helps move away from a brand that is failing and can get new brands in new categories by corporate acquisitions.

C. packaging

Packaging involves designing and producing the container or wrapper for a product. The package may include the product's primary container (the tube holding Colgate toothpaste); a secondary package that is thrown away when the product is about to be used (the cardboard box containing the tube of Colgate); and the shipping package necessary to store, identify, and ship the product (a corrugated box carrying six dozen tubes of Colgate toothpaste). Labeling printed information appearing on or with the package is also part of packaging.

Traditionally, the primary function of the package was to contain and protect the product. In recent times, packages perform many sales tasks from attracting attention to describing the product, to making the sale. Companies are realizing the power of good packaging to create instant consumer recognition of the company or brand. Developing a good package for a new product requires making many decisions. First, the company must establish the packaging concept, which states what the package should be or do for the product. Should it mainly offer product protection, introduce a new dispensing method; suggest certain qualities about the product, or something else? Decisions then must be made on specific elements of the package, such as size, shape, materials, color, text, and brand mark. These elements must work together to support the product's position and marketing strategy. The package must be consistent with the product's advertising, pricing, and distribution.

D. Labeling

Labels may range from simple tags attached to products to complex graphics that are part of the package. They perform several functions. At the very least, the label identifies the product or brand. The label might also describe several things about the product—who made it, where it was made, when it was made, its contents, how it is to be used, and how to use it safely. Finally, the label might promote the product through attractive graphics.

E. Product Support Services

Customer service is another element of product strategy. A company's offer to the marketplace usually includes some services, which can be a minor or a major part of the total offer. Later in the chapter, we will discuss services as products in themselves. Here, we discuss product support services that augment actual products. More and more companies are using product support services as a major tool in gaining competitive advantage.

A company should design its product and support services to profitably meet the needs of target customers. The first step is to survey customers periodically to assess the value of current services and to obtain ideas for new ones. For example, Cadillac holds regular focus group interviews with owners and carefully watches complaints that come into its dealerships. From this careful monitoring, Cadillac has learned that buyers are very upset by repairs that are not done correctly the first time.

Once the company has assessed the value of various support services to customers, it must next assess the costs of providing these services. It can then develop a package of services that will both delight customers and yield profits to the company.

2. Product Line Decisions

A product line is a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same types of outlets, or fall within given price ranges. For example, when a company creates a group of products that deal with hygiene, such as shaving cream, soap and shampoo, this is known as a product line. The line of products typically shares the same logo, brand and color scheme. The major product line decision involves product line length, product line filling, and product line stretching.

3. Product Mix Decisions

The product mix of a company involves all of the products that a company has for sale. The product mix could include several lines of products or individual products that do not fall into a line. For example, if a company owns a line of hygiene products and also owns a line of house cleaning products, all of those products together would constitute the product mix for the company. Each line would combine with the other to come up with the total mix. A company's product mix has four important dimensions: width, length, depth and consistency.

The marketer's product line decisions deals about the types, versions and numbers of items to be marketed while the product mix decisions concerned with how many product lines to be handled by the marketer.

5.2.4. New Product Development

By new products we mean original products, product improvements, product modifications, and new brands that the firm develops through its own research and development efforts. Because so many new products fail, companies are anxious to learn how to improve their odds of new-product success. The solution lies in strong new-product planning and in setting up a systematic new-product development process for finding and growing new products. There are eight major steps in new-product development process.

a. Idea generation

Idea generation is the systematic search for new-product ideas. A company typically has to generate many ideas in order to find a few good ones. Major sources of new-product ideas include internal sources, customers, competitors, distributors and suppliers, and others.

b. Idea Screening

The purpose of idea generation is to create a large number of ideas. The purpose of the succeeding stages is to reduce that number. The first idea-reducing stage is idea screening, which helps spot good ideas and drop poor ones as soon as possible. Product development costs rise greatly in later stages, so the company wants to go ahead only with the product ideas that will turn into profitable products.

c. Concept Development and Testing

An attractive idea must be developed into a product concept. It is important to distinguish between a product idea, a product concept, and a product image. A product idea is an idea for a possible product that the company can see itself offering to the market. **A product concept** is a detailed version of the idea stated in meaningful consumer terms. A product image is the way consumers perceive an actual or potential product. **Concept testing** calls for testing new-product concepts with groups of target consumers. The concepts may be presented to consumers symbolically or physically. For some concept tests, a word or picture description might be sufficient. However, a more concrete and physical presentation of the concept will increase the reliability of the concept test. Today, some marketers are finding innovative ways to make product concepts more real to consumer subjects. For example, some are using virtual reality to test product concepts. Virtual reality programs use computers and sensory devices (such as gloves or goggles) to simulate reality.

d. Marketing strategy Development

The next step is marketing strategy development, designing an initial marketing strategy for introducing the product to the market. The marketing strategy statement consists of three parts. The first part describes the target market; the planned product positioning; and the sales, market share, and profit goals for the first few years. The second part of the marketing strategy statement outlines the product's planned price, distribution, and marketing budget for the first year. The third part of the marketing strategy statement describes the planned long-run sales, profit goals, and marketing mix strategy.

e. Business Analysis

Once management has decided on its product concept and marketing strategy, it can evaluate the business attractiveness of the proposal. Business analysis involves a review of the sales, costs, and profit projections for a new product to find out whether they satisfy the company's objectives. If they do, the product can move to the product development stage.

f. Product Development

If the product concept passes the business test, it moves into product development. Here, R&D or engineering develops the product concept into a physical product. The product development step, however, now calls for a large jump in investment. It will show whether the product idea can be turned into a workable product. The R&D department will develop and test one or more physical versions of the product concept. R&D hopes to design a prototype that will satisfy and excite consumers and that can be produced quickly and at budgeted costs.

g. Test Marketing

If the product passes functional and consumer tests, the next step is test marketing, the stages at which the product and marketing program are introduced into more realistic market settings. Test marketing gives the marketer experience with marketing the product before going to the great expense of full introduction. It lets the company test the product and its entire marketing program: positioning strategy, advertising, distribution, pricing, branding, packaging, and budget levels.

h. Commercialization

Test marketing gives management the information needed to make a final decision about whether to launch the new product. If the company goes ahead with commercialization—introducing the new product into the market—it will face high costs. The company will have to build or rent a manufacturing facility. The company launching a new product must first decide on introduction timing. Next, the company must decide where to launch the new product—in a single location, a region, the national market, or the international market. Few companies have the confidence, capital, and capacity to launch new products into full national or international distribution. They will develop a planned market rollout over time. In particular, small companies may enter attractive cities or regions one at a time. Larger companies, however, may quickly introduce new models into several regions or into the full national market.

5.2.5. Product life cycle

After launching the new product, management wants the product to enjoy a long and happy life. Although it does not expect the product to sell forever, the company wants to earn a decent profit to cover all the effort and risk that went into launching it. Management is aware that each product will have a life cycle, although the exact shape and length is not known in advance. Not all products follow the following product lifecycle. Some products are introduced and died quickly; others stay in the mature stage for a long time. Some enter the decline stage and cycled back into the growth stage through strong promotion or repositioning. The product life cycle has five distinct stages:

a. Product development

Product development begins when the company finds and develops a new-product idea. During product development, sales are zero and the company's investment costs mount.

b. Introduction stage

The introduction stage starts when the new product is first launched. Introduction takes time, and sales growth is apt to be slow. In this stage, as compared to other stages, profits are negative or low because of the low sales and high distribution and promotion expenses. Much money is needed to attract distributors and build their inventories. Promotion spending is relatively high to inform consumers of the new product and get them to try it. Because the market is not generally ready for product refinements at this stage, the company and its few competitors produce basic versions of the product. These firms focus their selling on those buyers who are the readiest to buy. A company, especially the market pioneer, must choose a launch strategy that is consistent with the intended product positioning. It should realize that the initial strategy is just the first step in a grander marketing plan for the product's entire life cycle.

c. Growth Stage

If the new product satisfies the market, it will enter a growth stage, in which sales will start climbing quickly. The early adopters will continue to buy, and later buyers will start following their lead, especially if they hear favorable word of mouth. Attracted by the opportunities for

profit, new competitors will enter the market. They will introduce new product features, and the market will expand. The increase in competitors leads to an increase in the number of distribution outlets, and sales jump just to build reseller inventories. Prices remain where they are or fall only slightly. Companies keep their promotion spending at the same or a slightly higher level. Educating the market remains a goal, but now the company must also meet the competition. Profits increase during the growth stage, as promotion costs are spread over a large volume and as unit manufacturing costs fall. The firm uses several strategies to sustain rapid market growth as long as possible. It improves product quality and adds new product features and models. It enters new market segments and new distribution channels. It shifts some advertising from building product awareness to building product conviction and purchase, and it lowers prices at the right time to attract more buyers.

In the growth stage, the firm faces a trade-off between high market share and high current profit. By spending a lot of money on product improvement, promotion, and distribution, the company can capture a dominant position. In doing so, however, it gives up maximum current profit, which it hopes to make up in the next stage.

d. Maturity Stage

At some point, a product's sales growth will slow down, and the product will enter a maturity stage. This maturity stage normally lasts longer than the previous stages, and it poses strong challenges to marketing management. Most products are in the maturity stage of the life cycle, and therefore most of marketing management deals with the mature product.

e) Decline Stage

The sales of most product forms and brands eventually dip. The decline may be slow, as in the case of oatmeal cereal, or rapid, as in the case of phonograph records. Sales may plunge to zero, or they may drop to a low level where they continue for many years. Sales decline for many reasons, including technological advances, shifts in consumer tastes, and increased competition. As sales and profits decline, some firms withdraw from the market. Those remaining may prune their product offerings. They may drop smaller market segments and marginal trade channels, or they may cut the promotion budget and reduce their prices further. Carrying a weak product can be very costly to a firm, and not just in profit terms. There are many hidden costs. A weak product may take up too much of management's time. It often requires frequent price and inventory adjustments. It requires advertising and sales force attention that might be better used to make "healthy" products more profitable. A product's failing reputation can cause customer concerns about the company and its other products.

5.2. PRICING DECISION

As in any other question of marketing, pricing is dependent on how the customer will react to the prices set. Customers do not usually buy the cheapest products; they buy those that represent good value for money. Typically, customers will assess the promises the supplier has made about what the product is and will do, and will measure this against the price being asked. Marketers need to decide what price will be regarded by customers as good value for money, while still allowing the company to make a profit. Price is the only element in the marketing mix that produces revenue; all other elements represent costs. Price is also one of the most flexible of elements of the marketing mix. It has been stated that pricing and price competition is the number-one problem facing many marketing executives. Many companies do not handle pricing well and face common mistakes that they make are:

1. Pricing is too cost-oriented.
2. Prices are not revised often enough to reflect market changes.
3. Prices do not take into account the other elements of the marketing mix.

Now, before talking about all this, it will be important to discuss about the meaning of pricing, pricing objectives, factors affecting pricing and the general approach to pricing

5.2.1. Pricing,

Price is the amount of money charged for a product or service or the sum of the values that consumers exchange for the benefits of having or using the product or service. Historically, price has been the major factor affecting buyer choice. Recently, however, non-price factors have become increasingly important in buyer-choice behavior. Throughout history, prices were set by negotiation between buyers and sellers. Fixed price policies--setting one price for all buyers--is a relatively modern idea that arose with the development of large-scale retailing at the end of the nineteenth century. Today, we may be returning to dynamic pricing--charging different prices depending on the individual customers and situations. All profit organizations and many nonprofit organizations must set prices on their products or services. Price is all around us. You pay rent for your apartment, tuition for your education, and a fee to your physician or dentist. The airline, railway, taxi, and bus companies charge you a fare; the local utilities call their price a rate; and the local bank charges you interest for the money you borrow.

5.2.2. Pricing Objectives

Pricing is different from other marketing activities for a couple of reasons. Firstly, the impacts of pricing decisions are reflected directly in revenue. No other marketing activity has as direct a route to revenue. Secondly, pricing is unique due to the speed with which pricing plans can be implemented. In looking to establish objectives for what we wish to accomplish there are several different pricing objectives to consider, these being:

1. Current Profit Maximization: One potential pricing objective would be to simply seek to maximize our current profitability. A concern with this potential approach, however, is that it is short sighted in nature. Real consideration must be given to the potential negative long-term impacts potentially associated with a going for broke strategy.

2. Current Revenue Maximization: Another potential pricing objective would be to pursue the maximization of current revenue, as opposed to current profits. Under this option there would be little or no attention paid to profit margins. The logic behind this objective is that by increasing market share we will be able to address profitability down the road from an enhanced competitive position.

3. Maximize Quantity: This pricing objective attempts to maximize the total number of units sold or customers served. The thinking behind this particular objective is that by selling large quantities of the product we will eventually put ourselves in the position to decrease long-term costs. Decreased long-term costs serve to ensure our competitiveness and provide a base for increased profitability.

4. Maximize Profit Margin: Maximizing the unit profit margin is another possible pricing objective. In this case there is a need to recognize that the quantities sold will be low.

5. Quality Leadership: By establishing a relatively high price we are signaling to the market that we are a high quality supplier. This pricing objective aids on positioning the product as the quality leader. It must be understood with the approach that we are in all likelihood sacrificing the quantity of units sold in setting this objective

6. Partial Cost Recovery: Partial cost recovery is possible in organizations in which there are other profitable products which would be able to absorb some of the costs associated with the product. In this case the organization may not need to obtain full cost recovery from the one particular product as its costs may be shared with other products.

7. Survival: Establishing a survival-pricing objective is a last gasp measure. Survival pricing is not a long-term objective. The intent with this objective is to select a price that covers costs while permitting the firm to remain in the market. Essentially we are trading profits for revenues which cannot continue forever.

8. Status Quo: Price stabilization serves to avoid price wars with competitors while simultaneously maintaining an acceptable degree of profitability.

5.2.3. Factors Affecting Pricing

The final price for a product may be influenced by many factors which can be categorized into two main groups:

A. Internal Factors

When setting price, marketers must take into consideration several factors which are the result of company decisions and actions. To a large extent these factors are controllable by the company and, if necessary, can be altered. Internal factors affecting pricing include the company's marketing objectives, marketing mix strategy, costs, and organizational considerations.

- I. **The company's marketing objectives:** The clearer a firm is about its objectives, the easier it is to set price. Examples of common objectives are Survival, current profit maximization, market share leadership, and product quality leadership.
- II. **Costs:** Costs set the floor for the price that the company can charge for its product. The company wants to charge a price that both covers all its costs for producing, distributing, and selling the product and delivers a fair rate of return for its effort and risk. A company's costs may be an important element in its pricing strategy. Companies with lower costs can set lower prices that result in greater sales and profits
- III. **Organizational Considerations:** Management must decide who within the organization should set prices. Companies handle pricing in a variety of ways. In small companies, prices are often set by top management rather than by the marketing or sales departments. In large companies, pricing is typically handled by divisional or product line managers. In industrial markets, salespeople may be allowed to negotiate with customers within certain price ranges.

B. External Factors

There are a number of influencing factors which are not controlled by the company, but will affect pricing decisions. This includes the nature of the market and demand, competition, and other environmental elements.

- I. **Nature of the market and demand:** Whereas costs set the lower limit of prices, the market and demand set the upper limit. Both consumer and industrial buyers balance the price of a product or service against the benefits of owning it. Thus, before setting prices, the marketer must understand the relationship between price and demand for its product.
- II. **Competitors' Costs, Prices, and Offers:** Another external factor affecting the company's pricing decisions is competitors' costs and prices and possible competitor reactions to the company's own pricing moves.

III. Economic conditions: Economic factors such as boom or recession, inflation, and interest rates affect pricing decisions because they affect both the costs of producing a product and consumer perceptions of the product's price and value.

IV. Other parties in the Environment: The Company must also consider what impact its prices will have on other parties in its environment. How will resellers react to various prices? The company should set prices that give resellers a fair profit, encourage their support, and help them to sell the product effectively. The government is another important external influence on pricing decisions. Finally, social concerns may have to be taken into account. In setting prices, a company's short-term sales, market share, and profit goals may have to be tempered by broader societal considerations.

5.2.4. The general approach to pricing

The price the company charges will be somewhere between one that is too low produce a profit and one that is too high to produce any demand. There are three major pricing strategies; customer value-based pricing, cost-based pricing and competition-based pricing.

1. Customer value-based pricing

When customers buy a product, they exchange something of value (the price) to get something of value (the benefits of having or using the product). Customer value-based pricing uses buyer's perceptions of value, not the seller's cost as key to pricing. Value-based pricing means that the marketer cannot design a product and marketing program and set the price. Price is considered along with the other marketing mix variable along before marketing is set. The process of value-based pricing will be;

- First, assess customer needs and value perceptions
- Secondly, set target price to match customer perceived value
- Then, determine costs that can be incurred
- Finally, design product to deliver desired value at target price.

2. Cost-based pricing

Whereas customer-value perceptions set the price ceiling, costs set the floor for the price that the company can charge. Cost-based pricing involves setting prices based on the costs for producing,

distributing, and selling the product plus a fair rate of return for its effort and risks. It includes cost-plus pricing and break-even pricing.

Cost-plus pricing: The simplest pricing method is cost plus pricing-adding a standard markup to the cost of the product that means adding the expectations profit with the total cost of the product determine the price in cost plus pricing approach.

Break even pricing (target profit pricing): The firm tries to determine the price at which it will break even or make the target profit it is seeking. Break even pricing or target profit-pricing uses the concept of a break-even chart, which shows the total cost and total sequent expected at different sales volume levels.

3. Competition based pricing

Competition based pricing is setting prices based on competitors' strategies, costs, prices and market offerings. One form of competition based pricing is going rate pricing in which a firm bases its price with less attention paid to its own costs or to demand. The firm might charge the same more or less than its major competitors. They charge their prices when the market leader's prices change, rather than when own demand or costs change.

5.3. PLACE; Product Distribution

5.3.1. Meaning of Channel of Distribution

A channel of distribution or trade channel is defined as the path or route along which goods move from producers or manufacturers to ultimate consumers or industrial users. In other words, it is a distribution network through which producer puts his products in the market and passes it to the actual users. This channel consists of: - producers, consumers or users and the various intermediaries like wholesalers, selling agents and retailers (dealers) who intervene between the producers and consumers. Therefore, the channel serves to bridge the gap between the point of production and the point of consumption thereby creating time, place and possession utilities.

A channel of distribution consists of three types of flows:-

- Downward flow of goods from producers to consumers
- Upward flow of cash payments for goods from consumers to producers
- Flow of marketing information in both downward and upward direction i.e. Flow of information on new products, new uses of existing products, etc from producers to

consumers. And flow of information in the form of feedback on the wants, suggestions, complaints, etc from consumers/users to producers.

A distribution channel can be defined as: "all the organizations through which a product must pass between its point of production and consumption".

Why marketing channel strategy is growing in importance.

After all, using an intermediary means giving up some control over how products are sold and who they are sold to. An intermediary will also want to make a profit by getting involved. The answer lies in achieving the followings;

- Search for sustainable competitive advantages
- Growing power of retailers in marketing channels; Intermediaries are specialists in selling.
- The need to reduce distribution costs; They have the contacts, experience and scale of operation which means that greater sales can be achieved than if the producing business tried to run a sales operation itself.
- The increased role and power of technology
- The new stress on growth

5.3.2. Functions of distribution channel

Information: Gathering and distributing market research and intelligence -important for marketing planning

Promotion: Developing and spreading communications about offers

Contact: Finding and communicating with prospective buyers

Matching: Adjusting the offer to fit a buyer's needs, including grading, assembling and packaging

Negotiation: Reaching agreement on price and other terms of the offer

Physical distribution: Transporting and storing goods

Financing: Acquiring and using funds to cover the costs of the distribution channel

Risk taking: Assuming some commercial risks by operating the channel (e.g. holding stock)

All of the above functions need to be undertaken in any market. The question is - who performs them, and how many levels there need to be in the distribution channel in order to make it cost effective?

5.3.3. Distribution Strategies

Depending on the type of product being distributed there are three common distribution strategies available:

1. **Intensive distribution:** Used commonly to distribute low priced or impulse purchase products e.g. chocolates, soft drinks.
2. **Exclusive distribution:** Involves limiting distribution to a single outlet. The product is usually priced high, and it requires the intermediary to place much detail in its sell. An example of would be the sale of vehicles through exclusive dealers.
3. **Selective Distribution:** A small number of retail outlets are chosen to distribute the product. Selective distribution is common with products such as computers, televisions household appliances, where consumers are willing to shop around and where manufacturers want a large geographical spread.

If a manufacturer decides to adopt an exclusive or selective strategy, they should select an intermediary which has experience of handling similar products, is credible and is known by the target audience.

5.3.4. Factors Affecting Channel Choice

A marketer has to choose a suitable channel of distribution for his/her product such that the channel chosen is flexible, effective and consistent with the declared marketing policies and programs of the firm. While selecting a distribution channel, the marketer should compare the costs, sales volume and profits expected from alternative channels of distribution and take into account the following factors:-

Product Consideration: - The type and the nature of products manufactured is one of the important elements in choosing the distribution channel. The major product related factors are:- Products of low unit value and of common use are generally sold through intermediaries whereas; expensive consumer goods and industrial products are sold directly by the producer. Perishable products, fashion or style products, heavy and bulky products follows relatively shorter routes and generally distributed through direct channels to minimize costs. Industrial products that requires demonstration, installation and after sale service are often sold directly to the consumers. While the consumer products of technical nature are generally sold through retailers.

A marketer producing a wide range of products may find it economical to set up his/her own retail outlets and sell directly to the consumers. On the other hand, firms producing a narrow range of products may distribute their products through wholesalers and retailers. A new product needs greater promotional efforts in the initial stages and hence few intermediaries may be required.

Channel objectives: Channel choice is also greatly influenced by channel objectives. Channel objectives are based on the requirements of the purchasers and users, the overall marketing strategy, and the long-run goals of the corporation. In cases when a company is just getting started, or an older company is trying to carve out a new market, the channel objectives may be the dominant force on channel choice. The following areas encompass the major categories of channel objectives:

1. Growth in sales - by reaching new markets and/or increasing sales in existing markets
2. Maintenance or improvement of market share - educate or assist channel components in their efforts to increase the amount of product they handle.
3. Achieve a pattern of distribution - structure the channel in order to achieve certain time, place, and form utilities.
4. Create an efficient channel - improve channel performance by modifying various flow mechanisms.

Market Consideration: - Another important factor influencing the choice of distribution channel is the nature of the target market. Some of the important features in this respect are:- If the market for the product is meant for industrial users, the channel of distribution will not need any intermediaries or be short one because they buy the product in large quantities. While in the case of the goods meant for domestic consumers, intermediaries may have to be involved. If the number of prospective customers is small or the market for the product is geographically located in a limited area, direct selling is more suitable. While in case of a large number of potential customers, use of intermediaries becomes necessary. If the customers place order for the product in big lots, direct selling is preferred. But, if the product is sold in small quantities, intermediaries are used to distribute such products.

The Type and Size of Business Firm: - A new **business** firm may need to involve one or more intermediaries in order to promote its product, while a well-established firm with a good market standing may sell its product directly to the consumers. A small firm which cannot invest in setting up its own distribution network has to depend on intermediaries for selling its product. On the other hand, a large firm can establish its own retail outlets.

The Distribution Costs of each channel are also an important factor because it affects the price of the final product. Generally, a less expensive channel is preferred. But sometimes, a channel which is more convenient to the customers is preferred even if it is more expensive. If the demand for the product is high, more number of channels may be used to profitably distribute the product to maximum number of customers. But, if the demand is low only a few channels would be sufficient.

The Nature and Type of the Intermediaries required by the firm and its availability also affect the choice of the distribution channel. A company prefers intermediaries who can maximize the volume of sales of their product and also offers other services like storage, promotion as well as after sale services. When the desired type of intermediaries is not available, the manufacturer will have to establish its own distribution network.

All these factors affecting the choice of a distribution channel are inter-related and interdependent. Hence, the marketer must choose the most efficient and cost effective channel of distribution by taking into account all these factors as a whole in the light of the prevailing economic conditions. Such a decision is very important for a business to sustain long-term profitability.

5.3.5. Types of distribution channels

It is the obligation of the producer to make goods available at right place, at right time right price and in right quantity. The process of making goods available to the consumer needs effective channel of distribution. Therefore, the path taken by the goods in its movement is termed as channel of distribution. The goods may be sent to the consumer **directly or indirectly** through intermediaries. The channel of distribution may be classified as:

A. Direct Channel or Zero Level Channels:

Direct selling is the marketing and selling of products directly to consumers away from a fixed retail location. It is "the direct personal presentation, demonstration, and sale of products and services to consumers, usually in their homes or at their jobs." When the manufacturer instead of selling the goods to the intermediary sells it directly to the consumer then this is known as Zero Level Channel. It includes retail outlets, mail order selling, orders received by telephone, email and fax are known as telemarketing and internet selling.

B. Indirect Channels:

When a manufacturer gets the help of one or more intermediaries to move goods from the production place to the place of consumption, the distribution channel is called indirect channel. Following are the main types of it:

1. One Level Channel:

In this method an intermediary is used. Here a manufacturer sells the goods directly to the retailer instead of selling it to agents or wholesalers. This method is used for expensive watches and other like products. This method is also useful for selling fast moving consumer goods. This channel is clarified in the following diagram:

Producer -> Retailer -> Customer

2. Two Level Channel:

In this method a manufacturer sells the material to a wholesaler, the wholesaler to the retailer and then the retailer to the consumer. Here, the wholesaler after purchasing the material in large quantity from the manufacturer sells it in small quantity to the retailer. Then the retailers make the products available to the consumers. This medium is mainly used to sell soap, tea, salt, cigarette, sugar, ghee etc. This channel is more clarified in the following diagram:

Producers -> Wholesalers -> Retailers -> Customer or

Producer -> Agent -> Retailer -> Consumer

3. Three Level Channel:

Under this one more level is added to Two Level Channel in the form of agent. An agent facilitates to reduce the distance between the manufacturer and the wholesaler. Some big companies who cannot directly contact the wholesaler, they take the help of agents. Such companies appoint their agents in every region and sell the material to them. Then the agents sell the material to the wholesalers, the wholesaler to the retailer and in the end the retailer sells the material to the consumers.

Producer -> Agent -> Wholesaler -> Retailer -> Customer

5.4. THE PROMOTION

It is a common mistake to believe that promotion by business is all about advertising. It is not. Promotion is more than just advertising, and it includes several activities. Promotion **informs** consumers about the rest of the marketing mix. Without it, consumers do not know about the product, the price, or the place. It is crucial when you are selling in a mass market or you have a brand name. A successful product or service means nothing unless the benefit of such a service can be communicated clearly to the target market. **Promotion is all about communication.** Promotion is the way a business makes its products known to the customers, both current and potential.

5.4.1. The purpose of Promotion

The main aim of promotion is to ensure that customers are **aware** of the existence and positioning of products. Promotion is also used to **persuade** customers that the product is better than competing products and to **remind** customers about why they may want to buy. In fact, promotion has many potential uses in business. It can be used to:

- Increase sales
- Attract new customers
- Encourage customer loyalty and encourage trial
- Create awareness, inform, and remind potential customers

- Reassure new customers
- Change attitudes and create an image
- Position a product and encourage brand switching
- Support a distribution channel

5.4.2. Factors Affecting Promotion Method Choice

Which promotional methods are used depends on several factors:

Stage in the product life cycle	E.g. advertising is important at the launch stage
Nature of the product	How much information is required by customers before they buy
Competition	What are rivals doing?
Marketing budget	How much can the firm afford?
Marketing strategy	Other elements of the mix (price, product, place etc)
Target market	Appropriate ways to reach the target market

5.4.3. The Promotion Mix Elements

An organization's promotional mix strategy consists of:

Types of Promotion	Explanation
Advertising	Any non-personal paid form of communication using any form of mass media (TV, radio, newspaper, magazine, cinemas, billboard, etc.)
Public Relations	It involves developing positive relationships with the organization media public. The art of good public relations is not only to obtain favorable publicity within the

	media, but it is also involves being able to handle successfully negative attention.
Sales Promotion	Commonly used to obtain an increase in sales short term. Could involve using money off coupons or special offers.
Personal Selling	Selling a product service one to one by using sales representatives. Free samples
Direct Mail	Is the sending of publicity material to a named person within an organization Direct mail allows an organization to use their resources more effectively by allowing them to send publicity material to a named person within their target segment. By personalizing advertising, response rates increase thus increasing the chance of improving sales.
Internet Marketing	Promoting and selling your services online using various forms of online marketing techniques such as banner advertisements, videos or social media.
Sponsorship	Where you pay an organization to use your brand or logo. This organization usually has a high profile so that you know that your brand will be seen by a large audience. Most common use of sponsorship is with sporting events. The 2012 Olympics being held in London is being sponsored by a number of organizations such as McDonald and Coca-Cola as the event will attract a worldwide audience that will run into hundreds of millions.

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ARBA MINCH UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF MANAGEMENT

International Marketing Material for Exit Exam

Arba Minch, Ethiopia

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CHAPTER 1: CONCEPTS OF INTERNATIONAL MARKETING

Introduction

Dear student, welcome to the module of international marketing! In this introductory chapter of the module, you are about to learn the meaning and nature of international marketing, its scope, reasons why firms go international, stages of international marketing involvement, the concepts of international marketing, difference and similarities between domestic and international marketing and multinational corporations. Comprehend the essence of the chapter so that you

will be in a better position to easily understand the contents of the upcoming chapters. Enjoy reading each section with curiosity.

Learning Objectives

After completing the study of this chapter, you are expected to:

- ✓ Define international marketing
- ✓ Know the scope of international marketing
- ✓ Identify the reasons why firms engage in international marketing
- ✓ Differentiate between domestic and international marketing

1.1. Definitions and distinctions

International marketing is the performance of business activities designed to plan, price, promote, and direct the flow of a company's goods and services to consumers or users in more than one nation for a profit. The only difference between the definitions of domestic marketing and international marketing is that in the latter case, marketing activities take place in more than one country. This apparently minor difference, "in more than one country," accounts for the complexity and diversity found in international marketing operations. Marketing concepts, processes, and principles are universally applicable, and the marketer's task is the same, whether doing business in Dime box, Texas, or Dar es Salaam, Tanzania. Business's goal is to make a profit by promoting, pricing, and distributing products for which there is a market. If this is the case, what is the difference between domestic and international marketing?

The answer lies not with different concepts of marketing but with the environment within which marketing plans must be implemented. The uniqueness of foreign marketing comes from the range of unfamiliar problems and the variety of strategies necessary to cope with different levels of uncertainty encountered in foreign markets.

Competition, legal restraints, government controls, weather, fickle consumers, and any number of other uncontrollable elements can, and frequently do, affect the profitable outcome of good, sound marketing plans. Generally speaking, the marketer cannot control or influence these uncontrollable elements but instead must adjust or adapt to them in a manner consistent with a successful outcome. What makes marketing interesting is the challenge of molding the controllable elements of marketing decisions (product, price, promotion, distribution, and research) within the framework of the uncontrollable elements of the marketplace (competition, politics, laws, consumer behavior, level of technology, and so forth) in such a way that marketing objectives are achieved. Even though marketing principles and concepts are universally applicable, the environment within which the marketer must implement marketing plans can change dramatically from country to country or region to region. The difficulties created by different environments are the international marketer's primary concern.

- ✓ International marketing is the application of marketing principles in more than one country or across national boundaries or many nations.
- ✓ It is finding and satisfying global customer needs.
- ✓ It refers to marketing carried out by companies overseas or across national borderlines.

Literature offers several various definitions of international marketing:

- ✓ International marketing consists of findings and satisfying global customer needs better than the competition, both domestic and international and coordinating marketing activities within the constraints of the global environment (Terpstra, Foley and Sarathy, 2012).
- ✓ International marketing focuses on the need to create, communicate and deliver value internationally (Czinkota and Ronkainen, 2012).
- ✓ A series of activities that creates an exchange that satisfies the individual customer across national borders is known as international marketing (Kleindl, 2007). International marketing activities may need to be adjusted because of geographic, competitive, cultural, or legal differences.
- ✓ A definition by the AMA (American Marketing Association) describes international marketing as the multinational process of planning and executing the conception, pricing,

promotion and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational objectives.

1.2 Domestic marketing Vs IM

The basic nature of marketing does not change when it extends beyond national boundaries, but international marketing, unlike domestic marketing, requires operating simultaneously in more than one kind of environment. Operations in different environment must be coordinated, and the experience gained in one country is used for making decisions in another country. The differences between domestic and global marketing arise entirely from the differences that exist in the national environment within which the marketing effort is directed and the differences that arise in the organization and program because of operations being conducted simultaneously in different markets.

Table 1.2 Domestic versus International Marketing

Decision variable	Domestic Marketing	International Marketing
Definition	Domestic marketing is the selling of a company products within a local market.	International marketing is the promotion and sale of a company products to consumers in different countries.
Market Segment	Single market and sub markets	Multiple markets, multiple sub markets
Market Control	Easier as only a single market and sub market is served and It deals with only one set of competition and economic issues which make it more convenient to do.	More difficult as new variables like culture, religion, government policy and others enter the scale of decisions and It is very complex and requires a huge amount of financial resources. Every country has its own laws on business.
Consumer	consumer demands is easier and faster to do.	Consumer tastes and preferences may also differ.

Differences in procedures and documentation	In domestic market, there is no problem of exchange control and tariff	but In international marketing exchange controls and tariffs are normal obstacles.
Differences in market characteristics	Domestic market is much more homogenous.	international markets are diverse and fragmented.
Business environment	Relatively stable in domestic market	It's multiple and unsuitable in international markets .
Administration:	Since the Control is over a single set up. administration is relatively easier	Multiple markets, multiple mix of marketing variables demand new set up of administrative machinery
Product Design:	Since the product is designed for the market question of adapting does not arise	Product has to be adapted to every market segment
Product Development	Is required when the product reaches end of its life cycle or when it is withdrawn	May move to new markets where it may be in growth or introduction stage
Advertising:	Single market, single message, question of adaptation limited to sub segments, media choice, known with certainty	Multiple market, multiple message depending on the emphasis demanded by each market message may be adapted to new markets or could be universal-complex media availability

Stages of International Involvement

Some marketing textbooks differentiate international marketing from global marketing because international marketing in its literal sense signifies marketing between nations (inter means between). The word international may thus imply that a firm is not a corporate citizen of the world but rather operates from a home base. For those authors, global or world

marketing is the preferred term, since nothing is foreign or domestic about the world market and global opportunities.

A. Domestic Marketing:

It is concerned with the marketing practices within a marketer's home country.

The firm: faces only one set of competitive, economic, and market issues. Deals with only one set of customers, although the company may serve several segments in this one market. Such a company has the least commitment to international marketing.

B. No Direct Foreign Marketing

A company does not actively cultivate customers outside national boundaries however, this company's products may reach foreign markets indirectly via domestic wholesalers or distributors. Sales are made to trading companies as well as foreign customers who come directly to the firm. Or through web orders.

C. Infrequent Foreign Marketing

Temporary surpluses caused by variations in production levels or demand may result in infrequent marketing overseas. Foreign sales activity declines and is withdrawn when domestic demand increases.

Sales to foreign markets are made as goods are available, with little or no intention of maintaining continuous market representation.

D. Regular Foreign Marketing

The firm has permanent productive capacity devoted to foreign markets. The primary focus of operations and production is to serve domestic market needs. However, as overseas demand grows, production is allocated for foreign markets. Profits will move from being seen as a bonus to regular market profits. The firm employs domestic or foreign intermediaries Regularly entering into international market.

E. International Marketing

Companies are fully committed and involved in international marketing activities. Production takes place on foreign soil. They seek markets all over the world and sell products in various countries. This entails not only the marketing but also the production of goods outside the home market. At this point a company becomes an international firm.

Example: Fedders-a manufacturer of room air conditioners (Fedders-Xinle)

1.3 International trade concepts

What Is International Trade?

International trade theories are simply different theories to explain international trade. Trade is the concept of exchanging goods and services between two people or entities. **International trade is then the concept of this exchange between people or entities in two different countries.**

A. Mercantilism

Developed in the sixteenth century, mercantilism was one of the earliest efforts to develop an economic theory. This theory stated that a country's wealth was determined by the amount of its gold and silver holdings. In its simplest sense, mercantilists believed that a country should increase its holdings of gold and silver by promoting exports and discouraging imports.

Mercantilism is a theory of trade that is in favor of exporting more goods than importing goods. It's used to sell more products than purchase products, for profit in gold/silver. Countries restriction on import and stress on export activities to avoid trade deficit. Import should be avoided. It put emphasis on export but not import, but it is not easy to be self-sufficient.

The objective of each country was to have a trade surplus, or a situation where the value of exports is greater than the value of imports, and to avoid a trade deficit, or a situation where the value of imports is greater than the value of exports.

Nations expanded their wealth by using their colonies around the world in an effort to control more trade and amass more riches. The British colonial empire was one of the more successful examples; it sought to increase its wealth by using raw materials from places ranging from what are now the Americas and India. France, the Netherlands, Portugal, and Spain were also

successful in building large colonial empires that generated extensive wealth for their governing nations.

Although mercantilism is one of the oldest trade theories, it remains part of modern thinking. Countries such as Japan, China, Singapore, Taiwan, and even Germany still favor exports and discourage import.

B. Absolute Advantage

Until the late 18th century it was the theory of mercantilism that held ground the' economic policies laid during that period were based on the theory of men. In 1776, Adam Smith propounded the theory of Absolute Cost Advantage t against the theory of mercantilism. Smith offered a new trade theory called absolute advantage, which focused on the ability of a country to produce a good more efficiently than another nation. A company can produce greater output of a good or service than other countries using the same amounts of resources. It refers to differences in productivity of nations.

Smith stated that tariffs and quotas should not restrict international trade. Smith reasoned that trade between countries shouldn't be regulated or restricted by government policy or intervention. He stated that trade should flow naturally according to market forces. In a hypothetical two-country world, if Country A could produce a good cheaper or faster (or both) than Country B, then Country A had the advantage and could focus on specializing on producing that good. Similarly, if Country B was better at producing another good, it could focus on specialization as well. By specialization, countries would generate efficiencies, because their labor force would become more skilled by doing the same tasks. Production would also become more efficient, because there would be an incentive to create faster and better production methods to increase the specialization.

C. Comparative Advantage

Introduced by David Ricardo in 1817, and later improved by John Stuart Mill, Cairnes and Bastable. It's principle states that:

“a country should specialize in producing and exporting those products in which it has a comparative, or relative cost, advantage (Low Production Costs) compared with other countries and should import those goods in which it has a comparative disadvantage (High Production Costs).”

The principle of comparative costs is based on the differences in production costs (because of geographical division of labor and specialization in production) of similar commodities in different countries.

According to Ricardo’s principle of relative (or comparative) advantage, one country may be better than another country in producing many products but should produce only what it produces best. Essentially, it should concentrate on either a product with the greatest comparative advantage or a product with the least comparative disadvantage. Conversely, it should import either a product for which it has the greatest comparative disadvantage or one for which it has the least comparative advantage.

Worker	Shirt Per day	Wheat Per day
America	50	200
China	25	50

From the above example:

America has absolute advantage in the production of both products since American worker can produce more products than China worker.

America: 1 shirt costs 4 bushels of wheat

China: 1 shirt costs 2 bushels of wheat

Therefore, China should specialize in shirt and America in wheat

D. Product Life Cycle Theory

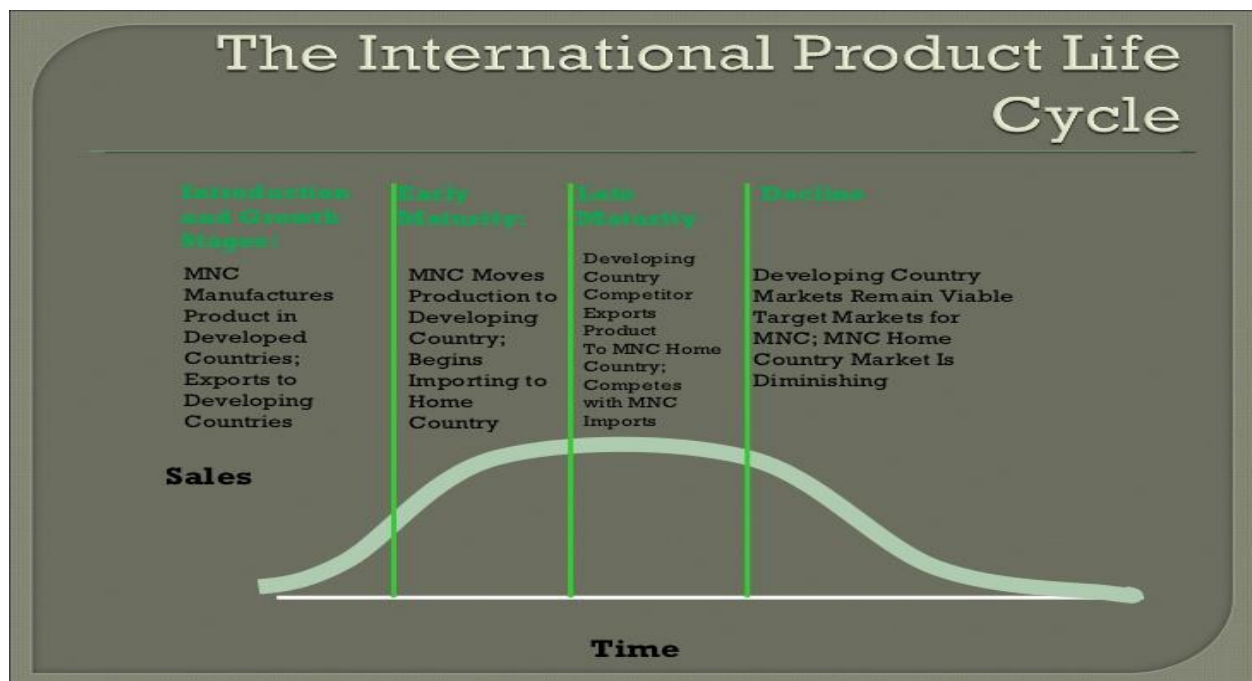
Raymond Vernon developed the international product life cycle theory in the 1960s. The international product life cycle theory stresses that a company will begin to export its product and later take on foreign direct investment (FDI) as the product moves through its life cycle.

Eventually a country's export becomes its import.

The theory does not explain trade patterns of today. (It's design was for US in 1960's)

There are four phases in the production and trade cycle: (US's example).

We'll assume a U.S. firm has come up with a high-tech product.



PHASE ONE:

Product innovation is likely to be related to the needs of the home market. Is produced in the home market. As it begins to fill home-market needs, the firm begins to export the new product, seizing on its first-mover advantages.

(We assume the U.S. firm is exporting to Europe.)

PHASE TWO:

- ✓ **Importing countries** gain **familiarity** with the **new product**.
- ✓ They **begin producing the product** for their own markets.

- ✓ *Foreign production will reduce the exports of the innovating firm.*

(We assume that the U.S. firm's exports to Europe are replaced by production within, Europe.)

PHASE THREE:

- ✓ Foreign firms **gain production experience** and **move down the cost curve**.
- ✓ If they have lower costs than the innovating firm, they export to **third-country markets**, replacing the innovator's exports there.

(We assume that European firms are now exporting to Latin America, taking away the U.S. firm's export markets there.)

PHASE FOUR:

- ✓ The foreign producers now have **sufficient production experience and economies of scale** to allow them to **export back to the innovator's home country**.

(We will assume the European producers have now **taken away** the home market of the original U.S. innovator.)

1.4. Export marketing and IM

According to B. S. Rathor

“Export marketing includes the management of marketing activities for products which cross the national boundaries of a country”.

“Export marketing means marketing of goods and services beyond the national boundaries”.

Export marketing means exporting goods to other countries of the world. It involves lengthy procedure and formalities. In export marketing, goods are sent abroad as per the procedures framed by the exporting country as well as by the importing country. Exporters require various documents to submit them to various authorities such as customs, port trust etc. The documents include – Shipping Bill, Consular Invoice, Certificate of Origin etc.

Export marketing is more complicated to domestic marketing due to international restrictions, global competition, lengthy procedures and formalities and so on. Moreover, when a business

crossed the borders of a nation, it becomes infinitely more complex. Along with this, export marketing offers ample opportunities for earning huge profits and valuable foreign exchange.

Export marketing has wider economic significance as it offers various advantages to the national economy. It promotes economic / business / industrial development, to earn foreign exchange and ensures optimum utilization of available resources.

Every country takes various policy initiatives for promoting exports and for meaningful participation in global marketing. Global business is a reality and every country has to participate in it for mutual benefits. Every country has to open up its markets to other countries and also try to enter in the markets of other countries in the best possible manner. This is a normal rule which every country has to follow under the present global marketing environment. In the absence of such participation in global marketing, the process of economic development of the country comes in danger.

Exporting is one aspect of international marketing. International marketing is a broad subject which covers the know how to make your product reach to international markets. It covers the barriers and challenges that businesses and marketers face when doing trade internationally.

International marketing covers the effective tools and techniques which can be adopted while making your product or service global. It also discusses about the Strategies that need to be followed by the marketer before entering into a particular country. Since, Wrong marketing and Branding can harm the goodwill of a company. There have been several cases in the past: see link below. Therefore it's very essential to follow the norms and strategies in the international marketing domain.

Exporting is a mode of entry which a business follows to expand its operations abroad. There are different modes of entries like Joint venture, merger and acquisition etc. and companies follow whichever suits their business goals and ambitions. International marketing is a broad subject that covers topics like mode of entries to the functions of international trade governing bodies etc. Therefore, exporting and international marketing are incomparable because of differences in the subjects.

1.5 Strategic Orientation / International Marketing Concepts

Companies are led in to international and even global market by the growing customer demands, and strategic thinking. Management's philosophy on international involvement affects decisions such as: the firm's response to global threats and opportunities and resource allocation. Companies' philosophies on international involvement can be described, based on the EPRG framework, as ethnocentric, polycentric, Regio centric and geocentric.

1. Ethnocentric Orientation:

A strong orientation toward the home country. Firms with ethnocentric orientation consider that domestic:

- ✓ strategies, techniques, and personnel are superior to foreign ones.
- ✓ International operations and customers are considered secondary.
- ✓ Ethnocentric firms are likely to be highly centralized, and they consider that the purpose of their international operation is: to identify markets that could absorb surplus domestic production; to generates revenue ----considering it as a cash cow EX: Nissan (Previously).
- ✓ Produce and sale mainly domestic market
- ✓ Foreign market is temporary
- ✓ Common for firms start international activity

2. Polycentric Orientation

- ✓ It is the opposite of ethnocentricity, with a strong orientation to the host country.
- ✓ Emphasize over the difference between markets that are caused by variations within such as income, culture, laws and politics.
- ✓ The assumption is that each market is a unique and consequently difficult for outsiders to understand.
- ✓ It needs to be addressed individually.
- ✓ The company is fully decentralized.
- ✓ In the process of developing individual strategies the company does not

coordinate activities across the different countries and cannot benefit from economies of scale. Further more numerous functions are duplicated, and ultimate final product costs are higher to the end consumer.

- ✓ Each market is unique and needs to be addressed individually and differently
- ✓ Factors such as customer preferences, expectations and cultural diversity etc. takes in to account.
- ✓ Ex: Ford Motors, GM, Toyota, Suzuki..etc

3. Regio centric Orientation

The similarities on the basis of economic, cultural and political characteristics are taken into account while grouping these countries to form regions. Here, the basic assumption is that the needs of the potential customers in these countries would be similar. So, while developing the operations and marketing strategies, these would be similar across the regions, Segment the market on the basis of regional similarities like economic, political etc.

For example, companies such as Coca Cola have been using this kind of regiocentric orientation approach. For marketing purposes, countries such as India, Pakistan and Bangladesh have been grouped together due to their similarities, and a similar marketing strategy is used across these countries.

4. Geocentric Orientation (Global Approach)

- ✓ The whole world is viewed as a potential market. This leads to global strategies which are not based on any one country but on commonalities.
- ✓ Objectives: To achieve a position as a low-cost manufacturer
- ✓ To achieve a competitive advantage by developing manufacturing process that add more value per unit cost to the final product than its rivals. EX: ESSs
- ✓ An organization treats all foreign markets as one i.e., global market (single market)
- ✓ Sociologically and economically similar

- ✓ No special distinction between domestic and foreign markets
- ✓ Manufacturers offer homogenous, identifiable services and products to integrate for world wide
- ✓ Example **McDonald's**
- ✓

1.6. Opportunities and challenges of IM

Reasons driving organizations to internationalization are categorized in to business environment and firm specific drives.

A. Business Environment Drivers

Elements in the business environment include.

- ✓ Saturated home market: To gain market share improvement
- ✓ Competition: Competition may be less intense in overseas .An organization may face strong international competition in its domestic market place.
- ✓ Regional Economic and Political Integration: Ex: Regional agreements such as: NAFTA & UN. It lowers or eliminates barriers between member countries and promotes trade
- ✓ Technology: Creates opportunities
- ✓ Economic Growth: Increase buying power and create markets of high potential for international brands.
- ✓ Transition to a market economy: Deregulation and privatization of former government monopolies
- ✓ Converging consumer needs: Uniform consumer segments will be emerged worldwide. Pull demand will be generated. (Purchasing home country's global brands)

B. Firms Specific Drivers

- ✓ Product life cycle differences: To prolong the life cycle of the product at maturity or in the decline stage. Ex: Cigarettes
- ✓ High new product development costs: To fully recover the product development costs and make a profit

- ✓ Standardization: To respond to consumer needs by offering different products -at the time where the product fulfills mkt standards.
- ✓ Economies of scale: To compete on price by lowering the manufacturing cost & increasing volume.
- ✓ Cheap Labor:
- ✓ Organizational issues: merger and acquisition
- ✓ Experience transfers: To learn from different parts of the world
- ✓ Comparative advantage in product, skill or technology
- ✓ Excess Capacity: If operating at below optimal capacity levels
- ✓ Access to New Customers: Perhaps the most obvious reason to compete in international markets is gaining access to new customers

Challenges of International Marketing

- ✓ Political and legal differences: The complexity increases based on the operations in a number of countries.
- ✓ Economic differences: based on national income, spending pattern, rate of savings, debt position, business cycles etc.
- ✓ Differences in the Currency Unit cause problems of: currency convertibility, exchange rate fluctuations. variation in the monetary system and regulations
- ✓ Cultural differences:
- ✓ Differences in the language: Even same words may have different meanings.
- ✓ Differences in the marketing infrastructure: Ex: Advertising medium
- ✓ Trade restrictions: Particularly import controls since countries have their own customs duties.

- ✓ High costs of distance: the transportation cost and time
- ✓ Differences in trade practices: Ex: The export procedures and policies
- ✓ Risks and uncertainties: Long distance, dangers of sea transport, changing

exchange rates etc.

Table 1.6 Potential Advantages and Disadvantages of International Marketing

Potential advantages	Potential disadvantages
- opportunity to create economies of scale - opportunity for growth, if the domestic trade is limited - opportunity to avoid fierce competition at home - keep up with international competition - create an international brand image or provide international services to multinational clients - opportunity to dispose large stocks - opportunity to increase profits by using the excess capacity - opportunity to extend the product life cycle if it is different than in domestic country - benefit from lower costs (particularly wage) and more free regulation - geographic diversification reduces country-specific risks	- the cost of the customization of marketing mix - risk of governments instability - risk of currencies instability - difficult entry requirements, different standards, legislation and regulations - difficulty understanding the local culture, customs, values and norms - difficulty in entering the local distribution channel

Source: Pelsmacker et al. (2007), p. 559

1.7 Balance of Payments

The balance of payments (BoP) is the international balance sheet of a nation that records all international transactions in goods, services, and assets over a year. That is why this BoP is usually under the International Transactions Accounts in national statistical data. The BoP is that of a simple accounting tool, similar to balance sheets of companies that report transactions such as goods bought and sold, or assets borrowed and acquired.

The system of accounts that records a nation's international financial transactions during a given period of time—usually one year is called its balance of payments. Because the balance-of-payments record is maintained on a double-entry bookkeeping system, it must always be in balance. It shows whether the country is in overall debt or credit to the rest of the world. Shows the countries overall economic health.

Used by treasuries, central banks, and other government agencies to maintain external and internal economic stability. It includes all transactions in goods, services and assets during a period of time. Balance of payment will always in equilibrium when total debt is equal to total credit. If receipts are larger than payments, there is surplus. If payments are larger than receipts, there is deficit. Most nations adopt measures aimed at preserving a trade surplus and a positive balance of payment. A balance of payments represents the difference between receipts from foreign countries on one side and payments to them on the other.

On the plus side of the balance of payments of a country are:

- ✓ merchandise export sales;
- ✓ money spent by foreign tourists;
- ✓ payments of dividends and interest on investments abroad;
- ✓ return on capital invested abroad;
- ✓ new foreign investments in the country; and
- ✓ foreign government payments to the country.

On the minus side are:

- ✓ the costs of goods imported,
- ✓ spending by the country's tourists overseas,
- ✓ new overseas investments, and
- ✓ the cost of foreign military and economic aid.
- ✓ A deficit results when international payments are greater than receipts.

A balance-of-payments statement includes three accounts:

- ✓ The current account, a record of all merchandise exports, imports, and services plus unilateral transfers of funds;
- ✓ The capital account, a record of direct investment, portfolio investment, and short-term capital movements to and from countries; and
- ✓ The official reserves account, a record of exports and imports of gold, increases or decreases in foreign exchange, and increases or decreases in liabilities to foreign central banks.

Of the three, the current account is of primary interest to international business since it includes all international merchandise trade and service accounts.

Foreign Exchange

The exchange rate is the price of one currency expressed in terms of another currency

- ✓ ☐ Two conventions
- ✓ ☐ E: Price of home currency in terms of foreign currency
- ✓ ☐ R: Price of foreign currency in terms of home currency

An Exchange Rate is Just a Price: The foreign exchange (FX or FOREX) market is the market where exchange rates are determined. Exchange rates are the mechanisms by which world currencies are tied together in the global marketplace, providing the price of one currency in terms of another.

1.8 Barriers of international trade

- ✓ To encourage development of domestic industry and protect existing industry,

- governments establish such barriers to trade as tariffs, quotas, boycotts, monetary barriers, non-tariff barriers, and market barriers.
- ✓ Barriers are imposed against import and against foreign business.
- ✓ Trade barriers can be broadly classified into tariff and non-tariff barriers.

Tariff barriers

- ✓ A tariff is a duty or a tax which is imposed on a commodity when it crosses national borders.
- ✓ A tariff, simply defined, is a tax imposed by a government on goods entering at its border.
- ✓ The tax raises its price and thus diminishes its attraction.

Tariffs may be used as a revenue-generating tax or to discourage the importation of goods.

In general tariffs increase:

- ✓ inflationary pressures, government control and political considerations in economic matters
- Tariff weakens:
 - ✓ balance-of-payments positions,
 - ✓ supply-and-demand patterns,
 - ✓ international relations

Tariff also restricts:

- ✓ **choices available to consumers and competition**
- ✓ Tariffs can be classified as **protective tariffs** and **revenue tariffs**.
- ✓ The purpose of protective tariff is **to protect home industry, agriculture and labor** against foreign competitors by trying to keep foreign goods out of the country.
- ✓ Example, Brazil has **50% import tax on imported “flyaway” planes.**

Protective tariffs can be further classified according to length of time.

- ✓ A **tariff surcharge** is a temporary action.
- ✓ **To adjust** the Japanese imports, President Reagan concentrated national interest to provide import relief. The tariff surcharge on motor vehicles jumped from 4.4% to 45% for one year and declined in subsequent years.

- ❖ A **countervailing duty** is a permanent surcharge. Countervailing duties are imposed on certain imports **when products are subsidized by foreign governments**.
- ❖ The purpose of a **revenue tariff** is to generate **tax revenues for the government**.
- ✓ Compared to a protective tariff, a revenue tariff is relatively low.

Example: when Japanese and other foreign cars are imported to U.S, there is a 3% duty.

The U.S tax is a revenue tax: whereas the Japanese tax is more of a protective tariff.

There are **three kinds of tax rates** applied in tariffs.

1. **Specific duties** are a fixed or specified amount of money per unit of weight, or other measure of quantity.
 - It is a **fixed sum of money charged** upon each unit of the commodity imported.
2. **Ad-valorem duties** are duties ‘**according to value**’.
 - An ad-valorem duty is charged as a **fixed percentage of the value** of the imported article.
3. **Combined rates or duties**: Is a combination of the specific and ad-valorem duties on a single imported product.
 - They are duties based on **both the specific rate and the ad-valorem rate** that are applied to an imported product.

Non-tariff barriers

A tariff is a tax imposed on foreign goods as they enter a country; non-tariff barriers, on the other hand, are non-tax measures imposed by governments to favor domestic over foreign suppliers.

Non-tariff barriers can be grouped in to **five major** categories:

- ✓ Government participation in trade
- ✓ Customs and entry procedures
- ✓ Product requirements
- ✓ Quotas
- ✓ Financial controls
- ❖ **Government participation in trade**: The degree of government involvement in trade varies **from passive to active**.

- ✓ The types of participation include **administrative guidance, state trading and subsidies.**
- ✓ **Customs and entry procedures:** Customs and entry procedures can be employed as non tariff barriers.
 - ❖ These restrictions involve *classification, valuation, documentation, license, inspection and health and safety regulations.*
- ✓ **Product requirements:** For goods to enter a country, product requirements set by that country must be met.
 - ❖ Requirements may apply to *product standards and product specifications as well as to packaging, labeling and marking.*
- ✓ **Quotas:** – A quota is simply a maximum limitation, specified in either value or physical units, on imports of a product for a given period.
- ✓ **Financial Control:** restrictive monetary policies are designed to control capital flow so that currencies can be defended or imports controlled.

Self-check Exercise 1

Part I- Multiple Choice Questions

Choose the correct answer among the alternatives given

1. **EPRG** stands for _____

- A. Ethical, Political, Regional or Geographical orientation
 - B. Ethnographic, Polygraphic, Regiographic or Geographic orientation
 - C. Ethnocentric, Polycentric, Regiocentric or Geocentric orientation
 - D. Ethical, Political, Regional or Geometrical orientation
2. **The only difference in the definitions of domestic marketing and international marketing is that _____.**
- A. The marketing activities take place in more than one country
 - B. The marketing activities take place in one country only
 - C. The marketing activities take place in host country only
 - D. The marketing activities MUST take place in all countries
3. ____ is the principle of organization of a region around several political, social or financial centers.
- A. Ethnocentrism
 - B. Polycentrism
 - C. Marketing expansion
 - D. Global marketing
4. A ____ is a tax on goods upon importation.
- A. Tariff
 - B. Non-tariff
 - C. Legislation
 - D. Quotas
5. Identify the one that cannot be a reason why firms go international
- A. Market saturation
 - B. Excess capacity
 - C. Emergence of new markets
 - D. None of the above
6. The tendency to view one's culture to be superior to others.
- A. Ethnocentric
 - B. Ethnocentrism
 - C. Self-reference
 - D. Material culture

7. Ad valorem duties are duties ____.
- A. According to length of time
 - B. According to the direction
 - C. According to value
 - D. According to weight
8. ----- is an approach adopted by a firm where in it adopts global strategies which are not based on any one country but on commonalities.
- A. Ethnocentric
 - B. Geocentric
 - C. Regio centric
 - D. Polycentric
9. ----- is an approach adopted by a firm where in it adopts a marketing strategy across a group of countries, when the market characteristics of these countries similar
- A. Ethnocentric
 - B. Geocentric
 - C. Regio centric
 - D. Polycentric
10. A/an _____ is a limit on the amount of a specific product that can enter a country.
- A. Quota
 - B. Tariff
 - C. Boycott
 - D. Exchange control

11. What is the purpose of a tariff?

- A. To encourage people to buy goods made in their own country.
- B. To increase trade between other countries.
- C. To stop trade completely.
- D. To encourage democracy.

12. Which one of the statements below is incorrect?

- A. In domestic marketing the question of adapting does not raise
- B. In international marketing the product has to be adapted to every market segment
- C. As awareness of domestic market is high, hence one can do business often without market research
- D. In international marketing, single message is designed to release through various means of promotion
- E. None of the above

13. The balance of payments measures

- A. The value of a country's transactions with the rest of the world
- B. The difference between government revenue and spending
- C. The total debt of a country
- D. The budget position of a government

Part II- True or False Questions

Write True if the statement is correct or False if it is incorrect

1. A business operating in a number of countries is likely to face same political stability, class structure, and economic climate.
2. Whether or not a company conducts international business, its competitors are likely to hail from all over the globe and challenge its position in its own home country.
3. In infrequent foreign marketing stage of international marketing involvement, there is strong intention to maintain continuous market representation.
4. Firms that adopt global marketing philosophy have a strong sense that country markets are very different and that market success requires almost independent program for each country.
5. International marketing and international trade are synonyms term.

CHAPTER 2: INTERNATIONAL MARKETING ENVIRONMENT

Introduction

A worldwide business success requires a respect for local customs. International marketers need to recognize and appreciate varying cultures. Culture plays a significant role in influencing consumer perception, which in turn influences preference and purchase. A good marketing plan can easily go awry when it clashes with tradition. A marketing mix can be effective only as long as it is relevant to a given culture. One should expect that a product may have to be modified, that a new distribution may have to be found, or that a new promotional strategy may have to be considered. In order to develop an appreciation for the role of culture in society as well as the marketing implications of culture, this chapter will explore the following: (1) what culture is, (2) what its characteristics are, and (3) how culture affects consumer behavior. This chapter examines the interrelationships among political, legal, and business decisions. The discussion will focus on how the political climate affects the investment climate. The chapter examines how countries' varying laws and interpretations affect imports, exports, and the marketing mix

Learning Objectives

After completing the study of this chapter, you are expected to:

- ✓ Explain the impact of culture on consumption
- ✓ Know the relation between Economic environment and international marketing
- ✓ Explain the impact of political, legal and technology on consumption
- ✓ Describe Regional economic integration

2.1. Cultural environment

According to Jain, doing business across national boundaries requires interaction with people nurtured in different environments. Values that are important to one group of people may mean

little to another. Cultural differences deeply affect marketing. Therefore, international marketers need to be as familiar as possible with the cultural traits of any country they want to do business with. More than any other functions of business, marketing perhaps is most susceptible to cultural errors, since marketing by definition requires contact with the people of the country concerned. Particularly all marketing decisions are culture bound.

When designing a product, the style, uses, and other related marketing activities must be made culturally acceptable. The items need to be acceptable to the present society if they are to be operative and meaningful. In fact, culture is pervasive in all marketing activities such as in pricing, promotion, channel of distribution, product, packaging, and styling. Hence, the marketers' efforts usually become part of the fabric of culture. The marketers' efforts are judged in a cultural context for acceptance, resistance, or rejection. How such efforts interact with the culture highly determines the degree of success or failure of the marketing effort. The manner in which people consume, the priority needs and wants they strive to satisfy and the manner in which they satisfy them are functions of their culture that temper, mold and dictate their style of living. Culture is the human made part of human environment.

Markets constantly change; they are not static but evolve, expand and contract in response to marketing effort, economic conditions, and other cultural influences. Markets and market behavior are part of a country's culture. One cannot truly understand how markets evolve or how they react to a marketer's effort without appreciating that markets are a result of culture. Marketers are constantly adjusting their efforts to cultural demands of tier market, but they also are acting as agents of change whenever the product or idea being marketed is innovative.

2.1.1 Elements of Culture

Since culture is such a vast concept, it is desirable to develop a field for cultural understanding. From the viewpoints of a marketer, one way of gaining cultural understanding is to examine the following cultural elements: material life, social interactions, language, aesthetics, religion and faith, pride and prejudice, and ethics. A foreign marketer may find such cultural scheme as a useful instrument in assessing the potential and details of a foreign market. Now let us have a brief overview of each of the elements of culture:

- A. **Material Life:** refers to what people do to derive their livelihood. The tools, knowledge, techniques, methods, and processes that a culture utilizes to produce goods and services, as well as their distribution and consumption, are all part of material life. Thus, two

essential parts of material; life are knowledge and economics. Material life reflects the standard of living and degree of technological advancement. The material life of any given society falls in on a continuum between traditional and industrialized poles. That position indicates a society's overall way of life and can be analyzed to determine opportunities for an international marketer.

- B. **Social Interactions:** social interactions establish the roles that people play in a society and their authority/ responsibility patterns. These roles and patterns are supported by society's institutional framework, which includes for example, education and marriage. Social roles are also established by culture. Behavioral also emerge from culture in the form of conventions, rituals, and practices on different occasions such as festivals, marriages, informal get-togethers and times of grief or religious celebrations. The educational system, the social settings, and customs and traditions prescribe roles and patterns for individuals and groups. With respect to marketing social interactions influence family decision making and buying behavior and define the scope of personal influence and opinion.
- C. **Language:** language as part of culture consists not only of the spoken word, but also symbolic communication of time, space, things, friendship, and agreements. Non verbal communication occurs through gestures, expressions and other body movements. Language differences can affect all sorts of business dealings, contracts, negotiations, advertisings, and labeling. It is through language that most of the marketing communication takes place. An international marketer should have a thorough understanding of the language of the market particularly the semantic differences and idiomatic tones which are essential characteristics of all languages of the world. When literal translations are made of brand names or advertising messages from one language to another by people who know the language but not the culture, serious mistakes may occur. For example, when the American car called „Nova“ was introduced to Puerto Rico, sales were poor until the company realized that the word nova literally means in Spanish „doesn't go“. Sales were better when the name was changed to „Caribe“. Similar mistakes of one kind or another regarding use of translated language in international marketing communication are fairly common mainly because of non familiarity with the semantic and idioms in their cultural contexts.

Symbolic communication poses some cross cultural dangers, too. Greetings vary from culture to culture, encompassing hand shake, hug, nose rub, kiss, and placing hands on praying position. Lack of awareness concerning a country's accepted form of greeting can lead to awkward encounters and sometimes offended feelings.

- D. **Aesthetics:** include the art, music, folkways, and architecture endemic to a society. These aspects of a society convey its concept of beauty and modes of expression. For example, different colors have different meanings worldwide. In western societies, wedding gowns are usually white, but in Asia white symbolizes sorrow. The aesthetic values of a society shown in the design, styles, colors, expressions, symbols, movements, emotions, and postures valued and preferred in particular culture. These attributes have an impact on the design and promotion of different products. Moreover, an international marketer must understand nonverbal cultural differences to avoid communicating the wrong message.
- E. **Religion and faith:** religion influences a culture's outlook on life, its meaning and concept. The religion practiced in a society influences the emphasis placed on material life, which in turn affects the attitudes toward owning and using goods or services. Religious traditions may even prohibit the use of certain goods and services altogether. For example, Hinduism prescribes vegetarianism, with special stress on abstinence from beef. Religion affects patterns of living in various other ways. It establishes authority relationships, an individual's duties and responsibilities both in childhood and as an adult, and the sanctity of different acts such as hygiene. In general, organized religion and faith inevitably motivate people and their customs in numerous ways. The impact of religion is continuous and profound. Consequently, international marketers must be sensitive to the religious principles of each host country.
- F. **Pride and prejudice:** even a culture most backward in the eyes of others may foster certain pride in its people about its traits and ways. Cultural pride and prejudice make many nations reject foreign ideas and imported products. But the reverse also occurs: a perception of greatness attributed to another culture may lead to the eager acceptance of things reflecting that culture. For example, the Japanese are proud of their culture and economic achievement and prefer to buy Japanese manufactures. Yet the words made in

USA marked on a product communicate quality and sophistication to the Japanese as well as to people in many developing countries.

G. **Ethics:** The concept of what is right or wrong is based on culture.

2.1.2 CULTURAL UNIVERSALS

The failure to consider cultural universals results in a tendency to overemphasize cultural differences. Human beings, regardless of race or religion, all have similar basic needs, and it is reasonable to expect that certain cultural traits transcend national boundaries. For example, people everywhere have a love for music and a need for fun. Some of the cultural universals identified by Murdock are athletic sports, bodily adornment, the calendar, cooking, courtship, dancing, dream interpretation, education, food taboos, inheritance rules, joking, kin groups, status differentiation, and superstition.⁸ Because of the universality of basic desires, some products can be marketed overseas with little modification. The need to have fun, for instance, makes it natural for people everywhere to accept video games. Likewise, culture is not a barrier to computer software dealing with engineering and scientific applications that manipulate schematic drawings and numbers rather than words.

2.2. Economic environment

The overall macroeconomic environment of the host country as well as the microeconomic environment surrounding the product or market has a significant effect on marketing strategy. Thus, when the economy is booming, there will be plenty of jobs, consumers will be optimistic, and cash registers will ring often. In a booming economic situation, the international marketer will have more opportunity in the market place, although market place opportunities may attract new competitors. However, when an economy is down, unemployment may rise, interest rates

may go up, sales could be more difficult to generate and the international marketer's decisions will take a different shape.

Although international marketers should be concerned with economic environment overseas, they should also be sensitive to economic perspectives of the home market, just as the reverse is true for domestic markets. Indeed, firms react to changing domestic and international economic environment and can be expected to shift their relative emphasis in promoting domestic versus foreign trade.

2.2.1 Analysis of Economic Environment

Given the perspectives of macro and microeconomic environment, an opportunity analysis may be performed to determine if it is worthwhile to seek entry into a foreign country's market. Analysis of marketing opportunity centers on two sets of criteria and risk/reward criteria.

Cost-benefit criteria answer a series of questions that stress markets, competition, and the financial implications of doing business in a foreign country.

Markets: will people want our products? More importantly, will they want them enough to pay a price that will yield us a profit? Is the market large enough for the firm?

Competition: what kind of competition will we have to face, and will the rules apply equally to all? Concern about equal treatment within a market arises from the altered market place competition that exists in many countries because of host governments that own or subsidize competitors. In such cases, a foreign business usually is at a disadvantage even when it is pitted against inefficient local business. Financial examination: how many resources must be committed and what will they cost? What return may be expected and how long might it takes to recover the environments?

Risk/reward criteria analysis: emphasizes the overall constantly changing mix of situations in the social, political, and economic climates of a host country. In terms of economics, the macro economic characteristics of a nation will almost always affect the specific economics of business. The national economic objectives of the country, therefore, also figure in a firm's decision to explore entry there.

2.2.2 International Economic Institutions

1) GATT-WTO

Because each nation is sovereign in determining its own commercial policy, the danger is that arbitrary national actions will minimize international trade. This was the situation in 1930s when international trade was at low stage of development and each nation tried to maintain domestic employment while restricting imports that might help foreign rather than domestic employment. This experience led many trading nations to seek better solutions after World War II. One outcome of their efforts was the General Agreement on Tariffs and Trade (GATT), now called the World Trade Organization (WTO). Today, WTO more than ever the world's trading club, accounting for over 90 percent of the world trade. It has about 130 members, with more wanting to join. GATT-WTO has certainly contributed to the expansion of world trade.

Providing a framework for multilateral trade negotiations is a primary reason for WTO's existence, but there are other WTO principles that further trade expansion. One is the principle of nondiscrimination. Each contracting party must grant all others the same rate of import duty; that is, a tariff concession granted to one trading partner must be extended to all WTO members under the most favored nation clause. Another WTO principle is the concept of consultation. When trade disagreements arise, WTO provides a forum for consultation. In such an atmosphere, disagreeing members are more likely to compromise than to resort to arbitrary trading restricting actions. Apart from market access, there were issues of trade in services, agriculture, and textiles, intellectual property rights; and investment and capital flows. Since GATT's inception, there have been eight "rounds" of intergovernmental tariff negotiations. The most recently completed was the Uruguay Round (1994), which built on the success of the Tokyo Round (1974) - the most comprehensive and far reaching round undertaken by GATT up to that time. The Tokyo round resulted in tariff cuts and set out new international rules for subsidies and countervailing measures, antidumping, government procurement, technical barriers to trade (standards, customs valuation, and import licensing.

2) IBRD (International Bank for Reconstruction and Development)

It was conceived at the Bretton woods conference in July 1944 and began its operations in June 1946. It has its head quarters at Washington DC and is also known as „World Bank“. The bank's purpose is to provide funds and technical assistance to facilitate economic development of its poorer member countries. This organization is one of the world's largest sources of development

assistance. It works in more than 100 developing economies with the primary focus of helping the poorest people and the poorest countries. Owned by member countries, IBRD links voting power to members' relative economic strength. The bank obtains its funds from capital paid in by member countries; sales of its own securities, sale of parts of its loan; repayments; and net earnings.

3) IMF (International Monetary Fund)

It was conceived in July 1944 at the United Nations conference held at Bretton Woods, New Hampshire, United States, when representatives from 45 governments agreed on a framework for economic cooperation designed to avoid a repetition of the disastrous economic policies that had contributed to the great depression of the 1930s. Its headquarters is located in Washington DC with offices in Paris and Geneva. The objectives of the bank are to promote international monetary cooperation, the expansion of international trade and exchange rate stability; to assist in the removal of exchange restrictions and establishment of a multilateral system of payments; and to alleviate any serious disequilibrium in members' international balance of payments by making the financial resources of the fund available to them, usually subject to conditions to ensure the revolving nature of fund resources.

Whereas the IMF is concerned with the provision of short-term liquidity, World Bank provides long term capital to aid economic development.

4. UNCTAD (United Nations Conference on Trade and Development):

As opined by Terpstra, although GATT-WTO has been an important force in world trade expansion, benefits have not been distributed equally. The less developed countries have been dissatisfied with trade arrangements because their share of world trade has been declining, and the prices of their raw material exports have compared unfavorably with the prices of their manufactured goods imports. Though many of these countries are members of WTO, they felt that GATT did more to further trade in goods industrialized nations than it did to promote their own primary products. It is true that tariff reduction have been far more important to manufactured goods than to primary products. The result of these countries' dissatisfaction was the formation of UNCTAD in 1964, which is a permanent organ of the United Nations General Assembly and counts over 160 member countries.

The goal of UNICTAD is to further the development of emerging nations- by trade as well as by other means. It seeks to improve the prices of primary goods exports through commodity agreements. If the commodity producing countries could get together to control supply, this would mean higher prices and higher returns. It also works to establish a tariff preference system favoring the export of manufactured goods from less developed countries. Since these countries have not been able to export commodities in a quantity sufficient to maintain their share of trade, they want to expand in the growth areas of world trade- industrial exports.

2.3. Political – Legal environment theory

2.3.1 Political Environment

Cateora stresses that no company, domestic or international, large or small, can conduct business without considering the influence of the political environment within which it operates. One of the most undeniable realities of international business is that both host and home governments are integral partners. Government reacts to its environment by initiating and pursuing policies deemed necessary to solve the problems created by particular circumstances. A government controls and restricts a company's activities by encouraging and offering support or by discouraging and banning or restricting its activities depending on the pleasure of the government. International laws recognize the sovereign right of nations to grant or withhold permission to do business within its political boundaries and to control where its citizens conduct business. Thus, the political environment of countries is a critical concern for the international marketer.

2.3.2 Factors Related to Political Environment

The most relevant factors that need to be discussed regarding the political environment include the sovereignty of nations, stability of government policies, nationalism, and political risks.

1) The Sovereignty of Nations: a sovereign country is independent and free from all external control, enjoys full legal equality with other states; governs its own territory; selects own political, economic, and social systems; and has the power to enter into agreements with other nations. Sovereignty refers to both the powers exercised by a country in relation to other countries and the supreme power exercised over its own members. It sets requirements for citizenship, defines geographical boundaries, and controls trade and the movement of people and

goods across its borders. The ideal political climate for a multinational firm is a stable, friendly government.

Unfortunately, governments are not always friendly and stable, nor do friendly, stable governments remain so; changes in the attitudes and goals can cause stable and friendly situations to be risky.

2. **Stability of Government Policies:** the ideal political climate for a multinational firm is a stable, friendly government. Unfortunately, governments are not always stable and friendly governments remain so. Radical shifts in government philosophy when an opposing political party ascends to power, pressures from nationalist and self interest groups, weakened economic conditions, bias against foreign investment or conflicts between governments are all issues that can affect the stability of a government. Because foreign businesses are judged by standards as variables as there are nations, the stability and friendliness of the in each country must be assessed as an ongoing business practice. Governments might change or new political parties might be selected, but the concern of the multinational corporation is the continuity of the set of rules or code of behavior.
3. **Nationalism:** Economic and cultural nationalism, which exists to some degree within all countries, is another factor important in assessing business climate. Nationalism can best be described as an intense feeling of national pride and unity, an awakening of a nation's people to pride in their country. This pride can take an anti foreign business bias, and minor harassment and control of foreign investment are supported, if not applauded. Such feelings can be manifested in various ways including a call to "buy our country's product only", restrictions on imports, restrictive tariffs, and other barriers to trade.
4. **Political and Economic Risks:** risks can range from confiscation to many lesser but still significant government rules and regulations such as exchange controls, import restrictions, and price controls that directly impact the performance of business activities.
 - ✓ **Confiscation:** the most severe political risk is confiscation, that is, the seizing of a company's assets without payment.
 - ✓ **Expropriation:** requires some reimbursement for the government seized investment. The reimbursement does equate with the value of the assets which leads a firm whose property is expropriated to incur into loss.

- ✓ Domestication: occurs when host countries take steps to transfer foreign investments to national control and ownership through a series of government decrees. Government seek to domesticate foreign assets by mandating:
 - A transfer of ownership in part or totally to nationals
 - The promotion of a large number of nationals to higher levels of management
 - Greater decision making powers resting with nationals
 - A greater number of component products locally produced
 - Specific export regulations designed to dictate participation in world markets

The ultimate goal of domestication is to force foreign investors to share more of the ownership and management with nationals than was the case before domestication.

Even though expropriation and confiscation are warning as risk of doing business abroad, international companies are still confronted with a variety of economic risks that can occur with little warning. Restraints on business activity may be imposed under the banner of national security to protect an infant industry, to conserve scarce foreign exchange, to raise revenue, or to retaliate against unfair trade practices, among a score of other real or imagined reasons. These economic risks are important and recurring part of the political environment that few international companies can avoid.

- ✓ Exchange Control: stems from shortage of foreign exchange held by a country. When a country faces shortage of foreign exchange, controls may be levied over all movements of capital or selectively against the most politically vulnerable companies to conserve the supply of foreign exchange for the most essential uses. A recurrent problem for the foreign investor is getting profits and investments into the currency of the home country.
- ✓ Local content law: in addition to restricting imports of essential supplies to force local purchase, countries often require a portion of any product sold within the country to have local content, that is, to contain locally made parts.
- ✓ Import restrictions: selective restrictions on the import of raw materials, machines, and spare parts are fairly common strategies to force foreign industry to purchase more supplies within the host country and thereby create markets for the local industry.
- ✓ Tax controls: are classified as political risk when used as a means of controlling foreign investors. In such cases they are raised without warning and in violation of formal agreements.

- ✓ Price controls: essential products that command considerable public interest, such as pharmaceuticals, food, gasoline, and cars, are often subjected to price controls. They can also be used to force a foreign company to sell equity to local interests.

2.4 Legal Environment

Multinational enterprises in global exercise must cope with widely differing laws. An Ethiopian firm which does business in other countries has to consider not only the Ethiopian law wherever it runs business, but also must be responsive to the laws of the host country. Worldwide, different countries pursue legal systems of varied complexity and dimension. In some countries, laws provide only a broad guide and the interpretation is left to the courts. In other countries, laws spell out virtually every detail. A foreign firm, therefore, has to be careful in learning and heeding all local laws and regulations. From a marketing standpoint, an international firm should be especially careful in obeying laws pertaining to competition, price setting, distribution arrangements, product quality, personal selling and others. The firm has to comply with taxes, tariffs, licensing, and other areas related to business.

Terpstra claims that a firm must know the legal environment in each market because these laws constitute the rule of the game. At the same time, the firm must know the political environment as it determines how the laws are enforced and indicates the direction of new legislations.

2.4.1 International Legal Perspective

Two important aspects of international legal systems are pertinent to marketing: the philosophical bases of the laws and the jurisdiction of these laws.

Common Law versus Code Law: philosophically, two types of laws may be distinguished: common law and code law. Common law is based on precedents and practices established in the past and interpreted over time. Common law was first developed in England, and most of the countries that at one time or another formed a part of the British Empire follow this system. It is also practiced today in USA and Canada. Code law is based on detailed rules for all eventualities. Code law was developed by the Romans and is popularly practiced by a number of free world countries.

Tariffs: a tariff is a tax that government levies on exports and imports.

Antidumping Laws: dumping is a type of pricing strategy for selling products in foreign markets below cost, or below the price charged to domestic customers. Dumping is practiced to capture a foreign market and to damage rival foreign national enterprises.

Export/Import Licensing: many countries have laws on the books that require exporters and importers to obtain licenses before engaging in trade across national boundaries. Licensing helps ensure that certain goods are not exported at all, or at least not to certain countries. Import licensing is enforced to control the unnecessary purchase of goods from other countries. Such restraints save foreign exchange balances for other important purposes like the import of pharmaceuticals, chemicals, and machinery.

Foreign Investment Regulations: are established to limit the influences of MNCs and to achieve a pattern of foreign investment that contributes most effectively to the realization of the host country's economic objectives. There are several areas of legislation concerned with foreign investment: administration of the investment process, screening criteria, ownership, finance, employment and training, technology transfer, investment incentives, and dispute settlement. It is important for an international marketer to be familiar with the genesis of a country's law, for it frequently has far reaching effects on all kinds of decisions.

2.4. **Technological environment**

Technology is changing day by day at a greater pace that it causes a major threat for domestic as well as international marketing. Due to globalization effect, there has been an unlimited innovational opportunity worldwide. Ultimately technology change is a force for creative destruction. Technological advances have had substantial effect on the variety of goods and services.

- ✓ Hacking and Stealing of Business Data
- ✓ Expensive Technologies
- ✓ Distraction in Working
- ✓ Training of the Employees

2.5. **Regional economic integration**

Economic integration involves agreements between countries to permit, to varying degrees, the flow of capital, labor, goods and services across their respective international borders. Countries have desired to engage in economic cooperation to use their respective resources more effectively and to provide larger markets for member-country producers. These economic integration efforts are dividing the world into trading blocs. Each type of economic integration is discussed below.

Free Trade Association	Free trade among members
Customs Union	Common External trade Policy
Common Market	Factor Mobility
Economic Union	Harmonization of Economic Policies

Exhibit 2.1: Forms of Economic Integration in Regional Markets

2.5.1 Levels of Economic Integration

i. Free Trade Area

The free trade area is the least restrictive and loosest form of economic integration among nations. Free trade area. This is the most basic form of economic cooperation. Member countries remove all barriers to trade between themselves but are free to independently determine trade policies with nonmember nations. An example is the North American Free Trade Agreement (NAFTA). Each country determines its own barriers and maintains its own external tariffs on import against non-members.

Examples of FTA are: The ASEAN Free Trade Agreement(AFTA) and the North American Free Trade Areas(NAFTA)

ii. Customs Union

Barriers to trade are removed between member countries. The primary difference from the free trade area is that members agree to treat trade with nonmember countries in a similar manner. The customs union establishes a common trade policy with respect to nonmembers. In a customs union, the participating countries set a common customs tariff (a single external tariff applied by all members) against third countries. Typically, this takes the form of a common external tariff, where imports from nonmembers are subject to the same tariff when sold to any member country. The same external customs tariffs for third countries/ to the rest of the world

Ex: Andean pact by Andean community like Bolivia, Colombia, Ecuador, Peru.

iii. Common Market

Common markets allow free passage of labour, capital, and other productive resources by reducing or eliminating internal tariffs on goods and by creating a common set of external tariffs.

Restrictions on immigration and cross-border investment are abolished.

Like customs unions, there is a common trade policy for trade with nonmember nations. The primary advantage to workers is that they no longer need a visa or work permit to work in another member country of a common market

Members of a common market must be prepared to cooperate closely in monetary, fiscal, and employment policies.

Caribbean common market

Common market for eastern and southern Africa/COMESA

The European Union (EU) previously known as European Economic Community (EEC)

iv. Economic Union

The creation of a true economic union requires integration of economic policies in addition to the free movement of goods, services, and factors of production across borders. Under an economic union, members will harmonize monetary policies, taxation, and government spending. In addition, a common currency is to be used by members which is accomplished, de facto, by a system of fixed exchange rates.

- ✓ Common policies on product regulation
- ✓ Free movement of g/s
- ✓ Free movement of factors of production
- ✓ Common external trade policy
- ✓ Unifying currency /common currency
- ✓ common monetary policy
- ✓ Coordination of economic & fiscal policies
- ✓ Integration is more intense in an economic union compared to a common market, as member countries are required to harmonize their tax, monetary, and fiscal policies and to create a common currency
- ✓ Example EU

2.5.2 Economic Integration and the International Marketer

- ✓ Regional economic integration creates opportunities and potential problems for the international marketer.
- ✓ It may have an impact on a company's entry mode by favoring direct investment.
- ✓ By design, larger markets are created with potentially more opportunity.
- ✓ Because of harmonization efforts, regulations may be standardized, thus positively affecting the international marketer
- ✓ The international marketer will then have to develop a strategic response to the new environment to maintain a sustainable long-term competitive advantage.

Exhibit 2.2: Major Regional Trade Agreements

AFTA	Asian Free Trade Area Brunei, Indonesia, Malaysia, Philippines, Singapore, Thailand, Vietnam
ANCOPM	Andean Common Market <i>Bolivia, Colombia, Ecuador, Peru, Venezuela</i>
APEC	Asia Pacific Economic Cooperation <i>Australia, Brunei, Canada, China, Hong Kong, Indonesia, Japan, Malaysia, Mexico, New Zealand, Papua New Guinea, Philippines, Singapore, South Korea, Taiwan, Thailand, United States</i>

Self Check Exercise 2

Part I- Fill in the Blank Space

Fill the blank spaces in the following questions with appropriate words or phrases

- 1) The main purpose of _____ is to provide funds and technical assistance to facilitate economic development of its poorer member countries.
- 2) _____ provides long term capital to aid economic development whereas IMF is concerned with the provision of short-term liquidity.
- 3) _____ records all financial transactions between its residents and those of the rest of the world during a given period of time, usually one year.
- 4) _____ is an absolute restriction against the purchase and import of certain goods from other countries.
- 5) _____ include the art, music, folkways, and architecture endemic to a society and convey its concept of beauty and modes of expression.
- 6) _____ is concerned with the seizing of a company's assets without payment.
- 7) _____ can be best described as an intense feeling of national pride and unity, an awakening of a nation's people to pride in their country.
- 8) _____ is a type of pricing strategy for selling products in foreign markets below cost, or below the price charged to domestic customers.
- 9) _____ is based on precedents and practices established in the past and interpreted over time.
- 10) _____ occurs when host countries take steps to transfer foreign investments to national control and ownership through a series of government decrees.

Part II- Multiple Choice Questions

Choose the right answer among the alternatives given below

- 1) Which one of the statements below is untrue?
- A) There is single uniform international commercial law governing foreign business transactions
 - B) Marketing is an economic activity affected by the economic environment in which it operates
 - C) Products considered as necessities in one economy can be luxuries in another
 - D) A&C
 - E) None of the above
2. Each contracting party must grant all others the same rate of import duty, that is, a tariff concession granted to one trading partner must be extended to all WTO members under the most favored nation clause. This statement best describes
- A) Principle of consultation
 - B) Principle of non discrimination
 - C) Principle of discrimination
 - D) Principle of tariff
 - E) None of the above
3. Which one of the following is false about UNCTAD?
- A) Its goal is to further the development of emerging nations through trade as well as other means
 - B) It seeks to improve the price of primary goods exports through commodity agreements
 - C) It works to establish a tariff preference system favoring the export of manufactured goods from less developed countries
 - D) It limits the benefits emerging nations can secure from export of their raw materials
 - E) None of the above
- 4) The relationship between merchandise imports and exports is referred to as
- A) balance of trade
 - B) balance of payment
 - C) quota
 - D) tariff
 - E) None of the above

5. A monetary barrier which is used to encourage the import of goods the government deems desirable and discourage import of those goods deemed undesirable by the government is

- A) Government approval to secure foreign exchange
- B) Blocked currency
- C) The differential exchange rate
- D) Unblocked currency
- E) Uniform exchange rate

6. Which one of following is right about the characteristics of culture?

- A) It is learned
- B) It is interrelated
- C) It is shared
- D) All of the above
- E) Only A&C

7. Which one of the following is not among political and economic risks?

- A) Confiscation
- B) Expropriation
- C) Domestication
- D) Local content law
- E) None of the above

CHAPTER 3: MARKET ENTRY DECISIONS

Introduction

This chapter is devoted to a coverage of the various market entry strategies. Some of these techniques Such as exporting, licensing, and management contracts – are indirect in the sense that they require no investment overseas. Other techniques, however, require varying degrees of foreign direct investment. These foreign direct investment methods range from joint venture to complete overseas manufacturing facilities, with such strategies as assembly operations, turnkey operations, and acquisitions falling somewhere in between. These strategies do not operate in sequence, and any one of them can be appropriate at any time. Further, the use of one strategy in one market does not rule out the use of the other strategies elsewhere. The methods vary in terms of risk accepted and, to a certain extent, the degree of commitment to the foreign market.

Another purpose of this chapter is to discuss the advantages and disadvantages associated with each method of market penetration. Factors that have an impact on the appropriateness of entry methods are covered in order to provide guidelines for the selection of market entry strategies.

Learning Objectives

After completing the study of this chapter, you are expected to:

- ✓ Analyze International Marketing environment;
- ✓ Explain the various international market entry modes/strategies.
- ✓ Define Direct investment activities, wholly owned subsidiaries, mergers/acquisitions and joint ventures.
- ✓ Compare the organizational implications of franchising versus Licensing
- ✓ Identify the criteria to select a market entry mode
- ✓ Differentiate between agents and distributors

3.1. Analyzing international marketing

Market analysis is an important instrument in assessing the attractiveness of a particular market, since it is utilized to decide whether to enter a foreign market in terms of international marketing strategy. It is necessary to apply a market analysis in order to determine and examine the appropriate approach to enter a market

Different entry modes differ in three crucial aspects:

- ✓ The degree of risk they present.
- ✓ The control and commitment of resources they require.
- ✓ The return on investment they promise.

Root's (1994) summarization of the external factors shown in table 2.1 will be used as a complement to the external factors previously mentioned since it has a clear connection between the external factors and the actual choice of market entry mode and these are:

External Factors (Foreign Country):

- | | | |
|------------------------|---------------------------|---------------------------|
| • Low sales potential | • Liberal import policies | • Exchange rate |
| • High sales potential | • Small geographical | appreciation |
| • Poor marketing | distance | • Small cultural distance |
| infrastructure | • Great geographical | • Great cultural distance |
| • Good marketing | distance | • Low political risk |
| infrastructure | • Dynamic economy | • High political risk |
| • Low production cost | • Stagnant economy | |
| • High production cost | • Exchange rate | |
| • Restrictive import | depreciation | |
| policies | | |

External factors (Home country):

- Large market
- Small market
- Low production cost
- High production cost
- Strong export promotion
- Restrictions on investment abroad

3.2. Assessing company resources for export involvement

What are the factors affecting market entry mode choice?

No one market entry strategy works for all international markets. Direct exporting may be the most appropriate strategy in one market while in another you may need to set up a joint venture and in another you may well license your manufacturing. There are a number of factors that can affect the choice of the appropriate entry mode. These include internal factors regarding the firm itself, and external factors related to the target market.

Internal factors

Internal factors such as company size and available resources are very relevant to entry mode choice. Firm size, whether measured in terms of revenue or number of employees, is an indicator of the company's resources availability. Although SMEs may desire a high level of control over international operations and wish to make heavy resource commitments to foreign markets, they are more likely to enter foreign markets using export modes. This is because they do not have the resources necessary to achieve a high degree of control or to make these resource commitments.

Another important internal factor to take note of is the company's international experience. This refers to the firm's previous experiences in operating in foreign markets and dealing with international clients. This also includes the international experience of the managers and the decision makers themselves, as an experienced team will manage the entry mode selection much differently than a team targeting international markets for the first time. International experience can help the company manage more risks and increase its commitment of resources to foreign markets.

The choice of entry mode will also depend on the company's products or services. For instance, when it comes to low cost and low margin products, a company might be more inclined to move production to the target market either through a licensing agreement or through a direct investment in the form of a joint venture, an acquisition or establishing a

local production subsidiary. This is also the case when there is a need to adapt the product to the local market, which can push companies to work with local partners. In the case of an innovative product, the firm can place a lot of value on retaining full control of its entry and operations in foreign markets. This means that it will less likely go for licensing and joint venture as an entry mode of choice.

External factors

The size of the market and its potential can lead to different considerations regarding the choice of entry mode. The larger the country and the size of its market, and the higher the market growth rate, the more likely management will be to commit resources to its development. This means that companies might be more inclined to establish a wholly owned subsidiary or to seek an acquisition when entering a large market with significant growth opportunities.

The ease of market access plays an important role in deciding the appropriate mode of entry for each market. Trade barriers and custom duties on the import of foreign goods favor the establishment of production operations locally. Preferences for local suppliers and tendencies to buy local products can encourage a company to consider a joint venture or other contractual partnerships with a local company. The local partner can help in negotiating sales and in developing local contracts and distribution channels. Generally, hard to access markets require the commitment of more resources and leave the company with less flexibility when choosing the appropriate entry mode.

Sociocultural differences between a company's home country and its target country can create some uncertainty for the firm, which influences the mode of entry desired by that firm. In cases where the target market has significant differences in culture, in product preferences and consumption habits related to the company's product, it can be helpful to commit more resources to the target market for adaptation purposes. These resource commitments can translate to establishing a joint venture with a local partner that can give insights for a successful adaptation to this new market. For markets that are very similar to

the company's home market where there will be a limited need for adaptation, entry modes requiring less commitment such as export might be favored.

The risks associated with international markets are also taken into account when choosing a mode for market entry. The amount of risk a company faces depends not only on the target market itself but also on the chosen entry mode. A company must properly evaluate country risk before deciding on an entry mode. This would include an evaluation of political, economic and market related risks as well as exchange rate risk. Companies tend to restrict their resource commitments to markets with high associated risks, to limit their exposure to such risks. This is why highly flexible entry modes such as export are favored in these situations, as most companies would be discouraged to commit heavy investment to enter high risk markets.

3.3. Selecting a market entry mode

Market Selection is the process of deciding which markets to invest in . Trade-offs must be made considering the advantages and disadvantages when selecting an entry mode. For example, when considering entry into an unfamiliar country with a track record for nationalizing foreign enterprises, a firm might favor a joint venture with a local enterprise.

3.3.1 Criteria for selecting a market entry mode

1. Speed of market entry desired: acquisition and licensing or exporting will be the likely ways to ensure quick effective distribution in the foreign market.
2. Costs to include direct and indirect costs: Possible savings may be outweighed by indirect costs such as freight, strikes, or disruptions to output, lack of continuity with the power supply, or irregularity in the supply of raw materials.
3. Flexibility required:
4. Risk factors: including political risk and economic as well as competitive risk.
5. Investment payback period: Shorter-term payback may be realized from licensing and franchising deals, whereas joint ventures or wholly owned subsidiaries will tie up capital for a number of years.
6. Long-term profit objectives: the growth expected in that market for the years ahead.

3.4. Direct exporting activities, agents, distributors, franchising, and licensing

1. Exporting

Exporting is a strategy in which a company, without any marketing or production organization overseas, exports a product from its home base. Often, the exported product is fundamentally the same as the one marketed in the home market.

An action by a firm to send produced g/s from the home country to other countries. The normal and simple way to get involved in to a foreign market. Most manufacturing firms begin their global expansion as exporters and only later switch to another mode for serving a foreign market.

Advantages:

- ✓ It allows a company to centrally manufacture its products and, therefore obtain economies of scale.
- ✓ Since exports represent incremental volume of an existing production, their marginal profitability will be high.
- ✓ Easy implementation of strategies
- ✓ Less investment abroad w/c helps small firms also to enter international business
- ✓ Minimal cost
- ✓ Low financial cost
- ✓ Gain information/expertise in foreign market

- ✓ It avoids the costs of establishing manufacturing operations in the host country, which are often substantial.
- ✓ Helps the firm to realize substantial scale of economies from its global sales volume.

Disadvantages:

- ✓ Exporting from the firm's home base may not be appropriate if there are lower-cost locations for manufacturing the product abroad.
- ✓ Less suitable for service products

- ✓ Difficulty in identifying customer needs
- ✓ High transport costs can make it uneconomical, particularly for bulk products.
- ✓ Tariff barriers can make it uneconomical & very risky.
- ✓ Foreign agents may not do as good a job as the firm would if it managed its marketing itself.
- ✓ Problem of selecting the local distributors
- ✓ Little control over marketing in the host country

The direct export mode usually occurs when the producing firm takes care of exporting activities and is in direct contract with the clients in the foreign target market. The firm is typically involved in negotiation, contract signature, handling documentation, physical delivery and pricing policies, with the products being sold to final clients.

In case of an indirect export mode, the company sells the products or services in the foreign market via an intermediary. This can be, for example, an export agent, a broker or a trading company that buys the product and then in turn resells it in the foreign target market. This can be useful especially for companies that are short on experience with international trade and that have only limited expansion objectives.

1. Agent and distributors

Agents generally do not take ownership of the goods but act as your sales representative in overseas markets. Distributors generally purchase and resell your export products and mark them up for a profit.

Agents are generally paid a commission on the sales they generate. They take orders on your behalf, but you deliver, invoice, and collect payments from the customers. You are also responsible for setting the sales price, although the agent will probably advise you on local market conditions that may affect your pricing.

Agents are generally based in the export market, and often represent several complementary product lines. If they represent a directly competitive line, this can reduce their interest to sell yours. Agents may operate on an “exclusive” basis as your sole agent in their territory, or on a non-exclusive basis.

Advantages of agents

- ✓ You retain control of your branding, marketing and pricing.
- ✓ Commission-only agents have an incentive to generate higher sales volume.
- ✓ Agents tend to have smaller product ranges than distributors, which means they can more focused on your products.

Disadvantages of agents

- ✓ They may have fewer resources than a distributor.
- ✓ Working on a commission basis can reduce their commitment to your line.
- ✓ They may require significant overseas marketing/ management effort to support the agent/client relationship.
- ✓ It will be more work for you to deliver orders directly to the end customer and to collect payment.
- ✓ You must closely monitor the effectiveness of the agent.
- ✓ Bad agents can ruin your opportunities and reputation in a market.
- ✓ Working through agents (and not distributors) gives you less protection from non-payment, currency fluctuations, product rejection, warranty claims, etc.
- ✓ You risk losing market share if your agent is stolen by a competitor.

Distributors buy your goods (take title) and then resell them the end customer. In some cases, they may also sell to other wholesalers. Distributors may carry complementary and competing lines, and usually offer after-sales service.

Distributors make their money by adding a profit margin to your goods. These margins are typically higher than the commissions paid to agents because they do a lot more. They buy and maintain inventory, extend credit to their customers, and do the local marketing.

These larger markups may increase the product's end price; in turn you may need to reduce your pricing to remain competitive in the market. Some exporters find they can't afford a distributor because their profit margin would be too small.

Advantages of distributors

- ✓ You have one large customer overseas who supplies many smaller end customers.
- ✓ You maintain some control over distribution.
- ✓ The distributor typically handles more of the work, saving you time and money:

- ✓ manages customer warranties, parts, and service.
- ✓ holds stock in the market to reduce order lead time for customers.
- ✓ helps pay for and manages marketing and promotion in the market.
- ✓ develops a customer base for your product.
- ✓ carries most of the in-market risks.
- ✓ may provide warranty and product services.

Disadvantages of distributors

- ✓ You have no control over the selling process.
- ✓ The costs of selling through a distributor can force your product out of market competition: for example, distributors may add up to a 50 per cent mark-up, or more, on your product before it reaches a retailer.
- ✓ The distributors sales staff will be less knowledgeable about your products than your own people.
- ✓ You are less aware of market conditions, without direct customer contact.
- ✓ You may not know who your customers are.
- ✓ You don't retain total branding control, since the distributor shares responsibility for marketing and promotion,
- ✓ If the distributor is a wholesaler rather than a specialized master distributor, they may not sell as effectively as other wholesalers.
- ✓ They may not have the sales force needed for new product introductions in larger markets.
- ✓ They may represent many other lines, so their full attention is not on yours.
- ✓ Sales-rights to your product are valuable, and should not be given up without a full analysis of your options.
- ✓ Distributors may be hard to fire if they don't perform well.

2. Licensing

Licensing is a contractual arrangement in which a firm, called the licensor, leases the right to use its intellectual property (technology, work methods, patents, copyrights, brand names, or trademarks, technical know-how, specific business skills) to another foreign firm, called the licensee, in return for a fee.

Here the Licensor will grant an organization in the foreign market a license to produce the product, use the brand name etc. in return that they will receive a royalty payment.

The licensor earnings usually take forms of one-time payments, technical fees and royalty payments usually calculated as a percentage of sales.

Con...



Advantages:

- ✓ No development costs and risks associated with opening a foreign market.
- ✓ Is a very attractive option for firms lacking the capital to develop operations overseas.
- ✓ Preferable when a firm is unwilling to commit substantial financial resources to an unfamiliar or politically volatile foreign market.
- ✓ Avoid tariffs, and restrictions on foreign investment
- ✓ a company may not have the knowledge or the time to engage more actively in international marketing.
- ✓ Little additional capital or time investment

- ✓ Receiving royalties
- ✓ allow expand business without having invest in location

Disadvantages:

- ✓ Lower income than in other entry modes
- ✓ Loss of control of the licensee manufacture and marketing operations and practices leading to loss of quality
- ✓ Inconsistent product quality may affect product image negatively
- ✓ Ensuring a uniform quality requires additional resources from the licensor that may reduce the profitability.
- ✓ Risk of having the trademark and reputation ruined by an incompetent partner
- ✓ Potential conflicts with licensee
- ✓ The foreign partner can also become a competitor by selling its production in places where the parental company is already in.

3. Franchising

It is contractual arrangement in which a firm/franchisor sells the right to use intellectual property to the franchisee in return for fee.

Franchising involves longer-term commitments than licensing. (but almost similar)

Franchising is a form of Licensing but the Franchisor can exercise more control over the Franchisee as compared to that in Licensing. As with licensing the franchisor typically receives a royalty payment that amounts to some percentage of the franchisee's revenues. Whereas licensing is pursued primarily by manufacturing firms, franchising is employed primarily by service firms.

A franchisor should

- ✓ Provide adequate financing
- ✓ Careful selection of franchises
- ✓ Building strong cordial relationship with franchisee
- ✓ Provide continuous support to franchisee
- ✓ Franchisor helps the franchisee in establishing the manufacturing facilities
- ✓ Franchisee provide lump sum payment and share his profit
- ✓ A franchisor is responsible for promoting the brand in the host country
- ✓ High level of trust is needed
- ✓ McDonald's continues to be recognized as a premier franchising company around the world. More than 80% of its restaurants worldwide are owned and operated by its Franchisees.
- ✓ McDonald's provides us with a good example of a firm that has grown by using a franchising strategy. It has set down strict rules as to how franchisees should operate a restaurant. These rules extended to control over the menu, cooking methods, staffing policies, and the design and location of a restaurant. It also organizes the supply chain for its franchisees and provided management training and financial assistance for franchisees.
- ✓ Other Examples
- ✓ Pizza-Hut, Starbucks, Burger king, Nando's, Wal-Mart, Subway, and Hilton Hotels

Advantages:

- ✓ Low financial risks
- ✓ Low-cost
- ✓ Avoid tariffs, restrictions on foreign investment
- ✓ Maintain more control than with licensing
- ✓ Obtain key information about foreign market more easily than under licensing
- ✓ Royalty payment to the franchisor

Disadvantages:

- ✓ Quality control in franchising is mandatory. But difficulty to quality control because of geographical distance of the firm from its foreign franchisees and It will let to a decline in the firm's worldwide reputation if no quality control
- ✓ Greater financial commitment than under licensing
- ✓ More complicated (more responsibilities, greater commitment to foreign firm) than licensing
- ✓ Conflicts with franchisee are likely, including legal disputes
- ✓ Requires monitoring and evaluating performance of franchisees, and providing ongoing assistance
- ✓ Franchisees may take advantage of acquired knowledge and become competitors in the future

3.5. Direct investment activities, wholly owned subsidiaries, mergers/acquisitions and joint ventures.

Direct investment market entry strategy refers to how an investor can invest in a business abroad. The three direct investment methods include: setting up a subsidiary in another economy, acquiring or merging with an existing foreign business, and initiating a joint venture with a foreign firm.

1. Wholly Owned Subsidiaries

A wholly-owned subsidiary is a company that is entirely owned by another company known as the parent company. Wholly Owned Subsidiary is a separate independent legal entity which is 100% owned and control by other company (parent company) and directly works under the guidance and decision making of the parent company.

Establishing a wholly owned subsidiary in a foreign market can be done in two ways.

The firm can:

setup a new operation in that country, or
acquire an established firm (acquisition)

Advantages:

- ✓ A company can avoid competition while entering a new market by combining with its subsidiary.
- ✓ The parent organization can take full control of the operations in the organization in the foreign nation.
- ✓ Due to 100% control, it is easier to follow the parent company policies and procedures thus helping the group to achieve synergies
- ✓ The parent organization is not needed for revealing its secret technology and techniques to others as they are the ones who look after everything of the company alone

Disadvantages:

- ✓ The parent organization needed for making a full investment in its subsidiary that is why it is the most expensive method.
- ✓ The parent organization doing this must bear the full costs and risks of setting up overseas operations.
- ✓ Also, few Nations hesitate for setting up entirely owned subsidiaries by outsiders in their own nation.

2. Merger/ acquisition

Merger & Acquisition Strategy is the process undertaken in which one corporate buys, sells, or combine with the other corporate to achieve certain specific goals of the market or to attain rapid growth in the competitive market, taking into consideration different factors like market value of corporate's stock, the financial health of both the companies, threats of both the companies, new opportunities that can arise along with market conditions.

Strategies of Mergers and Acquisition

- ✓ The most crucial strategy of M&A is the hunting of the target company. Once the company has decided its target company for acquisition, it can plan further acquisition steps.
- ✓ The next step is a thorough study of the business of the company to be purchased. The study of the expected business, demand, and future growth is also to be undertaken. It will also give the idea of risks involved in the acquisition or future business.

- ✓ Next, the study of the market should be undertaken. It will give the idea of growth factors in the market. The company can also get the idea of future opportunities, trends in the market, and customers' demands.
- ✓ There should be the consent of both the companies, i.e., the acquiring company and the target company, taking part in the merger and acquisition before implementing the strategy.
- ✓ Plans and strategies should also be studied like staff involving process, work environment, Work to be done by the staff by gathering knowledge and information.
- ✓ Finally, there should be shareholders, promoters of both the companies, management, and other key persons of both the companies. Then, the merger & acquisition deal should be finalized.

Example

The most common and famous example of merger & acquisition is Google and Android. Google is the master company in the IT industry and search engine, whereas Android was a start-up company struggling to exist in the mobile phone market. Android was also not much known in the telecom or IT industry. Hence, Android was taken over by Google for \$50 million. At that time, Microsoft led the market due to its Apple iPhone and Windows mobile products. After the acquisition of Android by Google, 54.5 Percent of U.S Smartphone Subscribers became users of Google Android devices. The report was based on the May 2018 data.

In this example, the small company Android was taken over by large company Google to meet the competitive edge, which Windows created from its products like iPhone and Windows Mobile.

3. Joint ventures

In a joint venture, firms operate as one. They combine their resources to make a separate legal entity. A joint venture involves capital investments and the creation of a new corporate unit jointly with a foreign partner.

Advantages:

Such method often is favorable when:

- ✓ The partners' size, market power, and resources are small compared to the industry leaders
- ✓ Helps to share opening costs and/or risks with a local partner.
- ✓ Local partners minimize the influence of political/legal factors of the host country.
- ✓ Necessary to enter countries where the economy is largely under state control.
(When foreign investors are only allowed to take minority positions).

Disadvantages:

- ✓ A clash of cultures and management styles may result in poor co-operation and integration
- ✓ it is possible that the partners do not devote 100% of their attention to the project
- ✓ Shared ownership arrangement can lead to, conflicts and battles for control:
- ✓ Limited outside opportunities

Self check Exercise 3

Part I- Multiple Choice Questions

Choose the correct answer among the alternatives given

1. The widespread interest of joint ventures can be attributed to
 - A. Seeking market opportunities
 - B. Sharing risk
 - C. Dealing with rising economic nationalism
 - D. Preempting raw materials
 - E. All
 - F. All except C

2. As a general rule, the Chinese government allows foreign companies to participate in its market only if those companies agree to establish operations with local Chinese enterprises. Which market entry mode would be an appropriate choice under these circumstances?
 - A. Exporting
 - B. Licensing
 - C. Acquisition
 - D. Joint venture

3. -----represent(s) a market entry strategy whereby one company permits a foreign company to make use of its patents, know-how, technology, company name, or other intangible assets in return for a royalty payment.
 - A. Joint ventures
 - B. One hundred percent ownership
 - C. Licensing
 - D. Exporting
 - E. Global strategic alliances

4. Which method of entering the global marketplace involves the manufacturing firm itself distributing its product offering to foreign markets, direct to customers?
- A. Indirect exporting
 - B. Licensing
 - C. Joint ventures
 - D. Direct exporting
5. KFC has some 15,000-plus KFC restaurants in over 109 countries worldwide and more than 2,870 KFC restaurants in more than 650 cities in China alone. Which method of entering the global marketplace does KFC use?
- A. Export buyer.
 - B. License agent.
 - C. Import agent.
 - D. Franchising.
6. The three foreign direct investors methods include: setting up subsidiaries, _____, and joint ventures.
- A. Export buyer.
 - B. License agent.
 - C. Mergers & acquisitions.
 - D. Franchising.
7. Fee paid from franchisee to franchisor based on percentage of sales
- A. Royalty fee
 - B. License fee
 - C. Advertising fee
 - D. All
8. Which of the following is not considered as an advantage of using Licensing as entry mode?

- A. Quick, easy entry into foreign markets
 - B. Lower capital requirements
 - C. Development costs
 - D. Avoid tariffs
9. Which is a franchisor?
- A. Allows others to use their brand and business for a fee
 - B. Takes over a business
 - C. Buys into an existing brand
 - D. All
10. How do the vast majority of services enter a foreign market?
- A. Exporting
 - B. Importing
 - C. Brokers
 - D. Licensing
11. Which of the following is true of exporting?
- A. It avoids the often-substantial costs of establishing manufacturing operations in the host country.
 - B. It is the best choice if lower-cost manufacturing locations are available abroad.
 - C. Low transportation costs may make exporting uneconomical.

D. Tariff barriers may make exporting the most attractive option.

12. In ____, the contractor agrees to handle every detail of the project for a foreign client, including the training of operating personnel.

- A. Exporting
- B. licensing
- C. franchising
- D. turnkey projects

Part II- True or False Questions

Write True if the statement is correct or False if it is incorrect

1. Indirect exporting, the manufacturer takes upon himself the task of managing the export sale.
2. A wholly owned subsidiary limits a firm's control over marketing and sales in different countries.
3. An acquisition involves one firm taking over another firm and establishing itself as the new owner.
4. A wholly owned subsidiary is a firm that is 100% owned by the parent firm.
5. The attractiveness of a country as a potential market for an international business depends on balancing the benefits, costs, and risks associated with doing business in that country.
6. Exporting from a firm's home base is most appropriate when lower-cost locations for manufacturing the product can be found abroad.
7. Under licensing the firm has to bear the development costs and risks associated with opening a foreign market.

CHAPTER 4: PRODUCT POLICY DECISIONS

Introduction

Just because a product is successful in one country, there is no guarantee that it will be successful in other markets. A marketer must always determine local needs and tastes and take them into account. Some products have universal appeal, and little or no change is necessary when these products are placed in various markets. It is generally easier to modify a product than to modify consumer preference. That is, a marketer should change the product to fit the need of the consumer rather than try to adjust consumers' needs to fit product characteristics. An awareness of application of this marketing concept in an international setting would provide definite advantages to an international merchant. Although the principle has been universally accepted in domestic marketing, it has often been ignored in international marketing.

The purpose of this chapter is to study product in an international context. There is also a critical look at the controversial issue of product standardization versus product adaptation, and also to acknowledge the strategic significance of branding and packaging and to examine some of the problems commonly faced by MNCs. Among the subjects discussed are brandless products, private brands, manufacturers' brands, multiple brands, local brands, worldwide brands, and brand characteristics. The strengths and weaknesses of each branding alternative are evaluated. The chapter also examines both mandatory and optional packaging adaptation. The emphasis of the chapter is on the managerial implications of both branding and packaging.

Learning Objectives

After completing the study of this chapter, you are expected to:

- ✓ Differentiate between Product standardization and Modification
- ✓ Explain Branding and its types, brand piracy

- ✓ Define Packaging

4.1 PRODUCT STANDARDIZATION VS. PRODUCT ADAPTATION

Product standardization means that a product designed originally for a local market is exported to other countries with virtually no change, except perhaps for the translation of words and other cosmetic changes. Revlon, for example, used to ship successful products abroad without changes in product formulation, packing (without any translation, in some cases), and advertising. There are advantages and disadvantages to both standardization and individualization.

Factors Encouraging Standardization

- ✓ High Costs of Adaptation
- ✓ Industrial Products
- ✓ Products in which technical specifications are critical tend to be uniform internationally.
- ✓ Differences significant in international business are “people differences,” that is, cultural differences. In general, then, industrial goods are more standardized than consumer goods.
- ✓ Convergence and Similar Tastes in Diverse Country Markets
- ✓ As countries obtain similar income levels and develop economically at the same pace, their consumption patterns are likely to converge.
- ✓ Centralized Management and Operating via Exports
- ✓ If a firm markets overseas principally through exports, it is likely to sell standardized products.
- ✓ High Costs of Adaptation
- ✓ Industrial Products

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- ✓ Convergence and Similar Tastes in Diverse Country Markets
- ✓ As countries obtain similar income levels and develop economically at the same pace, their consumption patterns are likely to converge.
- ✓ Centralized Management and Operating via Exports
- ✓ If a firm markets overseas principally through exports, it is likely to sell standardized products.

Factors Encouraging Adaptation

The greatest argument for adapting products is that by doing so the firm can realize higher profits.

Specific factors encouraging product adaptation include:

- ✓ Differences in Technical Standards

Firms must meet technical standards in order to sell in different national markets. For example, agricultural products sold into the U.S. must meet guidelines for maximum levels of chemical additives and fertilizers used in growing such products.

In Europe, there are restrictions on the sale of beef from cows treated with growth hormones.

- ✓ 2. Consumer and Personal Use Products

Products sold to consumers and for personal use are likely to meet with market success when adapted to local markets.

✓ 3. Variation in Consumer Needs and Differing Use Conditions

Although a given product fulfills a similar functional need in various countries, the conditions under which the product is used may vary greatly from country to country.

Climate, for instance, has an effect on products sensitive to temperature or humidity, making it necessary to modify these products for tropical or arctic markets.

✓ 4. Variation in Ability to Buy differing Income Levels

Product features may have to be adapted to make the product affordable at lower income levels.

✓ 5. The Impact of Cultural Differences

Cultural differences affect the tastes, the acceptance of products, and consumption habits.

Food is an area in which cultural differences dominate.

✓ 6. Environmentally Induced(encourage, persuade) Adaptation: The Influence of Governments

Nations may forbid certain goods to be imported to their country.

Conversely, they may require that the product be manufactured locally, not imported.

Demands for local production or a high degree of “local content” in the product often lead the international firm to modify it.

Arguments for standardization

The strength of standardization in the production and distribution of products and services is its simplicity and cost. It is an easy process for executives to understand and implement, and it is also cost- effective. If cost is the only factor being considered, then standardization is clearly a logical choice because economies of scale can operate to

reduce production costs. Yet minimizing production costs does not necessarily mean that profit increases will follow. Simplicity is not always beneficial, and costs are often confused with profits. Cost reductions do not automatically lead to profit improvements, and in fact the reverse may apply. By trying to control production costs through standardization, the product involved may become unsuitable for alternative markets. The result may be that demand abroad will decline, which leads to profit reduction.

When appropriate, standardization is a good approach. For example, when a consistent company or product image is needed, product uniformity is required. The worldwide success of McDonald's is based on consistent product quality and services. Hamburger meat, buns, and fruit pies must meet strict specifications. This obsession with product quality necessitates the costly export of French fries from Canada to European franchises because the required kind of potato is not grown in Europe. In 1982, a Paris licensee was barred through a court order from using McDonald's trademarks and other trade processes because the licensee's twelve Paris eateries did not meet the required specifications.

Some products by their very nature are not or cannot be easily modified. Musical recordings and works of art are examples of products that are difficult to differentiate, as are books and motion pictures. When this is the case, the product must rise and fall according to its own merit. Whether such products will be successful in diverse markets is not easy to predict. Films that do well in the USA may do poorly in Japan. On the other hand, movies that were not box-office hits in the USA have turned out to be money makers in France (e.g., most of Jerry Lewis' films). Yet in the case of Ricky Martin, his worldwide fame has to do in part with his France '98 World Cup theme song ("The Cup of Life") – in Spanish, English, and French.

With regard to high-technology products, both users and manufacturers may find it desirable to reduce confusion and promote compatibility by introducing industry specifications that make standardization possible. A condition that may support the

production and distribution of standardized products exists when certain products can be associated with particular cultural universals; that is, when consumers from different countries share similar need characteristics and therefore want essentially identical products. Watches are used to keep time around the world and thus can be standardized. The diamond is another example. Levi Strauss' attempt to penetrate the European market with lighter-weight jeans failed because European consumers preferred the standard heavy-duty American type.

Arguments for adaptation

Product adaptation is necessary under several conditions. Some are mandatory, whereas others are optional. In addition, firm characteristics and environmental characteristics have a significant impact on a firm's overall performance and marketing mix strategy.

Mandatory product modification

The mandatory factors affecting product modifications include the following: government's mandatory standards (i.e., country's regulations), electrical current standards, measurement standards, and product standards and systems.

The most important factor that makes modification mandatory is government regulation to gain entry into a foreign market, certain requirements must be satisfied. Regulations are usually specified and explained when a potential customer requests a price quotation on a product to be imported. Avon shampoos had to be reformulated to remove the formaldehyde preservative, which is a violation of regulations in several Asian countries. Food products are usually heavily regulated. Added vitamins in margarine, forbidden in Italy, are compulsory in the United Kingdom and Holland. In the case of processed cheese, the incorporation of a mold inhibitor may be fully allowed, allowed up to the permissible level, or forbidden altogether.

Frequently, products must be modified to compensate for differences in electrical current standards. In many countries there may even be variations in electrical standards within the country. The different electrical standards (phase, frequency, and voltage) abroad can

easily harm products designed for use in the USA, and such improper use can be a serious safety hazard for users as well. Stereo receivers and TV sets manufactured for the US 110- to 120-volt mode will be severely damaged if used in markets where the voltages are twice as high. Therefore, products must be adapted to higher voltages. When there is no voltage problem, a product's operating efficiency may be impaired if the product is operated in the wrong electrical frequency. Alarm clocks, tape-recorders, and turntables designed for the US 60-Hz (60 cycles per minute) system will run more slowly in countries where the frequency is 50 Hz to solve this problem, marketers may have to substitute a special motor or arrange for a different drive ratio to achieve the desirable operating RPM or service level.

Optional product modification

The conditions dictating product modification mentioned so far are mandatory in the sense that without adaptation a product either cannot enter a market or is unable to perform its function there. Such mandatory standards make the adaptation decision easy: a marketer must either comply or remain out of the market. Italy's Piaggio withdrew its Vespa scooters from the US market in 1983, choosing not to meet US pollution control standards for its few exports.

One condition that may make optional modification attractive is related to physical distribution, and this involves the facilitation of product transportation at the lowest cost. Since freight charges are assessed on either a weight or volume basis, the carrier may charge on the basis of whichever is more profitable. The marketer may be able to reduce delivery costs if the products are assembled and then shipped. Many countries also have narrow roads, doorways, stairways, or elevators that can cause transit problems when products are large or are shipped assembled. Therefore, a slight product modification may greatly facilitate product movement.

Another determinant for optional adaptation involves local use conditions, including climatic conditions. The hot/cold, humid/dry conditions may affect product durability or

performance conditions may affect product durability or performance. Avon modified its Candid moist lip- stick line for a hot, humid climate.

4.2. Branding and its types, brand piracy

The American marketing association defines a brand as follows: -

"A Brand is a name, term, sign, symbol, or design, or a combination of them, intended to identify the goods or services of one seller or group of sellers and to differentiate them from those of competitors".

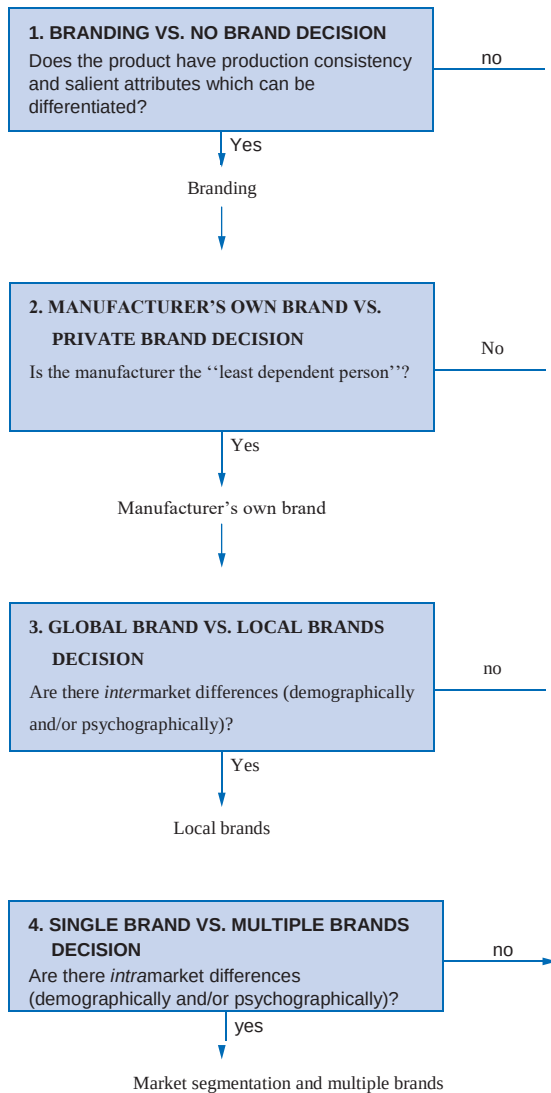
The basic purposes of branding are the same everywhere in the world. In general, the functions of a brand are to: (1) create identification and brand awareness, (2) guarantee a certain level of quality, quantity, and satisfaction, and (3) help with promotion. All of these purposes have the same ultimate goal: to induce repeat sales

Advantages of Branding

- ✓ The brand name makes it easier for the seller to process orders and track down problems. Furthermore, the seller find it easier to trace the order if it is misshaped, or to determine why the beer was rancid if consumer complain.
- ✓ The seller's brand name and trademark provide legal protection of unique product features, which competitors would otherwise be likely to copy.
- ✓ Branding gives the seller the opportunity to attract a loyal and profitable set of customers. Brand loyalty gives sellers some protection from competition and greater control in planning their marketing program
- ✓ Branding helps the seller segment markets.
- ✓ Strong brands help build the corporate image, making it easier to launch new brands and gain acceptance by distributors and consumers.

BRANDING LEVELS AND ALTERNATIVES

There are four levels of branding decisions: (1) branding versus no brand, (2) private brand versus manufacturer's brand, (3) single brand versus multiple brands, and (4) local brands versus worldwide brand



Source: Sak Onkvist and John J. Shaw, "The International Dimension of Branding: Strategic Considerations and Decisions," *International Marketing Review* 6 (No. 2, 1989): 29.

Figure 4.1 A branding model for decision making

Unbranded commodity



Private brand



Global brand



Single brand

1. Branding vs. no brand

To brand or not to brand, that is the question. Most products are branded, but that does not mean that all products should be. Branding is not a cost-free proposition due to the added costs associated with marking, labeling, packaging, and legal procedures. These costs are especially relevant in the case of commodities (e.g., salt, cement, diamonds, produce, beef, and other agricultural and chemical products). Commodities are “unbranded or undifferentiated products which are sold by grade, not by brands.” As such, there is no uniqueness, other than grade differential, that may be used to distinguish the offerings of one supplier from those of another

ADVANTAGES OF EACH BRANDING ALTERNATIVE

No Brand

Lower production cost
Lower marketing cost
Lower legal cost
flexibility in quality and quantity control
(i.e., possibility of less rigidity in control)
for commodities (undifferentiated items)

Brand

Better identification
Better awareness
Better chance for product differentiation
More
Better chance for repeat sales
Possible premium pricing (i.e., removal from Good
price competition)
Possibility of making demand more price
inelastic

2. Private brand versus manufacturer's brand

Branding to promote sales and move products necessitates a further branding decision: whether the manufacturer should use its own brand or a distributor's brand on its product. Distributors in the world of international business include trading companies, importers, and retailers, among others; their brands are called private brands. Even though it may seem logical for a distributor to carry the manufacturer's well-known brand, many distributors often insist on their own private brands for several reasons.

First, a distributor may be able to create a unique product by bundling or unbundling product attributes and then adjusting the price to reflect the proper value. The most important reason for a distributor's insistence on a private brand is due to brand loyalty, bargaining power, and price.

There are a number of reasons why the strategy of private branding is not necessarily bad for the manufacturer. First, there are no promotional headaches and expenses associated with private branding, thus making the strategy suitable for a manufacturer with an unknown brand.

Private Brand

Ease in gaining dealers' acceptance
Possibility of larger market share
No promotional hassles and expenses
for small manufacturer with unknown
brand and identity

Manufacturer's Brand

Better control of products and features
Better price due to more price inelasticity
Retention of brand loyalty Good
Better bargaining power
Assurance of not being bypassed by channel
members

3. Single brand versus multiple brands

When a single brand is marketed by the manufacturer, the brand is assured of receiving full attention for maximum impact. However, a company may choose to market several brands within a single market based on the assumption that the market is heterogeneous and thus must be segmented. Consequently, a specific brand is designed for a specific market segment.

Multiple brands are suitable when a company wants to trade either up or down because both moves have a tendency to hurt the firm's main business. If a company has the reputation for quality, trading down without creating a new brand will hurt the prestige of the existing brand. By the same rationale, if a company is known for its low-priced, mass-produced products, trading up without creating a new brand is hampered by the image of the existing products.

Multiple Brands (in single market)

Utilization of market segmentation technique
Creation of excitement among employees
of competitive spirits
Avoidance of negative connotation of existing
Gain of more retail shelf space
Retention of customers who are not brand loyal

Single Brand (in single market)

Better marketing impact
Permitting more focused marketing Creation
Brand receiving full attention
Reduction of advertising costs due to better brand
economies of scale and lack of duplication
Elimination of brand confusion among employ-
ees, dealers, and consumers

Allowance of trading up or down without hurting existing brand Good for product with good reputation and quality (halo effect)

4. Local brands versus worldwide brand

When the manufacturer decides to put its own brand name on the product, the problem does not end there if the manufacturer is an international marketer. The possibility of having to modify the trademark cannot be dismissed. The international marketer must then consider whether to use only one brand name worldwide or different brands for different markets or countries. To market brands worldwide and to market worldwide brands are not the same thing.

For a brand to be global or worldwide, it must, by definition, have a commonly understood set of characteristics and benefits in all of the markets where it is marketed. Coca-Cola is a global brand in the sense that it has been successful in maintaining similar perceptions across countries and cultures. However, most other brands do not enjoy this kind of consistency, thus making it debatable whether a global brand is a practical solution.

A worldwide brand has several advantages. First, it tends to be associated with status and prestige. Second, it achieves maximum market impact overall while reducing advertising costs because only one brand is pushed.

Third, a worldwide brand provides a convenient identification, and international travelers can easily recognize the product. Finally, a worldwide brand is an appropriate approach when a product has a good reputation or is known for quality. In such cases, a company would be wise to extend the brand name to other products in the product line.

There are several reasons for using local brands. First, when the manufacturer is unable to ensure uniform product quality across countries, it should consider local brands. Third, when an existing brand is difficult to pronounce, a new brand may be desirable. Sometimes, consumers avoid buying a certain brand when it is difficult to pronounce because they want to avoid the embarrassment of a wrong pronunciation.

Second, a local brand is more easily understood and more meaningful for local consumers. By considering foreign tastes and preferences, a company achieves a better marketing impact. Third, a local brand can avoid a negative connotation. Pepsi introduced a non-cola under the Patio name in America but under the Mirinda name elsewhere due to the unpleasant connotation of patio in Spanish.

Local Brands

Legal necessity (e.g., name already used by
else in local market

Elimination of difficulty in pronunciation

Allowance for more meaningful names (i.e.,
more local identification)

Elimination of negative connotations

Avoidance of taxation on international brand

Quick market penetration by acquiring local brand

Allowance of variations of quantity and quality
across markets

Worldwide Brand

Better marketing impact and focus someone

Reduction of advertising costs

Elimination of brand confusion

Good for culture-free product

Good for prestigious brand

Easy identification/recognition for international
travelers

Good for well-known designer

BRAND CHARACTERISTICS

A good brand name should possess certain characteristics, and such characteristics are thoroughly discussed in most advertising and marketing text- books. In essence, a brand should be short, distinctive, easy to pronounce, and able to suggest product benefits without negative connotations. In the inter- national arena, these qualities are also relevant. Finally, the legal aspect of branding definitely cannot be overlooked. A name that is similar to other firms' trademarks should be avoided.

Brand Name Selection: -

A good name can add greatly to a products' success. However, finding the best brand name is a difficult task.

It begins with a careful review of the product and its benefits, the target market and proposed marketing strategies.

Desirable qualities for a brand name includes: -

- A. It should suggest something about the product's benefits & qualities
- B. It should be easy to pronounce, recognize, and remember. The brand name should be distinctive
- C. It should be capable of registration and legal protection

Brand piracy

Brand piracy occurs when a product is named similarly to a well-known brand so that consumers may mistake it for the actual brand-name. Brand piracy is common among products that can easily be replicated. The copies often have logos that resemble the design of the genuine product, be it layout, symbols, color or font. Oftentimes, this is done on purpose by a company to mislead consumers and gain some market share. Brand piracy is the act of naming a product in a manner which can result in confusion with other better-known brands.

Examples of Coalgate, as against Colgate,

4.3. Packaging

Much like the brand name, packaging is another integral part of a product. Packaging serves two primary purposes: functional and promotional. First and foremost, a package must be functional in the sense that it is capable of protecting the product at minimum cost.

If a product is not manufactured locally and has to be exported to another country, extra protection is needed to compensate for the time and distance involved. A country's adverse environment should also be taken into account. When moisture is a problem, a company may have to wrap pills in foil or put food in tin boxes or vacuum-sealed cans. However, the type of package chosen must be economical.

From the marketing standpoint, the promotional function of packaging is just as crucial as the functional aspect. To satisfy the Japanese preference for beautiful packaging, Avon upgraded its inexpensive plastic packaging to crystalline glass. Similarly, BSR packs its product into two cartons, one for shipping and one for point-of-purchase display, because Japanese buyers want a carton to be in tip-top condition. The successful campaign for Bailey's Irish Cream in the USA

included a fancy gold foil box package that promotes this whiskey-based drink's upscale image. In any case, packaging does not have to be dull. Novel shapes and designs may be used to stimulate interest and create excitement.

MANDATORY PACKAGE MODIFICATION

A package change may be either mandatory or at the discretion of the marketer. A mandatory change is usually necessitated by government regulations. Sometimes, it is for safety and other reasons. Some- times, packaging regulations are designed more for protection against imports than for consumer protection.

Several countries require bilinguality (e.g., French and English in Canada, and French and Flemish in Belgium). This requirement may force the manufacturer to increase package size or shorten messages and product name, since a bilingual pack- age must have twice the space for copy communications.

OPTIONAL PACKAGE MODIFICATION

Cultural factors should be taken into consideration since such factors often determine and influence consumer preference. Symbols and colors of packages may have to be changed to be consistent with cultural norms. Sometimes, it is difficult to tell whether package modification is mandatory or optional

4.4. warranty and After sales service

A warranty is a guarantee on the product's performance as stipulated by the manufacturer. It defines the manufacturer's liability in the case of non performance, or under performance of the product. Other than compliance with the legal requirements of the host country, product warranties and service constitute an integral part of the added value of the product offered to international markets.

A warranty without the backup of service facilities is counter productive. Consumer durables and industrial goods require servicing that is both convenient and reliable. Since customer service means enhancing efficiency of the product as well as that of the customer, the formulation of the service policy requires an assessment of customer expectations and needs, competitive practices, and the quality of service infrastructure and network available in the host

country. There must be a strong level of consistency between a company's warranty policies and its worldwide after sales service network. Building such a network requires choosing locations from which to

offer service; investing in physical facilities, equipment and parts, staffing and training of qualified service technicians, and a logistics and information network to keep track of service performance and customer complaints so that they are handled in a satisfactory manner.

Warranty gives the following major benefits among others:

- ✓ It serves as a competitive tool
- ✓ A good warranty policy tends to differentiate the product in the marketplace.
- ✓ It enhances the customers' confidence in the product
- ✓ It helps in gaining additional business
- ✓ An explicit warranty limits the liability of the company should the product fail to
- ✓ meet the expectations of the buyer

Self Check Exercise 4

Part I- Multiple Choice Questions

Choose the right answer among the alternatives given

1. An international marketer can

- A) export the home market product to foreign markets
- B) adapt the home market product to meet the needs of foreign customers more closely
- C) develop new products to meet the specific needs of customers in foreign markets
- D) all of the above
- E) only A&C

2. Which one of the statements below is incorrect about product?

- A) it is a bundle of utilities/ benefits
- B) it is a collection of physical, service and symbolic attributes which yield satisfaction to users
- C) customers purchase only the physical attributes of products, not their subjective attributes like image or quality
- D) all of the above are correct
- E) none of the above

3. A marketer who exports a product originally designed for a local market to other countries with virtually no change is employing

- A) adaptation
- B) standardization
- C) mass marketing
- D) segmented marketing
- E) none of the above

4. Which one of the factors below does not favor adaptation?

- A) strong cultural differences, language, etc
- B) variations in ability to buy/income differences
- C) scale in economies in production, marketing, and R&D
- D) variations in consumer needs and conditions of use

- E) A&D
 - F) None of the above
5. A product attribute that is associated with intellectual property protection to maintain competitive advantage is
- A) product piracy and counterfeiting
 - B) brand protection
 - C) brand extension
 - D) labeling
 - E) None of the above
6. Identify a wrong statement among the following
- A) adopting global branding imparts the advantage of economies of scale in advertising
 - B) brand protection requires getting registered the brand in the countries of interest with appropriate authorities
 - C) In international branding, the manufacturer supplies the goods but the retailer sells such goods under its own names.
 - D) Private branding provides a quick and relatively low cost approach to penetrating foreign markets
 - E) None of the above
7. Warranty gives all the following benefits except____
- A) serves as a competitive tool
 - B) a good warranty policy differentiates the product in market place
 - C) helps in gaining additional business
 - D) enhances customers' confidence in the product
 - E) None of the above

PART II- True or false Questions

Say true if the statement is correct and false if it is incorrect

- 1) Product adaptation becomes appropriate when a consistent company or product image is needed and product uniformity is required.
- 2) Any influence that the country of manufacturing has on a consumer's positive or negative perception of the product shows country of origin effect.

3) Primary considerations in packaging are providing information to the consumers and the use of multiple languages.

CHAPTER 5: PROMOTION STRATEGY IN INTERNATIONAL CONTEXT

Introduction

A well-rounded marketing plan must include a proper promotion mix. This mix should not rely solely on advertising – personal selling, publicity, and sales promotion should also be included. The marketing of products overseas underscores the necessity for the adaptation of communication. To advertise internationally, a firm cannot simply repeat the same message indiscriminately in all markets. A message that elicits a favorable response in one country can easily fail to communicate with an audience in another country. To complicate the matter, there are constraints on advertising that preclude the use of certain kinds of media in certain countries.

A section is devoted to the treatment of publicity, examining the principles related to a sound publicity campaign, with an emphasis on how to deal with negative publicity. A further section investigates the use of sales promotion and the influence of local regulations on the various sales promotion techniques.

Learning Objectives

After completing the study of this chapter, you are expected to:

- ✓ Explain the major components of a promotion mix
- ✓ Know the way to deal with negative publicity
- ✓ Compare between advertising standardization versus local adaptation

PROMOTION AND COMMUNICATION

The purpose of promotion is both to communicate with buyers and to influence them. Effective promotion requires an understanding of the process of persuasion and how this process is affected by environmental factors. The potential buyer must not only receive the desired information but should also be able to comprehend that information

PROMOTION MIX

To communicate with and influence customers, several promotional tools are available. Advertising is usually the most visible component of promotion, but it is not the only component. The promotion mix also consists of three other distinct but inter-related activities: personal selling, publicity, and sales promotion.

5.1. Personal selling

According to the American Marketing Association, personal selling is an “oral presentation in a conversation with one or more prospective purchasers for the purpose of making sales.” Personal selling, also commonly known as salesmanship, is used at every distribution level. The cost of personal selling is high.

The effectiveness of personal selling is also a function of product type. In general, personal selling works well with high-unit value and infrequently purchased products. Such products usually require a demonstration, are custom-made or fitted to an individual’s needs, or involve trade-ins.

Note that not all salespersons are directly involved in selling. So-called missionary salespersons, for example, have the task of educating potential buyers about product

benefits and promotional campaigns in order to create the goodwill that may result in subsequent sales.

Personal selling vs. advertising

Personal selling is similar to advertising in the sense that both aim to create sales and that both must be understandable, interesting, believable, and persuasive. However, advertising differs from personal selling in several aspects. Advertising relies on a non-personal means of contact and sales presentation. When compared to advertising, personal selling commands a much larger share of aggregate promotional dollars and accounts for several times more in terms of the number of personnel. This relationship exists in all countries. In fact, the abundant labor supply in developing countries makes it easy and inexpensive to employ sales personnel.

The differences between advertising and personal selling may also be contrasted in terms of the communication process. Advertising is a one-way communication process that has relatively more “noise,” whereas personal selling is a two-way communication process with immediate feedback and relatively less “noise.” Controlling the message is more difficult in personal selling than in advertising because salespersons may react to unforeseen situations in such a way that may differ from the company’s policy. Yet advertising is usually less persuasive because advertisements are prepared in advance by those with minimal contact with customers and because the message must be kept simple to appeal to a large number of people. Personal selling, on the other hand, is more flexible, personal, and powerful. A salesperson can adapt the message to fit the client at the time of presentation, and stimuli can be presented to appeal to all five senses.

5.2. Exhibitions trade fairs

One type of sales promotion that can be highly effective is the exhibition of a product overseas. This type of promotion may be very important because regular advertising and sales letters and brochures may not be adequate. For certain products, quality can be judged only by physical examination, and product exhibition can facilitate this process.

One very effective way to exhibit products abroad is to use trade fairs. An exhibitor should investigate whether it is worthwhile to use a carnet for products that will be shipped or taken to the exhibition. A carnet is an international customs document that facilitates the temporary duty-free importation of product samples in lieu of the usual customs documents required to bring merchandise into several major trading countries.

5.3. Public relations/publicity

Publicity is the nonpersonal stimulation of demand that is not paid for by a sponsor which has released news to the media. Advertising and publicity are quite similar in the sense that both require media for a nonpersonal presentation of the promotional message. One difference between the two is that, with publicity, a company has less control over how the message will be used by the media. Another difference is that publicity is presumed to be free in the sense that the media are not paid for presentation of the message to the public. In practice, a publicity campaign is not cost free because someone must be assigned to generate the publicity, and there are several direct and indirect costs. However, the cost of publicity is minimal when compared to the benefit.

There are several methods that may be used to gain publicity. Such methods include the following: contribution of prizes; sponsorship of civic activities; release of news about the company's product, plant, and personnel; and announcements of the company's promotional campaign, especially with regard to such sales promotion techniques as games and contests. Nike was able to overtake Adidas in the USA with effective publicity and sales promotion campaigns. In addition to asking athletes to help design

shoes, Nike signed professional athletes to exclusive promotional contracts involving cash, free shoes, and promotion appearances. Shoes were given to top college teams, and the company gained additional exposure when these teams appeared on TV. Moreover, it sponsored running clinics, sporting events, and women's pro tennis events.

5.4. Sales promotion

The techniques of sales promotion are varied and numerous. The common ones used are coupons, sweepstakes, games, contests, price-offs, demonstrations, premiums, samples, money refund offers, and trading stamps. A combination of these may be used and is sometimes used in the same campaign.

Sales promotion is temporary in nature. Not being self-sustaining, its function is to supplement advertising, personal selling, and publicity. Sales promotion is effective when a product is first introduced to a market. It also works well with existing products that are highly competitive and standardized, especially when they are of low unit value and have a high turnover. Under such conditions, sales promotion is needed to gain that "extra" competitive advantage.

5.5. Advertising in the global situations

International advertising is the practice of advertising in foreign or international media when the advertising campaign is planned, directly or indirectly, by an advertiser from another country. To advertise overseas, a company must determine the availability (or unavailability) of advertising media. Media may not be readily available in all countries or in certain areas within the countries. Furthermore, the techniques used in media overseas can be vastly different from those employed in the USA.

The techniques of advertising are varied and numerous. The common ones used are Television, Radio, Newspapers, Magazines.

5.6. Campaign transferability

A person responsible for a publicity campaign should keep the needs of the media in mind. Any request for information should be handled promptly because any requested information is likely to be used. Some publicity received can be far from favorable. No company wants negative publicity. Without the proper handling of publicity, a situation may deteriorate. Company was able to turn the negative publicity around and regain sympathy and trust. Based on these experiences, there are several “do’s” and “don’ts” that should be kept in mind.

To begin with, it is not wise to criticize the media for reporting unfavorable news. The criticism serves to alienate the media by inflaming the issue and prolonging the attention being given to it. It is also not wise to ignore adverse publicity. This behavior may give the impression of arrogance, and it wastes crucial time that could be used to solve the problem if it is serious. A company should also avoid the “no comment” response because it conveys the impression of uncooperativeness and implies guilt. If a full disclosure is not possible for security reasons, the company’s spokesperson should say so and ask for understanding from the media.

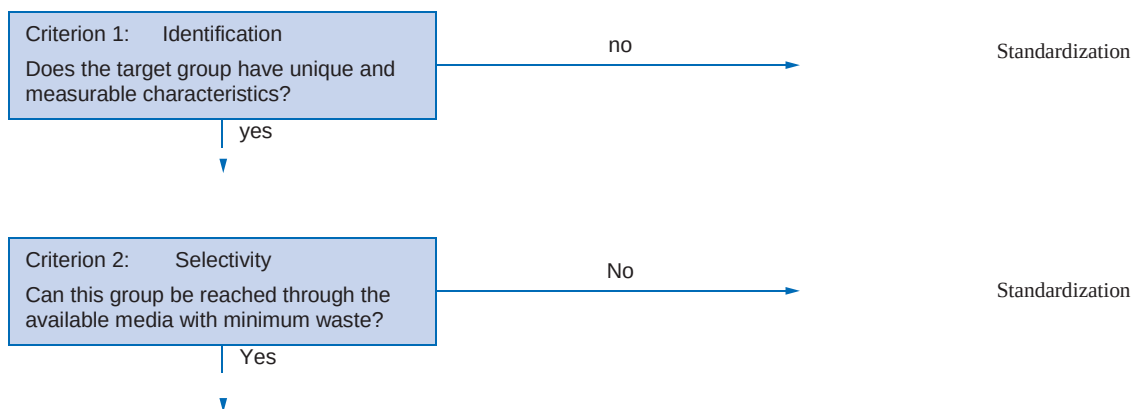
When preparing to respond to inquiries about a newsworthy event, it is crucial to review the facts, prepare news reports, and perhaps seek professional assistance. Personnel should be immediately organized to handle inquiries from consumers and reporters. Even when the problem is still unclear, contingency plans should be devised so that personnel can act quickly. In fact, there should be a contingency crisis management plan that forces executives to think in advance about how to deal with unforeseen crises.

Although a team effort is likely taking place, it is highly desirable that a top executive acts as the company’s sole spokesperson so that inconsistencies can be minimized. The executive should be prepared to communicate quickly and professionally. He or she must possess accurate information and be ready to answer all questions. Since the media are

eager to receive information, they can and should be accommodated, as well as exploited. The company can call news conferences that allow it to relay the information to the public through the media at no cost. At such conferences, the spokesperson can outline the steps being taken to protect the public interest. In effect, this tactic provides the company with free advertising and positive publicity.

5.7. Advertising standardization versus local adaptation

Standardized international advertising is the practice of advertising the same product in the same way everywhere in the world. Doing research is difficult in this area due to the ambiguous definition of standardization itself. Strictly speaking, a standardized advertisement is an advertisement that is used internationally with virtually no change in its theme, copy, or illustration (other than translation). More recently, a new breed of advocates of standardization has claimed that an advertisement with changes in its copy or illustration (e.g., a foreign model used in an overseas version) is still a standardized advertisement as long as the same theme is maintained. This new and broadened definition can cloud the issue even more with the added element of subjectivity. Because standardization is a matter of degree rather than an all-or-nothing phenomenon, a more precise definition of standardized advertising, conceptually and operationally, would go a long way toward solving the confusion created by contradictory claims.



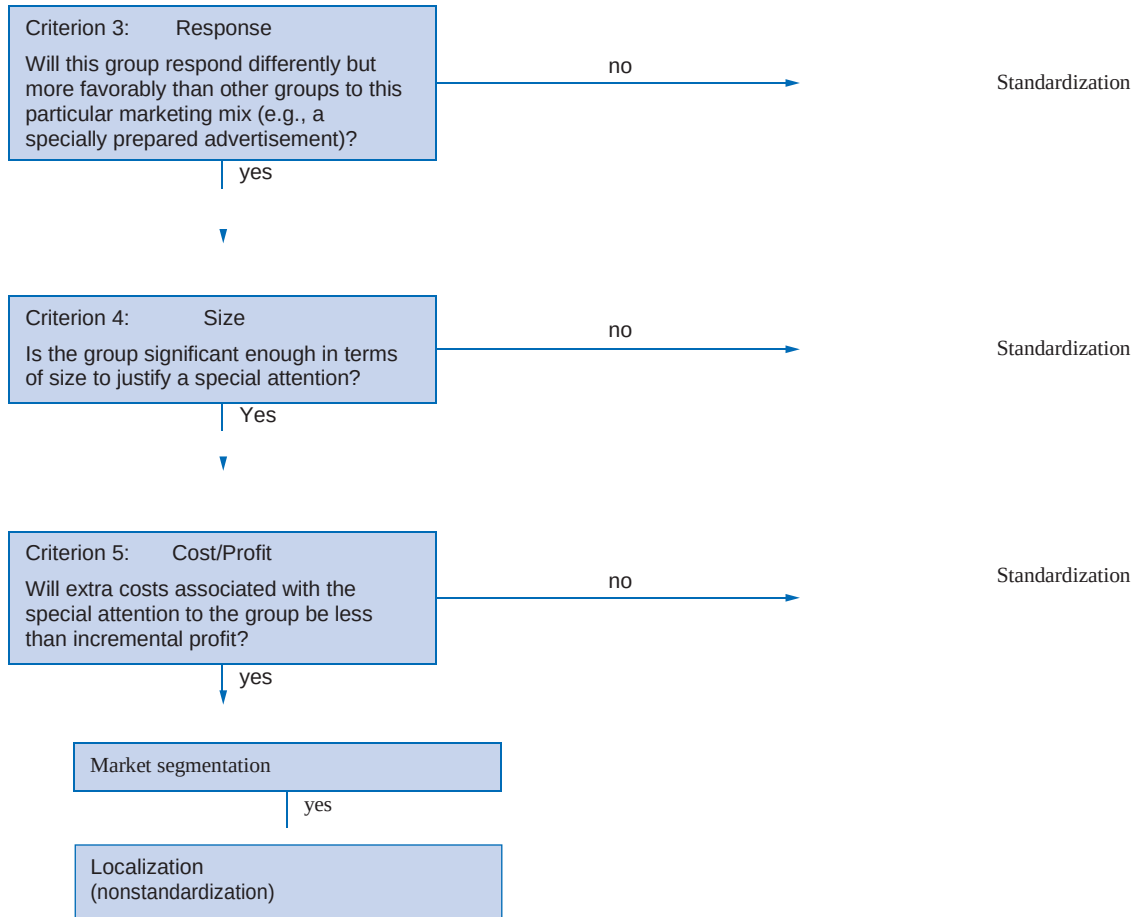


Figure 5.1 A decision-making framework for advertising standardization

Source: San Onkvisit and John J. Shaw, "Standard International Advertising: A Review and Critical Evaluation of the Theoretical and Empirical Evidence," *Columbia Journal of World Business* 22 (fall 1987): 53.

Three schools of thought

There are three schools of thought on the issue of standardized advertising: (1) standardization, (2) individualization, and (3) compromise. The standardization school, also known as the universal, inter- nationalized, common, or uniform approach, questions

the traditional belief in the heterogeneity of the market and the importance of the localized approach. This school of thought assumes that better and faster communication has forged a convergence of art, literature, media availability, tastes, thoughts, religious beliefs, culture, living conditions, language, and therefore advertising. Even when people are different, their basic physiological and psychological needs are still presumed to remain the same. Therefore, success in advertising depends on motivation patterns rather than on geography.

The opposite view of the standardization school is the localization school, also known as the non-standardization, specificity, individualization, adaptation, or customization approach. This conventional school of thought holds that advertisers must particularly make note of the differences among countries (e.g., culture, taste, media, discretionary income). These differences make it necessary to develop specific advertising programs to achieve impact in the local markets.

Between these two extreme schools is the compromise school of thought. While recognizing local differences and cautioning against a wholesale or automatic use of standardization, this middle-of-the-road school holds that it may be possible, and in certain cases even desirable, to use US marketing techniques everywhere under some conditions.

Jain has proposed a framework for determining marketing program standardization. Standardization is more practical and effective under these conditions.

1. Markets are economically alike.
2. Worldwide customers, not countries, are the basis for identifying the segments to serve.
3. Countries have similar customer behavior and lifestyle.
4. The product has cultural compatibility across countries.
5. There is a great degree of similarity in a firm's competitive position in different markets.

6. The firm competes against the same adversaries with similar share positions in different markets.
7. Product is industrial or high-tech (versus consumer product).
8. Home market-positioning strategy is meaningful in the host market.
9. Countries have similar physical, political, and legal environments.
10. There are similar marketing infrastructures in the home and host countries.
11. Firms possess key managers who share a common world view.
12. Strategic consensus exists among parent–subsidiary managers.
13. Authority for setting policies and allocating resources is centralized.

The first of the five strategies are one product, one message, worldwide. This strategy is feasible if both the need and use conditions are uniform across countries. Not many products satisfy these conditions, though Coke and Pepsi are often cited as examples.

The second of the five strategies are product extension-communications adaptation. A product may be extended to other countries because of uniform use conditions, but the promotional message will probably need to be changed since needs vary. Toothpaste is used in the same manner everywhere but often for different reasons. People in the north of England and the French-speaking areas of Canada use toothpaste primarily for breath control, making the appeal of fluoride toothpastes rather limited.

Product adaptation-communications extension is the third strategy. When use conditions differ but need remains constant across markets, modification of product but not promotion is necessary. Dual adaptation is the fourth strategy. Both the product and the promotion have to be changed for a foreign market owing to variations in need as well as use conditions in different countries.

Product invention is the last strategy. This strategy may have to be used if the existing product is too expensive for foreign consumers. A brand-new product with different features may have to be designed in order to make it affordable.

Self Check Exercise 5

Part I- Multiple Choice Questions

Choose the right answer among the alternatives given

1. Which one of the factors below is not among the constraints of international advertising?
 - A) Language
 - B) Cultural diversity
 - C) Production and cost factors
 - D) Legal consideration
 - E) None of the above
2. one is face to face communication with one or more prospective buyers/users
 - A. Advertising
 - B. Personal selling
 - C. Sales promotion
 - D. publicity
3. A type of promotional tool that helps to reach a large number of buyers/customers in short period of time is,

A. Advertising B. Personal selling C. Sales promotion D. Direct marketing

4. A two-way, personal communication between a company representative and a potential customer as well as back to the company is

A. Personal selling B. Sales promotion C. Public relation D. exhibition

PART II- True or false Questions

Say true if the statement is correct and false if it is incorrect

1. The prime objective of sales promotion is creation of awareness, interest, desire and action.
2. Media coverage implies the number of people who are collectively exposed to different media like press, television, radio, and others.
3. Public relation is not marketing, but good public relation is highly essential to marketing success.

CHAPTER 6: PRICING AND TERMS PAYMENT

Introduction

While price is important, it is not a wise strategy to sell on price as a continuing policy. A product's price must reflect its proper value in the eyes of the consumer. For the Korean manufacturers, the strategy of offering lower prices is to penetrate the advanced economies and to compensate for the unknown quality of their goods. The low prices, however, still allow the Korean manufacturers to make sufficient profit margins due to their lower labor costs. In both cases, the pricing strategies are somewhat constrained by host-country regulations, such as the antidumping laws.

This chapter examines pricing decision in an international context. The chapter begins with a discussion of the role of price in general. It proceeds to cover the various factors that can affect price, with special attention given to certain variables that are unique to the international market (e.g., foreign exchange rate, dumping, price control). Methods for dealing with a foreign country's hyperinflation and transfer prices will also receive some attention.

Learning Objectives

After completing the study of this chapter, you are expected to:

- ✓ Differentiate between international pricing strategies and domestic pricing strategies
- ✓ Define price standardization
- ✓ Know The concept of export credit term
- ✓ Explain different method of payment
- ✓ Describe transfer pricing

6.1. International pricing strategies versus domestic pricing strategies

Price policy is an essential part of the marketing mix. Its importance in international marketing is based on the fact that through achieved prices the economic benefits of various transactions among the partners are divided. In other words, the level of reached prices directly influences the profitability of the transactions (Horská, 2007).

Pricing globally is much trickier than pricing in the home market, due to issues such as problems of currency fluctuations and devaluations, price escalation through tariffs, difficult-to-assess credit risks, and different quotations, dumping charges, transfer prices and price controls. In addition, the

price is then compared and analysed by competitors, distributors and consumers. In global marketing, the level of price is sometimes less important than currencies quoted, methods of payment and credit extended (Johanson, 2009).

As in the domestic market, the price at which a product or service is sold directly determines your firm's revenues. It is essential that your company's market research include an evaluation of all the variables that may affect the price range for your product or service. If your firm's price is too high, the product or service will not sell. If the price is too low, export activities may not be sufficiently profitable or may actually create a net loss. The traditional components for determining proper pricing are costs, market demand, and competition. Each component must be compared with your company's objective in entering the foreign market. An analysis of each component from an export perspective may result in export prices that are different from domestic prices. It is also very important that you take into account additional costs that are typically borne by the importer. They include tariffs, customs fees, currency fluctuation, transaction costs, and value added taxes (VATs). These costs can add substantially to the final price paid by the importer, sometimes resulting in a total that is more than double the U.S. domestic price.

Basically, pricing of goods and services in domestic market depend upon the govt policies of tax & subsidies and the factors of production whereas the pricing in international market is mainly determined through the prevailing foreign exchange rate and the value of own currency in terms of gold & US dollar. There's a huge difference in pricing in domestic and internal marketing. There are numerous factors to it: law, taxes, difference in exchange rate, taste and preferences, production factor, where the good are produced, also the quality makes up the differences in domestic and international exchange rate.

The essential question is not whether cost is considered but rather what kind of cost is considered and to what extent. The typical costs associated with international marketing include: market research; credit checks; business travel; inter- national postage, cable, and telephone rates; translation costs; commissions, training charges, and other costs involving

foreign representatives; consultants and freight forwarders; product modification; and special packaging.

Pricing Strategy

The export price quotations may not be the same for all markets. Prices may differ from market to market due to various reasons viz. political influence, buying capacity, financial and import facilities, total market turnover and other pricing and non-pricing factors etc. in order to make the local price of the product competitive. The profitability will also be affected to a great extent and may be different in different markets. However, there is nothing wrong in making higher margin in small export markets and lower ones in others provided there is an overall profit in export business. Thus, different strategies may be used in different markets. In some markets prices may be higher in some others they may be cost price or in many others; they may be less than the cost price. There are different strategies of pricing that can be employed by an international marketer. Some of such methods are discussed below:

1) Full cost versus variable cost pricing: firms that orient their price thinking around cost must determine whether to use variable cost or full cost in pricing their goods. In variable cost pricing, the firm is concerned only with the marginal or incremental cost of producing goods to be sold in overseas markets. Such firms regard foreign sales as bonus and assume that any return over their variable cost makes a contribution to net profit. These firms may be able to price more competitively in foreign markets, but because they are selling products abroad at lower net prices than they are selling them in domestic market, they may be subject to charges of dumping.

On the other hand, companies following the full cost pricing philosophy insist that no unit of a similar product is different from any other unit in terms of cost and that each unit bears its full share of the total fixed and variable cost. This approach is suitable when a company has high variable costs relative to its fixed costs. In such cases, prices are often set on cost plus basis, that

is, total costs plus a profit margin. Both variable cost and full cost policies are followed by international marketers.

2. **Skimming Versus Penetration Pricing:** firms must also decide to follow a skimming or a penetration pricing policy. The decision of which policy to follow depends on the level of competition, the innovativeness of the product, and market characteristics. A company uses skimming when the objective is to reach a segment of a market that is relatively price sensitive and thus willing to pay a premium price for the value received. If limited supply exists, a company may follow a skimming approach in order to maximize revenue and to match demand to supply. When a company is the only seller of a new or innovative product, a skimming price may be used to maximize profit until competition forces a lower price.

A penetration pricing policy is used to stimulate market growth and capture market share by deliberately offering products at low prices. Penetration pricing, most often, is used to acquire and hold share of market as a competitive scheme. However, in country markets experiencing rapid and sustained economic growth, and where large shares of the population move into middle income classes, penetration pricing may be used to stimulate market growth even with minimum competition. Penetration pricing may be a more profitable strategy than skimming if it maximizes revenues and builds market share as a base for the competition that is sure to come.

Regardless of the formal pricing policies and strategies a company uses, it must not be forgotten that the market sets the effective price for a product. Said another way, the price has to be set at a point at which the consumer will perceive value received and the price must be within the reach of the target market.

Market Penetration Strategy: Under this strategy, exporters offer a very low introductory price to speed up their sales and, therefore, widening the market base. It aims at capturing the products in the market especially if the quality of the product is proved with its wide acceptance.

6.1.2 Price Escalation

Price escalation is the disproportionate difference in price between the exporting country and the importing country. People traveling abroad often are surprised to find that goods relatively inexpensive in their home country priced higher in other countries. Some of factors that contribute towards the higher price include:

- a) Cost of Exporting: are the added costs incurred as a result of exporting products from one country to another. The term relates to a situation in which ultimate prices are raised by shipping costs, insurance, packing, tariffs, and longer channels of distribution, larger middlemen margins, special taxes, administrative costs, and exchange rate fluctuations. The majority of these costs arise as a direct result of moving goods across borders from one country to another and often combine to escalate the final price to a level considerably higher than in the domestic market.
- B) Taxes, tariffs and administrative costs: “Nothing is surer than death and taxes” has a particularly familiar ring to the ears of the international trader because taxes include tariffs, and tariffs are one of the most pervasive features of international trading. Taxes and tariffs affect the ultimate consumer price for a product and, in most instances; the consumer bears the burden of both. Sometimes, however, consumers benefit when manufacturers selling goods in foreign countries reduce their net return in order to gain access to a foreign market. Absorbed or passed on, taxes and tariffs must be considered by the international businessperson. A tariff or duty is a special form of taxation. Like other taxes, a tariff may be levied for the purpose of protecting a market or for increasing government revenue.
- c) Inflation: the effect of inflation on cost must be taken into account. In countries with rapid inflation or exchange variation, the selling price must be related to the cost of goods sold and the cost of replacing the items. Because inflation and price controls imposed by a country are beyond the control of companies, they use a variety of techniques to inflate the selling price to compensate for inflation pressure and price controls. They may charge for extra services, inflate costs in transfer pricing, or break up products into components and price each component separately. Inflation causes consumer prices to escalate and the

consumer is faced with rising prices that eventually exclude many consumers from the market.

- d) Exchange rate fluctuations: if exchange rates are not carefully considered in long term contracts, it can lead either the seller or the buyer to lose some amount of money. The added cost incurred by exchange rate fluctuations on a day to day basis must be considered, especially where there is a significant time lapse between signing the order and delivery of the goods.
- e) Middlemen and transportation costs: channel length and marketing patterns vary widely, but in most countries channels are longer and middlemen margins higher than customary in one country. The diversity channels used to reach markets and the lack of standardized middlemen markups leave many producers unaware of the ultimate price of a product. Besides channel diversity, the fully integrated marketer operating abroad faces various unanticipated costs because marketing and distribution channel infrastructures are underdeveloped in many countries. The marketer can also incur added expenses for warehousing and handling of small shipments and may need to bear increased financing costs when dealing with under financed middlemen.

Exporting also incurs increased transportation costs when moving goods from one country to another. If the goods go over water, there are additional costs for insurance, packing, and handling not generally added to locally produced goods. Such costs add yet another burden because import tariffs in many countries are based on the landed cost, which includes transportation, insurance, and shipping charges. These costs add to the inflation of the final price.

6.2. Price standardization

Price strategy for international markets based on setting a price for the product as it leaves the factory. At its simplest it involves setting a fixed world price at the headquarters of the firm. This fixed world price is then applied in all markets after taking account of factors such as foreign exchanges rates and variance in the regularity context. This pricing strategy might be appropriate if the firm sells to very large customers, who have companies in several countries. In

such a situation the firm might be under pressure from the customer only to deliver at the same price to every country subsidiary, throughout the customer's multinational organization. Another advantage of price standardization includes the potential for rapid introduction of new products in international markets and the presentation of a consistent price image across markets.

DUMPING

Dumping, a form of price discrimination, is the practice of charging different prices for the same product in similar markets. As a result, imported goods are sold at prices so low as to be detrimental to local producers of the same kind of merchandise. Boeing and McDonnell Douglas, for example, accused Airbus of receiving \$9 billion in subsidies from the government consortium, enabling the company to price each airplane at some \$15 to 20 million less than the true cost. Dumping also applies to services. Japanese banks in California were accused of dumping money in the US market by pricing their loans at an interest rate lower than that charged by US banks.

Types of dumping

There are several types of dumping: sporadic, predatory, persistent, and reverse. The three kinds of dumping discussed above have one characteristic in common: each involves charging lower prices abroad than at home.

Sporadic dumping occurs when a manufacturer with unsold inventories wants to get rid of distressed and excess merchandise. To preserve its competitive position at home, the manufacturer must avoid starting a price war that could harm its home market. One way to find a solution involves destroying excess supplies,

Predatory dumping is more permanent than sporadic dumping. This strategy involves selling at a loss to gain access to a market and perhaps to drive out competition. Once the competition is gone or the market established, the company uses its monopoly position to increase price. Some critics question the allegation that predatory dumping is harmful by pointing out that if price is

subsequently raised by the firm that does the dumping, former competitors can rejoin the market when it becomes more profitable again.

Persistent dumping is the most permanent type of dumping, requiring consistent selling at lower prices in one market than in others. This practice may be the result of a firm's recognition that markets are different in terms of overhead costs and demand characteristics.

Legal aspect of dumping

Whether or not dumping is illegal depends on whether the practice is tolerated in a particular country. Switzerland has no specific antidumping laws. Most countries, however, have dumping laws that set a minimum price or a floor on prices that can be charged in the market.

6.3. Export quotation terms

Export quotation may take various forms: a verbal agreement, a telephone, telex, cable, fax airmailed letter or E-mail. It may also be a pro-forma invoice, which is an outline of what the commercial invoice would be-showing all details of the shipment. Export quotation should describe the goods, the quantity involved, the unit price, the total value, the delivery and payment terms.

A quotation describes the product, states a price for it, sets the time of shipment, and specifies the terms of sale and terms of payment. Because the foreign buyer may not be familiar with the product, the description of the product in an overseas quotation usually must be more detailed than in a domestic quotation.

The description should include the following 15 points:

- | | |
|--|--|
| ✓ Seller's and buyer's names and addresses | ✓ Buyer's reference number and date of inquiry |
|--|--|

- ✓ Listing of requested products and a brief description
- ✓ Price of each item (It is advisable to indicate whether items are new or used and to quote the price in U.S. dollars to reduce foreign exchange risk.)
- ✓ Appropriate total cubic volume and dimensions packed for export (in metric
 - units where appropriate
- ✓ Appropriate gross and net shipping weight (in metric units where appropriate)
- ✓ Trade discount (if applicable)
- ✓ Delivery point
- ✓ Terms of sale
- ✓ Terms of payment
- ✓ Insurance and shipping costs
- ✓ Validity period for quotation
- ✓ Total charges to be paid by customer
- ✓ Estimated shipping date from a U.S. port or airport
- ✓ Currency of sale

6.4. Methods of payment

To succeed in today's global marketplace and win sales against foreign competitors, exporters must offer their customers attractive sales terms supported by the appropriate payment methods. Because getting paid in full and on time is the ultimate goal for each export sale, an appropriate payment method must be chosen carefully to minimize the payment risk while also accommodating the needs of the buyer. As shown in figure 1, there are five primary methods of payment for international transactions. During or before contract negotiations, you should consider which method in the figure is mutually desirable for you and your customer.

International trade presents a spectrum of risk, which causes uncertainty over the timing of payments between the exporter (seller) and importer (foreign buyer). For exporters, any sale is a gift until payment is received. Therefore, exporters want to receive payment as soon as possible, preferably as soon as an order is placed or before the goods are sent to the importer. For importers, any payment is a donation until the goods are received. Therefore, importers want to receive the goods as soon as possible but to delay payment as long as possible, preferably until after the goods are resold to generate enough income to pay the exporter.

Cash-in-Advance

With cash-in-advance payment terms, an exporter can avoid credit risk because payment is received before the ownership of the goods is transferred. For international sales, wire transfers and credit cards are the most commonly used cash-in-advance options available to exporters. However, requiring payment in advance is the least attractive option for the buyer, because it creates unfavorable cash flow. Foreign buyers are also concerned that the goods may not be sent if payment is made in advance. Thus, exporters who insist on this payment method as their sole manner of doing business may lose to competitors who offer more attractive payment terms.

- ✓ The goods will not be shipped until the buyer has paid the seller.
- ✓ Time of payment: Before shipment
- ✓ Goods available to buyers: After payment
- ✓ Risk to exporter: None

- ✓ Risk to importer: Relies completely on exporter to ship goods as ordered

Letters of Credit

Letters of credit (LCs) are one of the most secure instruments available to international traders. An LC is a commitment by a bank on behalf of the buyer that payment will be made to the exporter, provided that the terms and conditions stated in the LC have been met, as verified through the presentation of all required documents. The buyer establishes credit and pays his or her bank to render this service. An LC is useful when reliable credit information about a foreign buyer is difficult to obtain, but the exporter is satisfied with the creditworthiness of the buyer's foreign bank. An LC also protects the buyer since no payment obligation arises until the goods have been shipped as promised. These are issued by a bank on behalf of the importer promising to pay the exporter upon presentation of the shipping documents.

- ✓ *Time of payment:* When shipment is made
- ✓ *Goods available to buyers:* After payment
- ✓ *Risk to exporter:* Very little or none
- ✓ *Risk to importer:* Relies on exporter to ship goods as described in documents

Documentary Collections

A documentary collection (D/C) is a transaction whereby the exporter entrusts the collection of the payment for a sale to its bank (remitting bank), which sends the documents that its buyer needs to the importer's bank (collecting bank), with instructions to release the documents to the buyer for payment. Funds are received from the importer and remitted to the exporter through the banks involved in the collection in exchange for those documents.

D/Cs involve using a draft that requires the importer to pay the face amount either at sight (document against payment) or on a specified date (document against acceptance). The collection letter gives instructions that specify the documents required for the transfer of title to the goods. Although banks do act as facilitators for their clients, D/Cs offer no verification process and limited recourse in the event of non-payment. D/Cs are generally less expensive than LCs. Learn more about Documentary Collections.

Open Account

An open account transaction is a sale where the goods are shipped and delivered before payment is due, which in international sales is typically in 30, 60 or 90 days. Obviously, this is one of the most advantageous options to the importer in terms of cash flow and cost, but it is consequently one of the highest risk options for an exporter. Because of intense competition in export markets, foreign buyers often press exporters for open account terms since the extension of credit by the seller to the buyer is more common abroad. Therefore, exporters who are reluctant to extend credit may lose a sale to their competitors. Exporters can offer competitive open account terms while substantially mitigating the risk of non-payment by using one or more of the appropriate trade finance techniques covered later in this Guide. When offering open account terms, the exporter can seek extra protection using export credit insurance.

- ✓ The exporter ships the merchandise and expects the buyer to remit payment according to the agreed-upon terms.
- ✓ *Time of payment:* As agreed upon
- ✓ *Goods available to buyers:* Before payment
- ✓ *Risk to exporter:* Relies completely on buyer to pay account as agreed upon
- ✓ *Risk to importer:* None

Consignment

Consignment in international trade is a variation of open account in which payment is sent to the exporter only after the goods have been sold by the foreign distributor to the end customer. An international consignment transaction is based on a contractual arrangement in which the foreign distributor receives, manages, and sells the goods for the exporter who retains title to the goods until they are sold. Clearly, exporting on consignment is very risky as the exporter is not guaranteed any payment and its goods are in a foreign country in the hands of an independent distributor or agent. Consignment helps exporters become more competitive on the basis of better availability and faster delivery of goods. Selling on consignment can also help exporters reduce the direct costs of storing and managing inventory. The key to

success in exporting on consignment is to partner with a reputable and trustworthy foreign distributor or a third-party logistics provider. Appropriate insurance should be in place to cover consigned goods in transit or in possession of a foreign distributor as well as to mitigate the risk of non-payment.

6.5. Export credit terms

Export credits are used to help finance the sale of goods or services to international markets. Both private banks and government agencies can provide export credits. Government export credit agencies are frequently willing to assume credit and country risks that private institutions cannot or will not. They often help finance exports to developing countries

a loan given to a person or company who has exported goods while they wait for payment from the buyer: In effect, importers of capital equipment under an export credit system are provided, as buyers, with fixed-term funds at subsidized interest rates. See also. export insurance.

6.6. Transfer pricing

Different units under the same corporate body but located in different foreign countries exchange goods and services among themselves. The pricing of such exchanges is known as transfer pricing. As companies increase the number of worldwide subsidiaries, joint ventures, company owned distribution systems, and other marketing arrangements, the price charge to different affiliates becomes a top question. Prices of goods transferred from a company's operations or sales units in one country to its units elsewhere, known as intra-company pricing or transfer pricing, may be adjusted to enhance the ultimate profit of the company as a whole. The benefits are as follows:

- ✓ Lowering duty costs by shipping goods into high tariff countries at minimal transfer prices so that duty base and duty are low

- ✓ Reducing income taxes in high tax countries by overpricing goods transferred to units in such countries; profits are eliminated and shifted to low tax countries. Such profit shifting may also be used “dressing up” financial statements by increasing reported profits in countries where borrowing and other financial are undertaken.
- ✓ Facilitating dividend repatriation when dividend repatriation is curtailed by government policy. Invisible income may be taken out in the form of high prices for products or components shipped to units in that country.

Transfer pricing can be used to hide subsidiary profits and to escape foreign market taxes. Intra-company pricing is managed in such a way that profit is taken in the with the lowest tax rate. The overall objectives of the intra-company pricing system include maximizing profits for the corporation as a whole; facilitating parent company control, and offering management at all levels, both in the product division and in the international division, an adequate basis for maintaining, developing, and receiving credit for their own profitability. Transfer prices that are too low are unsatisfactory to the product divisions because their overall results look poor; prices that are too high make the international operations look bad and limit the effectiveness of foreign managers.

An intra-company pricing systems should use sound accounting techniques and be defensible to the tax authorities of the countries involved. All of these factors argue against a single uniform price or even a uniform pricing system for all international operations. Four arrangements for pricing goods for intra-company transfer are as follows:

- ✓ Sales at the local manufacturing cost plus a standard markup
- ✓ Sales at the cost of the most efficient producer in the company plus a standard markup
- ✓ Sales at negotiated price
- ✓ Arm’s length sales using the same prices as quoted to independent customers

6.7. **Bartering and counter trading versus domestic pricing strategies**

What Is Countertrade?

Countertrade, one of the oldest forms of trade, is a government mandate to pay for goods and services with something other than cash. It is a practice which requires a seller, as a condition of sale, to commit contractually to reciprocate and undertake certain business

initiatives that compensate and benefit the buyer. In short, a goods-for-goods deal is countertrade.

Countertrade is a reciprocal form of international trade in which goods or services are exchanged for other goods or services rather than for hard currency. This type of international trade is more common in developing countries with limited foreign exchange or credit facilities. Countertrade can be classified into three broad categories: barter, counter purchase, and offset.

In any form, countertrade provides a mechanism for countries with limited access to liquid funds to exchange goods and services with other nations. Countertrade is part of an overall import and export strategy that ensures a country with limited domestic resources has access to needed items and raw materials. Additionally, it provides the exporting nation with an opportunity to offer goods and services in a larger international market, promoting growth within its industries.

Barter

Barter, possibly the simplest of the many types of countertrade, is a one-time direct and simultaneous exchange of products of equal value (i.e., one product for another). By removing money as a medium of exchange.

Bartering is the oldest countertrade arrangement. It is the direct exchange of goods and services with an equivalent value but with no cash settlement. The bartering transaction is referred to as a trade. For example, a bag of nuts might be exchanged for coffee beans or meat.

Counter purchase

Under a counter purchase arrangement, the exporter sells goods or services to an importer and agrees to also purchase other goods from the importer within a specified period. Unlike bartering, exporters entering into a counter purchase arrangement must use a trading firm to sell the goods they purchase and will not use the goods themselves.

Offset

In an offset arrangement, the seller assists in marketing products manufactured by the buying country or allows part of the exported product's assembly to be carried out by

manufacturers in the buying country. This practice is common in aerospace, defense and certain infrastructure industries. Offsetting is also more common for larger, more expensive items. An offset arrangement may also be referred to as industrial participation or industrial cooperation.

Self check Exercise 6

Part I- Multiple Choice Questions

Choose the correct answer among the alternatives given

1. A skimming pricing strategy would be advisable
 - A. When the objective is to reach a segment of a market that is relatively price sensitive and hence willing to pay a premium price
 - B. When limited supply exists
 - C. When the product is innovative and the firm is the only seller
 - D. All of the above
 - E. Only A&C
2. _____ involves charging a high price to achieve the highest possible contribution in a short period of time.
 - A. Psychological pricing
 - B. Penetration pricing
 - C. Transfer pricing
 - D. Skimming
3. How does an open account payment method work?
 - A. Payment is held by the bank until items clear customs
 - B. Items are delivered, then payment is made

- C. Payment is made first, then items are shipped
 - D. Payment is made to a third-party distributor
4. Which method of international payment is similar to accepting a written check?
- A. Consignment
 - B. Clean payment
 - C. Bill of exchange
 - D. Payment in advance

Part II- True or False Questions

Write True if the statement is correct or False if it is incorrect

1. Under the consignment method of payment, the importer retains actual title to the goods that are shipped until the payment is done.
2. In a term of payment, the most secure method payment for the exporter is the least secure for the importer and vice versa.
3. Cash in advance is a payment method in which the seller receives a part of payment before the product is shipped.
4. An arrangement to pay for import of goods and services with something other than cash is known as Countertrade
5. Under an open account transaction in international trade, the goods are shipped and delivered to the buyers after payment is due based on their term of agreement.
6. Price escalation is the disproportionate difference in price between the exporting country and the importing country.

CHAPTER 7: DISTRIBUTION STRATEGIE INTERNATIONAL CONTEXT

Dear learner, this section describes the varieties of intermediaries (i.e., agents, wholesaler and retailers) involved in moving products between countries as well as within countries. The tasks and functions of the various intermediaries will be examined. It should be kept in mind that certain types of intermediaries do not exist in some countries and that the pattern of use as well as the importance of each type of intermediary varies widely from country to country. A manufacturer is required to make several decisions that will affect its channel strategy, including the length, width, and number of distribution channels to be used.

The purpose of this chapter is to discuss the various channels of distribution that are responsible for moving products from manufacturers to consumers. Both international and domestic channels are examined. The chapter describes the varieties of intermediaries (i.e., agents, wholesalers, and retailers) involved in moving products between as well as within countries. The tasks and functions of the various intermediaries will be examined. It should be kept in mind that certain types of intermediaries do not exist in some countries and that the pattern of use as well as the importance of each type of intermediary varies widely from country to country.

Learning Objectives

After completing the study of this chapter, you are expected to:

- ✓ Describe types of intermediaries
- ✓ Know determinants of channel types
- ✓ Differentiate between direct channel and indirect channel
- ✓ Define free port

7.1. Meaning of logistic

Marketing logistics - also called physical distribution - involves planning, implementing, and controlling the physical flow of goods, services, and related information from points of origin to points of consumption to meet customer requirements at a profit. In short, it involves getting the right product to the right customer in the right place at the right time.

Logistics management is a total systems approach to the management of the distribution process that includes all activities involved in physically moving raw material, in-process inventory, and finished goods inventory from the point of origin to the point of use or consumption. It involves fleet mgt, warehousing, materials handling, order fulfillment, inventory mgt, procurement, scheduling, packaging etc. A physical distribution system involves more than the physical movement of goods.

It includes the location of plants and warehousing (storage), transportation mode, inventory quantities, and packing. The concept of physical distribution takes into account the interdependence of the costs of each activity. A decision involving one activity affects the cost and efficiency of one or all others. Physical distribution is about the achievement of the optimum (lowest) system cost, consistent with customer service objectives of the firm.

7.1.1 Factors Affecting Choice of Channels

An international trader needs a clear understanding of market characteristics and must have established operating policies before beginning the selection of channel middlemen. The following points should be addressed prior to the selection process.

1. identify specific target markets within and across countries
2. specify marketing goals in terms of volume, market share, and profit margin requirements
3. specify financial and personnel commitments to the development of international distribution
4. Identify control, length of channels, terms of sale, and channel ownership.

Once these points are established, selecting among alternative middlemen choices to forge the best channel can begin. Marketers must get their goods into the hands of consumers and must choose between handling all distribution or turning part or all of it over to various middlemen. Distribution channels vary depending on target market size, competition, and available distribution intermediaries.

Key elements in distribution decisions include the functions performed by middlemen (and the effectiveness with which each is performed), the cost of their services, their availability, and the extent of control that the manufacturer can exert over middlemen activities. Although the overall marketing strategy of the firm must embody the company's profit goals in the short and long run, channel strategy itself is considered to have six specific strategic goals.

These goals can be characterized as the six Cs of channel strategy: cost, capital, control, coverage, character, and continuity. Below each of the six Cs is described.

1) Cost: there are two types of channel costs: the capital or investment cost of developing the channel and the continuing cost of maintaining it. The latter can be in the form of direct expenditure for the maintenance of the company's selling force or in the form of margins, markup, or commissions of various middlemen handling the goods. Marketing cost (a substantial part of which is channel cost) must be considered as the entire difference between the factory price of the goods and the price the customer ultimately pays for the merchandise. The costs of middlemen include transporting and storing the goods, breaking bulk, providing credit, and local advertising, sales representation, and negotiations.

2) Capital Requirements: critical elements here are capital requirements and cash flow patterns associated with using a particular type of middlemen. Maximum investment is usually required when a company establishes its own internal channels, that is, its own sales force. Use of distributors or dealers may lessen the capital investment, but manufacturers often must provide initial inventories on consignment, loans, floor plans, or other arrangements.

3) Control: the more involved a company is with the distribution, the more control it exerts. A company's own sales force affords the most control, but often at a cost that is not practical. Each type of channel arrangements provides a different level of control; as channels grow longer, the ability to control price, volume, promotion and type of outlets diminishes. If a company cannot sell directly to the end user or final retailer, an important selection criterion for middlemen should be the amount of control the marketer can maintain.

4) Coverage: another crucial goal is full market coverage to gain optimum volume of sales obtainable in each market, secure a reasonable market share, and attain satisfactory market penetration. Coverage may be assessed by geographic or market segments or both. Adequate market coverage may require changes in distribution systems from country to country or time to time. Coverage is difficult to develop both in highly developed areas and in sparse markets- the former because of heavy competition and the latter because of inadequate channels.

5) Character: the channel of distribution system selected must fit the character of the company and the market in which it is doing business. Some obvious product requirements, often the first considered, relate to perishability or bulk of the product, complexity of sale, sales services required, and value of the product. Channel commanders must be aware that channel patterns change; they cannot assume that once a channel is developed to fit the character of both the company and market, no more need be done.

6) Continuity: channels of distribution often pose longevity problems. Most agent middlemen firms tend to be the small institutions. When one individual retires or moves out of a line of business, the company may find it has lost its distribution in that area. Wholesalers and especially retailers are not noted for their continuity in business either. Most middlemen have little loyalty to their vendors. They handle brands in good times when the line is making money, but quickly reject such products within a season or a year if they fail to produce during that period. Distributors and dealers are probably the most loyal middlemen, but even with them, manufacturers must attempt to build brand loyalty downstream in a channel lest middlemen shift allegiance to other companies or other inducements.

7.2. Accessing foreign market channels of distribution

Direct and Indirect Selling Channels

Cateora contends that companies use two principal channels of distribution when marketing abroad:

1. Indirect selling: Indirect selling, also known as the local or domestic channel, is employed when a manufacturer in Ethiopia, for example, markets its product through another Ethiopian firm that acts as the manufacturer's sales intermediary (or middleman). As such, the sales intermediary is just another local or domestic channel for the manufacturer because there are no dealings abroad with a foreign firm. By exporting through an independent local middleman, the manufacturer has no need to setup an international department. The middleman, acting as the manufacturer's external export organization, usually assumes the responsibility for moving the product overseas. The intermediary may be a domestic agent if it does not take title to the goods, or it may be domestic merchant if it does take title to the goods.

There are several advantages to be gained by employing an indirect domestic channel. For example, the channel is simple and inexpensive. The manufacturer incurs no start-up cost for the channel and is relieved of the responsibility of physically moving the goods overseas. Because the intermediary very likely represents several clients who can help share distribution costs, the costs for moving the goods are further reduced.

An indirect channel does, however, have limitations. The manufacturer has been relieved of any immediate marketing costs but, in effect, has given up control over the marketing of its

product to another firm. This situation may adversely affect the product's success in the future. If the chosen intermediary is not aggressive, the manufacturer may become vulnerable, especially in the case where competitors are careful about their distribution practices. Moreover, the indirect channel may not necessarily be permanent. Being in the business of handling products for profit, the intermediary can easily discontinue handling a manufacturer's product if there is no profit or if a competitive product offers a better profit potential.

2. Direct selling: is employed when a manufacturer develops an overseas channel. This channel requires that the manufacturer deal directly with a foreign party without going through an intermediary in the home country. The manufacturer must setup the overseas channel to take care of the business activities between the countries. Being responsible for shipping the product to foreign markets itself, the manufacturer exports through its own internal export department or organization.

One advantage gained in using the direct selling channel is active market exploiter since the manufacturer is more directly committed to its foreign markets. Another advantage is greater control. The channel improves communication because approval does not have to be given to a middleman before a transaction is completed. Therefore, the channel allows the company's policy to be followed more uniformly.

Direct selling is not without problems. It is a difficult channel to manage if the manufacturer is unfamiliar with the foreign market. Moreover, the channel is time consuming and expensive. Without a large volume of business, the manufacturer may find it too costly to maintain the channel.

7.2.1 Types of Intermediaries

a) Direct Channel

There are several types of intermediaries associated with both the direct and indirect channels.

1. Foreign Distributor

A foreign distributor is a foreign firm that has exclusive rights to carryout distribution for a manufacturer in a foreign country or specific area. Orders must be channeled through the distributor even when the distributor chooses to appoint a subagent or sub-distributor. The distributor purchases merchandise from the manufacturer at a discount and then resells or distributes the merchandise to retailers and sometimes final consumers. In this regard, the distributor's function in many countries may be a combination of wholesaler and retailer. But in most cases the distributor is usually considered as an importer or foreign wholesaler. The

length of association between the manufacturer and its foreign distributor is established by a contract that is renewable provided the continued arrangement is satisfactory to both.

There are a number of benefits in using a foreign distributor. Unlike agents, the distributor is a merchant who buys and maintains merchandise in its own name. This arrangement simplifies the credit and payment activities for the manufacturer. To carry out the distribution function, the foreign distributor is often required to warehouse adequate products, parts, and accessories and to have facilities and personnel immediately available to service buyers and users. Still, the manufacturer must be careful in selecting a foreign distributor or it may end up with a distributor who is deficient in marketing and servicing the product.

2. Foreign Retailer

If foreign retailers are used, the product in question must be a consumer product rather than an industrial product. There are several means by which a manufacturer may contact foreign retailers and interest them in carrying a product, ranging from a personal visit by the manufacturer's representative to mailings of catalogs, brochures, and other literature to prospective retailers. The use of personal selling or a visit although expensive because of travel costs and commissions for the manufacturer's representative provides for a more effective sales presentation as well as for better screening of retailers for the distribution purpose. The use of direct mail, although less expensive, may not sufficiently catch the retailers' attention. For such big-ticket items as automobiles or for high-volume products, it may be worthwhile for a manufacturer to sell to retailers without going through a foreign distributor. In fact, most large retailers prefer to deal directly with a manufacturer.

3. State-Controlled Trading Company

For some products, particularly utility and telecommunication equipment, a manufacturer must contact and sell to state-controlled companies. In addition, many countries, especially those in Eastern Europe, have state-controlled trading companies, which are companies that have a complete monopoly in the buying and selling of goods. Being government sanctioned and controlled for trading in certain goods, buyers for state-controlled trading companies are very definitely influenced by their governments' trade policies and politics. Most opportunities for manufacturers are limited to raw materials, agricultural machinery, manufacturing equipment, and technical instruments rather than consumer or household goods. Reasons for this limitation include shortage of foreign exchange, an emphasis on self-sufficiency, and the central planning systems of the communist and socialist countries.

End User: sometimes, a manufacturer is able to sell directly to foreign end users with no intermediary involved in the process. This direct channel is a logical and natural choice for costly industrial products. For most consumer products the approach is only practical for some products and in some countries. A significant problem with consumer purchases can

result from duty and clearance problems. A consumer may place an order without understanding his or her country's import regulations. When the merchandise arrives, the consumer may not be able to claim it. As a result, the product may be seized or returned on a freight-collect basis. Continued occurrence of this problem could become expensive for the manufacturer.

b) Indirect Channel

For a majority of products, a manufacturer may find it impractical to sell directly to the various foreign parties (i.e., foreign distributors, foreign retailers, state-controlled trading companies, and end users). Other intermediaries, more often than not have to come between these-foreign buyers and the manufacturer.

With an indirect channel, a manufacturer does not have to correspond with foreign parties in foreign countries. Instead; the manufacturer deals with one or more domestic middlemen, who in turn move and/or sell the product to foreign middlemen or final users. Although there are many kinds of local sales intermediaries, all can be grouped under two broad categories: (1) domestic agents and (2) domestic merchants. The basic difference between the two is ownership (title) rather than just the physical possession of the merchandise. Domestic agents never take title to the goods, regardless of whether the agents take possession of the goods or not. Domestic merchants, on the other hand, own the merchandise, regardless of whether the merchants take possession or not. An agent represents the manufacturer whereas a merchant (e.g., distributor) represents the manufacturer's product. The merchant has no power to contract on behalf of the manufacturer, but the agent can bind the manufacturer in authorized matters to contracts made on the manufacturer's.

1. Export Broker

The function of an export broker is to bring a buyer and a seller together for a fee. The broker may be assigned some or all-foreign market in seeking potential buyers. It negotiates the best terms for the seller (i.e., manufacturer) but cannot conclude the transaction without the principal's approval of the arrangement. As a representative of the manufacturer, the export broker may operate under its own name or that of the manufacturer. For any action performed, the broker receives a fee or commission. An export broker does not take possession or title to the goods. In effect, it has no financial responsibility other than sometimes making an arrangement for credit. An export broker is less frequently involved in the export (shipping) of goods than in the import (receiving) of goods.

The export broker is useful because of its extensive knowledge of the market supply, demand, and foreign customers. This knowledge enables the broker to negotiate the most

favorable and seasonal products that do not require constant distribution. on behalf export broker may be thus used on a one time basis by small manufacturers with limited financial resources who are selling in broad markets.

2. Manufacturer's Export Agent or Sales Representative

This is an independent businessperson who usually retains his or her own identity by not using the manufacturer's name. Having more freedom than the manufacturer's own salesperson, a sales representative can select when, where, and how to work within the assigned territory. Working methods include presenting product literature and samples to potential buyers. An export agent pays his or her own expenses and may represent manufacturers of related and non-competing products. The person may operate on either an exclusive or nonexclusive basis. Like a broker, the manufacturer's export agent works for commission. Unlike the broker, the relationship with the manufacturer is continuous and more permanent. The contract is for a definite period of time and the contract is renewable by mutual agreement. The manufacturer, however, retains some control because the contract defines the territory, terms of sale, method of compensation, and so on.

The manufacturer's export agent may present some problems to the manufacturer because an agent does not offer all services. Such services as advertising, credit assistance, repair, and installation may be excluded. An export agent may take possession but not title to the goods and thus assumes no risk-the risk of loss remains with the manufacturer. Finally, the manufacturer gives up control over marketing activities, and this can hurt a manufacturer whose volume is too small to receive the agent's strong support. Export Management Company (EMC)

An export management company (EMC) manages, under contract, the entire export program of a manufacturer. An EMC is also known as a combination export manager (CEM) because it may function as an export department for several allied but non-competing manufacturers. In this regard, those export brokers and manufacturers' export agents who represent a combination of clients can also be called EMCs. When compared with export brokers and manufacturers' export agents, the EMC has greater freedom and considerable authority. The EMC provides extensive services, ranging from promotion to shipping arrangement and documentation. Moreover, the EMC handles all, not just a portion, of its principal's products. In short, the EMC is responsible for all of the manufacturer's international activities.

Foreign buyers usually prefer to deal directly with the manufacturer rather than through a third party. Therefore, an EMC usually solicits business in the name of the manufacturer and may even use the manufacturer's letterhead. Identifying itself as the manufacturer's export department or international division, the EMC signs correspondence and documents in the name of the manufacturer. This may be an advantageous arrangement for small and medium-

sized firms that lack expertise and adequate human and financial resources to obtain exports. This arrangement may be a good way for a firm to develop foreign markets while creating its own identity abroad. The EMC, on the other hand, faces a dilemma because of a double risk: it can easily be dropped by its clients either for doing a poor job or for making the manufacturer's products too successful.

4. Cooperative Exporter

A cooperative exporter is a manufacturer with its own export organization that is retained by other manufacturers to sell in some or all foreign markets. Except for the fact that this intermediary is also a manufacturer, the cooperative exporter functions like any other export agent. The usual arrangement is to operate as an export distributor for other suppliers, sometimes acting as a commission representative or broker. Because the cooperative exporter arranges shipping, it takes possession of goods but not title.

The cooperative exporter's motive in representing other manufacturers primarily involves its own financial interests. Having fixed costs for the marketing of its own products, the cooperative exporter desires to share its expenses and expertise with others who want to sell in the same markets abroad. The relationship between the cooperative exporter and its principal is a long-term one. The arrangement provides an easy, low-risk way for the principal to start marketing overseas, and the relationship should ordinarily continue as long as unrelated or noncompetitive products are involved. A problem may arise if the principal decides to market a new product that competes directly with the cooperative exporter's own product or those of the exporter's other clients.

5. Purchasing/Buying Agent

An export agent represents a seller or manufacturer; the purchasing/buying agent represents the foreign buyer. By residing and conducting business in the exporter's country, the purchasing agent is in a favorable position to seek a product that matches the foreign principal's preferences and requirements. Operating on the overseas customer's behalf, the purchasing agent acts in the interest of the buyer by seeking the best possible price. Therefore, the purchasing agent's client pays a fee or commission for the services rendered. The purchasing agent is also known by such names as commission agent; buyer for export, export commission house, and export buying agent. This agent may also become an export confirming house when confirming payment and paying the seller after receiving invoice and title documents for the client.

The buying agent is valuable for manufacture because it seeks those firms out and offers them services. However, since the agent operates on an order basis, the relationship with

either seller or buyer is not continuous. This arrangement thus does not offer a steady volume of business for the manufacturer and neither does it offer any reduction in financial risk.

6. Country-Controlled Buying Agent

A variation on the purchasing agent is a country-controlled buying agent. This kind of agent performs exactly the same function as the purchasing buying agent, the only distinction being that a country-controlled buying agent is actually a foreign government's agency or quasi-governmental firm. The country controlled buying agent is empowered to locate and purchase goods for its country. This agent may have a permanent office location in countries that are major suppliers, or the country's representative may make formal visits to supplier countries when the purchasing need arises.

7. Export Merchant

The intermediaries covered so far have certain factors in common: they take neither risks nor title, preferring to receive fees for their services. Unlike these middlemen domestic merchants are independent businesses that are in business to make a profit rather than to receive a fee. There are several types of domestic merchants. Because they all take title, they are distinguished by other features such as physical possession of goods and services rendered. One kind of domestic merchant is the export merchant. An export merchant seeks out needs in foreign markets and makes purchases from manufacturers in its own country to fill those needs. Usually the merchant handles staple goods, undifferentiated products, or those in which brands are unimportant. After having the merchandise packed and marked to specifications, the export merchant resells the goods in its own name through contacts in foreign markets. In completing all these arrangements, the merchant assumes all risks associated with ownership. The export merchant's compensation is a function of how product is priced. The markup is affected by the profit motive as well as by market conditions.

8. Export Distributor

Whereas export merchants and drop shipper's purchase from a manufacturer whenever they receive orders from overseas, an export distributor deals with the manufacturer on a continuous basis. This distributor is authorized and granted an exclusive right to represent the manufacturer and to sell in some or all-foreign markets. It pays for goods in its domestic transaction with the manufacturer and handles all financial risks in the foreign sale. An export distributor differs from a foreign distributor simply in location. The foreign distributor is located in a particular foreign country and is authorized to distribute and sell the product there. The export distributor, in comparison, is located in the manufacturer's country and is authorized to sell in one or more markets abroad.

9. Trading Company

Those that want to sell and those that want to buy often have no knowledge of each other or no knowledge of how to contact each other. Trading companies have come into existence to fill this void. In international marketing activities for many countries, this type of intermediary may be the most dominant form in volume of business and in influence. Many trading companies are large and have branches wherever they do business. They operate in LDCs, developed countries, and their own home markets.

A trading company performs many functions; the term describes many intermediaries that are neither brokers nor import merchants. A trading company may buy and sell as a merchant. It may handle goods on consignment, or it may act as a commission house for some buyers. By representing several clients, it resembles an EMC, except for the fact that it:

- 1) has more diverse product lines,
- 2) offers more services
- 3) is largest and better financed,
- 4) takes title (ownership) to merchandise,
- 5) Is not exclusively restricted to engaging in export trade, and
- 6) goes beyond the role of an intermediary (which provides only export facilitation services) by engaging directly in production physical distribution channel development, financing, and resource development.

7.3. Use of Free ports

The duty-free advantages of freeports benefit manufacturing businesses with a focus on exports. Plants inside freeports can import raw materials or components duty-free and process them into finished products. The resulting goods can then be exported, having incurred no customs for their foreign inputs.

This means that businesses operating inside designated areas in and around the port may manufacture goods using these imports, before exporting them again without paying the tariffs and benefit from simplified customs procedures.

Particularly, since the end of the Second World War the locational concept of free port has been expanded from its maritime ports setting to include river free ports (for example Manaus, Brazil), lake ports (for example, Chicago, USA), airports (for instance, Shannon, Ireland). Where are the major freeports in the world? Dubai, Hong Kong, and Singapore's freeports stand among the world's leading commercial gateways. Each of these freeports is an important logistical, transportation, and trade area offering a competitive advantage to businesses that operate within them

Areas given Freeport status will benefit from tax reliefs, simplified customs procedures, streamlined planning processes to boost redevelopment and government support to promote regeneration and innovation.

Self Check Exercise 7

Part I- QUESTIONS

1. Distinguish between direct and indirect selling channels. What are the advantages and disadvantages of these channels?
2. Explain these types of direct channel intermediaries: foreign distributor and state-controlled trading company.
3. Explain these types of indirect channel agents: EMC, cooperative exporter, and purchasing agent.
4. Explain these types of indirect channel merchants: export merchant, export drop shipper, export distributor, and trading company.

PART II- True or false Questions

Say true if the statement is correct and false if it is incorrect

1. A manufacturer's export agent or sales representative can present some problems to the manufacturer because an agent does not offer all such services as advertising, credit assistance, repair, installation and the like.
2. A variety of product characteristics have no effect on the selection of channels of distribution through which the products would be transported to users.